

Heritage Foods (HERITGFOOD)

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41h August, 2022

To

The Secretary

BSE Limited To

The Manager,

Listing Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400 001 National Stock Exchange of India Limited

Exchange Plaza, C-1, G Block, Bandra-Kurla

Complex, Bandra (East), Mumbai -400 051

Scrip Code: 519552 Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call with the Investors/ Analyst

Dear Sir / Madam,

In Continuation of our letter dated July 19, 2022 the Company had organized a conference call with the Investors/ Analysts on Monday, August 01, 2022 at 16.00 PM (1ST). A copy of Transcript of conference call held with the Investors/ Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in.

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards

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■S LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M.No: FCS-6317

Enc: a/a

About the Company:

Heritage Foods founded in the year 1992 is one of the fastest growing Private Sector Enterprises in India, with two business divisions viz., Dairy and Renewable Energy under its flagship company Heritage Foods Limited and Cattle feed business through its subsidiary, Heritage Nutrivet Limited (HNL). Presently Heritage's milk and milk products have market presence in Andhra Pradesh, Telangana, Karnataka, Kerala, Tamil Nadu, Maharashtra, Odisha, NCR Delhi, Haryana, Uttar Pradesh and Uttarakhand. It has total renewable energy generation capacity of 10.50 MW from both Solar and Wind for captive consumption of its dairy factories.

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY rf@hflcaJ@Jce

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HERITAGE FOODS LIMITED

Q1 FY2023 Earnings Conference Call

August 01, 2022

MANAGEMENT :

DR. M SAMBASIVA RAO – PRESIDENT , HER ITAGE FOODS LIMITED

MR. A. PRABHAKAR NAIDU – CHIEF FINANCIAL OFFICER , HERITAGE FOODS LIMITED

MR. SRIDEEP N KESAVAN – CHIEF EXECUTIVE OFFICER , HERITAGE FOODS LIMITED

MR. J SAMBA MURTHY – CHIEF OPERATING OFFICER , HERITAGE FOODS LIMITED

MR. UPENDRA PANDEY – CHIEF EXECUTIVE OFFICER , HERITAGE NUTRIVET LIMITED

MR. UMAKANTA BARIK – COMPANY SECRETARY & C OMPLIANCE OFFICER ,

HERITAGE FOODS LIMITED

MODERATOR :

MS. SONAM RAGHUVANSHI – DICKENSON WORLD

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Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to the Heritage Foods Q1 FY2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing

‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I

now hand the conference over to Ms. Sonam Raghuvanshi. Thank you and over to you

Sonam!

Sonam Raghuvanshi : Thank you. Good evening everyone. I welcome you all to the earning call of Heritage Foods Limited for Q1 FY2023. Today we have with us the management represented by Dr. M. Sambasiva Rao - President, Mr. A. Prabhakar Naidu – Chief Financial Officer, Mr. Srideep N Kesavan – Chief Executive Officer, Mr. J. Samba Murthy – Chief Operating Officer and Mr. Umakanta Bakri – Company Secretary and Compliance Officer.

Before we start, I would like to remind you that the remark today might include a forward-looking statement and actual results may differ materially from those contemplated by the forward-looking statement. Any statement we make on this call today is based on our assumptions as on date and we have no obligation to update these statements as a result of

new information or future event. I would now like to invite Dr. M. Sambasiva Rao from

Heritage Foods to make the opening remark. Over to you Sir.

Sambasiva Rao: Thank you Sonam. A very good afternoon to everyone joining us today on this call we welcome you all to this Q1 FY20 23 earnings call of Heritage Foods.

Let me start by giving you an overview of the financial and operational highlights for the Q1. Consistent with our performance over the last many quarters, our consolidated revenue for Q1 registered robust growth of 27% year-on -year at Rs.8209 million with EBITDA during this period stood at Rs.220 million compared to 299 million in Q4 FY 2022 . During the quarter the PAT stood at Rs.73 million in spite of our solid revenue growth unprecedented increases in raw milk procurement costs and overall operational cost suppressed the quarter's net profits.

Now let us look at the operational aspects of our business in detail, in the dairy business our average milk volume procured during Q1 stood at 14,66,000 liters per day compared to 12,14,000 liters during the corresponding quarter previous year registering a growth of 20.76% year-on -year while on the sales side our average milk sales during Q1 recorded an increase of 15% year-on -year whereas curd which is our most important value-added product in our portfolio registered a massive growth of 45.4% during this quarter. Revenue Heritage Foods Limited

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Page 3 of 17 from the value-added products portfolio grew solidly by 62.5% year-on -year to 2, 838 million in Q1 compared to 10 746 million in Q1 of last year.

I am pleased to inform you all that this helped our VAP business contribution to increase by an impressive 750 BPS year-on -year to reach 34.9% of overall dairy revenue in the cost one, Despite this quarter's suppressed profitability our sustained volume growth, especially in the value-added portfolio gives us the confidence in recovering profitability in the coming quarters of the flush season when raw milk procurement prices are expected to cool off. The company's primary mission as you know is to delight every home with quality products in line with our plan during the quarter under review we have launched new value-added products like Gulab Jamun and Rasgulla in time for the festive season, buttermilk in cups addressing the new consumer segment and Ghe in differentiated and convenient spout backs, these launches further strengthen our value-added product portfolio and will strengthen our push towards becoming a more diversified value-added foods company. The company is also constantly taking strategic initiatives to connect with our consumers better our marketing strategies are being redesigned to a better our understanding of changing consumer preferences and behavior patterns this helps us design winning differentiated high-quality products as we demonstrate sequential solid demand growth around products we are making concerted efforts to improve our profitability procuring milk at reasonable costs amid generally lower reels from cattle would also be a near term focus on the company in the coming quarters . We are also taking many long and short-term cost efficiency initiatives to reduce our cost of conversion and cost to serve.

We are happy to inform you that we are already seeing significant progress on both discounts and are confident of delivering better value to our shareholders in the coming quarters now we open the floor for the question and answer session . Thank you.

Moderator : Thank you . Ladies and gentlemen, we will now begin the question and answer session . We have the first question from the line of Digant Haria from GreenEdge Wealth. Please go ahead.

Digant Haria : Firstly congratulations on finishing 30 years and you started the 31st year with probably all-time high quarterly growth so I analyzed like last 24-25 quarters we have been struggling in

the 600 to 700 Crores per quarter range and now we have straight away broken out to cross 800 Crores a quarter so my first question was is this run rate sustainable like was there any one-off in this quarter that may not continue for the next 3-4 five quarters and then if you can give some more elaborate details on what all did we do to reach such high levels of value-added product sales and milk sale and milk procurement as well so that is my first question and I will take the second question later?

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Page 4 of 17 Srideep Kesavan : Thank you for your good wishes for our 30th anniversary the growth that we have seen in this particular quarter it is actually consistent with the trend that we have been seeing in the last three or four quarters from any fundamental things that have fallen in place as far as our strategy is concerned which gives us confidence in terms of ongoing performance in similar lines so there are two or three things here, one is more predictability as far as our growth and volume numbers are concerned . Number 2 is a shift towards value-added products which is more engineered rather than accidental and number three is growth in the geographic segments where we want our growth to happen so we are very happy to say that we are progressing well on the strategic priorities that we spoke in the previous quarterly updates and those efforts which has resulted in the outcome that we are seeing.

Digant Haria : Right Sir Srideep safe to assume that this should not be a one-off quarter like there were no extra sales of any special order from a bulk customer we do not do that but you have never done anything apart but just because of the huge revenue I wanted to be sure that this looks more like a sustainable run rate.

Srideep Kesavan : Absolutely because first of all in this particular quarter we have not made even a one rupee of any bulk or institutional sales, there is absolutely none in fact the base revenues we might have some bulk sales despite having the base bulk sales or bulk revenue sitting in the base quarter without that just through consumer product sales we have achieved these numbers like I mentioned before we have the strategy is on four steps actually, as far as market growth is concerned of course I am speaking only the market trading strategies that we have put in place, first is to have segment our portfolio into six consumer-centric product last as we said that now we are looking at liquid milk separately dairy foods, dairy drinkables, dairy sweet, dairy fast and ice creams and frozen versus separately because we are looking at product clusters differently we are able to also decide on what is the fit for purpose row market that makes these products available in the hands of the consumer in the most efficient manner. The third thing that they have looked at is innovations that our consumer-centric and these last many quarters we have made several corrections not just in terms of launching new products but we have recalibrated our tax price channel architecture to make our products perform much better on the shelf and the fourth thing is a new format or a new framework for engaging with customers especially our key national as well as regional customers it is a helping us get tremendous growth and gain market share as well so there is a very clear plan in place which is being executed which is resulting in the kind of growth that we are seeing.

Digant Haria : Right thank you so much for this detailed answer . My second question is that you in the last call clearly explained what we are doing to fight inflation like, you extend three points and one is smart sourcing, the second was basically operating efficiencies and the third one is

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Page 5 of 17 increasing the value of this product so this quarter we at least saw the value-added product but even then the margin

s are probably at 24 quarter low. So, revenue is at 24 quarter high and margins are at 24 quarter low so is this mostly attributable to the milk inflation we are seeing across the country and if this continues for about 3-4 quarters is it even fair to assume that we reach 6%-7% margins with this kind of sourcing challenges?

Sambasiva Rao: Yes, see those are margin expansion strategies that you discussed just now that we spoke about in the previous quarters are directional in nature. Those are continuing activities for example expansion of gross margins through reduction of operational costs is a continuous process we are at this point in time at least eight projects of significant nature which will help us reduce our cost of production significantly over the next many months now these projects are the reason why I said continuous in nature is that at this point in time as we are executing these projects we are looking at other options or other projects that will kick in once these are completed similarly there are many other stuff that we are working on in terms of valuing our outward freight or inward freight through conversion of more and more of our vehicles electric reducing dependency on fuel costs inflations etc ., that said what happened in the first quarter and this is not just we are not the only the ones that got impacted, this impact was felt across industries with almost like a perfect storm on one hand we had global inflation inflationary pressure due to the ongoing war and many other aspects and specific to our industry, there was severe milk shortage which was sent across the country, which was reported by many large co-operative companies as well and it was a combination of this which impacted the profitability the way that it did while raw material prices are milk prices is something that has to cool off once the flush season begins to happen and we have already seen a cooling off to certain extent in the last I should say 45 days but the other thing let us say for example inflationary pressure on input material packaging material or fuel costs, it is not something that we can be assured of so we have put several things in place to see whether it is alternate packaging, materials or alternate

ways of reducing costs to fight off these inflation pressures so those are things that are already put in motion and we are making good progress against those.

Digant Haria : Alright so thanks for that. Sir last question is for Mr . Brahmani and Mr. Rao last decade like we had where we spent certain time and energy when we sold it off to future group that also our future work also went through its own share of volatility and then probably know that consumed a lot of time and energy but now like can we really say that all those things of the past are over and the company is completely focused on this new things like there are no one-off that phase where we went into ventures which were away from the dairy segment so that is just my last question.

Sambasiva Rao: Yes, absolutely alright.

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Page 6 of 17 Moderator : Thank you. We have the next question from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta : Hi Sir and thank you for taking my question first of all two bookkeeping questions milk procurement prices and liquid milk prices this quarter?

Sambasiva Rao: Milk procurement price and liquid milk sale price?

Sameer Gupta: Yes used to give these numbers like sometime back but ...

Samba Murthy : Milk procurement price in the quarter is Rs. 40.77 paise per liter whereas the selling price is Rs. 53.93 per liter.

Sameer Gupta : Sir, there is an equal increase in liquid milk price and milk procurement price there is a 15% kind of sales growth in liquid milk so is that VAP portfolio currently at a lower gross margin than a liquid milk portfolio because otherwise sequentially our gross margin should not drop right?

Sambasiva Rao: Milk procurement price average per liter is Rs. 40 rupees 77 paise, the liquid milk sale price is Rs. 49 rupees 16 paise what he earlier said was an average realization of milk and all products put together you ignore that.

Sameer Gupta: Okay got it but again since that average is also there and it is pretty healthy sequential that I am looking at might be of the liquid milk price Sir so my second question is this and this is based on these data points only that here on we are at a gross margin which is one of the lowest and we are our milk requirement in a lean quarter is that 1.5 million which is one of the highest and at a time when the milk prices are supposed to be high so is this a mistake by chance that we have had and not have had enough SMP stocks that led to this situation?

Sambasiva Rao: Not having.

Sameer Gupta: So typically you procure more enough last season so that it lasts in a lean season what I see is that milk requirement is one of the highest this quarter and that too in a lean season where generally milk availability is lower and milk prices are higher so have we made a mistake this time that we did not procure enough in our last season and now it is being paid in terms of margin pressures in Q1 or is that understanding wrong?

Sambasiva Rao: You need not call it a mistake if you said strategic to grow so we wanted to raise sale volumes the typical milk procured in the flush season gets converted into milk powder and

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Page 7 of 17 it is used as an additional factor in the curd or other products also for reconstituting the milk so irrespective of that the growth has to come from the milk only so we have grown on the sales side consciously as the milk prices cool off then the benefit of margins will kick in as soon as possible so it is a great expansion.

Sameer Gupta: Got it Sir

Sambasiva Rao: Prices will not remain the same throughout the year I mean if you go by the trend there are two cycles or three cycles in a year where milk prices fluctuate and the lowest is expected to be in the winter months after the rain then the animal 's yield is very high and that is the time we get milk at a lower price and certain excess milk will be converted and kept in the powder form for the summer season that continues as an operation every year but with lean season growth is something which we can sustain in the flush season and we will have much more milk in the flush season coming flush season.

Sameer Gupta: Okay Sir just a follow up to that let us suppose because I have seen this in the past two to three years what has happened is for some reason or other the milk prices are not very favorable in the flush season either sometimes there are unseasonal rains sometimes there are late rains so let us say assuming that these milk prices do not correct in the plus season to our expectations will be willing to increase our end consumer prices so that our margin stabilized back to our 6% to 7% range or we will still whether the storm and sea wait for another better period of cooling of these thermal prices?

Sambasiva Rao: No we have already taken price hike towards the end of the quarter and the price benefit is a bit there is a lag between the procurement price and sales price increases and we have not taken a full hike also so one round of hike has been done in the Q1 another price hike will

happen in Q2 so therefore we try to reach the margin levels as it was earlier.

Sameer Gupta: Great Sir but I still heard that with the flush season the prices will cool off and our margins will come back I understand that is the normal course of operations but let us say because these are quite unpredictable times, prices for some reason do not cool off will be willing to take more price hikes or we will be thinking that this is just a one-off and you know let us just wait and wait the season out and just one year of difference

margin is Okay.

Sambasiva Rao: There are two elements Sameer for margin build up as one is the procurement price cooling off, and second is the sale price increase for end consumers so both the levers we operate only thing we do not stretch passing on entire price burden to the consumer in one go it is staggered, 2 if somewhere we see the prices of farm gate prices are falling then we stop there to build the volume so it is a kind of a careful synchronization of both the trends, it is

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Page 8 of 17 not that we just wait for the prices to cool off only when one of the two elements and 3rd element is also there and increasing the contribution of value-added products where the margin is slightly better so we play with all the levers in such a way that we gain market share and we recover our profitability levels as early as possible but the lack always will be there.

Sameer Gupta: Fair enough Sir if I can squeeze just one more question with your permission so now we are also in a sort of expansionary phase where milk procurement has gone up by 21% on a y-o-y basis and we are expanding our value-added portfolio which would imply that we are reaching out to more distribution touch points typically which do not have a Heritage product does that also put downward pressure on our margins I know it would not be very high but something that we should factor in?

Sambasiva Rao: No because we are operating in the same regions where we have operated and the more and more we deepen our penetration in these markets what we are experiencing at this point in time is that our net revenues have improved even though in Q1 it is only as in you can only see part of this improvement but in the last like I said in the last 30-40 days we have seen significant improvement in net revenue and number two our cost of operation whether it is in terms of efficiencies of those plants in those geographies or in terms of market discounts and other sales and distribution costs have all been significant improvement so you can imagine that let us say a truck in one of these marginal markets earlier was carrying 50% load and hence cost of operation was a higher today is carrying 70% or 80% of truck utilization in these markets so costs are constantly coming down for us in these marginal markets and we do not Heritage right from the beginning, we do not if you are consumers you will also know from the markets that you do not go for deep discounts kind of strategy because our product well because their high quality products and all this growth we have got with just purely by acquiring more and more consumers and not by offering discounts.

Sameer Gupta: Thanks Sir that is all from me. I will come back and if you have any follow-ups.

Moderator: Thank you. We have the next question from the line of Rohit Suresh from Samat va Investments. Please go ahead.

Rohit Suresh: Thank you for the opportunity so my first question would be if you could give me the number of the contribution of the non-products in the value-added segment for this quarter and for last year also, in the value-added segments the non-curd portfolio what would be the share of that for in Q1 and for the entire financial year 2022?

Sambasiva Rao: Other than curd roughly around 25% would be the contribution.

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Page 9 of 17 Rohit Suresh: So you indicated 25% is the product apart from curd so within that 25% what would be the major segment that are contributing to the revenues the top two to three products?

Sambasiva Rao: It would be Paneer, ice creams and drinkables would be the largest contributors in that and drinkables we have a long range of flavored milkshakes, cold, coffee, buttermilk, and lassi product.

Rohit Suresh: Sir and just one more question was that right now our expansion will be focusing only on the southern market right our existing markets will be penetr

ating much deeper we would

not be getting into the North and Western markets right?

Sambasiva Rao: We have a presence in Delhi NCR, Mumbai, and Pune where we are deepening our presence rather than going horizontally so you will see us more and more in parts of the geographies of Mumbai and Pune and Delhi NCR but yes you are right as a percentage to our overall business our business is still largely concentrated in the southern markets especially AP Telangana, Southern Karnataka which is Bangalore and surroundings and part of Tamil Nadu.

Rohit Suresh: Great Sir thank you so much and wishing you all the very best.

Moderator : Thank you. We have the next question from the line of Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi : I have one question regarding the upcoming flu season which has been talked about by you and your competitors also and what is your seeing in the market is this disease going around lumpy skin disease, which is affecting a lot of cattle and dropping yield all around cattle that survived so will that have an impact on the upcoming flush season do you think that would be a path because of the drop which you will see in the yield?

Sambasiva Rao: Not really because this year had the great monsoon heavy rains all over and we expect green fodder availability to be higher, temperatures to be lower and milk prices at farm gate being high, the interest of farmers is back unlike to COVID affected years where the farm gate prices were low and farmers interest was also low in dairy now the interest is high and more and more care and we see the nutrition supplies, etc., so we do not anticipate any such adverse impact on the yields in the coming flush season.

Nitin Awasthi : My question was about the specific rise of the disease which was not something which we see normally in the industry.

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Page 10 of 17 Sambasiva Rao: We do not see that as a big impediment to milk production in fact every mentioned ...

Sambasiva Rao: There is always this last year in Q3 we saw a foot and mouth disease in parts of Tamil Nadu so do not think that will be there.

Nitin Awasthi : Okay Sir got it noted . Thank you Sir.

Moderator : Thank you. We have the next question from the line of Resha Mehta from GreenEdge Wealth. Please go ahead.

Resha Mehta : Sir my first question is on the curd sales right so I think this is the highest ever curd sales that we have done so the kind of growth that we have seen so what really drove that was it that the demand in the market like came back in a big way after two last summers or is it that we have gained share from some organized or unorganized players or is it that going deeper into existing markets this something that has brought us growth?

Sambasiva Rao: I think it is a fair question I think it is a combination of all first of all I think it was a great summer not just for us I think even many related industries as well. We were perfectly poised because we had been working on correction of our portfolio sales and distribution are themes organization, structure a lot of things so we were in the right place at the right time we were able to capture the opportunity that is the way I would like to put it in addition to that we had open several new channels for example whether it is big commerce which you see significant growth with their compared to as a subsegment of e-commerce so we were one of the first movers in quick commerce which gave us a tremendous boost as far as sales are concerned even many of the geographies where we have been working to build our presence we have gone deeper this year so it is a combination of all factors right now.

Resha Mehta : Right so I think so to some of the past participants you did allude to your execution plan right and the fact that you all have been able to recruit new customers so can you make this elaborate a little bit more on this on the execution

on front like what are we doing differently

v/s is let us say some quarters or years ago and which is helping us get this kind of growth?

Sambasiva Rao: Not so much so that others can capture it.

Umakanta Bakri: I will keep it at a very high level a rest assured that we have very micro detailed plans that are being executed but yes because I already mentioned quick commerce I can confidently I can probably speak about that for example today you can buy Heritage and whether it is Dunzo, Swiggy these are all channels that carry Heritage products and in most of the

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Page 11 of 17 markets because we are one of the first movers, we have an advantage for those customers just one example there are several other customers annual market combinations which have opened up this year which was not there in the previous year's . Secondly, like I said portfolio correction is something that we have done so that we know where the market is and where the manufacturing happens we have fixed that to the extent that we have the right back in the right channel in the right market that is a strategic threat has been done and today it is quite smooth so third is we have been speaking about the organizational structure so we have the right capability of people in the right market in the right place we have divided the portfolio into multiple fruit markets or something we spoke about on the previous quarters earlier we used to have a large part of our business coming from milk agent network today we have large professional FMCG distributors who take our products from market . We also have alternate we have strengthened our sales through Heritage own Parlors we are also at this point in time building a unique distribution structure which is at a very nascent stage but showing promising results so these are working on and that is what is giving us the results.

Resha Mehta : Right and also related question right so I see that your Heritage distribution centers they have almost doubled sequentially right so from 65 to 121 in Q1 so anything to lead here and so what kind of expansion are we looking at and how is this expected to help us in our topline growth further?

Sambasiva Rao: The only thing to read there is good news. Future is bright.

Resha Mehta : Got it but this kind of aggression so we have not seen so that is why this was trying to understand a little bit on your pace of expansion of Heritage distribution centers and how that will help us in the revenue growth because I think the number of parlors are the same while the distribution centers have doubled?

Sambasiva Rao: So yes distribution centers and parlors are plus plus kind of concept we are parlors as well as they also contribute to creating distribution network and see to be fair last couple of years that is from 2020 March till, about March or April of 2021, life was difficult because of COVID restriction of movement we even lost in certain markets, we had a little bit of a distribution shrinkage because some of our distribution partners stopping business during the pandemic and all of that so that is the reason why you probably do not see much of an expansion in that period of about 18 months but since June of 2021 we have been aggressively building working on these strategies and it is little pay us dividend in coming months and quarters.

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Page 12 of 17 Resha Mehta : Right and if I can squeeze in a last one so you also spoke about nil fat revenues in this quarter so structurally is it possible so I think historically our fat revenues have been in the range of 8% to 10% right so structurally is it possible that we bring down this number a little more and because this is anyway the low margin kind of a business?

Sambasiva Rao: Can you repeat your presumption I could not get you with said milk revenue flat?

Resha Mehta : Sorry so I just repeat so you did

mention that the fat revenues were almost nil for Q1?

Sambasiva Rao: Let me clarify in the base quarter which is quarter of FY2022 Q1, we have some revenues coming from the bulk sale of butter and bulk sale of fat so just clarifying there was a gentleman I think it was because you asked the question how much of it is the repeatable sale and how much of it is one-time sale so I just reassured him that we do not have anymore one time sale because we are doing everything as consumer products.

Sambasiva Rao: Yes in the last financial year there was some surplus butter which was sold in the bulk packs not in the consumer packs that that factor is not there in this yet you are trying to present the change scenario, there is no institutional sale, there is no bulk sale, it is all consumer pack sales in that context you mentioned that.

Resha Mehta : Got it so now safe to assume that 90% plus would be B2C sales for us?

Sambasiva Rao: Yes 100%.

Resha Mehta : Got it right alright thank you so much and all the best.

Moderator : Thank you . We have the next question from the line of Sneha Jain from SKS Capital . Please go ahead.

Sneha Jain: Hi Sir thank you for the opportunity . My first question would be so will we always be dependent on the fluctuation of the milk prices like if thing go ahead like this how are we planning to hedge ourselves against it?

Sambasiva Rao: Inbuilt nature of the business dairy sector. There are two seasons in a year summer and winter, in winter season animals yield more milk after the lactation cycle begins as lactation cycle ends in the summer season the milk yield comes down so the availability of milk is dependent on the biological reproductive cycle of animal at the beginning of lactation to end of lactation that synchronizes winter and summer and in summer the sale consumption consumer side consumption goes up, demand goes up because of the ambient temperatures

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Page 13 of 17 being high in summer so that puts more pressure in the summer season for more products and more sales and winter consumption comes down on the other hand because of the chill weather so it reduces the demand so it is a combination of availability and demand in a reverse manner in winter and summer so as long as we depend on the fresh produce and we depend on fresh sale this cycle I think is inevitable. There is no method of undoing this cyclical nature of the dairy business in India unless we go into the preserved products like UHTs or where you have long shelf life you can undo the seasonality but the country being a fresh products business consumers preferring only fresh products and we do not have processing capacities in the country for handling entire year production and then hold on for in ambient temperature for the next season. I do not see any possibility of hedging the price fluctuations in the next decade just add so that is it one of the strategies we had discussed and what we have we are working on in which where we are seeing significant progress, he is increasing value-added products portfolio now the more and more value-added products that we have. We will be able to decouple ourselves a little bit and if I can explain roughly

70% to 75% of the revenue that we get is or the raw material price or raw milk price would be about 70% to 75% is the net revenues the more and more value-added product portfolio grows the salience of raw milk producing so that is this one clear strategy that we have which also helps us expand our margin so that impact of raw milk cyclicality will be reduced but there is no way or at least we as a Heritage alone cannot make much impact in terms of reducing the cyclist that is because nature of the industry I hope together we have been able to answer your query.

Sneha Jain: Oh yes so that was very helpful building on that what are we planning like what should we ask you so as in value-added products versus

raw milk percentage and our revenue that you are looking at?

Sambasiva Rao: So last year we closed at 26.05/2% and we said that in the next three to four years time we are planning to take it to 40% and which means that a good milestone for us to have this year is about 51% we are internally targeting that kind of jump in terms of value-added products contribution improvement and this quarter we have delivered 34.9% roughly around 35% but then like president alluded to it in the Q2 and Q3 this value-added product portfolio comes down a little bit so overall this here we are expecting VAP contribution to jump significantly up from last year and on a good way towards or 40% contribution in the next three or four years.

Sneha Jain: Okay Sir on another thing what do we have of vision for strengthening our business model going on from here on any thoughts on that?

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Page 14 of 17 Sambasiva Rao: If it moves in the same direction like we are expanding ourselves in terms of backend we are expanding in the front end and we are expanding value-added product sales so we continue to grow every year-on-year with a higher mix of value-added products.

Sneha Jain: Okay and lastly Sir to ask like macroeconomic situation basically the entire thing is review entirety, what do you think would drive growth going ahead and like coming quarter at least in the near and long-term?

Sambasiva Rao: It is only urbanization as we are all in the act product segment in the urban areas, urban markets and now we are also getting into suburbs or tier 1, tier 2 cities markets so the urbanization is one factor where the milk and milk is not available in loose form for anywhere and health consciousness which is shifting people towards the packed products coming from the end where quality is taken care by the companies and 3rd is affordable income increase the income from the families particularly convenience also is one of the factors where making these products at home was possible once but now everybody is under time pressure so we ready to consume products are gaining ground so you have the population increase urbanization increased health awareness towards dairy products and inflammation for packed products for health reasons and convenience of the product availability and access to products and most of the consumers get home delivered today through various channels and we are in the predominantly home delivery model with e-commerce without e-commerce also our model is essentially home delivery model since beginning so these are all the factors which continue to help us grow in the market irrespective of the major economic factors fluctuating and this being one of the essential products and low cost source of nutrition including protein.

Sneha Jain: Sir one last thing of any person how can we improve multiple compared to our other competitors like might not play in the same, any thoughts on that?

Sambasiva Rao: Yes, value multiple sets. Right is it you are talking about value multiples?

Sneha Jain: Yes, Sir I am talking about value?

Umakanta Bakri: It is only our strength like in terms of growth in terms of quality of the brand and our strength in the balance sheet principles of governance, these are the factors which market has to perceive in the right perspective and rate us I think this question comes up in most conversations we are focused on our work will continue to grow revenues and grow revenues profitability, profitably in the long-term we are building our value-added product portfolio, we are building a portfolio of brands which consumers love.

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Page 15 of 17 Sneha Jain: That is right. Thank you so much.

Moderator: Thank you. We have the next question from the line of Anupama Bhootra from Arihant Capital. Please go ahead.

Anupama Bhootra: Thank you for taking my question so I just wanted to understand what is the

product mix

like FY2022 revenue buy milk value added and in terms of percentage and we keep the highest margin contribution?

Sambasiva Rao: FY2022?

Anupama Bhootra : FY20 23?

Sambasiva Rao: 2023 is not ready.

Sambasiva Rao: She is asking for Q1. You are asking current quarter Q1 FY20 23?

Anupama Bhootra : Yes current Q1 product mix in terms of VAP numbers?

Sambasiva Rao: 62% Milk, VAP 33%, FAT 3% and other 2%.

Anupama Bhootra : Thank you. And one more question is what is the capex that the companies planning for FY2023 and FY2024?

Sambasiva Rao: There is slight correction 60%, VAP 35% PAT 3% and others 2%.

Anupama Bhootra : Okay thank you and any capex plan if you can like elaborate also quantify FY2023 and 2024?

Sambasiva Rao: Yes generally 100 Crores - 120 Crores per annum so you can say.

Anupama Bhootra : Okay fine thank you so much.

Moderator : Thank you . We have the next question from the line of the Digant Haria from GreenEdge Wealth. Please go ahead.

Digant Har ia: Thanks again for the opportunity we have always explained that margins in liquid milk 6%, curd will be around 9% and another value added will be around 12% but I assume that 12% in value-added comes when we have scaled those value-added products so I just wanted to check having achieved and how far are we from that scaling drinkable which are our three largest value-added products after curd?

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Page 16 of 17 Sambasiva Rao: You are asking about the profitability?

CA Prabhakara Naidu: Yes this quarter being an exceptional quarter because of the raw material prices, fuel prices, energy prices, and packing material prices and not passed down fully to the consumers I have done in a staggered manner, so this quarter may not be a reference quarter for these numbers we will perhaps give you a better picture as we go into the financial year.

Sambasiva Rao: Right let us just add about 4.5% to 5% because of procurement price to sales right so we did not say that whether it is milk or valuable products that are 4% or 5% got negative because of that right.

Digant Haria : Sir my question is more let us assume that raw materials fluctuation is not there and even in Paneer if we have to earn that 12% operating margins we at least would need some scale we will not achieve 12% having that at 200 Crores revenue but we may achieve that at 200 Crores revenue so I am just asking that on that scale level have we reached that critical mass in these two or three value-added products like drinkables, Paneer and ice cream that we can actually some days he had 12% margin when there is a raw material stability?

Sambasiva Rao: We will get into this next quarter or next following quarters is not really readily available that and we also did not see that perspective as we were going through a normal price scenario I will certainly assure you we will explain next time.

Digant Haria : Thank you so much.

Moderator : Thank you . We have the next question from the line of Disha from Anvil. Please go ahead.

Disha : Sir since we are entering the flush season we expect with the lower milk prices and margins to go up from here on that is the first question and second what is the margin difference between liquid milk and value-added portfolio and third question is on our subsidiary Heritage Nutrivet, we have the ambition to achieve 500 Crores sales so if you can throw some light on that?

Sambasiva Rao: The first one yes the milk procurement prices are expected to cool off as flush begins flush typically begins towards the end of September beginning of October that is the season we have to watch out for and the second one the difference between the liquid milk margins and value-added product margins consolidate level will be almost double the milk to products margins would be double in any season and coming to Heritage Nutrivet growth ambitions so I request CEO Mr . Upendra Pandey to elaborate a bit

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Page 17 of 17 Upendra Pandey : Thank you so much . We were very roughly around 100 Crores this has last financial year and our outlook is that want to grow with 25%-30% kind of year-on -year in the next few financial years and we have our strategies in place, we have to escape the art plant and our captive business is going well so we are focusing on deeper penetration in our captive network at the same time we are also spending in our general trade business having the right program, right mark, right channel quite hopeful that we will be able to achieve.

Disha : Okay so when you mention that the flush season will start from September and October so we will have a positive margin impact from Q2 onwards or do we have to wait for Q3?

Sambasiva Rao: Something has kicked in Q2 also but the real flush and the best price scenario, the best production scenario will emerge from October.

Disha : Thank you so much and when we say that we want the 40% value-added so what overall margin guidance do we say on the overall portfolio in the coming three years?

Sambasiva Rao: It would not alter much because of that increased contribution as there is a cost of growth during that period so post stabilizing at a particular level we can look for an alteration in the overall margin structure.

Disha : Okay so earlier you mentioned that you have a 6000 turn over with 40% value added with 8% margin is that assessment right we are going on the same?

Sambasiva Rao: Yes that is the ambition.

Disha : Okay that is it from my side. Thank you Sir.

Moderator : Thank you . Ladies and gentlemen due to time constraints that was the last question I would like to hand the conference over to Dr. Sambasiva Rao for closing comments . Please go ahead.

Sambasiva Rao: Thank you very much for your valuable time and joining us for this call and also sharing your thoughts. The company is confident in creating sustainable value for its stakeholders and we thank you all for your continued interest and faith in us. Please do contact

Dickenson world ask us directly should we have any further queries I wish you all a great evening and I look forward to reconnecting with you for the next call after Q2 . Thank you.

Moderator: Thank you. Ladies and gentlemen on behalf of Heritage Foods Limited that concludes this conference call for today. Thank you for joining us. You may now disconnect your lines.

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Call: Nov 2022

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HERITAGE FOODS LIMITED

CIN : L 15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 90-22

22nd October, 2022

To

The Secretary

BSE Limited

Phiroze Jeejee bhoy Towers,

Dalal Street,

Mumbai - 400 001

Scrip Code: 519 552 To

The Manager,

Listing Department, National Stock Exchange of India Limited

Exchange Plaza, C-1, G Block, Bandra-Kurla

Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call with the Investors/Analyst

Dear Sir / Madam,

In Continuation of our letter dated October 11, 2022 the Company had organized a conference call with the Investors/Analysts on Thursday, October 20, 2022 at 16.00 PM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M. No: FCS-6317

Encl: a/a

About the Company:

Heritage Foods founded in the year 1992 is one of the fastest growing Private Sector Enterprises in India, with two business divisions viz., Dairy and

Renewable Energy under its flagship company Heritage Foods Limited and Cattle feed business through its subsidiary, Heritage Nutrivet Limited (HNL).

Presently Heritage's milk and milk products have market presence in Andhra Pradesh, Telangana, Karnataka, Kerala, Tamil Nadu, Maharashtra,

Odisha, NCR Delhi, Haryana, Uttar Pradesh and Uttarakhand. It has total renewable energy generation capacity of 10.50 MW from both Solar and

Wind for captive consumption of its dairy factories.

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HERITAGE FOODS LIMITED

Q2 FY2023 Earnings Conference Call

October 20, 2022

MANAGEMENT :

MRS. N BRAHMANI – EXECUTIVE DIRECTOR , HERITAGE FOODS LIMITED

DR. M SAMBASIVA RAO – PRESIDENT , HERITAGE FOODS LIMITED

MR. A PRABHAKAR NAIDU – CHIEF FINANCIAL OFFICER , HERITAGE FOODS LIMITED

MR. SRIDEEP N KESAVAN – CHIEF EXECUTIVE OFFICER , HERITAGE FOODS LIMITED

MR. J SAMBA MURTHY – CHIEF OPERATING OFFICER , HERITAGE FOODS LIMITED

MR. UPENDRA PANDEY – CHIEF EXECUTIVE OFFICER , HERITAGE NUTRIVET LIMITED

MR. UMAKANTA BARIK – COMPANY SECRETARY & COMPLIANCE OFFICER , HERITAGE FOODS LIMITED

INVESTOR RELATIONS REPRESENTATIVE :
MR. ANUJ SONPAL– VALOREM ADVISORS
Heritage Foods Limited
October 20, 2022

Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to the Heritage Foods Q 2 FY2023 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone telephone . Please note that this call has been recorded. I now hand the conference over to Mr. Anuj Sonpal . Thank you and over to you Sir!

Anuj Sonpal : Thank you. Good evening everyone and a very warm welcome to you all . My name is Anuj Sonpal from Valorem Advisors we represent the investor relations of Heritage Foods Limited. On behalf of the company I would like to thank you all for participating in the company's earnings call for the second quarter and first half of the financial year 2023. Before we begin let me mention a short cautioning statement. Some of the statements made in today's call maybe forward looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on

management's belief as well as assumptions made by and information currently available to management. Audience s are cautioned not to place any undue reliance on these forward looking statements and making any investment decision. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter and review. Let me introduce to the management participating with us in today 's earnings call and hand it over to them for opening remarks. We firstly have with us Mrs. N Brahmani – Executive Director, Dr. M. Sambasiva Rao - President, Mr. Srideep N Kesavan – Chief Executive Officer , Mr. A. Prabhakar Naidu – Chief Financial Officer, Mr. J. Samba Murthy – Chief Operating Officer and Mr. Upendra Pandey – CEO of Nutrivet Limited and Mr. Umakanta Bakri – Company Secretary and Compliance Officer . Now without any further delay I request Mr. Rao to start with his opening remarks. Thank you and over to you Sir!

Sambasiva Rao : Thank you Anuj. Good evening to everyone joining us today on this call . We are pleased to welcome you all to this earnings call for the second quarter and first half of the financial year 2023. The financial results and the earnings presentation have already been uploaded on the exchanges and I hope you had a chance to look at them by now.

Now let me take you through the financial performance of Q2 of current financial year.

Consistent with our performance in the last many quarters we have delivered yet another quarter of strong growth and consolidated revenue of 21.8% year -on-year to 816 Crores driven by healthy double digit volume growth and higher net sales realizations. EBITDA was Rs.40 Crores as against 65 Crores during the corresponding period in the previous year. This decline in margins was mainly due to inflationary pressures where raw material cost increased by 19% year -on-year resulting into historically high milk procurement prices, additionally freight cost, energy cost and also delayed onset of flush season further dampened earnings resulting in EBITDA margins of

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Page 3 of 18 4.8% ; however, EBITDA margins improved by 192 basis points versus Q1 of this financial year.

PAT was 19 Crores in this quarter. If you take first half year of the financial year 2023 our consolidated revenue grew by 24.2% year -on-year to 1637 Crores. EBITDA was 64 Crores as compared to Rs.118 Crores during the first half of last year. EBITDA margins stood at 3.9% while PAT is Rs.26 Crores. Company has a strong balance sheet with a debt equity ratio of 0 to 0.01x and the cash and bank balance of 78 Crores as on September 2022.

Now moving onto the operational performance for the quarter. The average milk procurement during Q 2 was 1.46 million liters per day as compared to 1.27 million liters during Q2 of last financial year. Average milk sales during Q 2 stood at 1.12 million liters per day compared to 1.03 million liters per day in the Q2 of last year . The sale of curd during the current quarter was at 326 tonnes per day compared to 280 tonnes per day during the last year same quarter registering a growth of 16.69% year -on-year. During the quarter the value added products revenue surged by 28.9% year -on-year to 2186 million. During Q2 value added products contribution to overall revenue increased to 27% vis -à-vis 25% in the Q2 of last year. To insulate the company against these market volatilities our strategy and focus has been to consistently increase the share of value added products , which now contribute to 30% of overall sales at the end of first half year from a mere 3% in 2007. The company aims to increase this share further to 40% in the coming years which will over a period of time bring stability in our margin profile. The company launched a

new product this quarter called Gluco Shakti which is an instant w h

ey-based energy drink. With

this now we open the floor for the question and answer session. Thank you.

Moderator : Thank you very much Sir! Ladies and gentlemen we will now begin the question and answer session . The first question is from the line of Resha Mehta from Green Edge Wealth . Please go ahead .

Resha Mehta : Congrat s on good set of numbers it was good to see maintaining the quarterly revenue run rate of 800 Crores sequentially and also the volume growth that we have seen. Sir my first question is on the marketing bit right if you look at Amul right so it sources almost 90% of its milk from one state and is still able to deliver around 60000 Crores of revenues so this perhaps also implies that marketing distributi on is also very important in B2C business and if I see our revenues are around almost 0% as a percentage of net sales so considering that now we have an internal marketing team can you just flash out your marketing appr oach be it in terms of ATL, BTL, the trade promotions , etc., t hat is the first question and the second is on the right s issue so it is a very small amount just 23 Crores so what really is the objective here and thirdly on this particular quarter which is some data points like what was the ave rage milk procurement price and the selling price and just some directional sense on how you are seeing the fl ush season panning out that is it from my side ?

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Page 4 of 18 Company Speaker : So the first question on marketing you are right because we are engaged in B2C bu siness and

hence marketing is a very important aspect of engaging with consumers. At this point of time we have been discussing in previous many calls our priority is to improve the product availability in the hands of the consumer s and that is what we hav e been focusing on in the last several quarters and which is what is driving the aggressive growth that we are seeing in our value added products and this means getting the product accessible to a consumer and if you are l iving in any of the major metro ci ties you would be able to find our products on most of the e -commerce channels. We are also expanding our foo tprint across modern trade, retail in addition to the traditional approach of aggressively expanding distribution through our product distributors and Heritage distribution centers and we are reaching a stage where we have sufficient scale or saturations in each of the market that we are now embarking on above the line advertising and there is no one size fits all strategy for us it depends on the ma rket, it depends on the channel , it depends on the occasion . Currently we have a couple of campaigns that are on because it is festive period we have a very highly engaging digital campaign that is going on for ghee because this is a period when ghee sales go up. We have also relaunched or restaged our product s basically the milk variants in the city of Chennai where we are having a campaign which engages with the consumers both above the line as well as below the line so we have these c ampaigns going on al l the time, but the scaling of it and the timing of it and the scale of it will depend on the level of saturation that we reach in every city. Secondly we can give you fi rst the milk procurement prices.

Company Speaker : Average procurement price for Q2 Rs. 39.17. Milk selling price for the quarter average Rs.50.87.

Company Speaker : Of course these are average of different variant s, different markets and only that of milk. The net realization of milk plus value added products all put together would be much hi gher. The question that you have raised about the flush season, usually the flush season should be starting around now in some of the procurement field s we are actually seeing the beginning of this. In certain other fie lds we expect the flush season to beg in anytime around Diwali or post that. At this poi

nt

in time we do not see many reasons to have any worry about it .

Resha Mehta : What would be the price hike that you all would have taken cumulatively in the quarter?

Company Speaker : So liquid milk prices have gone up by 14%.

Resha Mehta : I am asking about the realization, y ou would have taken some price hikes during the quarter ?

Company Speaker : Net realization inclusive of value added products have gone up by about 10.4% so we had milk prices that went up by about 14% and realization that went up by about 10.4%. It is not a very linear equatio n what we should understand is that milk contributes only about 63 %-64% of our

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Page 5 of 18 business and there are many value added products as well so the price increases have be en at different levels for different products but overall we have not been able to pass on all the increase of cost to the consumer and that probably explains the small difference in terms of the EBITDA and PBT variant for the dairy business compared to sa me period last year.

Resha Mehta : Lastly on the rights issue ?

Company Speaker : I will respond to you. Objective was stated already in the notification it is to raise funds for the business growth. We internally assessed our requirement is around 25 Crores for this season so we propose to raise that capital through the rights issue.

Resha Mehta : Just a followup on the marketing bit essentially if you could just call out that annually is there some number that you all look at that okay ATL plus BTL should be an X percentage of net sales or something of that sort ?

Company Speaker : Of course we work on a budget. The specific budget number we are targeting anywhere between 1 and 1.5% of our revenue is what we invest in marketing , but it is not like we are committed to spending this money this depends on the reality on the ground. At this point in time we believe that we are getting strong traction because of consumer demands and we are cautious of spending marketing money that does not have immediate returns. I hope I have been able to answer that.

Resha Mehta : Sure thanks. I have more questions I will come back in the queue.

Moderator : Thank you . The next question is from the line of Sameer Gupta from India Infoline . Please go ahead .

Sameer Gupta : I heard your comments on the previous participant's question. My question is that there are few headwinds here and there is a lumpy skin disease which is going on, unseasonal rains we do not know if it is over, if it is going to spill over to the next week so in this context do you expect it to be a normal season and when I say normal not just the delay but in terms of milk production also so do you have any intuition that there is going to be some impact of milk production and in that case we have seen that two to three years back when there is unseasonal rains it did affect our flush season and we had a year of lesser margins so your thoughts on that ?

Company Speaker : See unseasonal rains and weather vagaries are here to stay. I think that we are leaving in a VUCA world and going forward more and more we will see these climate change events happening so that is something that makes life very unpredictable, but we are now learning to build the business in this unpredictable world specifically in terms of what is happening at the procurement level I will ask Mr. Samba Murthy , the Chief Operating Officer to comment on that.

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Page 6 of 18 J. Samba Murthy : This milk production generally compared to last year to this quarter there is a drop in the milk production it is basically because of this cycle every four to five years we will see this cycle production increase and decrease so apart from that we could see that because of the rains also it has got affected and third point is because this month actually October no flush actually so

that

has got delayed. Next is on LSD, LSD also impacted particularly a few states in north and west but LSD disease is now under control and now we could see that there are no new cases reported and it is under control, so now we are looking at that production will increase post Diwali or next month onwards. There is going to be good production. It may not be like last year but currently there is improvement in production that we could foresee.

Sameer Gupta : Thank you Sir. Last time around when there were unseasonal rains we saw prices of cattle feeds going through the roof so is not that a worry production might not get affected but it will increase the milk procurement prices as in the farmers cost will increase and that in turn will increase the procurement prices so is there some insight on this?

Uendra Pandey : Thank you Sir. Thank you for asking this question. Feed prices are already on a high side in the last couple of months because of the lean season from raw material point of view. November onwards we see probability of decline in the price because the key harvesting season will start post Diwali so with the availability of raw material we will see definitely the pricing should go down the feed front.

Company Speaker : That would anyway help in reducing the cost of production.

Sameer Gupta : No impact of these rains that we are seeing in October in this expectation of the decline in prices in November ?

Uendra Pandey : It should not impact much Sir. Price should go down.

Sameer Gupta : Fair enough that is very helpful Sir. Second question and that is a followup to the previous participant's question again so rights issue of 23 Crores I understand you are raising it to cover the growth perspective but in the first half we have generated around 130, 135 Crores of free cash flow we hardly have any debt on the books I still do not get the rationale to do this there is enough money on the balance sheet even after considering that 25 to 30 Crores will be going towards some kind of growth, why do a rights issue is it just another way of giving a bonus your thoughts ?

Company Speaker : We have not spent much money in the last financial year if you recall during the COVID year we have spent only 36 Crores from the capex during the last financial year. This financial year already we have incurred 30 Crores from the capex and we have taken close to 125 Crores of the

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Page 7 of 18 project s for the current financial year itself under capex. So if we want to maintain the same balance sheet strength and we are supplementing from the internal accruals and results and this will help to meet the entire growth requirements while the bonus of the shares to the shareholders existing this will give additional benefit of capital also for the business to grow, so this year is going to be significantly high capex year and high growth year. You are already seeing the growth coming in and we are building ourselves for the mission 6000 Crores as we have been explaining earlier. This will help in that way.

Sameer Gupta : A followup Sir we could have easily taken 20 Crores debt even if it was just about the amount so why dilutes equity ?

Company Speaker : You are not the managing director right to take a decision whether you take debt or equity. It is call of the Board which made raise money and it is perfectly correct.

Sameer Gupta : Thanks Sir that is all from me.

Moderator : Thank you . The next question is from the line of Mayur Gathani from Ohm Portfolio . Please go ahead .

Mayur Gathani : Hi Sir. I just wanted to check on the rights issue but you seem to have answered it. I still do not understand the fact that why do we need to dilute and it was such a small fund raise there is enough cash flows that you will generate this year, next year and going forward it just was not needed that is my own view that I have t

o share . Thank you.

Company Speaker : I have already answered it is a considered decision to raise capital for growth.

Mayur Gathani : How much is the capex plan for this year and next year?

Company Speaker : It will be 100 to 125 Crores per annum for next three years.

Mayur Gathani : Okay and where is this capex being put in place ?

Company Speaker : In all the levels. We have been investing in the village level for setting up milk collection infrastructure. In each village when we set up one unit for milk collection it will cost about 1 lakh rupees and a cluster of villages the milk will come to a milk chilling facility depending on the capacity of the milk chilling facility suppose we put a tonne KL milk chilling facility in a cluster it will cost us anywhere between Rs.60 to 70 lakh and a few chilling centers will require again processing, packing capacities in the nearest packing stations and we have to invest in the products making also as we are growing rapidly in the value added product segment, back end production capacity, cold store and the logistics investment in addition to this in the front end Heritage Foods Limited

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Page 8 of 18 marketing we have to put chillers, freezers for the market requirements end-to-end from village to the consumer all along the value chain we have to make investment that is the model we have been following since inception. This is an integrated company from procurement from the farmer to delivering to the consumer. This is a trend for many years except during the COVID period where our investments have come down in one financial year that was last year.

Mayur Gathani : So these chilling centers or clusters where you invest are these new markets that you are tapping or these are the old ones and you are revamping the existing chilling centers what is it?

Company Speaker : There will be all the three . One replacement capex will be there wherever required depending on the aging and inefficiency of the machinery not only chilling even the processing stations, packing areas we continue to do every year replacement capex not only from the machinery even utilities like generators, boilers , ETPs, etc. Secondly in the existing geographies wherever there is milk available see we have to increase our milk from current 14 lakh liters, 15 lakh liters per day to 28 to 29 lakh liters per day in the next five years to achieve our growth ambition so to get this milk we have to put chilling centers in the existing milk sheds as well also new milk sheds which we are indentifying in the same states, very rarely we go beyond the states but adjoining areas of the existing states. We are procuring milk from eight states now. In these eight states there are multiple milk sheds where we are present, where we are absent also and peripheral fringe areas of these states we can still capture milk from the neighboring states. For milk sheds state is not the boundary milk availability is the boundary. We may step in to one of the border areas of the neighboring states so it includes existing milk sheds, new milk sheds in the same states, in the adjoining states of the present areas and replacement capex.

Mayur Gathani : From a top line of 2700 Crores in FY2022 are you guiding that by the next five years time you will be at 6000 Crores because of the investments that you are making?

Company Speaker : That is our mission. That is what we are pursuing.

Mayur Gathani : Okay great all the very best.

Moderator: Thank you . The next question is from the line of Dhruvesh Sanghvi from Prospero Tree . Please go ahead .

Dhruvesh Sanghvi : I wanted to understand how this collection and procurement networks work so let us say we identify a milk shed usually in your experience in the states or at the milk sheds where you are,

are there more than one or two players already collecting milk and how has been the competition like is

it always with the cooperative s or other players, other private companies and wh y I am asking and wanted to understand is over the last 30 to 40 years we have of course heard
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Page 9 of 18 cooperative movement really doing very well but if the needs of Amul or Aavin or res pective federations really are now looking at the stage three where they will try to procure from other areas where they have been not doing it how does this shape for private companies like ours or anybody else some of your thoughts would be helpful?

Comp any Speaker : See the milk in India certain cooperatives are more than 70 years old, 65 years old and 60 years old. They have been collecting milk in a manner of organizing the farmers in the villages under the Cooperative Act that t hey form cooperative uni ons at the village level, district level, state level under the Cooperative Act of the respective states and the farmers who supply m ilk to them will be members of that union and they have rights to vote and rights to elect their organization members , etc. While this was the case going on for the last six to seven decades in India during 1992 econom ic reforms the sector was opened up for the private companies. All private companies are 30 years old who are handling milk except a few who are handling some pr oducts earlier so in the three decades of privatization of this sector close to 500 companies have come and 250 to 300 companies are operating actively in the country now so which means in all the villages where milk is available in India more than one pla yer is operating. Like cooperatives are definitely there because they are six decades old and they were functioning under the co operative law and private companies have come 30 years back and these are functioning under the Companies Act and everybody has freedom and right to go anywhere to collect milk in any village so by experience if you see more than four to five players would be seen in the same village where milk is available besides cooperative union collecting milk so in certain villages where we h ave not yet entered they are the potential villages for us and why a farmer choose cooperative and why a farmer choose a particular private company depends on the price paid, services rendered, assistance given in multiple forms of inputs and extension cho ices and the relationship one builds with the farmers and we have been increasing from 20000 liters in the year one 1993 when Heritage started its operation to 15 lakh liters now operating in 11000 odd villages in eight states that is our spread and we can further spread from 11000 villages to another 3000 to 4000 villages in the same state also in the fringe areas of our neighboring states and why a farmer comes to us we have a package and practice s we pay at par with the market prices to the farmer, we ex tend all support for getting credit from the banks, getting nutritious feed from our subsidiary company delivered at home and we also have massive veterinary services for improving the cattle productivity. We have artificial insemination for improving the breed. We have healthcare for the well being of the animal and also have mobile clinics on run 24 hours for 365 days extending veterinary services. We also have programme to ensure our farmers from accidental insurance. We also have support programmes for ensuring their cattle so that they get relief in case of incident. There are massive extensive and input services we extend besides paying the price to the farmers at par with market. We also ensure 100% forward linkage for the milk. We never declare a mil k holiday for our farmers. All through the year whatever quantity they give in all the seasons we pick up the milk without denying marketing opportunity. We are
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Page 10 of 18 ensuring highly transparent and fair practices in valuing the mi

lk of the farmers by deploying

electronic weighing machines and making digital payments online on the pay day and this is one company which respects punctuality in payments which was the problem dairy farmers were facing for many decades in India. We ensured on pay day payment happens t hrough the bank accounts of the farmers for our suppliers. These are the reasons for farmers to stay with us and new farmers to join us.

Dhruvesh Sanghvi : One more point on this context considering a lot of companies who are doing this but we still saw the private companies having a very low growth versus the lead of Amul or Mother Dairy who have been growing at 15% to 20% in procurement so why would that happen if all this is good with all the private companies in general?

Company Speaker : We could not hea r you. Are you saying that despite all of these private companies are growing slower than cooperatives?

Dhruvesh Sanghvi : Yes that is the broad line question yes?

Company Speaker : If you take the inputs in 1993 100% market share was with cooperatives.

Dhruvesh Sanghvi : I am sorry to interrupt, but I am more talking from a four to five year angle I understand from a 1990 angle of course there is great leap that has been happening but I am more talking from an angle of three to five years if I see Amul has doubled in procurement as well as in sales, I think Mother Dairy has done a very similar job, in that context I was asking over the last three to five years?

Company Speaker : That number is not correct. Actually in fact the share of cooperatives to private 60:40 was five years ago now it is 50:50. Anyways now here the main point is that which means that privates have grown faster than cooperatives but anyways we are not answering for all private industry or private companies we are talking about Heritage and I think we will stick to that and we have demonstrated that we are growing faster than many of the people around us including cooperatives.

Dhruvesh Sanghvi : Right Sir thanks a lot.

Moderator : Thank you. We move to the next question from the line of Rohit Suresh from Samatva Investments. Please go ahead.

Rohit Suresh: Good evening Sir. Thank you for the opportunity. Sir my first question was on the lumpy skin disease there was an article recently stating that around 30 districts in Telangana were impacted by the disease so I just wanted to know has there been any impact on our procurement in the last
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Page 11 of 18 one to one -and-a-half months and just to add on that I just wanted to know the efficacy of the vaccines that have been provided and how good is the vaccine so your thoughts on that?

J. Samba Murthy: This is the news but on the ground those many cases are not reported and there is no impact on our procurement or anybody's procurement and of course vaccination is going on by the state government and everybody following the vaccination but there is no much impact of LSD.

Whatever article has come two, three days back so that much impact is not there.

Rohit Suresh: Got it Sir and my second question would be recently in Mumbai I have seen some of your products in the modern retail outlets I would like to know what has been the feedback and what steps are we taking in terms of marketing and brand push in the metro cities for your products and any new product that you are planning to introduce because right now I have only seen milkshakes any other products through the modern retail that you plan to introduce in Mumbai and other metro cities?

Company Speaker : Thank you very much that you have seen our products. We hope that you see more and more and you buy more and more. Whenever we have launched we have very strong positive response. In fact I should say that the primary driving force of market expansion for Heritage has always been the superior product quality compared to any other brand that is

there in the market so this is

something that we can say with a lot of confidence. Blindly I can say this that you pick any dairy product Heritage would naturally be the best in any other market that we operate in, but apart from that and we do not just stay with this belief but we also constantly continually test it. We have a very strong market research team which constantly engages with consumers in terms of like taking feedback. On any given month we are doing at least two or three consumer product tests and blind testing. All these things are continuous process that we keep doing and we keep doing continuous improvement of our products as well so this is a continuous process which keeps us ahead of others in terms of the quality of the product. Secondly in terms of the pipeline we have a very well established process called as Heritage Innovation Framework we call it HIF for short internally and it is a process that guides our innovation pipeline. At any point in time we have more than close to two dozen innovations that we have in pipeline in various stages from ideation to product development to testing validation or launch phase so we have a good strong pipeline and you will see many products coming and hitting the market month-after-month quarter-on-quarter.

Rohit Suresh: Got it. Sir just one last question so the milk procurement that we make I just wanted to know how much and what percentage would be buffalo milk?

Company Speaker : It keeps changing. You should say that it is roughly 25% to 30% of our procured milk would be buffalo milk, but it changes. It varies with season because as you would know that the cow flush
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Page 12 of 18 season does not correspond to the buffalo flush season so there are times when buffalo milk goes up and cow milk comes down, cow milk goes up and buffalo milk comes down but on an average you can say in a year it will be about 75:25 will be the ratio.

Rohit Suresh: Got it. Sir thank you so much and wishing you all the very best.

Moderator : Thank you. The next question is from the line of Aditya Khairnar. Please go ahead.

Aditya Khairnar: Sir as the raw material prices continuously increasing and it increases to 19% against the previous

year so it results into high milk procurement prices as well as there is lumpy skin disease problem as well as the problem of second wave of COVID -19 and in October and November the milk availability is going to be increased due to the festive season so what should be strategy and what should be your take on this kind of volatile market situation conditions?

Company Speaker : The input prices there is inflation rate run that has been continuing post COVID and it has been happening for some time and not just for milk for other inputs such as fuel and logistic costs as well. Our strategy has been very, very clear and I think we are sticking to that one in the markets where we are. We are going deeper so that we are able to get more share of the basket of the consumer right which means that if we have end number of consumers selling to the same consumer more number of products is always cheaper for us I hope you understand the economics of that right. We are a company with 18 product categories right from milk we go in to a culture products of curd, Lassi, buttermilk and all of that up to ice creams. The idea is to increase the share of wallet or a share of basket of our consumer and that is that we have been doing very successfully in the last many quarters, which is what is driving our growth. Secondly we are consciously trying to shift our revenue towards value added products and from roughly around 25.5% or 26% now we have grown to about 30.5% in the first half that is a swing of about 4.5% value added products swing we have been able to achieve in this year so far and that is the trend that we are continuing and if you recall our many pas

t many quarters we have been growing value added products upwards of 25% to 26% this quarter again we have grown at 28% that helps us in getting us in value added products naturally have doubled the gross margins compared to milk so that helps us weather the storm that is the second thing. The third thing is that we continuously look for efficiencies. For example with volumes growth despite fuel and logistics cost going up our cost on a revenue basis has come down. The only reason is that we have been able to load our trucks much more better, the loadability and the efficiencies have gone up and it continues to go up that is just one aspect. In every segment we are looking at efficiency gains and we are getting them as we are gaining the volumes so we are looking at factors that we can control to tie over whatever comes.

Aditya Khairnar: Yes Sir. Thank you Sir. Wish you all the best for the future.

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Page 13 of 18 Moderator : Thank you. The next question is from the line of Disha Sheth from Anvil. Please go ahead.

Disha Sheth: Sir I wanted to ask what is the average selling price of curd per liter?

Company Speaker : Rs.56 per kg.

Disha Sheth: What was that last year?

Company Speaker : Rs.52.

Disha Sheth: As the flush season is coming post Diwali and all started do you see the milk prices coming down or the demand is very high we do not expect lowering of procurement prices what is your view on that please?

Company Speaker : We have been in business for the last 30 years. Every year post Diwali prices come down because till Diwali there is some amount of milk which farmers use for their own internal consumption purposes. There is village level consumption which goes up. Post Diwali that entire milk comes and hits the market and it is a simple equation of supply and demand and prices come down and we are hopeful that it will happen again and right at this point in time whatever we are seeing in the villages we do not see anything to the contrary. Now the question is how much will it come down. Will it come down by Rs.2 or Rs.4 now that is something that we will have to wait and watch.

Disha Sheth: Sir over long term what is our margin guidance like today H1 with improvement in value added we have reached around 4% average H1 EBITDA margin 4% to 5% what is our short to medium term what do we guide for?

Company Speaker : We have been speaking about stay around an 8% EBITDA margin and this we have spoken in the previous quarters also. Currently we are seeing an unprecedented situation where milk prices have gone up by 14% and it was not just one time it was sequentially month -on-month it kept on going up and I spoke about 14% price increase and 10% market realization improvement so that is a gap of about 4% but we have had internal efficiencies improvement across but nevertheless all of this has resulted in our EBITDA going down by about 3% so that is what you are seeing in our quarterly results but we are hopeful and confident that with some more price hardening at the market size and a little bit of correction on the procurement side we can come back to what we have been delivering.

Disha Sheth: Sir how much does the curd contribute to our total value added sales?

Company Speaker : Was the question how much of curd contributed within value added product ?

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Page 14 of 18 Disha Sheth: Yes within?

Company Speaker : Roughly around 75% is the contribution of curd to value added products.

Disha Sheth: You plan to keep it same going forward?

Company Speaker : We are growing everything but as we would have recalled in presidents comments in the opening statement curd grew at 16% and value added products grew at 28% so it is our effort to keep all our value added products equally profitable. In fact ice creams, drinkables, curd, and sweets they are all on similar

profitability so it does not matter, which one grows fast. We are trying to grow all our value added products at the same pace.

Disha Sheth: Thank you so much Sir.

Moderator : Thank you. We have the next question from the line of Rohan Kamat from P interest Capital. Please go ahead.

Rohan Kamat: Sir just one question was that right now our expansion will be focusing only on the Southern market right our existing market will be penetrating much deeper we would not be getting into the North and Western market?

Company Speaker : We will be operating within the same states. We are now having sales to spread to over 11 states in India. We will be operating the same 11 states going deeper into other towns and adjoining suburbs. We are not planning to enter any new state.

Rohan Kamat: I want to know about lumpy skin I have one question regarding the upcoming flush season which has been talked about by you and your competitors also what is your feel in the market with this going around the lumpy skin disease which is affecting a lot of cattle and drop in yield around that time so will that have an impact on the upcoming flush season do you think that would be the part of because of drop which we will see in the yields?

Company Speaker : Though voice is not so clear, but I will try to attempt whatever I understood. Lumpy skin disease fortunately has not spread into the states where we are operating significantly. It is a sporadic incidence. This disease is more prevalent in West and Northwest of the country. There also as earlier clarified by my colleague the disease is under control now. The governments have started vaccination and the impact is getting reduced so we do not see significant impact going forward on the production and availability of the milk as the LSD seemed to be subsiding.

Moderator : Thank you. The next question is from the line of Amit Doshi from Care PMS . Please go ahead.

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Page 15 of 18 Amit Doshi: Thank you. Sir you mentioned about that Rs.100 Crores to Rs.125 Crores of capex this year and in fact for every probably next two to three years so with reference to this one particular year of Rs.125 Crores in terms of volume what kind of growth can we see and if you can give rough breakup between say value added products and other that would be helpful?

Company Speaker : Yes as you know the investments we make this year in the infrastructure do not give growth during the current year. Most of the projects will be completed towards the end of the year and their aim that providing backend processing support for the next financial year. In any year whatever years we do our investments begin and some projects will be over in the mid year, some projects will go to the end of the year, etc., and it is a continuous activity throughout the year so this year growth we are trying to maintain above 20% in terms of revenues. In terms of volumes it varies for different products in different rates like for example one product may be growing at 35%, one may be growing at 50% , one may be growing at 10% there are variable sizes and variable markets but this is a trend of capex proposed to maintain the momentum in terms of growth otherwise we will not be able to raise this rate of growth or achieve our mission in the years to come that is the context I was saying.

Amit Doshi: Okay but primarily towards the value added product?

Company Speaker : When I want to make value added product I have to invest for milk in the village for collection centre, milk for the chilling centre, and milk for the processing station so the value added product is one part of processing of the milk so investment continues from end-to-end and the decision of selling milk as milk and selling milk as product is taken in the final end of the production cycle so production requires from milk also but there will be specialized investments for a particular

product

after the milk processing and pasteurization is completed so it will continue to be on both milk and value added products.

Amit Doshi: This 28% growth in value added products that has come it is again in value terms so what would that be roughly in volume terms a rough estimation?

Company Speaker : As we just said our lead product is curd which is giving 16%.

Amit Doshi: So curd is 16% growth is separate the value added is 28% is what you have said right?

Company Speaker : Yes.

Amit Doshi: What is the price contribution?

Company Speaker : Overall value added products in terms of volumes grew at 19% for the quarter. Curd grew at 16% so some of the other products grew much faster and if you can imagine you can do the arithmetic
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Page 16 of 18 75% contribution is from curd so curd contribution is dipping within the value added products because it is growing slower than the rest of the value added products categories but curd is still growing at 16% compared to overall growth of 11%.

Amit Doshi: Sir you mentioned about the milk procurement prices of around 14% , in the presentation there is a mention of increasing raw material cost of 19% so what is that extra 5% on?

Company Speaker : This includes the weighted average of liquid milk as well as SMP skimmed milk powder that we use for our manufacturing.

Amit Doshi: Okay. Thank you and wish you all the very best.

Moderator : Thank you. The next question is from the line of Nitin Awasthi from Incred Equity. Please go ahead.

Nitin Awasthi : Thank you for the opportunity. I have one question do you think that the value of the company today reflected today is the fair value or do you think that the company is undervalued on the brochures given the fact that it has such brands that it has the distribution?

Company Speaker : That is anyway perceptual issue. I think we should leave it to market.

Nitin Awasthi : No why I asked that question is if you believe that it is highly undervalued or it is not fairly valued, why would you tend to dilute it even further at this rate?

Company Speaker : We try to stay away from that subject as the management side.

Nitin Awasthi : Okay Sir so the next question was are the cooperatives increasing the price of milk procurement to somehow subsidize or pass on some benefit to the farmers because of the loss that they have add due to LSD?

Company Speaker : We do not have LSD impact in our operational areas as I earlier said.

Nitin Awasthi : The cooperatives in your area are not increasing the prices to subsidize for the effect you are saying?

Company Speaker : Milk procurement prices is quite dynamic and whatever prices that we have seen increase in the first half has happened without lumpy skin disease in the areas that we operate so I do not think that there is a direct correlation between that. In some areas like Rajasthan, Gujarat and all there has been slightly more impact of lumpy skin disease but those are not our primary procurement areas so you cannot put a one-to-one relation between the two. It is the procurement prices have

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Page 17 of 18 gone up because of general inflationary effects because our farm prices have gone up and I think we are seeing this not just in dairy it is happening in other agri commodities as well.

Nitin Awasthi : Sir thank you for answering my questions.

Moderator : Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Good evening Sir. Just two quick questions. Any word you can say how the Gujarat market the recent entry has fared well or how it is having the issues or may be challenges and second I did not find any word on Novandie in the presentation I do not know I joined a little late so may be if you can help me with the update?

Company Speaker :

It was mentioned in the presentation but we can request Brahmani respond to that .

Brahmani Nara: Sure this is Brahmani here, Executive Director. We are seeing some very good traction in Novandie . I think the biggest best news is that the products have been very positively accepted by the consumers in terms of quality as well as taste. The products are being manufactured in our own processing facility close to Mumbai and we have also been able to successfully launch the products of curd as well as drinkable yogurt as well as natural yogurt in not just Mumbai but Hyderabad, Bengaluru, Goa, parts of Gujarat since the beginning and it has seen very good traction across channels be it modern trade , ecommerce, general trade, quick commerce, etc., and I am very happy to be saying that as of last quarter we are also listed with the most relevant national chains in the market where we are operating. We intend to see about 50% to 60% growth quarter-on-quarter and we are already seeing that traction this month and we are again going deeper into these markets and grow and we are seeing that going forward as well a lot of the costs especially overhead costs which is fixed costs, etc., are getting absorbed because of growth in volumes.

Shirish Pardeshi: My second question was how the Gujarat market where we have made the recent entry for the liquid milk market?

Company Speaker : Gujarat we have not entered I do not know where you got this.

Shirish Pardeshi: Because we were planning to get soon so has already entered or we are planning to see?

Company Speaker : No we have not gone to Gujarat. Just to clarify we are in 11 states at this point of time which primarily is Maharashtra that is the closest probably market to Gujarat but we have no plans of Gujarat. We are in Delhi and Haryana in the North, AP, Telangana, Karnataka, Tamil Nadu and all.

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Page 18 of 18 Shirish Pardeshi: Thank you.

Moderator : Thank you. Ladies and gentlemen this was the last question for today. I now hand the conference over to Mr. Anuj Sonpal for his closing comments. Over to you Sir !

Anuj Sonpal: Thank you everyone for joining us today for this earnings call of Heritage Foods Limited for the Q2 FY2023 earnings. In case you have any further questions, clarifications, suggestions or feedback, please feel free to contact either Mr. Umakanta Bakshi, Company Secretary and Compliance Officer of Heritage Foods or us at Valorem Advisors. Wish you all a Happy Diwali in advance. Thank you everyone.

Moderator : Thank you members of the management. Ladies and gentlemen on behalf of Heritage Foods Limited that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

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Call: Jan 2023

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 1 8-23

25th January, 2023

To

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

Scrip Code: 519552 To

The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, C-1, G Block, Bandra-Kurla

Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call with the Investors/Analyst

Dear Sir / Madam,

In Continuation of our letter dated January 13, 2023 the Company had organized a conference call with the Investors/Analysts on Monday, January 23, 2023 at 16.00 PM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in.

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M. No: FCS- 6317

Encl: a/a

About the Company:

Heritage Foods founded in the year 1992 is one of the fastest growing Private Sector Enterprises in India, with two business divisions viz., Dairy and

Renewable Energy under its flagship company Heritage Foods Limited and Cattle feed business through its subsidiary, Heritage Nutrivet Limited (HNL).

Presently Heritage's milk and milk products have market presence in Andhra Pradesh, Telangana, Karnataka, Kerala, Tamil Nadu, Maharashtra, Odisha,

NCR Delhi, Haryana, Uttar Pradesh and Uttarakhand. It has total renewable energy generation capacity of 10.50 MW from both Solar and Wind for

captive consumption of its dairy factories.

HERITAGE FOODS LIMITED

Q3 FY2023 Earnings Conference Call

January 23, 2023

MANAGEMENT :

MRS. N BRAHMANI – EXECUTIVE DIRECTOR – HERITAGE FOODS LIMITED

DR. M SAMBASIVA RAO – PRESIDENT , HERITAGE FOODS LIMITED

MR. A PRABHAKAR NAIDU – CHIEF FINANCIAL OFFICER , HERITAGE FOODS LIMITED

MR. SRIDEEP N KESAVAN – CHIEF EXECUTIVE OFFICER , HERITAGE FOODS LIMITED

MR. J SAMBA MURTHY – CHIEF OPERATING OFFICER , HERITAGE FOODS LIMITED

MR. UPENDRA PANDEY – CHIEF EXECUTIVE OFFICER , HERITAGE NUTRIVET LIMITED

MR. UMAKANTA BARIK – COMPANY SECRETARY & COMPLIANCE OFFICER ,

HERITAGE FOODS LIMITED

MODERATOR :

MR. ANUJ SONPAL – VALOREM ADVISORS

Heritage Foods Limited

January 23, 2023

Page 1 of 17 Moderator: Ladies and gentlemen, good day, and welcome to the Heritage Foods Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Anuj Sonpal. Thank you, and over to you, sir.

Anuj Sonpal: Thank you. Good evening, everyone, and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Heritage Foods Limited. On behalf of the company, I'd like to thank you all for participating in the company's earnings call for the third quarter and 9 months ended financial year 2023. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated

. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mrs. N.

Brahmani, Executive Director, Dr. M. Sambasiva Rao, President, Mr. S.N. Kesavan, Chief Executive Officer, Mr. A. Prabhakara Naidu, Chief Financial Officer, Mr. J. Samba Murthy, Chief Operating Officer, Mr. Upendra Pandey, CEO of Heritage Nutrivet, and Mr. Umakanta Barik, Company Secretary and Compliance Officer.

Without any further delay, I request Mr. Rao to now start with his opening remarks.

Thank you, and over to you, sir.

M. Sambasiva Rao: Good evening to everyone joining us today on this call. We are pleased to welcome you all to this earnings call for the third quarter and 9 months ended for the current financial year '23. Financial results and earnings presentations have been uploaded on the exchanges and I do hope you must have got a chance to look at them.

Now let me take you through the financial performance of the quarter under review.

Consolidated revenue for quarter 3 grew by 17.8% year-on-year to INR 786 crores

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Page 2 of 17 despite inflationary pressures in our important markets. EBITDA during quarter 3 stood at INR 33 crores as compared to INR 41 crores during the previous year same quarter.

The EBITDA margin stood at 4.15% in quarter 3 for current year. The decline in EBITDA was mainly on account of sustained increase of raw material costs, which were higher than the increases in the sale prices of products undertaken by us. During the current quarter, net profit stood at INR 14 crores.

Now I take up the 9 months performance. Consolidated revenue grew by 22% year-on-year at INR 2,423 crores. EBITDA is INR 96 crores and EBITDA margin stood at 3.97%. Net profit for the period was INR 40 crores.

Now moving on to the operational performance for the quarter. The average milk procurement during the quarter under review was 1.43 million liters per day as compared to 1.19 million liters during quarter 3 of last year. With regards to the sales of our products, we have had a healthy year-on-year growth across product categories. Average milk sales during the quarter 3 stood at 1.07 million liters per day compared to 1.04 million liters per day in the same period of the previous year.

The sale of curd during quarter 3 was at 294 metric tons per day compared to 271 tons per day. During this quarter, the value-added products revenue surged by approximately 21% year-on-year to INR 199 crores, and its contribution to the overall revenue increased

25.55%, while for 9 months ended, the contribution of value-added products was around 29%. We continued on our path to add innovative and unique value-added products. During the quarter, the company launched new products like Mawa Kulfi ice cream in bars, Matka Kulfi ice cream in matkas, and Chocolate Doodhpada.

With this, we now open the floor for question-and-answer session. Thank you.

Moderator: The first question is from the line of Resha Mehta from GreenEdge Wealth Services.

Resha Mehta: So the first question is that if you could just comment on the milk price inflation that we are seeing right now. So has that moderated in Q4? And directionally, if you could just give some sense on the procurement prices, considering that the flush season has been weak. That's the first one.

Second, despite seeing healthy topline growth, we are not seeing the benefits of operating leverage

kicking in. And here are two sub-questions. So first is on the employee cost. So historically, it's been in the sub-6% range, but now it's moved to that 7% of net sales range. So I understand that on the people front, we've added a lot of people across Heritage Foods Limited

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Page 3 of 17 different functions. But where do we see this employee cost number settling? And the other sub-question is that are there any one-offs in the operating cost for Q3?

And thirdly, on the demand front, so because of the price hikes that we have been taking, are we seeing any sluggishness in the demand in the markets that we are operating? And the context for this is that if I look at the curd volumes, sequentially, curd volumes have dropped 10%, which is much sharper drop than the previous years.

And lastly, on the distribution. So we had outlined an aggressive plan to increase the number of Heritage distribution centers to around 1,000 in two or three years. But I see that since the last 9 months, the number has been constant at around 122. So has there been any change in the target? Or are we reevaluating the expansion plan? So yes, these are the questions.

Samba Murthy: Regarding this, procurement prices have gone up by 14% compared to the previous year same quarter. And the sales prices also have gone up by 17.5%, the same compared to the previous year quarter. And even compared to last year also, there is an increase of 2.35% in the sale price increase. And regarding this curd volumes, because of the seasonality, generally, Q3, the volumes will come down compared to Q1 and Q2. So that is that, whereas growth is there actually. In Q3, almost 17% growth is there compared to the last year same quarter.

Srideep Kesavan: Yes. Thank you, Murthy. This is Srideep. Resha, so if I could just add a few points to what Mr. Samba Murthy said. First is procurement prices, like he mentioned, sequentially, we have seen increases. And even at this point in time, we feel that the situation has not stabilized and we might continue to see some more inflationary trends going into the next few months. So that's something that we are preparing ourselves for. And as we speak right now also, we are seeing the trend continue.

Secondly, yes, you're right that the topline growth is something that we have delivered consistently and the bottom line is something that has been under strain for some time. And primarily, for us, this has been only due to raw milk price increases and not because of the other cost pressures. And I'd just like to -- you mentioned, for example, the employee cost increase. The employee cost increase for us is well within control. For example, in this particular financial year, we are within the financial budgets that we had created at the beginning of the year.

As far as direct employees are concerned, we are still a -- direct as well as indirect employees are concerned, we are still below 6% of revenue as far as the employee cost is concerned. So we do not see -- while there are definitely opportunities for improving the Heritage Foods Limited

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Page 4 of 17 productivity of people, it's something that we are working on constantly, and with revenues growing, that will naturally happen as well. But at this point in time, we are not alarmed or we do not have anything to worry about as far as the employee cost is concerned.

And same goes with other operating costs as well. So you mentioned about other operating costs in our business. We have actually held our transport cost, which is the second biggest cost after employee cost. It is almost stagnant despite increases in the fuel prices and all of that because we have been able to improve the transportation or logistics productivity across our operations. In fact, in quarter 3, we have been able to deliver on

many other operational cost improvement parameters, which we can discuss

later. And

those have also contributed to sustaining our profitability despite a significant increase of raw milk prices.

Curd contribution is something that the COO already addressed. I'm very happy to say that actually, even in this quarter, our curd revenues have grown at 18%. So curd has actually shown robust growth for us. In fact, the level at which we are operating curd at this point in time is giving us a lot of hope that we are entering the new summer season on a very strong footing.

The last question that you had raised is regarding distribution. We have a multi-model, multi-pronged distribution approach. You may recall that we had discussed that in the beginning. So we are not dependent on one channel alone for distribution. One of the strategic initiatives that we have taken up this year was the Heritage distribution center, which you're right, at this point in time, it stands at 122 distribution centers. In this running quarter, we have made some structural changes, in the sense we had closed on some of those underperforming distribution centers and opened 20-odd new centers. So there has been a churn, which is why that number looks stagnant. The strategy remains one of the top priorities for us. We're not changing from that. The numbers might not show that, but we are progressing well on that initiative as well.

Resha Mehta: So just two follow-ups here. So see, my question was more on that now that we are seeing a healthy sales growth, we should see some improvement on the operating margin side. See, because if I look at your Q3 margins, your gross margins, in fact, have improved by 60 bps sequentially, while EBITDA margins have declined by almost 70 bps sequentially. So why aren't we seeing that operating leverage kicking in, if the topline growth is healthy?

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Page 5 of 17 Srideep Kesavan: There are a couple of reasons to this. The first is the market mix that we have. And we are pretty diversified as far as our market mix is concerned, and that is one aspect that we should remember at this point in time. So while some of our marginal non-core markets are seeing significant growth, so our growth, for example, if I could just break down our growth of 20%, 23% year-to-date, the marginal markets or non-core markets are growing anywhere between 50% to 100% rates. Now those markets will take some more time before the level of operational efficiencies or operational leverage that you spoke about, for the operational leverage to kick in.

So while our core markets have actually suffered due to increase of raw material prices, so it's purely a function of mix, which is actually causing or making it seem like the revenue growth is not or the operational leverage is not going in line with the revenue growth.

Resha Mehta: But I would imagine your core markets would be contributing a lion's share of your revenue. So it would be to the tune of 70%, 80%, 80%-plus kind of a number, if I'm not wrong?

Srideep Kesavan: That is right. So core markets contribute a significant contribution. At this point in time, it's around 70%. You're right about that. But the core markets are also dependent on milk that comes from outside. For example, Hyderabad has dependency on other markets, other milk-producing regions for its milk. And it's purely a function of how we are structured. And Hyderabad is our strongest, or Telangana is our strongest market, AP is also our strong market. And these are markets where we have had significant inflationary impact as far as the raw milk is concerned. And those marginal or fringe markets, where we have significantly improved, does not have sufficient contribution to move the needle when the core markets get impacted with raw material price increase.

So it's purely a function of the present mix that we have at this point in time. But what I should encourage you to look at, Res

ha, is that the fundamental on the business is

actually improving quarter-on-quarter. So if I can just talk about, for example, the revenue growth itself, this is almost the sixth quarter that we are growing in teens or high teens or 20s, which means that we are consistently delivering on revenue growth quarter-on-quarter, year-on-year.

Secondly, we are improving our value-added product contribution even in the worst of times. In this quarter, we have grown our value-added product contributions unlike most of the competition. So these are all encouraging things that help us believe that we are just about to turn a corner as far as the margin profile and potential is concerned.

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Page 6 of 17 Moderator: Next question is from the line of Bhargav Buddhadev from Kotak Mutual Funds.

Bhargav Buddhadev: My first question is on advertising costs. Is there any increase in the advertising spend as a percentage of revenue? Because other expenditure, the number has gone up almost 25% Y-o-Y?

Srideep Kesavan: The advertising cost as a line item has not increased. The cost increase is marginal for this quarter, it's 0.6% compared to previous quarter -- previously, the same quarter, it's about 0.5%. So it's very marginal increase.

Bhargav Buddhadev: So is there any emphasis on boosting this number up? Because we are trying to pursue stronger growth on the value-added side.

Srideep Kesavan: So see, we have been able to deliver significant growth in value-added products and not just one quarter, but sequentially quarter-on-quarter for the last almost two years, we've been growing value-added products every quarter. So we have been able to do this without significant investment in marketing, advertising spends so far. We are coming to a stage where a certain number of our markets are having critical volume and scale of distribution as well as volumes that we are contemplating increasing our advertising spends in the coming season.

But that said, we will be doing that judiciously and cautiously, keeping our margin profile and margin potential, margin requirement in mind. So our strategy at this point in time is to continue to grow distribution, which still will be the biggest driver as far as value-added product contribution is concerned. And wherever required, wherever the distribution has reached a particular critical mass or critical number, we will be making strategic investments in advertising to increase the demand. So far, we are seeing robust demand as far as the consumers are concerned, and we are meeting that demand by delivering the products to the consumer.

Bhargav Buddhadev: And in terms of milk inflation pass-through, how much price hike is yet to be done to fully pass on the inflation in milk procurement prices?

Samba Murthy: So this 14%, we've passed on to the market at about 11.5%. So at about, that is a 2%, 2.5% net.

Bhargav Buddhadev: And assuming a scenario where milk procurement prices soften maybe in the next three to six months, is there a case where dairy companies may also cut prices to pass on that softness? Or that will not happen given that the profitability has been significantly hit in the last 15, 18 months?

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Page 7 of 17 Srideep Kesavan: Not because of the historic profitability or the current financial situation, but we haven't seen prices coming down. I don't think that -- at least, if you look at -- if you take history as a lesson, it's a one-way street. Prices just go up.

Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Sir, this year we have not yet seen any meaningful flush season. So how do you see the milk prices remaining?

Moderator: Sir, there is some disturbance. May I request you to use the handset, please?

Aniruddha Joshi: I am on handset only. Sir, basically

we have not yet seen the proper flush season. So how do you see the input prices? And also, how do you see the cattle feed prices moving up and their impact on the milk prices? Secondly, what was the sale of SMP in this quarter -- or rather SMP sales in this quarter versus last year same quarter? And the third question is the growth in B2B sales in this year, because probably it seems that with the opening of the economy, there is a higher sales in B2B market that is institutions, or hotel, restaurant, catering, HoReCa, as well as out-of-home consumption. So if you can indicate the growth in B2B sales?

Samba Murthy: Yes. Just regarding this procurement prices, procurement prices already gone up by 14%. Going forward, generally, when the season sets in, then procurement prices also will go up.

Moderator: Sir, sorry to interrupt. May I request you to please come a little more closer to the mic?

Samba Murthy: So regarding this procurement prices, so already the procurement prices have gone up or increased by 14%. And now we are entering into the season, that is summer season. So once the summer season sets in, prices also will go up. So that is the indication about the procurement prices.

Regarding the second point on the demand of HoReCa, our HoReCa contribution is negligible actually. So we won't focus on the HoReCa segment. So that is where there is not much impact on the HoReCa sales. So third is on?

Upendra Pandey: Cattle feed.

Samba Murthy: Cattle feed, yes. Probably, yes...

Nara Brahmani: As CEO of Nutrivet division, Mr. Upendra can take the question.

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Page 8 of 17 Upendra Pandey: So thank you, Mr. Joshi for asking this question. Regarding the cattle feed price, for next one month or so, we expect the same price will continue. After that, maybe there will be a 4 to 5% drop in the price of cattle feed.

Aniruddha Joshi: And last question on sale of SMP during this quarter versus last year same quarter?

Srideep Kesavan: So the question is about SMP. So Mr. Aniruddha Joshi, if I -- would you like to answer?

Samba Murthy: Generally, we will not sell SMP, only the consumer pack sale, which is very marginal actually. And it is not -- yes, we generally are not into the bulk sales of SMP. So

generally, whatever we produce, generally that will be for our internal consumption only.

And rather we will be short of SMP, then we'll be just buying and consuming it internally.

Srideep Kesavan: So in principle, there is something that I'd like to add. This is Srideep here. On the question of B2B sale, SMP sale, etcetera. See, we are highly focused on direct consumer

sales. And all our business is built on selling to consumer and building our brand,

Heritage. We believe, and this has been proven time and again, that B2B business is a

business which is a commoditized business. Commoditized business has its ups and

downs and has its risks. It's not something that we engage in much. In terms of, for

example, there's a commodity, so there could be situations where commodity prices are

good and people might make money, but it could go south as well. Our business is steady.

We believe in selling every single day to the consumer. Consumers buy our brands in

smaller packs, and that is what gives us the long-term earning potential.

Moderator: The next question is from the line of Ankur Kumar from Alpha Capital.

Ankur Kumar: I have two questions. One is on this raw material inflation. Is it a global phenomenon? Or is it India-specific? Because I was looking at SMP prices globally, they seem to be falling down.

Srideep Kesavan: Yes, you're right. Global SMP prices have come down in the last three to six months' time. And primarily, it is driven by sluggish demand in China. But unfortunately, India has a tariff barrier as far as importing of SMP is concerned, because India, as you know, is a self-suff

icient country as far as milk and milk produced products are concerned. And

because of that tariff barrier, India is very well insulated from the global market. So

global markets for SMP prices do not impact much unless situation becomes that dire or

drastic. The Indian situation is quite unique to India.

Ankur Kumar: Sure, sir. And sir, second question is on margins. So do you think current margins are the bottom that we have hit? Or do you think current -- as in this tough situation will continue

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Page 9 of 17 for a couple of more quarters? Because as you are saying, RM prices will continue to go up. So can we take on enough price hike to improve our margins? Or how do you think the margin will move in the upcoming quarters?

Nara Brahmani: Yes. This is Brahmani here. We do see that we are entering the season not just for generally increased procurement prices, but also significant increase in sale of our value-added products. The highest contribution on sale of our value-added products starts off in Q4 and continues into Q1 of the financial year. So typically, as we've said earlier, and as you probably know, the EBITDA margins of these products are 2x that of regular liquid milk.

And we've been showing a consistent increase in not just the contribution, but also in terms of growth of value-added products and product sales. As my colleague Srideep had mentioned, we've seen, in the low season of Q3, an 18%-plus growth in terms of revenues. So having said that, what we feel is margins should strengthen going forward on the back of growth of value-added dairy products in the coming months and quarters to come.

Ankur Kumar: And ma'am, our long-term guidance is supposed to be 8% to 10% of EBITDA margin. So how soon do you think we can reach on those numbers?

Nara Brahmani: So I think today, about 75%, 80% of our realization goes to paying the farmer for the raw material. However, having said that, like we said, we've seen tremendous growth in value-added dairy products. We are also investing into growing those products going forward. We are targeting a contribution of packed products towards our revenues of

close to 45% to 50% in the next couple of years, which will require some investments at the same time. So going forward, the season, when it comes to raw material volume increases, at the right times of flush, etcetera, sort of stabilizes going forward, we should be expecting these margins in the next couple of quarters to come. But this is heavily dependent on how the prices of raw material behave. But internally, we are taking a lot of actions to ensure that we optimize our operations. It's a continuous process. And I would request Srideep to allude upon that.

Srideep Kesavan: Sure. So one thing that we spoke about earlier is the gap of about 2.5% between the increase in raw material prices and the market net realization improvement. So if we can capture that gap, then our EBITDA profile improves and gets closer to the 8-percentage mark that you spoke about. But then at the same time, we are also aware that the raw milk prices may not have peaked yet, and it might go up further. So there might be at least few more months or quarters of catching up until such time as the animal population or the milch animal population increases and the milk availability improves to a certain level

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Page 10 of 17 that it comes down. Usually, it takes about 12 to 18 months for such structural correction to happen.

So we might still have a few months ahead of us until the stability happens, because of which, to expand our margin, we have taken several initiatives at our end. One is to improve or reduce the cost of milk delivered to our factories. We have taken several initiatives to improve the efficiency of our raw milk procurement operations. For example, there was some

thing that we spoke about in the last quarterly call also, we are significantly increasing the density of clustered procurement, which means actually the productivity of the procurement unit is increasing significantly. And we have made tremendous improvement on this in this quarter. For example, the milk procurement per unit has actually gone up by about 12%. This all means that the productivity at a unit operating level is improving.

Second is we have improved significantly the inward logistics of bringing the milk into the factories. We are also looking at many other ways of reducing that cost by rightsizing the vehicle. We are leveraging technology in terms of routing using geo coordinates and all of that, which is actually helping us reduce the number of vehicles drastically and reduce their kilometers run also. So there's a lot of efficiencies that we are working on in terms of raw milk procurement.

Second, in terms of operating efficiencies, we believe that we can reduce our operating cost by 10%, which is the cost of converting the raw milk to milk as well as the value-added products. 10% is the target that we have set internally for bringing in those operating efficiencies, and we are well underway. Many of those efficiency measures have been taken already.

The third is, of course, driving the net revenue, which is a direct outcome of improving sales of our value-added products because value-added products have got higher net realization. So all three put together should be able to help us expand the margin profile potential in addition to, of course, catching up, getting the net revenue increase closer to the raw milk increase, which I think is still a catching up game. Six to nine months is the time we'll probably need, not just Heritage, but I think the industry will also need for that flattening out.

Moderator: The next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: First question from me, just a book-keeping one. Milk procurement prices and liquid milk prices for the quarter, usually you give that number.

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Page 11 of 17 Samba Murthy : So milk price actually, so it is about INR 52.29 per liter. And the procurement price is INR 43.70 per liter.

Sameer Gupta: Second question from me, sir, you've already taken 11%, 11.5% price hike this quarter, and previous quarters also we have taken price hikes. When I look at the liquid milk sales, they are up only 3%. And going forward, if milk prices are going to inflate further, is there room to take more price hikes? Are you not worried that you'll start losing consumers at some point? And if this assumption is correct, then until the next flush season, apart from the strategic levers that we are building on, which probably will be back-ended returns, our margins should remain subpar at least in the near term, is that a fair assumption?

Samba Murthy : Yes. Prices are -- actually, liquid prices are going up now, even value -added products price is also being corrected now in the market. So it's happening actually, even so far, quarters to come, December also we have taken up certain prices. That impact will come in this quarter. So prices are going up, sales prices also are going up.

Srideep Kesavan: Yes. If I could just add a couple of points. You're right that it's not like, at the end of the day, somebody has to pay for this. So we can't -- it's not possible for us to keep on increasing prices without end, which is the reason why there is a gap between raw milk prices of -- the money that's getting paid to the farmer has gone up much more than the money we have been able to collect from the consumer. So the reason why we are going cautiously as far as the consumer price is concerned is precisely because of the point that you raised because eventually, it's coming out of the pocket of the consumer.

But that said, so far, we

have been able to increase prices without losing volumes. Yes, milk volume growth is slightly lower, but that is not only a function of the price increases. It is also a function of our focus on value -added products. So we are trying to convert as much of milk into value -added products, and we are letting go of some of the not so profitable milk volumes. So for example, some of the large packs where our realization is much lower, we have actually defocused on that. That is why the net growth in milk is slightly lower.

On your second question in terms of should you expect a softer margin profile going forward? I think the Executive Director had previously, already addressed that question. I hope that answers. If there is anything very specific, Sameer, you may please...

Sameer Gupta: Yes. I get what Brahmani had said. I also stated that in my question that apart from the strategic levers, which probably will give back -ended returns. I mean, value -added

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Page 12 of 17 products will take its time to improve and the mix and the margins, they show up over a period of time. But that -- this is my question.

My last question is that our milk procurement, when I look at volumes, last four quarters, there has been a higher growth in that versus the liquid milk sales. So probably we have some buffer of lower cost milk. Should there be a breakaway inflation, I think we should be in a better position to protect margins. Again, is that a fair assumption or no?

Samba Murthy: Yes. I think we'll meet the sale requirement, whatever the sales growth plan is there. Definitely, if there is a price advantage, it will help us.

Srideep Kesavan: So our strategy is also that. See, we are working towards -- we feel that the shortage in milk doesn't stay that way for longer than nine to 12 months, because eventually, when the prices are attractive enough, the farmer will start producing milk. They might have missed, or small percentage of farmers might have missed an insemination cycle, but eventually the milch animal population should come back and production should restore or catch up with demand. This is there in any business. Supply and demand will eventually catch up. And when that happens, we'll be in a very strong position.

Moderator: The next question is from the line of Hitesh Sharma from White Sky. Since there is no response from the current participant, we will move to our next question that is from the line of Rohit Suresh from Samatva Investments.

Rohit Suresh: I had a question on the lumpy skin disease. So in the previous call, you had mentioned that in South India, there is no major issue on the lumpy skin part. But in your press release, you have mentioned that the flush season in South India has been impacted by the lumpy skin disease. So just wanted some clarity on that.

My second question will be on the non -core markets. So as you mentioned earlier in the call that the non -core markets are growing at 50% to 60%. So what is your strategy going forward for those markets? And lastly, on the curd, what are your peak volumes that you can achieve on an annual or a quarterly basis? If you could give me those numbers.

Samba Murthy: So yes, this is Samba Murthy here. So lumpy skin disease, actually as of now, the disease has subsided. There is not much impact in the field actually. So even entire country also, there are not much of lumpy skin disease cases actually. It has subsided.

Srideep Kesavan: Yes. With reference to -- and if your point is, like we are -- most of our procurement is in South India. It's not just South India, I think that Maharashtra and south of Maharashtra is where we procure. But then if there is impact elsewhere in the country, because of which certain companies migrate to Maharashtra to procure milk from Maharashtra and to

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te for losses elsewhere, that all adds up to inflationary cost, inflationary trends in Maharashtra. You can imagine. As in procurement, companies have moved into Maharashtra this year, more and more companies have moved into Maharashtra this year to procure the milk they might have lost because of lumpy skin disease. Maybe that, it's a reference to that. As far as South India is concerned, there were a few isolated cases here and there, but we are not seeing anything.

Yes. The other questions you have asked, I'll just try to quickly address that. One, yes, our non-core markets, which is markets outside of Telangana and Andhra Pradesh are growing much faster. As far as our strategy is concerned in these markets, it's very clear, we are working in a very capsulated fashion rather than spreading it too thin. We are focusing on certain suburbs of Mumbai and Pune. We are focusing on certain suburbs in Delhi NCR region and Haryana. So in Haryana, you will find us in certain cities. And in those cities, we are actually growing into a strong brand. So we are focused on Bangalore, we are focused on Chennai. So we are focused on urban markets. We are focused in a concentrated fashion. That's something that we are working on.

Secondly, we are working on building value-added products in these markets ahead of milk. So while in our core markets we are still milk dominated, many of these frontier markets, we are actually VAP-led, Value-Added Product led. So that's our strategy for growth. The third, as far as curd is concerned, may I clarify, is your question, what is our capacity, or is it how much can we do? Is that what you've asked?

Rohit Suresh: How much the peak that we can achieve on an annual basis, the peak that we can do?

Srideep Kesavan: Yes. So see, I think that will be speculative. I think at this point in time, we have capacities to do upwards of 800 tons, but then I don't want to give a number. All I can say is that we are growing in very high teens, 18%, 19% as far as curd is concerned. And we have not seen this growth slowdown at all for us. So we'll continue to grow. Quarter 1 for us looking, quarter 4 and quarter 1 is also looking very positive.

Moderator: The next question is from the line of Rajat Setiya from IthoughtPMS.

Rajat Setiya: So we have mentioned our aspirations to reach INR 6,000 crores in the near future. I wanted to understand what kind of capital expenditure do we need to do to be able to achieve those sales levels?

Nara Brahmani: This is Brahmani here. As mentioned earlier, capex expenditure is of different types. We need to keep investing into procurement, like my colleague had mentioned. High density of procurement is very important for us, and we've been a company that's been directly

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Page 14 of 17 procuring from the farmers. So we take this very seriously. So that's one aspect of it. The other is on the plant operations side, which basically is focused on expansions as well as replacement capex of older machines for efficiency, etcetera.

And thirdly, in the market in the form of chillers, freezers, especially for our value-added dairy products, as well as investing into our newer channels for growth, where we have a more direct connect with our consumers. We expect this generally to be around INR 120 crores per year on an average going forward. However, depending on the years, it might be a little variable in the next three to five years. However, the average could be around INR 120 crores per year.

Rajat Setiya: The other question, once again, what kind of -- so this is related to the milk procurement that we do. So to achieve those sales targets, what kind of farmer reach do we need to achieve? I think currently, we are at 3 lakh farmers in eight states. So if you can help us understand about that?

Srideep Kesavan: So even this year actually, we have added quite a number of

farmers. Close to 30,000-odd

farmers have joined our ranks. But these 3 lakh farmers may not all of them will be active at all the time. It depends on the milch animals in their household at that particular point in time. So we are progressively adding farmers to cater to the growth. At this point in time, the growth in volumes that we are seeing is a mix of milk per farmer as well as the number of farmers joining. So if we say that we are growing in double digits as far as many procurement is concerned, it's a combination of both.

Moderator: Next question is from the line of Resha Mehta from GreenEdge Wealth Services.

Resha Mehta: Srideep, you made a very interesting comment on improving your milk procurement density. That per center, this has increased by around 12%. I believe that was the comment that I heard. So in this context, if you could just explain that -- for us, I think broadly, we've been at 3 lakh farmers, around 13 lakh liters per day procurement, so that's roughly 4 liters. And we've been thereabouts for quite some time.

So 4 liters per farmer, if I were to calculate it that way. So what steps have we taken to kind of increase this? And we've seen this 12% increase in milk procurement per center, over a period of time, or is it just in the last six months? And what steps specifically

we've taken? Because I believe we were, in any case, deeply engaged with the farmers in terms of helping with their ancillary vet support, increasing milk productivity, etcetera. So what is it that we have specifically done that has improved the procurement per center?

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Page 15 of 17 And also, if you could talk a little bit about that typically, when we are present in a village, how many other dairy companies are present there? What would be our market share in terms of procurement from the farmers there? What would be the typical farmer attrition rate? And if you could break up your answer into how does it look like in your core markets of AP and Telangana? And in your new markets, if you could just comment on Maharashtra?

Srideep Kesavan: Yes. You asked a very detailed strategic question, Resha. A lot of things are a bit confidential in the way we operate. But if I can give you a sense of it and if that satisfies you, I'll be glad. First of all, you've divided the volume that we procured by 3 lakh farmers. As I mentioned, it's not like all 3 lakh farmers have an animal giving milk all the time, as the animals also go through a dry period.

And then they have to be inseminated, pregnancy, lactation comes back again. You can imagine. So even though we have 3 lakh-plus farmers, actually, we added 30,000 farmers this year, but not all of them are active at any point in time. Yes, as far as the milk production per farmer is concerned, we will roughly be in the range of 5 to 6 liters per farmer if I go by the ratios that you mentioned.

In terms of how we get more density, it's a choice we have. See, when we need milk, we can either go further -and-further into newer places and look for milk, or we can look for recruiting more -and-more farmers in the same village where we operate. So we actually choose to do the latter because it gives us more milk flow into the units that we have already existing. So it's a very high-level answer, I know, but I hope it satisfies you. I think we have got two options. One is we can go looking for new villages or rather we can look for new farmers in the same village. So we go for the latter, and that's what is helping us get more milk in an economical fashion.

Secondly, also in terms of -- I spoke to you about, we look at routing, which are the routes where we have poorer vehicle utilization. So if we can increase milk in that area, it probably helps us reduce the cost in that particular area. That kind of approach is what we are having. And we're still a long way as far as improving

those metrics are concerned.

But it is an area that we are focusing on and which will hold us in good stead in the years to come. That's all I meant.

Nara Brahmani: Resha, I just also wanted to emphasize on something that you briefly mentioned, but it's really core to the company's procurement growth strategy, which is the basket of welfare activities that we offer to the farmers directly. Over the period, we've mastered it and we've improved it. We are using technology to be able to more efficiently service the farmers, not just in terms of being very fair to them in terms of paying them in time and

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Page 16 of 17 measuring the quality and quantity of milk, but also when it comes to facilitating third-party lending within a couple of hours for them.

It's a huge benefit that they see in terms of purchasing or procuring more cattle, newer cattle, and, hence improving their business. At this time, it's very attractive for them. As we've mentioned, procurement prices are high and it's very favorable for the farmers. So we've seen a significant increase in interest through this activity. We're also seeing a lot of interest in buying subsidized cattle feed that Heritage Foods itself manufactures and delivers at the doorstep of the farmer. We have two processing facilities and manufacturing facilities for our own cattle feed. And that's a huge attraction. That's a huge benefit for them.

And thirdly, I think on the technology part, our newly launched Heritage VET+ app has been a huge hit among our farmers. Today, as I speak, we have 17,000-plus subscribers on our YouTube page for this particular app. Farmers are seeing significant benefit of better animal care activities, feeding activities, how to deal with the diseases such as lumpy skin disease, etcetera. In fact, there are several functionalities such as the option of indenting cattle feed through the app itself. So technology has been exceptionally empowering. And I think a mixture of all these basket of welfare and input activities is benefiting and will continue to benefit us going forward and give us a competitive edge.

Resha Mehta: And my second question is on the supply chain. So do we own the temperature -controlled vehicle fleet? I think we have some 2,000 -odd distribution vehicles. So do we own them or are they outsourced? Or it's a combination? And what is the standard industry norm? And how do we think about this?

Srideep Kesavan: No, we don't own any vehicles. We hire them from the market.

Resha Mehta: But does that lead to higher wastage in terms of raw milk spoilage or something of that sort, or?

Srideep Kesavan: No. These are vehicles which are standard. So we have a v ery -- see, we've been doing this for the last three decades. So method of shortlisting vendors based on their capabilities, there's a very strong quality process in place, which ensures that the vehicles are of certain quality which we inducted. There's a strong negotiation process that we have, which keeps us at the lowest end of the market price. So we feel that's working fine for us.

Nara Brahmani: Yes. And Resha, I'd like you to keep in mind the fact that milk is extremely fresh. So the turnaround time is very quick from the time of procurement of milk from the farmer to Heritage Foods Limited

January 23, 2023

Page 17 of 17 making the milk or milk products available to the consumer within, anywhere between 24 to 36 hours mostly. So I think the wastage in the process is none, as a result of that because milk moves around very quickly. It's very fresh. We have to move it around quickly to make it available to our consumer, to our channel on a daily basis. So we don't see any such challenges in our value chain.

Resha Mehta: Sure. That helps. And I have some more strategic questions around your procurement, but I think I'll take them offline.

Srideep Kesavan:

Thank you, Resha.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to Dr. Rao for closing comments. Thank you, and over to you.

M. Sambasiva Rao: Thank you very much for your continued interest in Heritage, and we'll be getting back to you soon for the next quarter. And meanwhile, I have a positive news to share. Our company's credit rating has been upgraded from A to A+ recently. Happy to share with you. Thank you very much.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Heritage Foods Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

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Call: May 2023

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 56-23

May 31, 2023

To

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

Scrip Code: 519552 To

The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, C-1, G Block, Bandra-Kurla

Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call with the Investors/Analyst

Dear Sir / Madam,

In Continuation of our letter dated May 10, 2023 the Company had organized a conference call with the Investors/Analysts on Monday, May 29, 2023 at 04.00 PM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been put up on the Company's Website at www.heritagefoods.in.

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M..No: FCS-6317

Enc: a/a

About the Company:

Heritage Foods founded in the year 1992 is one of the fastest growing Private Sector Enterprises in India, with two business divisions viz.,

Dairy and Renewable Energy under its flagship company Heritage Foods Limited and Cattle feed business through its subsidiary, Heritage

Nutrivet Limited (HNL). Presently Heritage's milk and milk products have market presence in Andhra Pradesh, Telangana, Karnataka,

Kerala, Tamil Nadu, Maharashtra, Odisha, NCR Delhi, Haryana, Uttar Pradesh and Uttarakhand. It has total renewable energy generation

capacity of 10.50 MW from both Solar and Wind for captive consumption of its dairy factories.

HERITAGE FOODS LIMITED

Q4 FY2023 Earnings Conference Call

May 29, 2023

MANAGEMENT :

DR. M SAMBASIVA RAO – PRESIDENT , HERITAGE FOODS LIMITED

MR. A PRABHAKAR NAIDU – CHIEF FINANCIAL OFFICER , HERITAGE FOODS LIMITED

MR. SRIDEEP N KESAVAN – CHIEF EXECUTIVE OFFICER , HERITAGE FOODS LIMITED

MR. J SAMBA MURTHY – CHIEF OPERATING OFFICER , HERITAGE FOODS LIMITED

MR. UPENDRA PANDEY – CHIEF EXECUTIVE OFFICER , HERITAGE NUTRIVET LIMITED

MR. UMAKANTA BARIK – COMPANY SECRETARY & COMPLIANCE OFFICER , HERITAGE FOODS LIMITED

MODERATOR :
MR. ANUJ SONPAL – VALOREM ADVISORS
Heritage Foods Limited
May 29, 2023

Page 1 of 17 Moderator: Ladies and gentlemen, good day, and welcome to Heritage Foods Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you, and over to you.

Anuj Sonpal : Thank you. Good evening, everyone, and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Heritage Foods Limited. On behalf of the company, I'd like to thank you all for participating in the company's earnings call for the fourth quarter and financial year ended 2023.

Before we begin, let me mention a cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well

as assumptions made by and information currently available to management.

Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. Firstly we have with us Dr. M. Sambasiva Rao, President; Mr. Srideep Kesavan, Chief Executive Officer; Mr. A. Prabhakara Naidu, Chief Financial Officer; Mr. Samba Murthy, Chief Operating Officer; Mr. Upendra Pandey, CEO of Heritage Nutrivet Limited; and Mr. Umakanta Barik, Company Secretary and Compliance Officer. Without any further delay, I request Mr. Rao to start with his opening remarks. Thank you, and over to you, sir.

M. Sambasiva Rao : Thank you, Anuj, and good evening to everyone joining us today on this call. We are pleased to welcome you all to this earnings call for the fourth quarter and financial year ended 2023. The financial results and earnings presentations have already been uploaded on the exchanges and I hope you must have got a chance to look at it.

Let me now take you through the financial performance for the quarter under review. Consolidated revenue for the fourth quarter grew at 0.5% to INR 818 crores despite the market conditions. EBITDA stood at INR 42 crores as compared to INR 33 crores during the previous year same quarter. The EBITDA margin is at 5.11%. Margin profile improved year-on-year basis as well as quarter-on-quarter basis with several decisions related to price corrections, value optimization measures, increase in sales of value-added product volumes, etcetera. During the current quarter, net profit stood at INR 18 crores, representing a growth of 44% year-on-year.

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Page 2 of 17 Coming to the financial year ending 2023, consolidated revenue grew by 21% year-on-year at INR 3,241 crores. EBITDA was at INR 138 crores, and EBITDA margin stood at 4.26%. Net profit for the period was INR 68 crores.

Now moving on to the operational performance for the quarter. The average milk procurement during the quarter-end revenue was 1.43 million litres per day as compared to 1.22 million litres during the quarter four of previous year. With regards to the sales of our products, we have had a healthy year-on-year growth across product categories. Average milk sales during the quarter four stood at 1.07 million litres per day compared to 1.04 million litres per day in the same period of the previous year.

The sale of curd during the quarter four was at 333 metric tons per day compared to 303 tons per day in the previous year's same quarter. The value-added product revenue surged during the quarter were approximately 25% year-on-year to INR 231 crores and its contribution to the overall revenue also increased to 28.62% while the financial year ended the contribution of value added to us was around 29.06%.

We continued on our path to add innovative and unique value-added terms. During the quarter, the company launched new products like Gluco Shakti, a whey-based instant energy drink Creamilicious Curd and two new flavours of milkshakes, and one spiced buttermilk in buttons

called A1 Spiced Buttermilk. And two new desi flowers of ice lollies called Golgappa and Kalakhata.

With this now, we'll open the floor for interaction. I invite the members to seek any clarifications, ask questions, make any suggestions. Thank you very much.

Moderator : Thank you. We will now begin the question -and-answer session. The first question comes from the line of Sameer Gupta from India Infoline.

Sameer Gupta : First question is a bookkeeping one. So liquid milk selling price and milk procurement price for t

he quarter, something that you've been sharing on a consistent basis every quarter ? That's my first question.

Samba Murthy : So the average prices increased by 10.5%, which is about INR 5.16 per litre and Kg and this is the sales price. And whereas the procurement price is down by 11.8%, which is INR 40.76 per litre.

Sameer Gupta : Secondly, a sense of the season ahead. So last year, we had an impact by lumpy skin disease, there was unseasonal rainfall, and there was inflation in cereal and cattle feed prices. What is your assessment for this year's flush? I mean I understand this is still early days, but any early indications now farmers have got better remuneration in the past year. Some prices are down. We are hearing about lumpy skin disease cases but not at a large extent. So what is your sense of the milk prices in the flood season going ahead? Any early indications?

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Page 3 of 17 M. Sambasiva Rao : Yes. Now just we have observed that cow milk mini flush , particularly the feeds of Maharashtra

and Tamil Nadu and it will -- that flush will continue up to June, July. And again flush is expected in the month of November onwards for both cow and buffalo . And thereby, the prices are particularly in these two states now there is a drop in prices, but in other states actually it is stable.

Sameer Gupta : And any indication of the largest flush expected in October, or November based on this -- extrapolating from this data or this trend?

M. Sambasiva Rao : Yes. It is actually a normal flush only and a flush season from November onwards, it is going to be normal -only, it is not like huge men availability and all, but it is going to be flush. As of now, we don't see any reason for not having a regular flush to normal. Everything is back, the lumpy skin disease disappeared. And post -COVID repercussions of artificial insemination etcetera , are being streamlined, now insemination programs are going on very well.

And if the monsoon is good and every other factor is normal, flush season should step -in definitely in November with normal production. The current year being a scarcity year, and next year as per the novel cycles also should be a better year. But as of now, scientific evidence to say which way it goes.

Sameer Gupta : Third, and the last question, if I can squeeze in. I see an unusually high level of inventory for FY '23 for the company. Any reason for this sharp increase? And going forward, how should we look at this number?

Srideep Kesavan: Yes. See, the inventory that you have seen in the books is actually -- this is Srideep Kesavan, CEO. The question is regarding the inventory that you are seeing in the books is reflected on account of both skimmed milk powder as well as butter that we are holding, and it is very normal in our business. We usually enter into contracts and buy the inventory that is required for the first half of the year, which is the period starting from, let's say, March going on till about September and there are two factors which have compounded the value for us in this year.

One, our volumes are consistently going up. So every point in time, now this year on a period -to-period basis compared to previously years, our volumes are up in double digits, which means that a proportionate increase in quantity of powder and butter is also required. Secondly, you've heard from the CEO earlier that the milk prices have gone up by about 11%, 11.5% in the same period. So compounding of, let's say, 10%, 11% in volume terms and 11% in prices is what is reflected in terms of the absolute value of the inventory being held and this inventory was bought at a period of advantage that we had during quarter three of the previous financial year. So there is nothing abnormal in it. I hope I've been able to clarify.

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Page 4 of 17 Moderator : Next question comes from

the line of Sandy Mehta from Value Investment Principals.

Sandy Mehta : It's nice to see the company again, growing earnings on a quarter -over-quarter and year -over-year basis. Are you seeing the margins continue to recover in this current quarter that we're in right now and when is your expectation that we can once again get back to over 10% EBITDA margin? How

soon can that happen?

Samba Murthy : First, let me clarify. You mentioned that our normal EBI TDA margin is 10%. I think we have been always committing that our ambition is to stay in the range of 7% to 8% of EBITDA, so it's not 10%. 10% would be like a windfall here, I would say. So 7% to 8% is what we are aiming to be, and we are still a little bit away from that particular point from the profitability point of view. But yes, thank you for your kind words.

We are improving profitability every quarter sequentially. The worst period for us is behind us as we see, and this has happened with the multitude of factors playing at the same time as the President spoke in the opening remarks. Number one, I think we have taken price corrections across markets. Even though we have not passed on the entire increase in material prices, raw milk prices on to consumers, but still, we have substantially increased our prices across milk as well as value-added products. Secondly, we have taken a series of value-creation initiatives during this period.

For the last six to nine months, we have been working on various efficiency measures, all of which is playing out to full potential now and we'll continue to get benefits of that in the continuing quarters as well. Third, as you have noticed that we are consistently growing our value-added products portfolio, value-added products contribution consistently for the last several quarters and we are touching close to about 30% contribution, which means that our margin profile actually improves.

A combination of all these factors will continue to play and as we mentioned earlier, if raw milk prices come down, as we all expect it to in the next many months, and that will give us added advantage in pushing us towards the 7% to 8% mark.

Moderator : Next question comes from the line of Viraj Mehta from Equirus PMS.

Viraj Mehta : My questions have been answered.

Moderator : Next question comes from the line of Resha Mehta from GreenEdge Wealth Services.

Resha Mehta : So first is, now that we have -- we are on an all-time high base in terms of revenues of INR3,200 crores roughly. So for the next financial year, what kind of growth are we looking at on this base and if you could call it out in terms of the procurement target as well as the top-line target?

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Page 5 of 17 M. Sambasiva Rao : Yes. So see, the current quarter that quarter four of last financial year we had a revenue growth of

about 17.5% and the procurement volumes also grew in similar terms, about 17.5%, 17.7% to be precise. So first of all, I think we are --

Resha Mehta : Sorry, my question was for the full year and not for Q4.

M. Sambasiva Rao : Your question is about -- full year, going forward.

Resha Mehta : FY '24 versus FY '23 in terms of procurement growth as well as the top-line growth that you all are targeting.

M. Sambasiva Rao : It is our intention to sustain the growth momentum in our sales, as we have done in the past several quarters and to sustain that momentum, we will have to continue to grow our volumes and meet the volume requirements, we'll have to continue to grow our procurement. I will not be able to reveal any number specifically at this point in time.

But you could be reassured that we are working on strategies that will help us maintain our growth momentum and as much as possible, keep our growth momentum clearly ahead of the market and our procurement at this point in time is quite promising. We have no reasons to be worried at all. In fact,

our procurement is very much sufficient to meet the milk requirement to fuel this growth.

Resha Mehta : Would it be fair to assume a double-digit growth on the top line and procurement both for FY '24 ?

M. Sambasiva Rao : I'm still not getting it -- can we expect to double-digit growth?

Samba Murthy : Let me put it like this, okay? The industry is expected to grow in double digits, right? And this is -- we are actually sitting in -- I'm sorry, actually, when you spoke, your voice was not very clear. That's why I had to really ask the question. I'm sorry about that. The industry is growing in double digits, right?

And we should expect continued momentum for the next several quarters. We have no reasons to worry that will be affected because even today, about 60% of our revenues come from milk, which is an essential commodity, right and it's not a discretionary spend of the consumer. And even in the value-added products, many of the categories that we play in are mostly all essential from a consumer basket point of view.

So we have no reasons to worry that the industry momentum will slow down. We are expecting the industry to continue to grow at 11% to 12%. And at Heritage, we are on an accelerated journey, gaining market share in all the markets that we operate, which means that we have to keep our growth momentum ahead of that. So we are seeing that playing out for us at this point in time. But FY '24 has just started. I wouldn't want to give any guidance for the next 10 months or about 11 months ahead. At this point in time, I can say that we are confident that we can continue

this momentum of growth.
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Page 6 of 17 Resha Mehta : The second question is on the Q4 numbers. So if we see -- unlike the rest of the industry, we have

maintained our gross margins Q-on-Q, right? If you look at Q3 versus Q4, we have maintained our gross margin. So is it due to some price hikes that we have taken in Q4? And if yes, if could you just call that out?

Samba Murthy : As I mentioned, it's a combination of factors. At this point in time, we wouldn't be breaking it up.

The question is that we have maintained is the question. Yes, absolutely. It's about 19.55% and it's the same, actually Q3 to Q4. See, it's multiple factors playing out. Number one, you must have seen that the milk prices, raw milk prices went up in Q4 compared to Q3, right? So as farm prices continue to rise in Q4 even compared to Q3, almost hitting our peak sometime in the beginning of April.

The first thing is that we were able to pass on most of the increases in raw milk prices that happened during Q4 on to our consumers as market price increases. That's the first thing. Second thing, we had certain notions, several initiatives of value creation and cost efficiencies sometime at the beginning of Q2. In the third quarter, we had part of the benefits flowing into the P&L and by quarter four, most of those initiatives were playing out fully, and we were able to reap -in the benefits fully.

Not only that, we were able to reinvest back in the market to get an early head-start for Q1 of this financial year itself as well in terms of marketing initiatives as well as new product launches. So net-net, I think we anticipated that the raw milk prices would continue to go up and we planned accordingly, we took astute measures which played to our advantage.

Resha Mehta : And is there still scope to benefit from these cost efficiencies in FY '24?

Samba Murthy : Yes, absolutely. Because in most of the efficiencies we have done are structural in nature. In terms of energy efficiencies, and fuel efficiencies, we have been talking about our clustered approach in terms of procurement, which reduces our cost of net delivered, etcetera. All those efficiencies will continue to play in the future as well.

Resha Mehta : Right. And in Q1, would you say that the milk p

rocurement prices are trending lower versus Q4? I

don't want an exact number, but just the trend if you could call out?

Samba Murthy : Could you please repeat, please?

Resha Mehta : So like you did speak about the flush for the cow belt being decent in the month of June, at least that was the expectation is, right? So with that, would you say that the Q1 for the current quarter Q1, the milk procurement prices have softened versus what they were in Q4?

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Page 7 of 17 M. Sambasiva Rao : Yes, we could say that. So let me put it closely. Throughout last 15 months, prices continue to rise,

hitting a peak sometime around first half of April. And since then, it has come off the peak a little bit. I wouldn't be able to comment on whether Q1 average will be lower than Q4 of last year because we still haven't seen all of Q1. But I could say that we are off the peak now.

And we are seeing that like the COO mentioned earlier, we are seeing mini flush season due to cow happening in Maharashtra as well as TN, both key procurement regions for us, and that has resulted in prices coming off the peak in these two markets. But we still have five to six weeks of the quarter growth. We'll have to see where the waste average prices of Q1 will be lower than Q4, but the indication is --

Resha Mehta : Understood. And lastly on the unseasonal rains impacting the sale of value-added products. So would you say that in Q4, I can see that your value-added products overall grew by 23% Y-o-Y, right? And Ice-creams also grew 50% on a low base Y-o-Y. But would you say that Q4 was below your expectations in terms of value-added product sales because of the unseasonal rains? And do you also see that trend continuing the softness in value-added product sales in Q1. What is your expectation?

M. Sambasiva Rao : That's a very million-dollar question, a difficult question. See, the weather is actually a very big uncertainty in our business and not just in our business, the business of lot many companies and sectors today because of climate changes and unpredictability of the weather, unseasonal rains, etcetera. Like I said, we are still in the middle of the quarter.

It is very difficult for us to predict. Usually, for example, rains in South India start by the beginning of June, but in the month of May itself, we had excessive rains and now the forecast is that June is going to be excessively dry and hot. So it's very difficult to predict how the matter will

go. But yes, adverse weather definitely has an impact in terms of consumption volumes. We are also seeing a little bit of impact of consumption volume because of sequential price increases we have taken in some of the value-added product categories.

At our end, what we have under control is demand creation at the consumer end and number two, distribution and distribution expansion. So we are focused on what we can do at our end to continue to book momentum and hope for the best as far as weather is concerned.

Moderator : Next question comes from the line of Hitesh Sharma from White Sky.

Hitesh Sharma : I would like to understand like your EBITDA margin is continuously going down from 7.6% to 4.71% going peak again 10% and now again back to the 4.27%, whereas your value-added products are going up. So this is contradicting numbers.

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Page 8 of 17 M. Sambasiva Rao : So let me put it like this. First of all, I think the quarter four EBITDA margins are better than full

year EBITDA margin. And if you see quarter three also, it was better than the full year, which means, actually, we went into the trough sometime around Q1, and we have been coming up ever since, number one, the first thing.

The second thing is that, sir, if we had not done the value-added products contribution increased the way we did, you can imagine the profitability scenario would have

been even worse than what

we had in quarter four. So even today, if I can say, on a full year basis, when our raw milk prices have moved up by about 11.3%, we have passed on only about 9.7% to the consumers because we still absorbed 1.6% at our end because now passing on the entire burden to the consumer would have further slowed down our growth. So it's a combination of multiple factors, right?

One is we have absorbed part of the raw milk price increases in our P&L. And secondly, the value-added products have done compensated that negative impact. And the net impact is what we are seeing in the P&L at this point in time. But this was improved sequentially as you go forward because definitely, the gap between raw milk prices and market realization will continue to come down as we were answering the previous questions, we are hoping that the farm prices will come down from its peak in the next many months, and we will be able to reap the benefits.

Hitesh Sharma : Can we hope to achieve 7% in the coming year?

M. Sambasiva Rao : See, our ambition is to aim towards a steady-state 7% to 8%. If you can say that in the month of, let's say, quarter four of last financial year was around 5.2%, which means that quarter one could be sequentially better than that hopefully. But I wouldn't want to guide you to say that we'll end up with 7% weighted average for the financial year. But what you could expect is that all the efficiencies that we have built in will continue to play throughout the next many quarters to come.

The pricing that we have taken as far as the consumer as a concerned is never going to come off because we don't usually reduce the prices. Third, raw milk prices, raw milk penetrability should improve, and raw milk prices also should come off the peak. That's all I can say.

Hitesh Sharma : Second is a question about the capital work in progress. What is the project going on for this?

M. Sambasiva Rao : You're asking about the specific projects we have in the CWIP?

Hitesh Sharma : Your capital work in progress is INR199 lakh.

M. Sambasiva Rao : Yes. Okay. So see, we are investing -- we have sufficient processing capacity at our end as we have mentioned in the previous quarterly calls as well. The capital investment that we are doing are for specialized value-added products or in the milk procurement side. So at this point in time, what is reflected in the balance sheet is on account of capacity enhancement we are doing in terms of paneer projects as well milkshakes and other UHT products that we are setting up the capacity that we are setting up for those products in our locations. So all of those that is reflecting is all for our value-added products.

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Page 9 of 17 Hitesh Sharma : So this project will be commissioned by when?

M. Sambasiva Rao : Expected in the next quarter or two.

Moderator : Next question comes from the line of Rajat Setiya from I thought PMS.

Rajat Setiya : Sir, in terms of our direct retail outlets, how many do we ...

M. Sambasiva Rao : Could you repeat question?

Rajat Setiya : How many direct retail outlets do we have for every single franchise and making it company-operated or ...

M. Sambasiva Rao : Our reach at this point in time should be close to about 120,000 to 130,000 retail outlets, which are serviced through our distributors.

Rajat Setiya : Okay. We don't own any meeting directly, right? I mean don't operate or --

M. Sambasiva Rao : Can you please repeat that. Your voice is a bit muffled.

Rajat Setiya : So we don't operate directly under our own control, any of the retail outlets like our peers?

M. Sambasiva Rao : No. Except for national key accounts, national key accounts, some of them are directly delivered by us. But all other retail outlets are serviced through our distributors. We do not do any direct service to general retail.

Rajat Setiya : Okay. And what do

you mean the national key accounts, sir?

M. Sambasiva Rao : You could say e-commerce and modern trade accounts of national trade.

Rajat Setiya : And we don't have any plans to get into direct outlets like our peers?

M. Sambasiva Rao : No, we have -- see, you must be aware that we have what we call as Heritage Parlours. We have just about 850 of them. They are still exclusively Heritage products as far as milk and milk products are concerned. And we also have what we call as Heritage Happiness Centres or distribution centres, as we call them. We have almost over 150 of them. They have a retail store flush they do distribution in the neighbourhood as well. So these 850 plus of these outlets stores directly are serviced by us as well.

Rajat Setiya : And how much sales come from these outlets, sir, 850 Heritage Parlours?

M. Sambasiva Rao : Roughly around 22% of our business will be from these.

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Page 10 of 17 Rajat Setiya : So I think we had the target to reach out to 2,000 collection centres by FY '24 for increasing our milk procurement. Where do we stand today?

M. Sambasiva Rao : We couldn't hear what you said. Sorry.

Rajat Setiya : How many collection centres do we have under our network at the moment, milk collection centres?

M. Sambasiva Rao : Which collection centre? In milk production there are two levels you know first level is at the village level where milk collection centres are set up to collect milk from farmers, second level milk chilling units where this milk from the villages is carried for quick chilling and then transported to the processing plants. So you are referring to the first level milk collection centres or second-level chilling centres?

Rajat Setiya : First level, sir.

M. Sambasiva Rao : First level is around 12,500 approximately.

Rajat Setiya : 12,000. Okay. And sir, to reach our target of 20 to 24 million, sorry, I forget unit. So basically, broadly increase our -- want to increase our procurement by 70% from the current level. So how many collections centres, first level collection centres you will have to increase.

M. Sambasiva Rao : See, our procurement network expansion is in line with the milk requirements, okay? And this is a very dynamic process because we always try to procure milk closer to the consuming markets or sales market. We are today present across many states, and we have a good enough strong enough structure to dynamically grow this procurement network in a very short span of time.

So at this point in time, I should say that we are strongly positioned as far as growing our milk procurement to meet our demands in the next three to four years' time. So an average milk collection centre collects about 120 to 150 litres per day. That's the size of a village level centre and we keep on adding village level centres wherever we require.

Rajat Setiya : And in terms of our top three states for milk procurement, I'm guessing, Andhra Pradesh and Telangana would be the top two and which one is the third one?

M. Sambasiva Rao : They keep changing season-to-season year-to-year. There is no such fixed number, but currently, we have Maharashtra also joining the list.

Rajat Setiya : Maharashtra. And other 10% would be Andhra Pradesh and Telangana would be 30% each.

Would it be in that range?

M. Sambasiva Rao : How much, Andhra Pradesh, Telangana?

Rajat Setiya : 30% each.

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Page 11 of 17 M. Sambasiva Rao : AP would be around 40%. AP is actually bigger, that would be in Maharashtra and then would be

Tamil Nadu, yes.

Rajat Setiya : And sir, in value-added products, how much sales will be coming in from cheese?

M. Sambasiva Rao : Cheese is a very small contributor for us. Even though it is growing in triple digits, but it's still very small for us to call out.

Moderator : Next question comes from the line of Dhwanil De

sai from Turtle Capital.

Dhwanil Desai : So my first question is, I think we have kind of panned out a vision to increase our top line. And in

order to do that, we need to increase our procurement by 12% to 15% on a CAGR basis. So can you give us some sense as to are we -- so we are present in 11 states. So in terms of procurement, do you think that the incremental bulk of the volume will come from three or four states by going deeper and deeper because that is our strategy. So can you talk a bit about that, how is it going to pan-out?

M. Sambasiva Rao : Yes. So see we are growing procurement in very high teens, okay? And that does not immediately come down, right, which means that procurement is on a momentum, and it is feeding our recovery at this point in time. Yes, you are right, because of the size of the procurement network, AP, Maharashtra, and TN will continue to add the biggest delta or increase as far as the procurement volumes are concerned, but that doesn't mean that we are not expanding our footprint in terms of procurement.

For example we have entered Odisha and we are expanding procurement in Western UP, because our volumes are growing rapidly in North India as well. But in terms of absolute size, those new procurement regions will continue to be small, even though the growth percentage in those regions would be much fare.

Dhwanil Desai : And sir, my second question is, so in the last cycle or last normal environment, you were making around 7% EBITDA margin. Now as we stand today, we have brought in a lot of operational efficiency in terms of kind of conversion at procurement and then converting milk into final development ?

M. Sambasiva Rao : You will have to repeat, your voice is muffled.

Dhwanil Desai : So sir, my question is that in the last normal environment, we were making 7% EBITDA margins. Now post that, as it stands today, we have a much higher value -added shares, and we are also bringing a lot of operational efficiency. So when, again, we go into an environment where the milk prices are kind of normal, don't we think that will make more than 7% EBITDA margin given what we have done in those last two, three years?

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Page 12 of 17 Srideep Kesavan: We wish to make, but we don't want to give leading statements today as it is not the most prudent way of talking.

M. Sambasiva Rao : So let me put it like us, okay? So we are here for the very long term. As continued investors, I think you will have to believe in our story. We are looking at our first milestone that we are looking to is the INR 6,000 crores revenue mark. But we already started thinking about INR 10,000 crores revenue about.

We want to look forward and we want to continue growing this business, right, which means that, that requires certain investments not only in terms of tangible assets, but also intangible. We will have to reinvest part of the margins into growing, building our brand. So you will see that actually we have started investing monies into marketing campaigns, which are on air at this point in time. This also will be required as we go forward to continue to see the momentum of growth that we desire. We are launching products, new products almost every quarter, we have at least three or four significant launches, which means that those new launches also require support to establish. So I think we are also hoping that this is a margin profile as the cost structure stands today, 8% or 9%. But we'll have to reinvest part of that to continue to growth momentum. Otherwise, like we are living in the short-term.

Moderator : Next question comes from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta : Good afternoon, sir. Most of my questions have been answered. Just one thing on your opex side. So if I just do the math, I think that for the entire year, we have sort of gained 20 basis points in terms of our opex

as a percentage of our revenues and the same stands at around 100 basis points, if I just do a fourth quarter comparison. So I believe we've been working on various sort of initiatives on the opex side.

So what can be -- I mean 20 basis points is a small increment that we have been able to juice-out from our operational efficiencies. But what's the target for this year in terms of compared to this financial year, how much more we can lose out as a percentage of sales from all the initiatives that we have been doing since the past few quarters.

M. Sambasiva Rao : Yes. So I wouldn't want to put a percentage on that and give guidance but let me say there are three areas in which we are working. Number one is in terms of energy efficiency, which is how many units of energy is required to produce one litre of milk, right? And that's a metric which we are continuously driving down with several initiatives. One is in terms of bringing in more and more energy-efficient equipments. Number two is better planning and better coordination. A lot of other initiatives in terms of even improving even product reformulation that helps to reduce energy usage.

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Page 13 of 17 So energy is one area that we are keenly focused on, which we continue to invest results and as we continue to grow offerings, that will remain as a growing interest for us in the future. Second is in terms of fuel, which is basically for us, it starts from bringing milk from the villages from chilling centres to the plant and the plant to our market. This is also an area where we are looking at taking a lot of efficiencies. You could say that we have just got started in terms of what we ourselves have visibility of.

At this point in time, we have hardly done about 20% of that, which means that 80% of the efficiency is there. As we see today, is still yet to play out. And I'm sure that once we achieve what we have in plan at this point in time, there will be new operational opportunities available in terms of fuel as well at that point in time. The third is in terms of people productivity. So that is a journey which we have yet to start, which will have continued benefits going into next financial year.

So we have not seen much in terms of people productivity in last financial year, but we'll be able to get that as well as in this financial year. So it's a continuing evolving journey, it is the way I'll put it because I'm putting a number on.

Sarvesh Gupta a: So fuel efficiency will also majorly show up in this year and people will also start coming in from this financial year.

M. Sambasiva Rao : Yes. That's what we are working on.

Sarvesh Gupta : And second question, sir, on your product as such, you must have done some consumer studies, blind tests, etcetera, especially now that you are launching many new innovative products as well.

Are there some pointers that you can provide us in terms of what are some of the key understandings that we have gained from such study, especially vis-a-vis both national competitors also which are becoming prominent in the VAP segment irrespective of the regions and on the milk side with respect to your local competitors as well.

Srideep Kesavan: Yes. So as part of our marketing initiatives, we continuously scan the market for competition and also benchmark our products versus competition let's say, primarily for a product like curd, many of our drinkables that we launched in the market, they've all gone through extensive consumer study before we put out in the market.

And you would also probably know that our products are -- that's slightly five-steps of premium to many of the mainstream competition that is there in the market. So it's impetus that we actually beat the mainstream competition in terms of pace and acceptance. So our benchmark is slightly higher. That's how we test ourselves, and we are able to meet them.

And we

constantly -- wherever we feel that there is an area of improvement, so our R&D team works on Kaizen projects which helps us continuously improve even existing products that our Heritage Foods Limited

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Page 14 of 17 curd. So there's all the time work going on at our end to improve the consumer experience and be worthy of a premium that we pass from consumers.

Moderator : Next question comes from the line of Resha Mehta from GreenEdge Wealth Services.

Resha Mehta : Just something on what the previous participant asked about the inventory days, right? So see, I understand that we are growing our volumes, etcetera, and hence, inventory in absolute terms kind of goes up. But if we look at our inventory days, historically, they have always been in that 20 to 30 days kind of a range. While this is like the first time in almost the last 7 to 8 years that it has jumped to around 42 days.

So what I want to understand is that with the kind of aggressive growth plans that we have, do we expect this inventory day number to remain at a new normal of let's say around this 40 plus kind of days or would we go back to our old inventory days of around 20, 30.

M. Sambasiva Rao : The inventory is melting already. We started consuming from March, but these March 31 numbers. So this is for capital consumption in the products fully. It will be consumed within the second quarter. So we may even have to procure further in the end of the second quarter. That's not a concern at all. As we come to number of inventory days come down month-on-month. It is, as Srideep explained, one, the volume, we have procured more in spot and price of the commodity also is higher than earlier year. So it looks higher in terms of value. So for us, internally, we feel very normal. It gets consumed over a period of four or five months.

Resha Mehta : And any comments on the JV, the Novandie JV. FY '23, what were the revenues and EBITDA losses there ?

M. Sambasiva Rao : Yes. JV sales as they are improving, our penetration has increased to more markets and within the markets more chains of modern retail and e-commerce. Now the volumes are increasing, and we should be able to present better numbers in the current year as we go forward. All operations got stabilized, placements have happened. So we should see some offtakes increasing from this quarter.

Resha Mehta : And FY '23 revenues and losses, if you could quantify that for the JV? FY '23, the last year full year revenues and losses for the JV?

M. Sambasiva Rao : It's around, INR 8 crores is revenue and around INR 13 crores EBITDA loss.

Resha Mehta : EBITDA loss, okay. All right. And lastly, I just had a few data questions. One is if you could -- sorry, I missed this at the beginning of the call. What would be the milk procurement price for Q4?

M. Sambasiva Rao : INR 45.70 per litre

Resha Mehta : INR 45.70, okay. And the realization?

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Page 15 of 17 M. Sambasiva Rao : INR 59.09.

Resha Mehta : Okay. And the liquid milk sales volume for Q4. How many lakh litres per day.

M. Sambasiva Rao : 10.7 lakhs litres a day.

Moderator : Next question comes from the line of Rajat Setiya from Ithought PMS .

Rajat Setiya : Sir, what's our strategy for the ice cream business?

M. Sambasiva Rao : Ice cream was actually a business that's growing very strong for us, like last financial year, we've seen a 50% growth in the ice business and the momentum continues. But at this point in time, we are primarily focused in our core markets, which is AP, Telangana. We have very limited footprint in Bangalore and Chennai.

And so at this point in time, we are focused in growing our footprint in the existing markets rather than going to newer markets, one Secondly, we are expanding across channels. So earlier, footprint was limited to either push carts or general trade outlets.

Now you will see our products more an

d more in modern trade as well as e-commerce channels as

well. Thirdly, you must have seen a series of new product launches that we have made. So we continue to innovate. We are focused on bringing in certain percentage of our revenues from new product launches.

So I could summarize, number one, deepening our presence in existing markets with addition of new outlets. Secondly, going into new channels such as modern trade and e-commerce; thirdly, continuous innovation and punching of new products. That's what we are doing at this point in time. It is still a small contributor as far as revenue is concerned, but a very fast-growing one.

Rajat Setiya : Sure. And how much sales did you say that you target from new products? You mentioned a number, I think while answering the last question.

M. Sambasiva Rao : No, I did not mention the number. Internally, we have a benchmark as far as what new product should contribute in terms of our growth. So we are looking at 10% of all our growth coming from new products that we launched in a year and a large percentage of these new products would be all coming from ice creams and drinkables and other segments for value-added products whichever smaller at this point in time.

Rajat Setiya : And sir, how much capex have we done in this ice cream segment so far? And how much sales can we do from the existing setup?

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Page 16 of 17 M. Sambasiva Rao: Yes. So capex -- we have not invested in any new plants at this point in time. And I think we will

give you the capex gradually. At this point in time, the continued investment we are making is in terms of leased assets as far as our market retail freezers are concerned. And the current capacity that we have will be sufficient for us to take us for one more summer is our estimate. Just give us a minute for us to get back on capex .

Rajat Setiya : Sure. And in terms of capacity, what did you say, sir?

M. Sambasiva Rao : Around INR 50 crores is the capex in our ice cream business, but that's the existing plan. We haven't made any new investments.

Rajat Setiya : Sure. And how much sales did you say you can reach from the current setup?

M. Sambasiva Rao : We will cross INR 100 crores.

Rajat Setiya : INR 100 crores. And at INR 100 crores, what kind of margins this business will be throwing.

M. Sambasiva Rao : Yes. See, the gross margins in ice cream business is close to 33% to 35%. But again, it is a function of raw milk prices and other factors.

Rajat Setiya : Sure. And right now, sales channel is primarily outlets, or do we sell through carts, just like Kwaliti Walls or other plants?

M. Sambasiva Rao : Most of our sales actually is concentrated in retail outlets. Many of the retail outlets are in general trades. Some of the retail offices are in specialty channels like colleges, institutions and all of that, but we did not have any institutional large accounts

Rajat Setiya : And we don't want to get into carts, sales channels where in every major brand is selling through

that?

M. Sambasiva Rao : You're talking about push carts, right, as in cycle carts.

Rajat Setiya : Yes.

M. Sambasiva Rao : We have many of them. It's actually a large contributor to all.

Rajat Setiya : And one more small question on ice cream. So do we make milk -based ice cream only or its milk as well as vegetable oil?

M. Sambasiva Rao : We have both.

Rajat Setiya : And sir, in terms of competitive intensity in our two major states, is it the same over the last few quarters or has anything changed?

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Page 17 of 17 M. Sambasiva Rao : See, ice cream is actually a very large --

Rajat Setiya : Sorry to interrupt. General, not ice cream, I would say, milk -based and milk and value -added products, overall business and this question is about the overall business.

M. Sambasiva Rao : So I think the competition is actually a

good thing. As competition grows, product quality

improves and suddenly, consumption also increases, like dairy as such still has a long way to go as far as converting from unpackaged informal sector to formal packaged business, right? So even in products like curd, there is still a certain percentage of curd which is home -made, which can eventually become a package branded curd, right? So the more the competition, better for the industry is the way we look at it. Yes, a large part of the growth that we have seen in the industry is also driven by the increase in competitive intensity.

Rajat Setiya : So over the years, competition has increased, like Amul has been trying to enter new states. So are you seeing any competition?

M. Sambasiva Rao : For the last one quarter, it's been increasing for last several years. So whatever business results we are getting is in that reality.

Rajat Setiya : Sure. And what about Amul, sir? How about their entry into our core geographies?

M. Sambasiva Rao : Amul has been present in linear for markets for a long time.

Moderator : Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to Dr. Rao for closing comments.

M. Sambasiva Rao : Thank you very much for your continued interest and sparing your valuable time, making certain suggestions and look forward to hear you again in the next call. Thank you. Bye.

Moderator : Thank you. On behalf of Heritage Foods Limited, that concludes this conference. Thank you for joining us. You may now disconnect your line.

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Call: Aug 2023

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 82-23

4th August, 2023

To

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400 001

Scrip Code: 519552 To

The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, C-1, G Block, Bandra-Kurla Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst

Dear Sir / Madam,

In Continuation of our letter dated July 19, 2023 the Company had organized a conference call with the Investors/Analysts on Wednesday, August 02, 2023 at 16.00 AM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in.

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M..No: FCS-6317

Encl: a/a

About the Company:

Heritage Foods founded in the year 1992 is one of the fastest growing Private Sector Enterprises in India, with two business divisions viz., Dairy and

Renewable Energy under its flagship company Heritage Foods Limited and Cattle feed business through its subsidiary, Heritage Nutrivet Limited (HNL).

Presently Heritage's milk and milk products have market presence in Andhra Pradesh, Telangana, Karnataka, Kerala, Tamil Nadu, Maharashtra,

Odisha, NCR Delhi, Haryana, Uttar Pradesh and Uttarakhand. It has total renewable energy generation capacity of 10.50 MW from both Solar and

Wind for captive consumption of its dairy factories.

HERITAGE FOODS LIMITED

Q1 FY24 Earnings Conference Call

August 02, 2023

MANAGEMENT :

Mrs. N Brahmani – Executive Director

Dr. M Sambasiva Rao – President

Mr. A Prabhakar Naidu – Chief Financial Officer

Mr. Srideep N Kesavan – Chief Executive Officer

Mr. J Samba Murthy – Chief Operating Officer

Mr. Umakanta Barik – Company Secretary & Compliance Officer

Mr. Upendra Pandey – Chief Executive Officer, Heritage Nutrivet Limited

MODERATOR :

Mr. Anuj Sonpal – Valorem Advisors

Heritage Foods Limited

August 02, 2023

Page 1 of 20 Moderator: Ladies and gentlemen, good day, and welcome to the Heritage Foods Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand over the conference to Mr. Anuj Sonpal from Valorem Advisors. Thank

you, and over to you, Mr. Anuj.

Anuj Sonpal: Thank you. Good evening, everyone, and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Heritage Foods Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the first quarter of financial year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are

cautioned not to place any undue

reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mrs. Brahmani Nara, Executive Director; Dr. Sambasiva Rao, President; Mr. Srideep Kesavan, Chief Executive Officer; Mr. A. Prabhakara Naidu, Chief Financial Officer; Mr. J. Samba Murthy, Chief Operating Officer; Mr. Upendra Pandey, CEO of Heritage Nutrivet; and Mr. Umakanta Barik, Company Secretary and Compliance Officer.

Without any further delay, I request Mr. Rao to start with his opening remarks. Thank you, and over to you, sir.

M. Sambasiva Rao: Thank you, Anuj. Good evening to everyone joining us today on this call. We are pleased to welcome you all to this earnings call for the first quarter of the financial year 2024. The financial results and earnings presentation have been uploaded on the exchanges, and I hope you must have got the chance to look at them by now.

Let me take you through the financial performance for the quarter under review first. Heritage Foods achieved its highest-ever quarterly revenue during this quarter, which on a consolidated basis stood at INR924 crores, growing by 12.5% year-on-year. This was driven mainly by the continued strong momentum in value-added products, but registered a growth of 13.5% year-on-year. Heritage Foods Limited

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Page 2 of 20 year to reach INR322 crores and contributed to around 39% of overall sales, including fat products.

EBITDA stood at INR40 crores, which grew by around 68% year-on-year with EBITDA margins at 4.36%. The improvement in EBITDA on a year-on-year basis was driven by sale price increases in line with the raw milk cost increase, continued shift towards more profitable value-added products and scale-up of value creation and margin expansion initiatives. The net profit grew substantially by 129% year-on-year to INR17 crores.

Now moving on to the operational performance for the quarter. The average milk procurement during the quarter under review was 1.52 million litres per day as compared to 1.39 million litres per day during the Q1 of last year, registering a growth of 9% year-on-year. The average procurement price during the quarter stood at INR44.55 per litre, which increased by INR3.78 per litre over Q1 of last year.

And average milk sale price stood at INR54.59 per litre, which increased by INR5.43 per litre over last year's first quarter. The revenues from sale of liquid milk grew at 9.8% year-on-year despite volumes coming down marginally by 1% to 1.08 million litres per day with the average selling price increasing by 11% year-on-year. A good part of the quarter was adversely affected by unseasonal rains in our markets. Despite this, we were able to deliver growth in volumes and significant growth in transactions across most value-added products.

Curd sales during this quarter were at 435.6 tons per day compared to 424 tons per day during the last year same quarter. Strong volume growth in value-added products was seen across drinkables like buttermilk, milkshakes, etcetera, and ice creams too. Revenues of consumer fat products grew by 19.6%, primarily driven by price increase of around 25% plus, though we registered a small degrowth in volumes due to slowing consumer offtakes. We continued on our path to add innovative and unique value-added products. During the quarter, the company launched 10 new products like Cafe Latte, Cafe Mocha, Strawberry Lassi, Mango Lassi, Sweet Lassi, Paan Kulfi, Gulkand Kulfi, Roasted Cashew Ice Cream, Sitaphal Ice Cream.

On our distribution front, we continued our efforts in enhancing

reach and distribution, added

20,000 new outlets in general trade, with the addition of over 1,000 retail outlets for ice creams and value-added products. We also added 71,500 litres of chilling capacity and deepened our relationship with farmers, with a digital enrolment program for farmers on the VET+ APP.

With this we open the session for interaction. Thank you.

Moderator: Our first question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Firstly, a clarification more than a question. So, we have seen a 9% growth in milk procurement this quarter. However, I looked at the base quarter presentation and there I checked, it was 1.46

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Page 3 of 20 million litres per day versus 1.39 million litres per day that you mentioned on the call just now. So just wanted to understand, is there a discrepancy, have we rebased it, have we discontinued some procurement operations somewhere, just wanted to clarify this aspect?

Nara Brahmani: So, this is the correct number that we just shared with you. We will look into the numbers in the base quarter presentation again. But for accuracy sake, you can note the number that we had just shared with you.

Sameer Gupta: And there is no like discontinuation of some procurement operations anywhere, right?

M. Sambasiva Rao: No, we haven't had any discontinuation.

Sameer Gupta: Cool. Secondly, on the gross margin front, now on a Y-o-Y basis, you have seen a 160-basis points expansion, but sequentially, gross margins have contracted. Any read-through here?

Because we were told that cow flush has been quite normal and there was a trend of milk prices procurement basis kind of stabilizing and expect it to go down and no real benefits visible this quarter or is it just because we have kind of procured more than what we have sold and that is kind of a mismatch leading to this gross margin contraction here?

Srideep Kesavan: Yes. So, you would observe that in our gross margin and this is reflecting in the EBITDA margins as well. So, if this is primarily because of a provision that we have made on account of notional loss correction based on market prices for the surplus fats that the company is sitting on. In fact, the value amounts to INR10.5 crores.

And if I were to remove that one-time provision that we have made, which is actually provision based on prudence and -- fiscal prudence. And if I remove that, the bottom line, whether it is at gross margin level or EBITDA level would have improved by 0.3% or 0.3 percentage to 0.4 percentage in this quarter. So, on a quarter-on-quarter, our EBITDA would improve from 5.12% to 5.44%, if I keep this one-time provision aside. I hope I've been able to clarify.

Sameer Gupta: Yes, sir, that is helpful. But even on a milk procurement basis sequentially, you have seen a firming up of prices. So INR44.55 versus I think INR43 was what we had last quarter. So, this cow milk flush that really hasn't played out or it -- I mean, these numbers are there after it playing out or how do I read this?

Srideep Kesavan: Yes. So, see this is -- the numbers you're talking about is actually an average, weighted average of 3 months. In fact, within the quarter, we saw movements. April month was higher than March, then it stabilized at May level, and from June onwards, it has started coming off. And on an average, you will see that the quarter price is similar to the previous quarter, roughly similar, right?

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Page 4 of 20 But that was not how it was intra-quarter; it has come off. So actually, from beginning of June or end of May, we have seen prices come off, which is continuing at this point in time. Nevertheless, in quarter 1 of this year, we had increased market prices or consumer prices compared to quarter 4, which -- and in addition to it, the value-added products also grew on to

part of Q4, this is what has

expanded our margin for this quarter compared to previous quarter. And, of course, compared to previous year same period, I don't need to explain, this is a significant improvement.

Sameer Gupta: Yes, yes, sir. And just one last if I may squeeze in. So, 7% to 8% EBITDA margin guidance on a steady state basis. This quarter adjusted for that provision, 5.5%, are we still, I mean, guiding for 7% to 8% this year or you think that that's more of a medium term and this quarter -- this year might still be lower?

Srideep Kesavan: So, I don't think that we have ever given a guidance of 7 percentage to 8 percentage for this year. We have always mentioned that 7 percentage to 8 percentage is the EBITDA margin that we would like to be in. And that is what our north star is and that is what we work towards. And we can -- you have definitely seen -- if you've seen the last 5 quarters, you have seen that our margins have steadily improved on a quarter-on-quarter basis and that will continue going forward. We are aiming to be in that sweet spot or the preferred place of 7 percentage to 8 percentage EBITDA margin, but I don't think we have given any guidance that we will achieve that in this year.

Sameer Gupta: No, no, sir. I was saying that you have given any guidance. Yes, but that's helpful what you're saying.

Srideep Kesavan: Yes. But that is definitely the direction in which we're moving, you could say that.

Moderator: Our next question is from the line of Aniruddha Joshi from I-Sec.

Aniruddha Joshi: Yes. Sir, just wanted to understand if the prices have started correcting from June, so do we see possibility for margin expansion in September quarter? And the price correction that you indicated in June quarter, how sustainable is that or do you see that prices may remain stable or may not fall further from here on? Yes, that's it.

M. Sambasiva Rao: Mr. Sameer.

Nara Brahmani: Yes. Mr. Sameer, this is Brahmani here. Just wanted to clarify something on the previous question pertaining to milk procurement volumes. So Q1 FY '23 last year, milk procurement volumes were at 13.9 lakh litres without skim milk that we procure. With an additional volume of 0.76 lakh litres, it comes to that number of 14.66 lakh litres of milk procurement volume. So, the total milk procurement volume for Q1 of last financial year was 14.66 lakh litres in total. I hope that clarifies your question. Now moving on to the questions...

M. Sambasiva Rao: Aniruddha. Yes, Aniruddha.

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Page 5 of 20 Srideep Kesavan: Yes. The question that Aniruddha had asked, yes, so, first of all, I don't think that we would like to

give any guidance or forward-looking -- make any forward-looking comments. But it is very safe to say that the prices started coming down from end of May or beginning of June, and that trend continued for about 4 weeks or 5 weeks and the prices have stabilized at this point in time, which means that the current prices that we are procuring at is at an advantage compared to last quarter 1. But that said, I should also tell you that the sales mix change in quarter 2 compared to quarter 1, quarter 1 has got a lot of summer products that sell, and quarter 2 has got a little bit of share shift towards fat products basically ghee and butter, which happens due to festive period and all of that. So, the mix changes also. So, it will not be a like-to-like comparison. But I can very much say that one, the prices have softened a little bit compared to quarter 1.

Moderator: Our next question is from the line of Pratik Kothari from Unique Portfolio Managers.

Pratik Kothari: Sir, just one clarification. One, we have mentioned in the press release that INR44.6 is the milk procurement price this quarter. What was it in quarter 4? Was it INR45.7? Basically, it has reduced, right, on a quarter-on-quarter basis?

M

M. Sambasiva Rao: This is basically the mix of cow milk and buffalo milk. The contribution of cow milk has increased, but if you take cow milk versus cow milk, there is an increase of price by 0.5% and buffalo milk rate per litre increased by 6.9%. But overall, it is shown as minus 1.2% because of the change in the mix of milk procurement.

Pratik Kothari: Correct. So, the procurement price which we mentioned in our press release is blended, right?

Srideep Kesavan: 0.5%.

Pratik Kothari: Sorry?

Srideep Kesavan: The weighted average procurement price per litre came down from INR45.1 per litre to INR44.5 per litre in the quarter.

Pratik Kothari: So, sir, if we take out this INR10.5 crores of provision that we've made and in light of procurement price coming down, we took some price rise, our value-added products have gone up from roughly 30-odd percent to 37%, 38%. But still if you look at gross margin quarter-on-quarter, it's still flat, I mean, even if we take out this INR10.5 crores. Can you explain this?

M. Sambasiva Rao: Yes, but even otherwise.

Srideep Kesavan: Yes. So, see, actually it has -- this is -- the numbers that we are telling at this point in time, whether it is INR44.5 per litre or INR45.1 per litre and all, these are all weighted average at the company level. We are currently -- as you are aware that we are procuring across 9 states in the country and we sell our products across 11 states in the country, right? So -- and this is just a

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Page 6 of 20 buffalo to cow milk difference itself can create this kind of mix change despite individually buffalo milk prices going up and individually cow milk prices going up, the mix change has made the weighted average come down by 1.2%.

So, these things don't directly translate to margins on a straight-line method, because we procure in each region and we sell it in each region, and each region's realization is different from one another. For example, one of the fastest-growing regions that we have, Karnataka has got a lower realization compared to Hyderabad, right? So, there is a lot of mix effect which happens.

But directionally what I'll advise you to look at is the improving scenario. The improvement that we have been registering on a quarter-on-quarter is something that I want to draw your attention to, which even on a -- even at the gross level basis, we have actually improved by 0.4% if I remove the one-time provision.

Pratik Kothari: Correct. Because, sir, our value-added products went from 28% of sales to 35-odd percent. Our

procurement is lower average, higher -- I mean 0.4% seems lower and hence the question. And then sir, just...

Srideep Kesavan: I would also like to clarify one thing. In the previous quarters, whenever we declared value-added products, we were only talking about value-added products without fats. And as is the industry practice from this quarter onwards, we are giving both numbers. So, the value-added products when we said is close to 39 percentage includes fats. Without fats, our value-added product contribution currently stands at 35.3%. I just wanted to clarify that. But I take your point that this is higher than the value-added product contribution in the quarter 4 of last financial year for sure.

Pratik Kothari: Correct. Correct. Sir, last quarter we had stocked up a lot on inventory, SMP, what we converted our milk into. I mean any liquidation of that in this quarter? I mean, how much of that older inventories still left?

Srideep Kesavan: Yes. So, see, the quantity that we had kept it was for our internal consumption. There are 2 routes of consumption. One is for consumption for our products, because quarter 2 usually is the leanest month and the raw milk volumes drop and the uses for our products. And secondly is for our consumer products, whether it is in butter form or in ghee format. And

usually, quarter 2 and

quarter 3 are when the fat products peak due to festive effects and all of that.

So, we are estimating that in the next 3 months to 4 months, the entire inventory that is sitting -- they're sitting on will get liquidated. We actually need it for our own purpose. The valuation correction we have done it only in line with how the raw milk prices have dropped. And today, if we were to procure these fat from outside, we would have procured at a lower cost than what we had generated a few months back. I hope that clarifies.

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Page 7 of 20 Pratik Kothari: Correct. Absolutely. And sir, last question is on the broader side, in terms of procurement and also

in terms of demand, if you can just lay out how does the scenario look like from a demand and also supply perspective?

Srideep Kesavan: So, see, the procurement -- on the procurement side, milk production, we have definitely seen an improvement. And this improvement we have seen across all regions of the country, especially the biggest improvement in terms of production, we have seen in Maharashtra. But that said, it was not limited just to Maharashtra, across all parts of the country, we have seen production improvement, which is actually a welcome sign -- yes.

Strange day, we're having continuous problems with this device. Apologies for that. Answering the question raised by Mr. Kothari on the procurement side or on the milk supply side, we are seeing very good progress, the sense of production across all regions of the country is on an upswing. And this is primarily driven -- primarily based on -- primary cycling a lower production year which we saw in the last financial year, calendar year. So that's good news on the production side.

On the demand side, we do not have any reasons to worry as of now, but for the quarter, we were slightly set back because of inclement weather in many of our markets and usually it was not as good as the summer that we had expected. Last summer, if we compare on a temperature like-to-like basis for each month, actually in several regions, the temperature was at least 2 degrees or 3 degrees lower than same period last year, even in terms of rainfall and number of rainy days also was much more, which negatively impacted some of the summer products, like whether it is curd, buttermilk, ice cream, et cetera. So, on demand side, there is nothing that causes any worry except that the weather was not so great.

Pratik Kothari: Correct. Sure. Sir, just really appreciate this, the INR10.5 crores provision that we made, if you could have mentioned that in the notes to account, I think that could have been better, otherwise, thank you, and all the best, sir.

Moderator: Our next question is from the line of Viraj Mehta from Equirus PMS.

Viraj Mehta: Yes. Sir, my first question is regarding the lost sale. I mean because you talked about procurement being slightly challenging, is there any amount that present in your press release, what would be the quantum that you think you would have lost due to lost sales due to that?

Srideep Kesavan: No. I don't think that we -- I don't think that we've ever mentioned that we have challenges to -- answering the specific question and it might be a misunderstanding or misrepresentation of what we said. So, I'll just clarify that as a company, we operate in more than 11,000 villages across 9 states. We have -- we operate 204 chilling centres, which are spread across these states.

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Page 8 of 20 And we have been consistently expanding the procurement side investments also on every quarter -- in every quarter. And this quarter also, we have declared that we have expanded our

procurement capacity by 71,500 litres per day. And today, cumulatively, we have a capacity to procure upwards of 22.3 lakh litres of milk every single day.

So -- and on top of it, we are expanding and engaging our farmers in a more meaningful manner, which goes just beyond the transaction relationship of buying milk and paying money as in we are engaging with them in terms of the inputs that we provide to the farmers, in terms of high-quality feed that we provide from our company, in terms of the veterinarian services that we provide. We have 17 veterinarian doctors and many assistants who provide service to our farmers in terms of veterinary care. We have got an internal app called as VET+ APP, which has 120,000 or 1.2 lakh monthly active users. These are farmers who use our VET+ APP for improving their productivity at the farm level. So, in terms of procurement, I don't think that we have ever mentioned that we have any challenges, and we absolutely have not lost even 1 litre of volume because of difficulties we may have had at procurement.

Viraj Mehta: Okay.

Srideep Kesavan: And it's probably the misunderstanding that may have happened is with some statements which meant that the last financial year saw milk volumes are not growing as expected across -- the milk production not growing as expected across the country, and that is an industry-wide phenomenon, which was felt by all players in the industry.

Viraj Mehta: Sure. Sure, sir. And sir, just last one question. Is it fair to assume that from this quarter onwards, in terms of margin accretion, you're looking at INR10.5 crores one-time loss that you -- or revaluation year-to-date, plus there will be lower procurement prices compared to average of last month, and plus, you took a pricing increase of milk in last quarter. And the only negative factor to offset some bit of those will be the worse of mix that you talked about because summer is obviously higher buttermilk and curd and all of that. And there is more fat in the second quarter and third quarter probably. So, is that a fair way to understand our margin profile going forward?

Srideep Kesavan: Yes, that is in a very fair way. But to put numbers on any of this would be unfair. That's the only thing because we are a company that operate across 11 states, and each state behave in different fashion. There are different parameters at play, some states might have excess rain, some states might have dry season. Our margin profile in each of the states would be different. So, it's -- there's a lot of things at play. That's the only address I'll give. In addition, we're also...

Viraj Mehta: No, no, on an average I'm talking sir.

Srideep Kesavan: Yes. In addition, we are also taking several value creation initiatives, which will keep increasing the profitability going forward.

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Page 9 of 20 Moderator: Our next question is from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: My question is, let's say, in last 5 quarters, we have seen very good growth on the revenue. And even before this good growth started for us, there were some procurement mismatches in states that somewhere we procured more, somewhere less than what we sold. So just wanted an update on how those mismatches being corrected?

And for the future growth, we'll still need more milk. So, the approach that we are following is first, let's build up sales and then do procurement or we build procurement first and then think of sale, because I think our high inventory buildup could also be because we want to compensate for these mismatches. Any comments here would be very helpful?

Srideep Kesavan: Yes. So first, let me address some mismatches. So, there are 2, 3 questions in your one single question. Mismatches, see, is our endeavour to procure, process and sell in one region in the most efficient manner. That's our business model. That is why Heritage -- that's what Heritage is most famous for. That's what makes our products fresh and most delicious. But that said, it's a -

- this is

a natural product, which has certain cyclicity, intra-year cyclicity as you understand. And then north of India has flush season, that could very well be a lean season in Tamil Nadu, right? And these kind of things happen. And when we operate in like millions of litres per day kind of volume, you will see that certain regions in certain times might be producing more than it can consume and certain other regions might be producing less than what it needs. Because of which as a company operating across 11 states, we have -- we manage this internally through plant-to-plant movements.

But this is a very small percentage you can say that plus or minus 10 percentage we are forced to manage it in this fashion. And it's not just Heritage, I'm sure that there are all the other dairy companies operate in a similar fashion, right?

Now that said, currently, I do not think that it is -- it's of any concern to us, and that is not -- definitely not the reason why we ended up with excess inventory that we carried or rather this particular situation that you are talking about, it is just a function of our increased volumes. For example, if we are looking at the period from July to October of this financial year, we expect our sales to be much higher than what it was last year same period, which requires certain quantities of

fats and skim milk powder that we need to carry as an inventory. It is just so that we procured them at a time, or we procured or converted them at a time when the milk prices were at the highest.

And the milk prices have come off the cliff since then. And we have just corrected the value to current prices as far as the inventory is concerned, that's all. I don't think that this would have been any different if there was a perfect match between procurement and sales. And that does not even happen because there is always a mismatch between procurement, peak and sales peak.

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Page 10 of 20 Digant Haria: Perfect. Thanks, Srideep. That was very, very detailed and helpful. And second question is on our

3 focused value-added products, the paneer, curd and ice cream, if you could just give a little bit of the initiatives and how has those things panned out for us in the last 3 months to 6 months?

Srideep Kesavan: So, curd, I think is doing very well for us. It's our first most important value-added product. And in this summer, we have had -- we launched an above-the-line marketing campaign as well. We were on television. We also used multiple other mediums like out-of-home advertisement, we use digital to the maximum possible. So, we created a lot of excitement around as far as our curd is concerned. And this has also resulted in like when we look at same-store growth, we have been able to deliver much higher same-store growth than in the previous period because of -- thanks to all of this.

As far as paneer is concerned, we are continuing to expand our distribution. I can safely say that we have expanded our distribution at least by 50% compared to same period last year. So, quarter 1 to year-on-year basis, we must have expanded our distribution by 50% as far as paneer is concerned. So that is also growing for us. And ice creams, we have shared with you that so many innovations we have done in the ice cream space. And in terms of ice creams, we have also added 700-plus freezers during this quarter, and that has also helped us expand the footprint for our ice cream business.

Moderator: Our next question is from the line of Rajat Setiya from iThought PMS.

Rajat Setiya: Sir, with regards to direct online payments to the farmers, where do we stand today and what is our thought process?

M. Sambasiva Rao: So almost we are doing at about 28% now to -- directly to the farmer. And through our representatives also, where remaining it is going. And our farmer payments are increasing quarter-to-quarter,

month-on-month.

Rajat Setiya: 78%, did you say?

M. Sambasiva Rao: 28%. So, 28 percentage is directly credited in the farmers' account and the rest is paid through the agents.

Nara Brahmani: Through bank transaction.

Rajat Setiya: Okay. And...

Srideep Kesavan: 100 percentage is bank transaction, there's no cash involved.

Rajat Setiya: Okay. And when you say agents, since we procured 100% very directly, so what do you mean by agents?

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Page 11 of 20 M. Sambasiva Rao: In every village, we have a group of farmers who supply milk to Heritage. One among them, a

progressive farmer is called representative of Heritage, mostly called agents. So, he collects milk from all the farmers every day, both the shift, along with his own milk and they aggregate into cans and from there company vehicles collect the milk to village.

If it is direct procurement only in all senses except there is a payment system that happens into his account, and he transfers the money to others. In case of others, milk procurement mechanism is same, one of them is representative, and he or she collects milk from all the individual farmers in the village and company vehicle will pick up. But in those cases, the farmers offer their account, bank account and money gets company -- from company account directly to the farmer account.

Rajat Setiya: Okay. Any particular reason why we do it through somebody and not directly to the farmers? And do we want to change it?

M. Sambasiva Rao: That is based on the historical issues of villages not having the branches of banks in those days, and they have no digital applications for collection for picking up money, et cetera. This is becoming more and more popular as the digital infrastructure has increased in the recent years.

Rajat Setiya: Okay. So, what about the new farmers, which probably we would have onboarded in the last 2 years, 3 years? Are they 100% direct or they are also...

M. Sambasiva Rao: Post COVID, the digital infrastructure has set up -- was established very well in almost all the

areas, use of smartphone, use of UPI has increased. So now 99% of the farmers adopt the digital mode. So, we don't have any conventional mode of payments now, 100% new farmers go on to digital right, right from enrolment of farmers is also done digitally, all the transactions are done in digital mode. It was...

Rajat Setiya: Okay. Okay. Even for the new farmers, payments may happen through agents, but in a digital mode, correct?

M. Sambasiva Rao: No, no, no. new farmers are offering their bank accounts and payments are directly done to the bank account of the individual farmers, whoever is joining, let's say, last 1 year. Prior to that, we had a mix. Now we are ensuring that they are on digital platform.

Rajat Setiya: Okay, understood. And how many of our villages will have milk analyser? Is it 100% or lower number?

M. Sambasiva Rao: Close to 90% have in different modes. Some are company-owned, some are company finance, some are owned by them, et cetera, but 90% will have analysers in all their collection centres. The remaining also, we are going to complete soon.

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Page 12 of 20 Rajat Setiya: Any particular reason why we have taken so much time to implement that? Is there a practical challenge to doing that or...

M. Sambasiva Rao: It's on the volume part, still there is some reasonable volume, it is not viable for them or for us.

Rajat Setiya: Okay. Okay. Understood. Understood. Sir, one request just like the previous participant that whenever we are taking any provisions or something which is really material, it will be really helpful to disclose that in the presentations or the quarterly results that we upload. Besides updating our presentation will also be helpful because if you see the number of parlours that we are talking about

that we have, the number is quite an odd number, and it is stagnant from the last 5 years, 6 years, I mean few years, at least. So, it will be really helpful if you can update those numbers in the presentation. That number is 859. It remains intact.

M. Sambasiva Rao: It is actually same.

Rajat Setiya: We haven't added or...

M. Sambasiva Rao: Wherever there are...

Rajat Setiya: Any particular reason we have not added?

M. Sambasiva Rao: Yes, just I'll address. First of all, thank you for the suggestion about the notification of those materialistic issues in the results. Second, about the parlours number is actually same. We also feel that one can -- one may tend to believe that number is not updated. But there are certain dropouts during the year.

We just refilled them with the new franchisees or some -- a few of them have gone in the road widening or traffic issues, we'll replace in somewhere else. We are focusing on expanding our distribution centres, where there are 2 advantages. One is retailing happens across the country. Second, distribution also happens within the neighbourhood. So, we are focusing on expanding our distribution centres, which are akin to parlours in most of the states. The parlour number as mentioned at static level, we are neither adding or removing except replacing wherever there are certain dropouts.

Rajat Setiya: Okay. Understood, sir. My apologies for misinterpreting this number.

M. Sambasiva Rao: They are called Happiness Points, which are an improved version of parlour. So, in the distribution channel, both look alike, and both serve the same purpose, but we have frozen that number of parlours there and expansion is through the Happiness Points, which are also called distribution centres.

Rajat Setiya: All right. Understood, sir. Wish you all the best.

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Page 13 of 20 M. Sambasiva Rao: Glad you brought it up. It might be bothering a few more.

Rajat Setiya: Sure, sir.

Moderator: Our next question is from the line of Mr. Aditya from Securities Investment Management Co.

Aditya: Yes. Sir, if you could help us understand when does the flush season start for us? And how do the procurement prices behave in a period where there is a flush season versus a period where there is no flush?

M. Sambasiva Rao: \$1 million or \$1 billion loss. When the flush season starts, we used to have a very standard answer in the past, October is the beginning of flush season. But things have changed with these climate issues, COVID issues, last 3 years, the start date of flush season, we are able to recognize in hindsight, not able to see it when it happens, because it's not happening. Last 2 years, actually, the flush season did not even happen. And this year, suddenly milk procurement started improving in the month of June, which is actually a difficult quarter otherwise summer quarter.

So, the traditional identifiable period is October to March, where the production of milk from animals is high and availability of milk is high. That's why it's called flush, but that got blurred now, the base and months are blurred with the climate change issues and COVID -- post COVID and lumpy skin diseases etcetera. We do hope this year onwards, the flush begins again in October in a predictable and certain way. And the prices do behave exactly the same. Typically, in the flush season that is October to March, the weather also will be cold. So, the demand side, there will be drop, production side, there will be surplus and heavy inflows. So, the prices also at farm gate goes down a bit during this period.

And as we enter summer in the month of -- towards the end of March, April in certain months, certain geographies, maybe May, June in certain geographies, prices at farm gate start rising as demand increases and production fall begins. That is the pricing cycle. What I'm explaining is t

he

traditional conventional in the past, but this has changed. This has become a bit uncertain, unpredictable with the kind of weather you are seeing nowadays.

Aditya : Got it, sir. So, assuming that is a normal flush starting from October and the procurement prices, as you say, is generally soft. So, do we pass on the lower procurement price to the customer, or we take the benefit?

Srideep Kesavan: No. So, if I could just summarize what you just heard now, this is a hypothetical question, right?

So, we don't expect -- we think that the prices would marginally come down from now until end of December. And that benefit will actually accrue to us as far as the procurement pricing is concerned. Because usually, we have never done market price correction in the past in terms of like a downward revision. I don't think they have ever done this in the past. I don't see any reason

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Page 14 of 20 why we'll do that in the future also. But I don't think anyone in the industry also ever does a downward price revision. So that's fair.

But at the same time, I'd also request you to please be -- like in the earlier section also I mentioned this that it cannot be considered as a very linear thing, because the market mix changes, the product mix changes, a lot of things change. So, it doesn't mean that, let's say, procurement prices come down by 5 percentage that will accrue to bottom line on a straightforward manner. But any which ways we expect the procurement price to be lower than what we are paying today.

Aditya : Got it, sir. And sir, what is the percentage of procurement we have from different states, if you could just tell us the percentage?

Srideep Kesavan: See, as I mentioned, we procure from 9 states. We actually have never given percentage procurement from various states. But I can safely say that the largest state as far as procurement is concerned are AP, Tamil Nadu, Maharashtra, Telangana. Apart from that, we also procure a little bit of volumes from Karnataka. We procure from Odisha. We procure from Haryana -- sorry, procure from Rajasthan, Punjab, UP. So, it's pretty spread out for us.

Aditya : Got it, sir. And any trends which you can say regarding the procurement prices for the different states we take from. So, any particular state which has seen a larger fall?

Srideep Kesavan: Larger fall, no. Procurement volumes have actually -- you're talking about volumes or prices?

Aditya : Sir, prices.

Srideep Kesavan: Yes. Prices -- see, prices have come off the peak in a similar fashion across, but you could say that it is mostly, let's say, Maharashtra, which has led the -- as in, in terms of procurement price improvement has been significant in Maharashtra. And I think it's followed similarly across all markets. So, a little bit here or there.

Aditya : Got it, sir. And so, when the procurement prices come down, we get the advantage of the higher selling price in the milk, but for a value-added product, do we keep the prices same, or we pass on some benefit to the customer?

Srideep Kesavan: So, see, listen, we should think of it as a maximum retail price as far as consumers are concerned, right? So maximum retail price usually is never corrected downwards, whether it is for milk or value-added product. But the net realization that the company benefits from is a function of the promotions that we run, is a function of the trade margins we share with our trade partners, etcetera, etcetera, right? And that might go up or down, which is what we report as the net revenue per litre or kg, that in, let's say, a tougher sales period, even though we may not revise the MRP or the consumer price, we might pass on the price and the net revenue could come down or go up as the case might be. But net-net, if you look at in long term, it's always an upward moving number.

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Jagvir Fauzdar: Yes. My first question is related to the procurement. So, can you tell us what percentage of procurement we took from the North India?

M. Sambasiva Rao: The procurement you're asking about?

Jagvir Fauzdar: From North India, North India. What percentage of procurement we took from the North India?

Srideep Kesavan: Yes. See, our business in North is roughly around 4 percentage to 5 percentage of our overall business. So, you could say that the procurement will be in line with that.

Jagvir Fauzdar: Okay. The next question is related to the competitors. So, we have same competitors in the same areas, both are listed. So, they have very higher margins. So, what is the difference between them and us, why we don't make these kind of margins?

Srideep Kesavan: Yes. See, if you compare the top 4 private dairy companies, all 4 have very different business models, right? Like somebody might have a higher contribution from ice creams, somebody might have a higher contribution from B2B business or from, let's say, cheese and fats, somebody else might have a higher contribution from certain states, where price advantage might play out in certain times. So different people have different business models. So -- and these business models play out differently at different times, right?

There are times when there are certain states have an advantage on the procurement side because of suppressed prices maintained by the lead state cooperative in that state because of which the procurement prices in that particular state might be lower. They might have an advantage or certain products might work very, very well. There are also on the downside, there are signs when, let's say, for example, the B2B business goes down as we saw during COVID, there are certain companies that have to take a massive hit because of that because of provisions that they have to book. So, I think that it is very difficult for anyone to compare on a like-to-like basis and make predictions.

My recommendation is that, see, our business model is very clear, and we have been actively, proactively communicating on what we intend to do. We are diversified across regions, and that derisks us because we are not -- we have not put all our eggs in one basket. And we are on a constant push to increasing our value-added products contribution. We have made -- we have openly stated that it's our ambition to take our value-added products to 40 percentage contribution as far as business is concerned. We have also mentioned that it's our stated ambition to grow our business consistently and consecutively quarter-on-quarter and take it to a INR6,000 crores revenue in the nearest possible time frame.

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Page 16 of 20 And we have also mentioned that the value creation initiatives or the initiatives that we have taken to expand our margins will allow us to take our business steadily towards the 7 percentage to 8 percentage EBITDA corridor over a period in time. So, if you're looking at Heritage on Heritage, you should be able to see improvement in the medium term as well as long term. That's what I can say at this point.

Moderator: Our next question is from the line of Sneha Jain from SKS Capital.

Sneha Jain: Hello?

Moderator: Yes, ma'am. Please go ahead with your question.

Sneha Jain: Yes. I just had a question regarding the shareholding pattern. You have been at 41% across for quite some time. I mean, why aren't we looking to increase it to 51%? I mean are we -- at least 51% or increasing it. Are we looking for stake sale or something of that sort?

M. Sambasiva Rao: Can you repeat what -- we didn't get you.

Moderator: Ma'am -- Sneha, ma'am, we request you to use your handset, please, as your audio is not...

Sneha Jain: I'm using it. Just

take a second. Am I audible? Better?

M. Sambasiva Rao: Yes. Go ahead.

Moderator: Yes. Please go ahead.

Sneha Jain: Yes. I just wanted to ask the shareholding pattern has been at 41% promoter holding basically for quite some time. So why aren't we like looking to increase it to at least 51%? Are we looking at a stake sale or any buyout or anything of that sort, I mean, or some institutional buying or something like that?

Nara Brahmani: Sneha, this is Brahmani here.

Sneha Jain: Yes.

Nara Brahmani: See, that is not the intention we have as a company. We are inspired by the vision of the company and the future growth prospects. And the idea is to stay committed in the growth journey of INR6,000 crores and beyond and to improve the image of the company, and make ourselves not just a large value-added product player, but the number 1 value-added product player in the dairy industry in India. So, there's absolutely no thought of stake sale or anything like that from the promoter family side that is under thought or that's being entertained.

Sneha Jain: So why aren't we looking at increasing our stake, the promoter stake?

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Page 17 of 20 M. Sambasiva Rao: That's a function of resource allocation to various portfolios, maybe that is private to them.

Sneha Jain: Okay.

Nara Brahmani: If you have any thoughts, we are happy to listen to your thoughts and ideas.

Sneha Jain: No, we have been investing, like we have been investing in the company for quite a few years, and I have been now like very faithful to the company actually. So, an increase of stake by the promoters in the same state would like even make us happy that is what the intention was of asking the question.

M. Sambasiva Rao: We are trying to make you happy with our performance first.

Sneha Jain: Yes, that is right. Of course, that's fair.

Moderator: Our next question is from the line of Yogesh Bathia from Sequent Investments.

Yogesh Bathia : Sir, I wanted to know what was our volumes in FY '23 and -- full year FY '23 and full year FY '22? That's it.

Nara Brahmani: Procurement volume -- volumes or sales volumes?

Yogesh Bathia : Volume, volumes, volumes, sales volumes, sales volumes not procurement volumes.

M. Sambasiva Rao: Sales volume.

Nara Brahmani: Are you looking at Q1 volumes?

Yogesh Bathia : No, no, ma'am, full year, FY '22 and FY '23 .

Nara Brahmani: Please give us a moment while we pull up the exact numbers.

Yogesh Bathia : Yes.

Nara Brahmani: Perhaps in the meanwhile, we can take questions.

M. Sambasiva Rao: Yes. I will tell you the overall volume. Hello? Yes. So, the FY '22, it is 13.5 lakh litres , FY '23, it is 15.01 lakh litres .

Yogesh Bathia : FY '22 was how much, sir?

M. Sambasiva Rao: 13.5 lakh litres .

Yogesh Bathia : 13.5 lakh litres and FY '23 is 15 lakh litres ?

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Page 18 of 20 M. Sambasiva Rao: Yes.

Yogesh Bathia : Okay. And sir, should we expect a reasonable 8% to 10% volume growth from the network that we are increasing and the -- yes, from the network that we have increased and organically also?

M. Sambasiva Rao: Yes, that's what we aim to achieve.

Moderator: Our next question is from the line of Aman Vij from Astute Investment Management.

Aman Vij: Yes. Sir, my question is on the -- if you can give the region -wide sales? And where are we seeing more stronger growth? Is it East region or -- sorry, is it West region or is it the South region where we are seeing stronger growth?

Srideep Kesavan: So, let me first talk about the regions where we sell like, of course, like we are headquartered in Hyderabad, so Telangana, AP, Tamil Nadu, Karnataka, Maharashtra, Odisha. We sell in Delhi NCR region. We sell in Haryana. We sell in Punjab, and we sell a little bit in UK, Uttarakhand as well. That said, let's say, you are aware that primarily large part

of our volume comes from the

South, the -- and the contribution from North and West are roughly similar.

In terms of volume growth, we are seeing -- of course, we are seeing much faster growth in the smaller geographies for us, whether it is North, West or the other regions, which are, let's say, whether it is Karnataka, and all are all much faster -growing markets for us compared to our home ground, which is Telangana.

Aman Vij: Sorry, sir, what is the current contribution from North and West? You said they are equal, but in terms of overall sales, what is the current contribution on North and West region individually?

Srideep Kesavan: Roughly 7 percentage to 8 percentage will be the contribution, both combined.

Aman Vij: Okay. So, 90% plus is still these 4, 5 states in and around Telangana and UP, right?

Srideep Kesavan: The Southern 4 states, you could say.

Aman Vij: Southern 4 states. Yes. Sir, my next question is on the value -added product ...

Srideep Kesavan: Also, where I missed Kerala. Yes.

Aman Vij: Sure, sure. And say, going forward, whenever we achieve that INR6,000 crores sales number with the aspiration , do you think the North and West can be, say, around 20%, 25% of our sales or do you think the mix will be broadly the same ?

Srideep Kesavan: Okay. So, you don't want to put a number on it. But I can very safely say that the contribution of North and West would be much, much higher than what it is today, for sure.

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Page 19 of 20 Aman Vij: Sure, sir. My next question is on the value-added side. So, we have 1 or 2 categories where we are -- where we get greater than INR100 crores sales. If you can talk about -- do you think some of these categories over the next 3 years, 5 years, is there a potential for them? I'm talking about non-curd value-added because obviously curd is a major contributor. But do you think some of these categories can become a INR300 crores to INR500 crores category over the next 3 years, 5 years for us in non-curd value-added I'm talking about?

Srideep Kesavan: Yes, absolutely. So, we are -- see, let me reiterate that, see, curd is something that we are very proud of. In fact, Heritage is known for its curd. Our consumers really love our curd and can't have enough of it. So, we are trying our best to be the largest curd player in the country. Today, I -- we reckon that we might be the third largest in terms of volume or value. So that curd itself is going to be a large driver of growth for us, and it is as profitable as any of our other value-added products in our portfolio.

But that said, we have not -- our ambition is not limited to curd, primarily because consumers enjoy dairy products in multiple forms throughout the day in multiple occasions, where the needs are different. For example, if somebody wants to have an indulgence, the consumer might pick up an ice cream and not a curd.

The same way if the consumer is looking for a health drink, she or he might be picking up a flavoured milk or any other beverage compared to a curd. So, we are invested and in the previous calls also, we had mentioned that we have divided our value-added products portfolio into 5 category clusters as we call it, whether it is foods, drinkables, sweets, fats or ice creams.

And we have a very clear strategy in place for growing all these categories individually because the growth strategies of each one is very different. And when we think about the time when we would be at INR6,000 crores revenue in each of these categories, whether it is sweets or fats or each one of them will be a sizable contributor to our value-added product portfolio. Of course, curd will continue to be the largest contributor, but all these others will also be meaningful and significant contributors. Some of them would cross INR300 crores in revenue, and some of them might even cross INR500 crores in revenue.

res in revenue.

Aman Vij: That's very good to hear. On the marketing spend side, even we are trying to create and expand on the value-added portion in category. So, what is the marketing budget we have set for this year?

And what was it, say, for last year, if you can talk about the same?

Srideep Kesavan: Last year, we spent 0.5 percentage of our revenue in marketing. And we have been extremely prudent in the way we have spent our marketing money. So, we have made our every penny sweat and work the best for -- as far as delivery is concerned. So within -- when we compare our delivery metrics compared to the industry, we are much better off compared to anyone.

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Page 20 of 20 And this year, we have budgeted for 1 percentage of our revenue as marketing budget, but there is no -- obviously, these numbers can change over a period in time, this marketing happens when we need it. And currently, the investment that we have is going hand in hand with the distribution expansion and the innovations we are doing in the field.

Aman Vij: Sure, sir. Final question from my side. So, this quarter growth, were it as per your expectation, were it below your expectation, if you can talk about the same? Because last 4 quarters, 5 quarters, you were growing at a much faster rate than we did this quarter. So...

Srideep Kesavan: Definitely, it is -- I can very safely say it is below our expectation, right? And primarily, I should say that this was primarily on account of weather, especially in the markets where we operated, and this weather has become a little unpredictable as you all know. So, the 2 months, April and May were actually quite harsh as far as the weather is concerned, especially in our growth markets, we saw temperature dip as far -- as high as 5 degrees.

The average temperature dip by 5 degrees compared to previous months -- previous year, same month. But what is so encouraging for us is that in the month of June, where the weather and temperatures were comparable with the same period in the last year, our growth numbers are hitting on budget and our target. So, we are back on track from June onwards. So yes, the numbers could have been better if the weather was much better.

Aman Vij: And you are not seeing any weather impact, say, in July, August or have you seen any impact in this quarter as well?

Srideep Kesavan: No. See, at this point in time, July has gone up weather-wise, it was good. But what I should say is that you look at Q1, Q1, I think that this was the freakish quarter that we have had as far as weather is concerned. And we still delivered close to 13 percentage of growth. So, we are working on strategies that will weatherproof ourselves. We'll have to work hard on that one.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question-and-answer session. I would now like to hand the conference over to Dr. Rao for closing comments.

M. Sambasiva Rao: Thank you, all. Thank you for your continued interest in Heritage. And thanks for all your suggestions and particularly the accounting reporting suggestions which we missed. Thank you

once again, and look forward to continued interaction in the coming quarters as well . Bye.

Moderator: Thank you. On behalf of Heritage Foods Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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Call: Oct 2023

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 110-23

24th October, 2023

To

The Secretary

BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Scrip Code: 519552 To

The Manager,

Listing Department, National Stock Exchange of India Limited Exchange Plaza, C-1, G Block, Bandra-Kurla Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst

Dear Sir / Madam,

In Continuation of our letter dated October 9, 2023 the Company had organized a conference call with the Investors/Analysts on Friday, October 20, 2023 at 10.00 AM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in.

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M..No: FCS-6317

Encl: a/a

About the Company:

Heritage Foods founded in the year 1992 is one of the fastest growing Private Sector Enterprises in India, with two business divisions viz., Dairy and

Renewable Energy under its flagship company Heritage Foods Limited and Cattle feed business through its subsidiary, Heritage Nutrivet Limited (HNL).

Presently Heritage's milk and milk products have market presence in Andhra Pradesh, Telangana, Karnataka, Kerala, Tamil Nadu, Maharashtra,

Odisha, NCR Delhi, Haryana, Uttar Pradesh and Uttarakhand. It has total renewable energy generation capacity of 10.70 MW from both Solar and

Wind for captive consumption of its dairy factories.

HERITAGE FOODS LIMITED

Q2 FY24 Earnings Conference Call

October 20, 2023

MANAGEMENT :

Mrs. N Brahmani – Executive Director

Dr. M Sambasiva Rao – President

Mr. A Prabhakar a Naidu – Chief Financial Officer

Mr. Srideep M Kesavan – Chief Executive Officer

Mr. J Samba Murthy – Chief Operating Officer

Mr. Umakanta Barik – Company Secretary & Compliance Officer

Mr. Upendra Pandey – Chief Executive Officer, Heritage Nutrivet Limited

MODERATOR :
Mr. Anuj Sonpal – Valorem Advisors
Heritage Foods Limited
October 20, 2023

Page 1 of 20 Moderator: Ladies and gentlemen, good day and welcome to Heritage Foods Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal. Thank you and over to you Anuj.

Anuj Sonpal: Thank you. Good morning everyone. A very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the investor relations of Heritage Foods Limited. On behalf of the company, I'd like to thank you all for participating in the company's earnings call for the second quarter and first half of the financial year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently a

vailable to management.

Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us : Mrs. N. Brahmani, Executive Director, Dr. M Sambasiva Rao, President, Mr. Srideep M Kesavan, Chief Executive Officer, Mr. A. Prabhakara Naidu, Chief Financial Officer, Mr. J. Samba Murthy, Chief Operating Officer, Mr. Upendra Pandey, CEO of Heritage Nutrivet Limited and Mr. Umakanta Barik, Company Secretary & Compliance Officer. Without any further delay, I request Dr. M Sambasiva Rao to start with his opening remarks. Thank you and over to you, sir.

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Page 2 of 20 Sambasiva Rao: Thank you, Anuj. Good morning to everyone. We are pleased to welcome you all to this earnings call for the second quarter and first half of financial year 2024. The financial results and earnings presentations have been uploaded on the exchanges and the website of the Company and I hope you must have had a chance to look at them by now.

Let me take you through the financial performance for the quarter and the review first. Heritage Foods achieved its highest ever quarterly revenue, which on a consolidated basis stood at INR979 crores, representing a growth of 20% year on year. This was driven by continued strong growth in value-added products.

EBITDA for the quarter was INR47 crores, which grew by 18% year on year. EBITDA margins were reported at 4.81%. Net profit for the quarter was INR22 crores, which grew by 18% year on year, with PAT margins reported at 2.29%. For the first half of the financial year 2024, our consolidated revenue grew by 16% year on year to INR1,902 crores. EBITDA was 87 crores, representing a strong growth of 37%, with EBITDA margins improving to 4.6%.

Net profit for the first half was INR39 crores, which has seen a significant improvement year-on-year of 49%. Now moving on to the performance on the operational front, the value-added products portfolio witnessed strong growth of 18% year on year, contributing INR258 crores to the overall top line, with the overall VAP contribution standing at 26.8%.

The average milk procurement during the quarter under review was 1.48 million litres per day as compared to 1.46 million litres during Q2 of the previous financial year, while the average milk procurement price during the quarter stood at INR43.22 per litre, which increased by INR2.57 paise per litre over quarter 2 of the financial year 23.

And average milk sale price increased by INR3.89 per litre year on year. The revenues from the sale of liquid milk for the quarter stood at INR571 crores, which grew by 8.5%

year-on-year.

During the quarter, the company launched new products like premium buffalo milk with 7% fat and 50 ml and 100 ml ghee jars. Lastly on the distribution front, we continued our efforts for enhancing our geographical reach and added 437 new distribution points in the general trade.

Now the floor is open for interaction. Thank you.

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Page 3 of 20 Moderator: The first question is from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya: Yes, so my first question is regarding the gross margins. So on a Q-o-Q basis, our procurement prices have dropped by INR1.3. So even then, our gross margins have reduced. So I know the VAP share is lower in the second quarter as compared to the first quarter, but still some benefits should have been seen in the gross margins. If you could just elaborate what happened. And any connect

ed question to this is, there has been a sharp jump in the fat revenue as well. So is this one of the reasons why the gross margins have not expanded that much?

Management: Did you hear the part two?

Srideep Kesavan : Yes. Part two. Yes. Well, the second part of the question, Aditya, is concerning fat sale, right? Is that right?

Aditya: Yes. Yes, right.

Srideep Kesavan : So, thank you very much, Mr. Aditya, for this question. Yes, we saw that towards the end of quarter 2, the raw milk procurement prices have started coming down. In fact, we registered a marginal improvement on account of that, but most of quarter 2 still was managed with high raw milk procurement prices.

So if, you know, because you're looking at the quarterly numbers, you're not looking at the month-on-month improvement, but I can assure you that towards the end of the quarter, actually there was significant improvement in terms of gross margin.

But that said, a couple of other factors have impacted. For example, you know that in the first quarter we had value-added product contributing close to about 30%, whereas that has come down in quarter two as is expected. That is one. And number two, we have also had losses, higher losses on account of fat sale, which amounted to about INR11.8 crores for this particular quarter. And that is another factor which also impacted the gross margin.

If I, out of this INR11.8 crores, we were continuing to liquidate the inventory of butter that we were sitting on, you may recall that we have close to about 360 crores of inventory at the beginning of the financial year, which have substantially reduced and in fact it has become half as we speak at the close of Q2, the liquidation of butter as the prices came down has happened at a loss as well. And that is the other factor which is impacting. So overall business, if I look at in isolation, the consumer business that is growing and that is growing strongly in profitability as well.

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Page 4 of 20 Aditya: Got it sir. And sir if you just talk about how the flush season started for us. So there have been reports that the rainfall has been uneven this year. So considering that do you expect a better flush season this year compared to last year? And how are the procurement prices trending?

Samba Murthy: Yes, as this is Samba Murthy, so as mentioned by Mr. Srideep, then this procurement prices started now coming down end of September, from mid of September onwards. So there is a drop actually if you compare with Q1 to Q2, there is a drop of procurement price at about INR1. Then further we are expecting further drop is going to be there in Q3 as well.

So procurement prices are coming down overall and the procurement volumes are going up and building. And so that is why overall demand side, commodity demand side, also commodity like butter, the demand also has come down. People are again converting it and the commodity prices also coming down. So because of this flush season, so hoping that the further prices will come down during this quarter, Q3.

Srideep Kesavan: See if I could just add to that what C O O has actually told you exactly what's happening in the market, but overall for the business, the good news is that the raw milk prices are coming down. The flush season is looking very normal this is a there's going to be a very normal procurement season for us which means that's good news on the raw milk

procurement side while it's on the commodity side are softening good news is that we are like you know we are very low in terms of stocks that we are sitting on. So we are actually very well poised to enter the flush season at this point in time.

Aditya : Got it, sir. And so how are the cattle feed prices trending? So are they also seeing a downward trend? Because if the cattle feed prices remain high, the milk prices wouldn't see a drop. So if

you just elaborate, what are the cattle feed prices trending now?

Srideep Kesavan: I'll request Mr. Upendra to take this question.

Upendra Pandey: Yes, so what we see is that in next one month, one or two months time frame, cattle feed prices will be stable. Maybe from quarter 4 onwards there may be some corrections, but at least in this quarter it should be remain stable.

Aditya: Okay, got it. And so one last final question. So if I cut your liquid milk sales, so the last three quarters growth in liquid milk sales in volume terms hasn't been that great. Can you elaborate what is leading to this?

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Page 5 of 20 Srideep Kesavan: In fact, in the first quarter, we had reported degrowth in milk volumes, which has actually turned around. If you've seen that we have reported one percentage positive growth in this quarter. So for us, actually from a minus one to plus one is actually a good swing of about plus 2%.

The minus 1% that we recorded in Q1 was primarily because of sequential price increases that we have to take to correct the profitability or to bring it in line with the raw milk prices, that market situation has stabilized. And now all the expansion that we are doing in terms of distribution is what is helping us grow.

Now, while we have, you should imagine that a number which was at minus 1%, if we ended with a quarter, quarter average of plus 1%, which means that through the months of July to September, it must have been an upward swing.

So I can very well assure you that number is double that number at this point in time. So we are continuously growing milk volumes as we speak. In quarter three as well, we expect that trend to continue. So things are stabilizing much better now.

Aditya: Right and going forward as the procurement prices come down, will you pass on some of this benefit to the customers?

Srideep Kesavan: See we will, the usually market milk price correction happens in terms of MRP, which is the consumer price. But the net realization of the company is net of what we spend in the market to achieve our sales. So because we have the comfort of margins at this point in time, we have the luxury to spend a little bit more in terms of market expansion. But as far as consumer prices are concerned, I don't think that we will be doing any correction.

Moderator: Next question is from the line of Viraj Mehta from Equirus PMS. Please go ahead.

Viraj Mehta: Yes, hello, sir. So my first question is that your procurement is kind of not growing, and it's at around 1.48 million liters per day. This is very contrary to what you said at the start of the year with high single digit to low double digit growth in volume. So, can you please elaborate on this?

Samba Murthy: Yes see here in currently overall procurement is about 14.45 lakh liters per day and last year it was 14.62 lakh liter per day which is including the skim milk. Skim milk we purchased and converted into milk powder, SMP, and that also taken into the procurement. So the difference is actually we are growing and the difference basically because of the skim milk actually this time we have not purchased and we have not converted because we are having milk and we are internally our own milk we are procuring it.

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Page 6 of 20 So that is why the difference actually not visible. Otherwise we have grown by 9.8% actually in the milk procurement volume without skim milk.

Viraj Mehta: And Sir, if I look at the operating margin of our company, the kind of improvement we have seen in our peers numbers, and I am not even talking the absolute numbers that some of the peers are reporting, double digit margins, I am saying just the improvement in margin for some of the periods is significantly higher than ours. We are still below 5% in margin.

And on top of that, I'm worried that you are saying

that we have comfort of margin. So

at 4.5% or quarter to 5%, I see no comfort of margin. Our aspirational number, as you

had said some months ago and even a few quarters ago, was 7% to 8%. So there is no question of margins. Can you please throw some light on this?

Srideep Kesavan : Okay, sure, sure Mr. Viraj. See, I am speaking with the perspective of today, right? And I understand that you are looking at the numbers that got reported in retrospect. Probably that is the reason why the perspectives are slightly different. And I shouldn't have said what I said because I'm speaking with the insight that I have of what is happening today. Now, let me just clarify. First of all, you've seen that in terms of PBT, we have improved from let's say about 2.55% in quarter one to about 3.14% in quarter two, right? Which is actually a improvement of about 0.6% or 60 basis points, you can say that. But if you recall in quarter one, also we said that out of the INR360 crores of inventory that we were sitting on primarily butter, we had liquidated part of that and we had incurred close to about INR10 crores of losses in that in terms of booking, in terms of mark to market prices.

And subsequently in quarter two, we had an additional loss of about INR7.7 crores on account of the same, which is actually, see this was this is what, this was a business call at a point in time when the raw milk procurement prices were going up and it was sequentially going up. Every single week the prices were going up and we had showed up inventories to face a difficult year.

Now, as it turned out, the milk production became normal starting from April, May itself, and the prices started coming down, this is why, as per accounting practice, we have booked those losses against the mark-to-market prices.

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Page 7 of 20 Now, if I were to, it is not, you know, the profits are just 3.14%, whatever we have reported, but assuming that in a continuing normal business, we do not have these kind of commodities going up and down. As we speak now, Mr. Viraj, let me assure you that we are not sitting on any inventory of commodities, not much of inventories of commodities as well as you would have seen in a balance sheet, the raw materials have come down to INR180 crores.

Now, assuming that we take this out, and this means that our profitability in Q1 would have been 3.62% in terms of PBT, and in Q2 would have been 3.86% without the butter losses that we would have incurred.

Now, the reason why I said I have the comfort right now is because this 3.86 also is a weighted average of the profitability in quarter two across three months. Whereas as the Chief Operating Officer said sometime back, the prices have started coming down in the month of September, which means that our profitability is sequentially improving month on month after that.

We are expecting the prices to further come down in quarter three, which means that the quarter three should actually report much better than this. This is the reason why I said what I said. But coming back to because you also mentioned about comparison with other companies, you know, we wouldn't like to compare ourselves with other companies, because none of the companies have, you know, a comparable structure, apple-to-apple, different companies are operating in different regions, which might give competitive advantage in certain times of competitive disadvantage in certain other times.

Different companies have different portfolio structure, which will also have its own advantages and disadvantages. But as far as we are concerned, what I want, I would like you to hold as accountable as a company is that we are committed to growing our value added products. And you must have seen that in every quarter, we have registered significant growth in value added products and this quarter again we have grown value added

products by 18%.

Good news is with raw material prices coming down sequentially and if you are able to sustain the level of growth that we are recording at this point in time. So you know that in H1 itself, we have registered close to about INR2,000 crores of revenue. If you're going to keep this kind of very high revenue and if profits normalize, then we are going to eventually book the profits that the market expects.

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Page 8 of 20 Viraj Mehta: Sure, sir. Thank you so much for your explanation. Just one last thing, sir. By what time, as in five quarters, six quarters, couple of years, or what revenue target do you have at which you think you can do that 8% margin?

Sambasiva Rao: Well, that's speculative, but let me tell you that in the coming quarters, we expect the profitability to improve for sure. This is what we are seeing, basis our growth momentum. This is basis the value added products that we continue to grow. Every month it is growing for us. So I know that this is actually improving. Procurement prices are coming down. But by when we will reach that 8% will be totally speculative to say at this point in time.

Moderator: Thank you. Next question is from Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Hi, good morning, sir. And just wanted to understand this gross margin thing a bit more in detail. So you mentioned that there was a fat loss of around INR12 crores this quarter and if I remember correctly in the last quarter also, we had booked a provision because of the fat prices coming down and that had affected our previous quarter margins also. So unless there was a sharp markdown again in Q2 versus Q1 in fat, this INR12 crores wouldn't have arisen. Am I, is this understanding correct?

Srideep Kesavan: Yes, your understanding is absolutely correct. There was sharp is a very strong adjective to use, but I would say that, there was a further markdown in quarter two. So if I could just put the numbers, we had an additional close to INR7 crores of additional price reduction in quarter two on account of this. Yes, you are right. So in quarter one, as per accounting standards, we had booked based on the mark-to-market price. But in quarter two, we actually liquidated the fat. And you must have seen that close to what, INR72 crores is the revenue that we have booked on account of fat sales as well. And the eventual loss that flowed was higher than what we had provided for. And that's what is got booked.

Sameer Gupta: Got it sir, just to get this number right, it is INR12 crores losses in 2Q of FY '22, 2Q of this quarter?

Srideep Kesavan: Yes, so it's total is INR11.8 crores, but you could say that out of that about INR7 crores. INR7.02 crores is on account of bulk butter. Other losses that you're seeing is our regular consumer sale, which is our ghee and other things, which also we were trying to ramp up and we cut down the prices in line with the market.

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Page 9 of 20 Sameer Gupta: Okay, got it, sir. And second question, a follow-up on this. So basically now there is a butter inventory, which you said is around INR180 crores on the books. And if milk procurement prices are going to go down as per expectation, there will probably be again a loss on this fat inventory. So probably in third quarter also, this issue will impact our margins?

Srideep Kesavan: No, see, there could be a little bit up or down, but the INR180 crores of inventory is on account of everything that we are holding at this point on time. Out of which, bulk butter is INR20 crores.

Sameer Gupta: And what was this number, let's say, in the start of the year, that's INR20 crores?

Srideep Kesavan: More than INR100 crores.

Sameer Gupta: Got it sir, that's it from me. Thanks everyone. I will come back in the queue if I have any follow-ups.

Ok flush, so I understand that the initial push in this direction has

been good, but just on the outlook on milk flush, given that, there is a larger rainfall deficit in southern area, where which is the primary reason where we operate. Are we still very confident of seeing a milk flush this year?

Sambasiva Rao: Yes. Procurement and all overall it is good. Now all the parts of our operating areas, the procurement is increasing and prices also as we mentioned that, it's coming down and everywhere our growth is there in the procurement areas. So everywhere it is increasing because of good rains actually, good monsoon we had and continuous times.

Sameer Gupta: Got it sir, that's it from me. Thanks everyone. I will come back in the queue if I have any follow-ups.

Moderator: Thank you. Next question is from the line of Resha Mehta from GreenEdge Wealth Services. Please go ahead.

Resha Mehta: Yes, thanks. So again on the fat sales, right? So historically, if I recall correctly over the last several years, we've all booked fat losses annually. So on an average, you could call out what have been your fat losses over the last five years, six years, seven years?

Sambasiva Rao: This season is not a bit different from earlier years because we have accumulated the fat stocks over a period of seven months, eight months and disposed in this quarter that has caused the one time bulge of this loss. Otherwise it would be one year, it will be a little lower, one year it will be a little higher over a period of five years, six years.

Ranging from let's say INR 20 crores to INR40 crores per annum kind of loss.

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Page 10 of 20 Resha Mehta : Also is the highest.

Sambasiva Rao: Yes, it ranges from INR20 crores to INR45 crores per annum. Different years behaves differently depending on the milk availability commodity prices.

Srideep Kesavan: And this year, it is only looking like that because we just went through a very high procurement price and then suddenly it's all come off. It's been like the turnaround in terms of prices have been significant, that is why it is so starkly standing out.

Resha Mehta: Right but if we look at your historical average of INR20 crores to INR45 crores of losses annually right, so this year also, we are pretty much on track to do that right. So maybe we can expect a little bit of more fat losses in the coming two quarters?

Sambasiva Rao: No, it was not booked in the earlier periods as the stocks were sold in a short time of one month .

Resha Mehta: Okay. So, right. So in H2, basically Q3 and Q4, do we expect a lot more of fat losses like to the tune of let's say INR10 crores to INR20 crores put together?

Srideep Kesavan: See, we do not have at this point in time any more butter that we need to dispose -off. Whatever we are having is, you could say that input is pretty much matching with output because we are continuously liquidating whatever surplus fat we have. That said, I wouldn't like to speculate in terms of, what would be the change in prices and what kind of losses we would have.

Of course, our intention is to sell all our consumer fats in profit and consumer sale of whether it is ghee or butter and all are growing month -on-month basis. So if that happens and if we are able to sell most of our fats in terms of consumer fats, then the losses would be very minimal. But if that doesn't happen and if you have to liquidate and if it's a falling market then we might continue to have a little bit of losses booked month -on-month going forward as well.

But we will not have like president said presently, we don't have the accumulated nine months or 10 months of fat to dispose -off anymore. It's only whatever transaction will be happening on a month -on-month basis.

Resha Mehta: Understood, very clear. And second on the milk sales growth, right? It's been very separate at around 1

% volume growth, right? So is this because of the high milk inflation over the last 15 months, do you see consumer sentiment being muted at least on the Heritage Foods Limited
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Page 11 of 20 liquid milk front? And that is why also, we may have had to take more promotions and higher trade margins to boost top line growth there, and which in turn has impacted our gross margins?

Srideep Kesavan: No. In fact, actually milk margins have improved tremendously. Let me assure you that, we are not -- whatever we are spending in terms of driving milk growth is in line with what we have always spent. So there's no extra spend there but the numbers volume growth have come down because of the inflation.

Yes, the numbers have come down because of two reasons, number one is because of prices going up and consumer appetite to consume had come down. Number two is, we had achieved some of the inner increases by reduction of pack sizes. We call it a shrinkflation effect. And many of the packs, we have actually shrunk by almost 10% or 15%, which means that the number of packs that the consumers are buying remains the same, but volumes have shrunk by about 10% or 15%.

So a combination of that is what has caused the volumes to come down. And now we are growing the numbers, like you could say about upwards of 2% is the kind of volume growth, we are seeing. But in terms of transaction growth, most of the packs are growing in a very healthy double digit transaction growth.

Resha Mehta: Got it, what was your milk procurement price in Q2 of last year?

Sambasiva Rao: Price is INR43.22 now.

Resha Mehta: Got it. It's INR43.22 right now, right?

Sambasiva Rao : Yes.

Resha Mehta: Yes. And lastly, on the EBITDA margins, So, we had kind of embarked on that journey of reducing 10% of total costs or thereabouts, right, by gaining efficiency, trying to reduce sales and distribution costs and also reducing conversion costs. So where are we in that journey out of the ambition of 10% cost reduction? How much have we achieved and how much more room is left?

Srideep Kesavan: We are progressing on that. Several initiatives are now operating full-blown. We are about, we must have covered about one third of the journey in that.

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Page 12 of 20 Resha Mehta: Right, and the balance journey is to be covered over the next six months or 18 months or what kind of a time period?

Srideep Kesavan: At any point in time, we have several projects that we are running in terms of value creation initiatives, which many of them will come online in Q3 as well. So that's a continuous process as far as we are concerned.

Moderator: Thank you. Sorry to interrupt you, Resha. I'll request to come back for the follow up question. Thank you. The next question is from the line of Anushka Chitnis from Arihant Capital. Please go ahead.

Anushka Chitnis: Yes, I just had one question that I wanted to ask. What is the share of cow milk and buffalo milk procurement in this quarter?

Sambasiva Rao: Cow 81, buffalo 90.

Anushka Chitnis: Just for this quarter I wanted to know what was the share of cow and buffalo milk procurement?

Srideep Kesavan: You could say roughly around 80-20 is the ratio.

Anushka Chitnis: 80-20, okay, thank you so much, that's all I wanted to know.

Moderator: Thank you. Next question is from line of Kaustubh Pawaskar from Sherkhan Limited. Please go ahead.

Kaustubh Pawaskar: Good morning, sir. Thanks for giving me the opportunity. I have a couple of questions. First, on value-added products. What was the contribution of the curd for this quarter and what was the growth at on year-on-year basis.

And my second question is, should we expect the contribution of value added products to improve in the quarter three considering the overall mix might improve because the fact said would be lower than quarter three

considering that also even the mix should improve in Q3?

Srideep Kesavan: Okay, thanks for the question. So let me answer the second question first. See, we will continue to drive high growth of value-added products as we go, continuing forward, you could expect us to continue to drive value-added products growth at a very high teens level, 18%, 19%, 20%. This kind of growth you could expect us and this is what we are working on.

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Page 13 of 20 Now, ratio of value-added products in terms of their contribution to the overall revenue will be a function of other things as well, right? Which is either the revenue, here you have seen that we have taken higher revenue increase in milk compared to value added products. So contribution per se of value added products might be looking a little suppressed or if because of festive period, fat sales might go up and hence contribution might look a little muted. But value-added products will be the one that will continue to drive growth of the revenue or top line for our company.

And the first question was contribution of curd. Curd has grown at 10.5% for us in this particular quarter.

Sambasiva Rao: Curd has grown by 16%. Overall value, overall value-added products have grown by 18%.

Kaustubh Pawaskar: My last question is on the capacity expansion you just recently did. So I just want to understand, how it is going to help you and whether we might see some efficiency coming up through this expansion?

Srideep Kesavan: New markets. Yes, so see the capacity expansion has – is a net addition of about 25,000 liters per day because we have also decommissioned certain capacities and reorganized towards markets which we are looking at expanding. So this particular plant where we have added or commissioned new capacities is in Chittoor district, a place called Bkothakota, which gives us access to the Rayalaseema market. That's the market where this plant would be catering to. This again is a part of our growth strategy in terms of markets that we are focusing on.

Kaustubh Pawaskar: Right, so in that context, the farmer addition what you normally talk about, just a comment on that, where are we currently and what is our target on that front?

Srideep Kesavan: Did you mean farmer addition?

Kaustubh Pawaskar: In a sense, the procurement, in terms of procurement of milk, from the suppliers what we have?

Sambasiva Rao: Already we are having procurement in that area we are already procuring it we have just created that packing facility, curd production facility over there. This is more about processing and packing capacity not procurement in that area.

Kaustubh Pawaskar: Okay, thanks.
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Page 14 of 20 Moderator: Thank you. Thank you. Next question is from the line of Nainav Vandit from Alpha investments, please go ahead.

Nainav Vandit: Hello. Thank you for the opportunity. I just have one question being what kind of procurement number do we look by FY'26, two years out?

Srideep Kesavan: See, we are – some time back mentioned that our ambition is to grow at the rate of 15% to 16% year-on-year. And we expect half of that growth to be driven by volumes and half of it to come from price or shift towards value added products, right?

Now, which means that we will have to continue growing our procurement volumes in line with the volume requirements of our company which means that it will be either in high single digits or like, low double digits so you can say about 8%, 9%, 10%, 11%, 12% kind of growth we'll have to sustain to fuel this growth. And we are well on track for that.

Nainav Vandit: And what kind of capex number do we look for? Say for FY'25 to FY'26?

Srideep Kesavan: Yes, we have been tracking around 100 crores year on year. And we think, that's sufficient to fuel the organic growth that

we are seeing or that we are anticipating.

Nainav Vandit: Okay, and one last question. I think we have been doing really well on the value-added product side. If you can just talk about some initiatives which are really pushing this kind of growth because I think for the last two, three quarters year-on-year we've been doing a decent number. So should we speak about what has been driving this kind of a growth?

Srideep Kesavan: Several things. See, first of all, I think that we are committed to offering the best product that is there in the market, which starts with understanding the consumer in terms of continuously improving our product quality. And this is not just in terms of the inherent product quality, but also the packaging and the presentation of the product to the consumer. So that is one thing that we have been continuously working on. In the last many quarters, we have actually improved whether it is curd, paneer, ice cream, many of these products have gone through multiple rounds of revisions and this is a continuous process at our end.

Secondly, in terms of distribution expansion, is something that we are continuously focused on. So while, you could call the core of our business, which is the fresh products is primarily driven through traditional channels, whether it is Heritage parlors or

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Page 15 of 20 Heritage distribution and distributor network. We have added or we have invested significantly in growing the distribution through grocery channel and many other emerging channels such as e-commerce and quick commerce and all of that in the last several quarters.

So whether it is in terms of adding of distributors, which has today we have close to about 50,000 outlets reach in the grocery channel. We have also added close to about 160 plus Heritage happiness points. We have heritage happiness points that are distribution centers, which neighborhood distribution centers, which act both as a retail store as well as a redistribution center.

We have also expanded our presence across e-commerce, quick commerce and modern trade channels. We have now even in cities like Delhi NCR and all of that, you can pretty much buy most of our products, our value-added products on whether it is Big Basket and Zepto and Blinkit etc. So those are all the things that is driving growth for us as far as value-added products are concerned.

Nainav Vandit: Sir, what could be the percentage revenue that we're getting from e-commerce and modern trade channels?

Srideep Kesavan: Close to about 10.5% is the revenue that we get from this channel.

Nainav Vandit: Sure sir, thank you so much. I will come back to you. Thank you.

Moderator: Thank you. Next follow up question is from Ramesh from Retail Investor. Please go ahead.

Ramesh: Hello, thanks for the opportunity. So I have a couple of questions. The first thing is you have told third growth at 16% value. What is the volume growth you had? What do you think?

Srideep Kesavan: It's 10.6%.

Ramesh: Because I understand that the brand it is going in the market, people are moving more to

buying curd instead of buying milk. I heard from you guys only in the previous calls, in previous quarters. Is it market driven growth or it is a market growth that 10.5%?

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Page 16 of 20 Srideep Kesavan: Okay, so it's both. So, I really don't know exactly what the market is growing at. Definitely there is momentum in the market because the packaged curd consumption is on the rise and which is primarily driven by some of the leading brands. Right, which also includes Heritage somewhere right at the top. So, it's a function of a bunch of brands, including Heritage, driving this growth and consumer adoption is happening. Ramesh: Okay, and the second thing is on butter, means I know so many questions came in this call. On

ly t hing is how much metric ton of butter we sold in Q -on-Q?

Srideep Kesavan: Roughly close to 2,000 tons.

Ramesh: So, the same question, Sameer had asked you a question. INR10.5 crores, I did not get how much last year in last quarter, as I remember. So, this quarter you're saying, we have booked INR11.8 crores loss. Is it after setting up that provision what we have made in Q1, or is it additional to that provision that INR11 crores?

Srideep Kesavan: So the two numbers are different. See INR10 crores that we mentioned in Q1 was notional loss on butter stocks. That was not the fat loss. Because the fat loss likely higher than that because we also sell in consumer packs ghee and butter and all that, right? And in the INR 11.8 crores that you're calling out in Q2 is the total fat loss out of which only INR7 crores is on account of butter.

Ramesh: It's into INR10 crores loss of Q1, you're saying INR7 crores additional loss in Q2?

Srideep Kesavan: You could say that cumulatively in H1, we might have had to book a loss of about INR16.5 crores on account of the butter prices coming down.

Ramesh: Okay, understood. So my follow-up thing was, can't we use this butter as our advertising strategy for milk and curd or some value-added, we can use our butter or fat products for our advertisement instead of spending in other advertisements? Just a suggestion or something, can we use?

Srideep Kesavan: No, it's a good suggestion, but see at the end of the day, we have to balance everything, right? See, what is not visible here is the revenue growth that we are seeing in terms of our consumer packs. So we also sell 100 gram, 200 gram butter, like you see the Amul butter, right?

So if you come to our core markets, whether it is Hyderabad or Bangalore or Chennai and all, you will see strong presence of Heritage Butter on all shelves, retail shelves. The

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Page 17 of 20 consumer pack of butter for us is growing very strongly. But, in a month, we sell close to 60 tons to 70 tons of butter in consumer packs. Now 60 tons or 70 tons which is roughly you could say about 2 tons, close to 2 tons per day is what we sell. It will still not like you know I hope you understand the mismatch in terms of numbers.

Ramesh: I understand that.

Srideep Kesavan: So we are growing, the consumer packs are growing for us in very high double digits, or even in some cases, even triple digits. But still those numbers are not significant enough to compensate this kind of huge inventory that we might have.

Ramesh: Okay, understood, thanks for the answers.

Moderator: Thank you. Next question is from the line of Avinash from NAFA Asset Management. Please go ahead.

Avinash: Thank you, sir. Thank you for this opportunity. So I noticed that your value-added products grew at 18% while your milk has grown by 9%. Could you just give us a break up on margins from each of these Q-on-Q and Y-on-Y? Thank you.

Prabhakar a Naidu: Q2 EBITDA margin of milk is 5.36% and the value-added products margin is 8.34%. Curd, particularly curd, 7.92%. Buttermilk, 12.74%. Ice cream, 11.67%, overall 4.37%.

Avinash: Thank you. Similarly, Y-on-Y?

Srideep Kesavan: Okay, these are EBITDA percentages that we've said. We are not talking about the change.

Prabhakar a Naidu: No, these EBITDA percentages.

Avinash: Fine, okay, sir. Thank you.

Moderator: Thank you. Next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: Good morning, sir. My first question is on the procurement volume. So you talked about

in order to achieve 15% to 16% overall company level growth. We need a high single digit or low double digit kind of procurement growth. At the same time, you talked about the impact of inflation that although the number of packets are growing at double digit but the volume growth is very low single digit

igit, 1%, 2% only. So if you can talk

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Page 18 of 20 about from which quarter is it like Q3, Q4 or it will happen only next year, do we see this high single digit kind of growth in procurement?

Srideep Kesavan: No. See, there are two different things. I think, see one, I was responding to the gentleman who asked about what would be the procurement in 2026. Okay, so I was, when I said the high single digit or low double digit, the number was you could say, with a long term perspective, right?

Now, that means, it doesn't mean that every quarter or every month we'll be growing at that rate, right? The procurement will be growing or slightly growing less based on the simplicity of the milk supply that is there. So that's the raw milk supply side.

The second question what you're asking about is the growth, right? Even though milk is growing at 1%, value-added products are growing strongly in double digits in terms of volumes also, right? Just now you heard that curd itself is growing at 10.6%. So overall our requirement of milk per se is continuing to grow. So we'll have to bring in the milk to cater to that demand. That growth is only going up for us.

So there was a small tapering of growth at the time when we took the consumer prices up. For the last several months, consumer prices are stable, or rather the increase in consumer prices have been marginal and we continue our distribution expansion and our volume growth on the market side is continuing to grow, which means that going forward we will require the raw milk in that at that rate.

Aman Vij: Okay. So for H2 what kind of volume growth do you see in procurement?

Srideep Kesavan: So sir, that's what I was saying, that we will need to grow our raw milk procurement at the rate of 8%, 9%, or 10% to sustain the market requirement of growth because market will also grow at that rate, right, and are sustained over a long period in time. I mean it may not be talking about one quarter or two quarters here. I'm talking about slightly longer perspective if you look at it that's the kind of growth that we'll have to drive both in procurement as well as sales side.

Aman Vij: Okay. So H1 maybe was an aberration and you're saying maybe H2 onwards you'll see that kind of growth because we need these growth to continue our growth in value-added products?

Srideep Kesavan: Yes, okay. H1 was a long period so you should look at Q2 and Q1 separately, but that's fine.

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Page 19 of 20 Aman Vij: Sure, sir. My second question is on the value-added side. So, out of the INR260 crores kind of sales we did, if you can talk about the non-curd portfolio. So, how are, you have talked about margins, but in terms of growth, which are the segment example, paneer, ice cream, which are growing quite well for us? And also, sir, I'm linking this with the margin you talked about in different value-added products.

So it seems much lower than what other players make. I understand we don't have the scale yet, maybe in some of the products like ice cream and all those things. So on the whole basket value-added, if this kind of growth continues, do you think say, in the next year or year after that, we can see a good double digit kind of margin on this value-added portfolio, rather than high single digit?

Srideep Kesavan: Sure, so I'll take the second part of the question first and then we'll give you the growth numbers we are seeing in the Chief Operating Officer will call out some of the growth that we're seeing in some of the products. Maybe not all the products, but some of the products, right?

So see in terms of margins, we have most of the time, value added products will roughly deliver double the margins of milk, right? Now, while we took milk prices up, corrected the milk prices in line with the raw milk price increase

, we did not do so much of

correction in the value-added products because we are still continuing to drive volume growth in value-added products, right, that is why the gap between value-added products and milk in terms of percentages have come down a little bit, like milk EBITDA is close

to 5.6%, value -added products is about 18.5%.

So, but at this point in time, we are in a very strong position as far as value -added products are concerned. And at any point in time, we can make those price corrections and all of that, and that EBITDA will consequentially improve as we are going forward. And the idea is to bring more -and-more contribution from value -added products so that weighted average EBITDA of the company grows and moves towards the 8% margin. Samba Murthy: Yes. Value d products other than the curd, paneer is growing by 28% and ice cream is growing by 45% and the total drinkables, it is growing by 28%. So there is a good growth in the value -added products other than curd as well.

Aman Vij: Sure, sir. Thank you.

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Page 20 of 20 Moderator: Thank you. Next follow -up question is from the line of Aditya from Securities Investment Management, please go ahead.

Aditya: Yes, thanks for the follow -up. Sir, what would the procurement price at the start of the quarter say in July? And what would be at the end of the quarter in September?

Sambasiva Rao: Overall Q1 to Q2, INR1.36 per liter has come down. Probably July to, Yes, that is. We'll have to verify.

Srideep Kesavan: Yes, we'll have to come back to you on that. But you could say that there was a good decline from July to September.

Aditya: Got it, and so this 43.5 which we gave in our press release, so that is for the average of the quarter, right?

Srideep Kesavan: That is right.

Aditya: Okay. Yes so the spread per liter which we are making on liquid milk and VAP product like now, are we back to pre -COVID levels or at a level which we make in a normalized environment or we are still some time away before reaching those levels?

Sambasiva Rao: Pre-COVID level volume?

Srideep Kesavan: Are you talking volumes, Mr. Aditya? Could you please clarify?

Aditya: The spread per litre which we make on liquid milk or in wrap products like curd?

Sambasiva Rao: Yes, spread per litre.

Srideep Kesavan: Spread per litre. We are still below COVID numbers actually. So we are still way below that

Aditya: Okay. Okay. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I will now hand the conference over to Dr. Rao for closing comments.

Sambasiva Rao: Thank you very much to all the participants for raising interesting questions and giving details. So we look forward to interact with you again after the next quarter. Thank you all.

Moderator: Thank you very much. On behalf of Heritage Foods Limited, concludes this conference.

Thank you for joining us. You may now disconnect your lines. Thank you.

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Call: Feb 2024

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 12-24

2nd February, 2024

To

The Secretary BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai - 400 001

Scrip Code: 519552 To

The Manager,

Listing Department, National Stock Exchange of India Limited Exchange Plaza, C-1, G Block, Bandra-Kurla Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst

In Continuation of our letter dated January 10, 2024 the Company had organized a conference call with the Investors/Analysts on Wednesday, January 31, 2024 at 11.00 AM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in.

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M.No: FCS-6317

HERITAGE FOODS LIMITED

Q3 FY2024 Earnings Conference Call

January 31, 2024

MANAGEMENT :

Mrs. N Brahmani – Executive Director

Dr. M Sambasiva Rao – President

Mr. A Prabhakar a Naidu – Chief Financial Officer

Mr. Srideep M Kesavan – Chief Executive Officer

Mr. J Samba Murthy – Chief Operating Officer

Mr. Umakanta Barik – Company Secretary & Compliance Officer

Mr. Upendra Pandey – Chief Executive Officer, Heritage Nutrivet Limited

MODERATOR :

Mr. Anuj Sonpal – Valorem Advisors

Heritage Foods Limited

January 31, 2024

Page 1 of 20 Moderator : Ladies and gentlemen, good day and welcome to the Heritage Foods Q3 FY2024 Earnings Conference Call . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone telephone . Please note that this conference is being recorded. I now hand the conference over to Mr. Anuj Sonpal . Thank you and over to you Sir!

Anuj Sonpal : Thank you. Good morning everyone , very warm welcome to you all . My name is Anuj

Sonpal from Valorem Advisors . We represent the investor relations of Heritage Foods Limited. On behalf of the company , I would like to thank you all for participating in the company's earnings call for the third quarter and nine months ended of financial year 2024. Before we begin let me mention a short cautionary statement. Some of the statements made in today's earnings call maybe for ward looking in nature. Such forward looking statements a re subject to risk s and uncertainties which could cause actual results to defer from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to management. Audience s are cautioned not to place any undu e reliance on these forward -looking statements in making any investment decision. The purpose of today's earnings call is purely to educate and bring awareness about the compa ny's fundamental business and financial quarter under review. Let me introduce to the management participating with us in today 's earnings call and hand it over to them for opening remarks. We f irstly have with us M rs. N Brahmani – Executive Director, Dr. M. Sambasiva Rao - President, Mr. Srideep N Kesavan – Chief Executive Officer , Mr. A. Prabhakar Naidu – Chief Financi al Officer, Mr. J. Samba Murthy – Chief Oper

ating Officer and Mr. Upendra Pandey – CEO of Heritage Nutrivet Limited and Mr. Umakanta Bakri – Company Secretary and Compliance Officer . Now without any further delay I reque st president Dr. M. Sambasiva Rao to make his opening remark s. Thank you and o ver to you Sir!

Sambasiva Rao : Thank you Anuj. G ood morning to everyone joining us today on this call . We are please d to welcome you all to this earnings call for the third quarter and nine months ended for the financial year 202 4. The financial results and the earnings presentation have been uploaded on the exchanges and I hope you must have had a chance to look at them. Let me take you through the financial performance on a consolidated basis followed by the operational highlights. For third quarter under review Heritage Foods registered a revenue of 941 Crores representing a growth of 20% year on year. This was driven by strong volume Heritage Foods Limited
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Page 2 of 20 growth in value added products due to higher rate of consumer acquisition and re tention, continued market expansion and availability improvement.

EBITDA for the quarter was Rs.52 Crores which grew by around 60% year on year. EBITDA margins were reported at 5.52%, which is an improvement of 70 basis points compared to Q2 of this year as we were able to take advantage of a good flush season accompanied by softening of raw milk prices . Similarly , net profit for the quarter was Rs.27 Crores which grew by 96% year on year with PAT margins report ed at 2.86%. For the nine months ended for th e financial year 2024, our revenues grew by 17% year on year to Rs.2843 Crores . EBITDA was Rs.139 Crores representing a strong growth of 45% with EBITDA margins improving to 4.9%. Net profit for the nine months was Rs.66 Crores which has seen a significant improvement of 65% on year-on-year basis with PAT margins improving to 2.32%.

Now moving on to the operational performance . Our milk volume sales registered an improving trend of year-on-year growth with volumes growing by 25,000 litr es per day which is 2.32% over the previous year same period . The consumer price increases we took in Q1 and Q2 resulted in average milk selling price increase of Rs. 2.71 paisa per litre to taking it to Rs.55 per litre in this quarter. In terms of milk procurement, we continued our strong growth with a 14.3% year on year growth reaching an average of 1.63 million litr es per day. The average milk procurement prices reduced by 57 paisa per litre to Rs.43.09 per litre in this period . The value -added products portfolio continued on its strong growth momentum of 23% year on year amounting to Rs.245 Crores with a growth across all product clusters. The overall contrib ution of value -added products to our revenue stood at 26.5% for the quarter. To further boost milk sales and revenue, we introduce d new variants of super gold and m id high fats variant and Gada dudh a mid fat variant. No, we open the floor for question -and-answer session. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sam eer Gupta from India Info line. Please go ahead.

Sameer Gupta : Hi, good morning Sir and thanks for takin g my question . Just one actually so I see there is still a large component of fat sales in this quarter and last quarter there was an indication that large part of our bulk fat which was procured in the previous fl ush season has been liquidated. So I am just wondering if this is a new normal wherein fat percentage in overall sales has actually increased n ow for the next few years and also if you could help me with the element of fat losses whic h have booked in 3Q and also year to date.

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Page 3 of 20 Company Speaker : Thank you Sameer for that question. On the specific usage of the word new normal, I would

not use that word at all. We had a very strong flush season which has resulted in milk procurement growth which has been very strong for us which means that the milk procurement has grown much faster than the sales volume growth and that has resulted in bulk fat accumulation and as a policy of the company as in we did not take the speculative view and we have liquidated the fat at market prices, that does not mean it will remain like that forever because the moment we come off the flush, the milk procurement will normalize and it will match with our sales volumes and the return to normal would happen. In terms of the specific question on the losses that are specific to bulk fat disposal, this quarter we had 15.5 Crores of losses on account of bulk fat disposal, which is roughly about 2% of our revenue. So without bulk fat disposal, you can presume that our EBITDA and profit margin would have been 2% higher.

Sameer Gupta : Just a clarification on this. This is basically when you are assuming that the gross margin is zero on this product because if you are buying and selling in the same quarter, I am assuming there is not going to be lot of price fluctuation in the buying price and selling price.

Company Speaker : There would not be much price fluctuations, but there is always a price difference. The reason is that the price at which you will sell a commodity is not the same as the price at which you sell a branded consumer product. So our realizations in consumer product sale is much higher compared to our commodity sale and especially in a flush season where there is a lot of fat available, which is bulk butter available in the market, obviously the prices also would be softer, but we would rather not take a speculative view and liquidate it and keep our inventory clean than speculate and keep it for the future. I hope you will appreciate that.

Sameer Gupta : Just one follow up Sir. So when you say 15.5 Crores losses, basically this is more of an accounting allocation rather than actual losses. Is that understanding correct?

Company Speaker : No we have actually sold this butter. Actual loss. We do not have this butter anymore. Our inventory is clean.

Sameer Gupta : Got it Sir. That is all from me. Thanks.

Moderator : Thank you. The next question is from the line of Vandit Dharamshi from Alpha Invesco. Please go ahead.

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Page 4 of 20 Vandit Dharamshi : Congratulations Sir on great set of numbers. I have two, three questions. One to start with, if you can speak about how do you intend to scale up the Heritage Touch app. I think we have the app and a lot of other competitors are really scaling up their app subscription-based model. So we as a company do we intend to focus on Heritage Touch app per se or how do we see that going forward that is first question.

Company Speaker : We have had great learning in working with Heritage Touch app while it was amazing tool in terms of creating a direct to consumer connect as well as building subscription base what we also realized was there was a plethora of mobile applications that are there and a large number of consumers were uninstalling this. So we figured out a better and more effective way of building a direct e-commerce business. We are at the early stage of doing this and this is leveraging the WhatsApp commerce model and we are at very early stage on this. We have done a very successful pilot in Bangalore and now we are extending that in Hyderabad and many other markets. We already have more than 1000 plus subscriptions that we have acquired through this and we intend to scale it many fold.

Vandit Dharamshi : Sir if you can speak more about the WhatsApp commerce model in terms of how are we reaching to the customer? What would be the customer acquisition cost if any?

Company Speaker : Yes the customer acquisition cost roughly would be ar

ound Rs.400, but the model that we have implemented has got a very high retention rate, it is upwards of 98%, which means that it is actually a very profitable model for us. But like I said, we have just done some pilots and we are in the process of scaling up. WhatsApp is an app I hope that nobody will uninstall from the phone. So that is far more sure way of reaching our direct to consumer compared to our own application.

Vandit Dharamshi : Understood Sir and second question Sir if you can speak about how are we placing ourselves in the modern trade channel. I think last time when you spoke we did around 10% of our sales from modern trade channel. So this quarter, what is the sales number and how do we place ourselves? Because I think in few states, I think our products were not

available when I happen to check in the state of Tamil Nadu to say so, but how are we placing ourselves Sir in modern trade channel?

Company Speaker : Yes so I presume when you say modern trade, you mean to say e-commerce and modern trade, we have never spoken about right. So roughly our contribution is about 11 % from e-commerce and modern trade in terms of revenue and the mix would be different in different states like you rightly said, it will be slightly higher in our core markets . It will be

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Page 5 of 20 slightly lower in other markets , but the good news is that in every market that we are present including Maharashtra and Delhi NCR, we are growing our presence in modern trade channels including even Tamil Nadu also in the last one quarter, we have made significant progress in terms of rest of Tamil Nadu. Chennai we always had a good presence in modern trade channels, but in the rest of Tamil Nadu also we have deepened our presence and this will only continue to improve.

Vandit Dharamshi : Okay and last question from my end, it is a bookkeeping question, if you can just give a state wise revenue split for this quarter versus last year?

Company Speaker : It is more or less same like last year to this year there is no change and we are sharing this on a one-to-one basis . We can perhaps get back to you.

Vandit Dharamshi : Okay Sir. Thank you so much. Best of luck.

Moderator : Thank you . The next question is from the line of Mitanshi from Abakus Asset Managers . Please go ahead.

Mitanshi : Sir I was just wondering is the promoter looking to sell stake in the company?

Brahmani : I do not know why you have the impression . This is Brahmani here executive director as a promoter family we are tied to the company and in fact given the feasibility of resources etc. If anything it would be the opposite as a promoter family.

Mitanshi : Okay thank you so much.

Moderator : Thank you . The next question is from the line of Resha Mehta from GreenEdge Wealth . Please go ahead .

Resha Mehta : Yes, Sir. Thank you so one is again on the fat losses, so for nine months totally we have booked around 27 Crores of fat losses is that number correct or is that a little bit on the higher side?

Company Speaker : It is close to 33 Crores . It is 32.62 Crores . So you may recall in the last quarter I had said about 17.5 Crores in this quarter it is about 15.5 so roughly around 33.

Resha Mehta : 33 and how much more are we looking at from a Q4 standpoint? Any directional sense.

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Page 6 of 20 Company Speaker : Resha last quarter itself we explained the principle in which we do . If the incoming fat is more than the outgoing fat what we are doing is that we are keeping only two months of stock whatever is required for our current business or current quarter operations and the rest we are liquidating at spot prices because the prices could go up or go down as far as investors are concerned this is a far cleaner model because this is more what do you call it like there is no speculation involved, right, as in it is a more predictable model. So going

by the same principle, at this point in time we are holding only about two months of stock, which means it is not like we are sitting on a stock that we need to liquidate at a price or something like that . We are coming off the flush so basically by about mid of February, the flush volumes would come down and we have already seen that coming down, which means that the input and output should more or less match, which means that the surplus that we generate which will come down and it is already coming down. So it is a gradual process and this happens every year. Last year we may not have seen this because we did not have flush, and the contrary of not having a flush was that the raw milk prices had shot up this year even though we had the problem of a surplus fat. The good news is that the raw milk prices came down, which actually helped despite the losses that we had booked in the bulk fat sale we were able to improve our models and there is also something that I would like to talk about that our consumer pack sale of fat products, whether it is ghee or table butter are all registering strong growth. For example, table butter for us is growing at 60%. Ghee is growing at about 25 -26%, so which means that as we grow our consumer pack sale over a period in time we will be on net deficit as far as fats are concerned . Over a long period of time that is how we intend to solve this problem.

Resha Mehta : Understood Sir two months stock is what you are all working with. The second question is basically on value added products is something that has been driving our top line growth as well and we have done very well on the top line growth right over the last several years

quarters, but value-added products clearly the margins were just a tad bit higher like 250-300 BPS higher versus the liquid milk like at around 8 odd percent or so. While ideally we are supposed to be double of liquid milk products, but we had the strategy of driving top line growth for value added products. So can we see a scenario now that maybe let us say instead of growing at 20% top line, why not we grow at let us say 15% but with the aim of trying to get higher margins to the tune of let us say seven odd percent or so and may be value-added products margins going up will be a contributor to the overall company margins so what are your thoughts on basically this balance between top line growth and margins.

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Page 7 of 20 Company Speaker : Resha I think have had this discussion when we met previously also. We are working towards the interest of long-term shareholders and when we think about long term shareholder wealth creation, we have to build a robust business model that will deliver consistently and predictably over a longer period in time. If I look at value added products, while 23% is the revenue growth that you are seeing, 19% of that has come on account of volume growth, 19%, that is quite significant volume growth that we have been able to register on value added products in Q3. Only 4% has come on account of prices. We could have increased the prices. Whereas in milk we have increased prices by about 8.5%. So if we had taken value added products prices along the same line as milk and taken it up to 8.5% my volume growth would have come down. But what is sustainable for the company is that today I have got a much wider consumer base than I had in the same period last year and I have experience and we have data that shows us that we have got a much higher consumer retention, the frequency of purchase of our products across many of the channels wherever we are able to procure data especially from the modern trade channels and all of that, the frequency of purchase has gone up. We have gained significant market share gains for our value-added

products in cities like Bangalore and Chennai. These are all things that we can always encash at any point of time.

Resha Mehta : So I understand we are more focused on market share versus the bottom line at least as far as value added products are concerned. But also on the flip side, how do we think about like let us say when you actually want to start focusing on bottom line on value added products and increase the prices of value-added products in line with the industry? How would the consumers react because they have been used to let us say maybe a slightly discounted value-added product from Heritage versus the market or is my understanding not correct here?

Company Speaker : Sorry the understanding is slightly wrong. We are only comparing ourselves to ourselves. So when I said 4.5%, 4% price increase, we are talking about last year, our prices compared to last year same period. In any market for any product, Heritage always sells at a premium compared to any of the competition. So especially the cooperatives or the large national brand, you can check it online wherever you are on Big Basket or Swiggy or whichever apps that you have. Our prices are always higher compared to our competition yet we are gaining market share. So it is just a timing issue. We shall take the right decision at the right time to take the prices up. So we are not saying that we are going to keep the prices constant or artificially low for a longer period in time. This year summer actually was a washout as you may recall from the Q1 earnings call. We had mentioned that first quarter summer was washed out due to excessive rains and cold weather which

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Page 8 of 20 prevailed over north India and that is the reason why we did not increase prices during summer and most of our value-added products are summer dependent. So usually summer is the time when we take the prices up. So there is an opportunity this summer which will come up. The only difference is that we are sitting on a much wider consumer base compared to last year so the net incremental gain that we will have will be much bigger instead compared to had we taken the prices in the offseason.

Moderator: The next participant is Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla : Hi Sir, good morning. Thank you for the opportunity. Just taking forward with the previous participant was asking while you said that currently the focus for value added products is more on market share then what are the other levers we had to reach the aspiration of 7-8% margins that you have been calling out for the last couple of quarters?

Company Speaker : So we had mentioned a couple of levers that we are working on. One is the value-added products growth. Value added products growth increasing in contribution by about 10

percentage reaching 40 % mark is an ambition that we are working with which should help us improve our steady state bottom line by about 1%. Second thing is there are lots of value creation opportunities or energy saving initiatives that we are working on which helps us reduce our operating costs and increase the margin spread. These are two things that we are working on which will help us structurally improve the performance of the company in addition to of course the ups and downs which are driven by the volatility of the commodities.

Alisha Mahawla : The butter fat losses for quarter of 15 Crores , we were liquidating our butter inventory in the stock . Is this all with relation to that only?

Company Speaker : So let me just clarify the difference of incoming fats from the raw milk that we procure and the outgoing fats is resulting in surplus fat generation which is getting liquidated as bulk butter. So what we usually do is we convert them into butter and after keeping two months of inventory whatever we require for our i

nternal use , the rest of which we are liquidating as bulk commodities.

Company Speaker1 : Just to expand. There was an option of holding it for some time, but shelf life is more than a year, it can be maintained in the cold stores for next six months, nine months, one year and sell when the prices move upwards that is an option or sell it off from the spot prices during the quarter without any element of speculation so we have almost sold out all

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Page 9 of 20 the surplus generated in the nine months. We only have couple of month's internal required stock and some more will get generated in this quarter maybe for the first six weeks or seven weeks in this quarter. Second half of the quarter we expect procurement volumes and sales volumes to match without leaving any surplus generation so the surplus fat generation is gradually coming down as demand is increasing and procurement volumes are coming down so we end the year with limited butter stock available for the consumption in coming months. I hope this is clear.

Alisha Mahawla : Got it understood and we had an aspiration to reach 6000 Crores , by when do we expect to touch this target.

Company Speaker : I think what we should look , you can look at our performance in the last several quarters and not just this quarter, in fact you can look at our steady performance post COVID has been in high teens. So you can do the extrapolation yourself. It is likely in the next two or three years.

Alisha Mahawla : Okay great. That is it right. Thank you.

Moderator : Thank you. The next question is from the line of Kaustubh Pawaskar from Sharekhan By BNP Paribas . Please go ahead.

Kaustubh Pawaskar : Thanks for giving me the opportunity. Sir, my question is on the milk prices. So your thoughts on the same and if there is any stability should we expect even the milk volume to gradually pick up in the context of this?

Company Speaker : See one is the industry availability . Industry availability, you can say will influence plus or minus 3 or 4 percentage on either side, which is the difference between a bad year and a good year. Last year at the same time was a very exceptionally bad year where the industry volumes had shrunk . This year is a normal year . I would not say an exceptionally good year but a normal year where there was sufficient milk available, so industry volumes definitely impact our ability to procure , but on top of it, we have been consistently building our procurement network . Every quarter we have been telling you about the procurement network expansion, which is now standing at close to about 11,000 villages, 198 chilling centers, etc which is also helping us expand our capacity to procure a volume. So we do not see that procuring the volume that is required for our business as a challenge.

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Page 10 of 20 Kaustubh Pawaskar : Okay and in terms of the overall milk as a product for you when can we see the growth rate improving over there?

Company Speaker : Are you talking about milk volume growth?

Kaustubh Pawaskar : Yes.

Company Speaker : Yes so milk volume growth see as I mentioned in Q1 we had taken price increases on milk because of the exceptionally high raw milk prices and the resultant losses and those significant price increases that we had taken in Q1 had pushed milk to stagnant levels or even a small degrowth. You may recall from our Q1 earnings call that we mentioned milk was at -1% in terms of volume growth which steadily improved to plus one percentage in Q2 and now we are standing about 2.4% and these are quarterly averages so you can

imagine that month on month we are seeing steady growth in terms of milk volume performance as well.

Kaustubh Pawaskar : Okay thank you.

Moderator : Thank you. The next question is from the line of Sunil Kothari from Unique PMS. Please go ahead .

Sunil Kothari : Thanks for opportunity Sir and congratulations for quarter -on-quarter improvement and the efforts we are taking. S ir my question is little broader as you said for a long-term value investors and to create a sustainable value we have some strategy and that is why we are increasing our continuous volume procurement and over time we want to match th em with milk sales and value -added products but in between this fact is giving challenge. So do you have any solution maybe a little longer time frame what is the solution to this because every year we are losing 30 -40 Crores because of this? So little bit more explanation on this will be really helpful.

Company Speaker : This is something that we are working on right. This is a challenge in the dairy industry, the material balance which is balancing the input versus output and for us the solution lies not in controlling the input, but actua lly changing the mix of the output. Currently the mix of the output for us is let us say milk , value added products and consumer fats on one side and then you have the bulk fats. So we are working on an effective strategy which will increase the output through the consumer products whether it is milk , value added products or consumer fats whether it is ghee or let us say table butter and all of that and I think we
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Page 11 of 20 have been consistently reporting for the last many quarters over many calls that our value - added products including consumer fat, ghee and all are registering strong growth. So we roughly sell about 300 ton nes of ghee every month. Now if the 300 ton nes of ghee instead of that if it becomes 600 ton nes of ghee then we will become net deficit in terms of butter is concerned. So we are slowly working on changing the mix so that we are actually in a deficit scenario and not a surplus scenario . But the surplus is also a function of milk availability and this has been an e xceptionally good year as far as the milk availability is concerned, which resulted in surplus m ilk and hence surplus butter. This may not be the case all the time. Like last year, we were not in the situation where we did not have actually surplus at all.

Sunil Kothari : Sir broadly I think you being in industry you must be observing other players also is that procurement cost lower c ompared to ours. So are we changing some strategy or maybe from buffalo milk to cow milk, how that shift is happening , when t hat will be reflected in our procure ment cost being low er because that is also hurting us more or less very highly.

Company Speaker : See the procurement prices that we pay is very similar to any of our nearest competitor. We cannot go to a village and procure milk if we are paying less or higher of course we can procure a lot of milk if you pay higher than competitive, but that is not warranted, right. So most of the procurement happens on parity pricing but that said, there is a difference in the mix by re gion. For example, all of us in the peer group we must know all the companies that are there, we are all procuring from six or seven or eight states and the mix or the ratio of mix would be different for different companies. Like we have certain percentage of milk coming from Andhra Pradesh, certain percentage coming from Maharashtra, Telangana, Tamil Nadu, etc and the prizes in each of these states are differ and the weighted average price would look a little different compared to our competitors. Secondly , the prices that we declare as far as our raw milk procurement prices are delivered to our plants, which involves freight and incentives and all, whereas I think some of our competitors might be reporting farm prices, so there also you will find Rs.1.5 to Rs.2 difference but otherwise at a farm level in the same region, the procurement prices are all comparable.

Company Speaker1 : And j

ust to supplement that Sunil Ji our share of cow milk is growing over a period of time. That would bring down the average c ost of milk. Secondly, the price flu ctuation in different states happen at different points in time. In a particular state where we have high volume, the price may be higher in one season lower i n another season, so this average would not be constant over a period 2 -3 years if you see one year Maharashtra price went
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Page 12 of 20 as high as Rs.40 a litre for cow milk and it came down to as low as Rs.25.00. So in that year, if a particular company is procuring more in Maharashtra, the Rs.40 per litre would

influence the average cost in other season when it comes down to Rs.30 it would be showing for the same company a lower average cost, so the mix of cow and buffalo ratio and the mix of milk coming from different states in different seasons will give you different signals. Overnight shift is not possible because you have relationship with farmers, you have infrastructure built. So we gradually balance the mixes both from cow and buffalo, also from territories and the territories are not very stable. It keeps fluctuating so it is a seasonal scenario. Every season one ratio will be different from other.

Sunil Kothari : We have our objective of reaching some size of procurement liters per day whatever number already we are really growing well crossed 16 lakh litre per day also. So Sir over a time will we be moving more towards cow milk that is certain.

Company Speaker1 : Yes we are expanding mostly in the cow milk areas now enhancing the ratio of cow milk in our mix.

Sunil Kothari : Thanks a lot. Thank you very much.

Moderator : Thank you. The next question is from the line of Ankit Garg from Nirma Capital Private Limited . Please go ahead.

Ankit Garg : Hello Sir. Sir my first question is regarding the volume growth. After being struck in similar region for 3 -4 years last couple of years has been very good for us as far as milk procurement is concerned. In your view if our company has to grow 13 -14% or even 12 -13% volume growth over next 2 -3 years what are the few strategic things we need to do as a firm to make that happen rest everything will fall into place if we get this procurement piece right.

Company Speaker : Ankit thanks for that question. Let me solve the chicken and egg for you because we all feel that it is procurement that leads to our sales. It is the other way around. Actually it is the sales that needs procurement because we procure the milk that is required for our sales purpose and procurement expansion happens by adding more village level collection centers VLCC in the region of interest and each average village level collection center usually brings about 25 odd farmers and roughly around 200 litres of milk so suppose let us say for example my strategy next year I need to increase my procurement by about 10% or about a lakh litre which means that I need to add as many village level centers to get me

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Page 13 of 20 the milk. I hope I am able to explain that. If I add 500 to 600 village level collection centers I would be able to get 1.5 to 2 lakh litres of milk and this we are able to do strategically as we were explaining earlier different states have got different price scenario and different states have got a different ratio of cow milk and buffalo milk so if the company's interest or objective is to grow the procurement network in cow milk dominated areas and where prices are lower we will go and set up these village level collection centers in those regions and we will procure that and to give you some statistics in the last two years alone we have added about 2200 village level collection centers, which means that we have established and this village level collection center is going to remain

open, which means that we have permanently added our ability to procure 4 to 5 lakh litres of milk and next year depending on the requirement that we have we will add as many village level collection centers that are required to get this milk.

Ankit Garg : Sure thank you so much Sir for that explanation second Sir if my understanding is right if I just add this 15 Crores fat loss that you had we are then already at like but close to 7% EBITDA margin for our company assuming you are on steady state basis were you keep having some losses is it fair to assume that at this level of sales we are between 6.5% to 7% steady state EBITDA margin on normalized quarter without fat losses?

Company Speaker : You are right. Your first number was correct. We are at 7.5% EBITDA margin at this point in time without bulk fats. Even though bulk fat losses will come down in Q4, it may not become zero, right? But yes, your assumption is right. But that said Ankit, I should tell you that this is at this level of raw milk prices. Raw milk prices could change over a period in time so work is not done. We still need to increase our value-added product contribution. We still need to take up the prices that R esha was alluding to in value added products. So we still have that four or five percentage pricing opportunity in value added products which we will realize during summer. We still have to reduce our cost of operation. We still have a long way to go.

Ankit Garg : Thank you so much Sir and best of luck.

Moderator : Thank you . The next question is from the line of Sameer Gupta from India Infoline . Please go ahead .

Sameer Gupta : Hi Sir, two follow-ups from me. Firstly, this process of selling all the extra fat that we have procured except for keeping two months of inventory is this a process change that we have done in recent times or is it something a practice that we always used to follow

Page 14 of 20 and maybe during COVID and exceptional year we have changed. So reason why I am asking is that if there is such a situation, we can expect much more margin stability in future versus the past.

Company Speaker : Yes we had this problem, but the size was smaller in the earlier years. Size of surplus fat was smaller because our volume of sale and volume of procurement was closer to each other. Last financial year we have accumulated anticipating the shortages in this year, but this year has become a normal year so some of the fat was available in the opening of the financial year. On 1st April itself we had significant 2000 tonnes of opening stock for the financial year. That got impacted significantly this year besides the higher procurement volume during this quarter when the demand was low so this is a combination or convergence of two years' fat happen in one year. Main part of the last year and this year also something happened so that is why it looks significantly high during the current year. The next year onwards as we are entering into again the season of sales, summer season balancing should be achieved sooner and we have to see how the flush pans out in the third quarter again and third quarter coming year will not have opening stock burden of last year kind of scenario.

Company Speaker : If I could just add the specific question Sameer about policy, see the company always maintained this policy of carrying only two or three months of stock. Last year was the only aberration because last year the volumes have shrunk so much that we were not very sure and you are all aware of how the procurement prices shot up. So it was a safety call for safety that prompted us to keep some stocks. We never had these kind of extreme swings from a year of shortage to a year of surplus kind of thing and that has what has costed us. But the policy has always been for the company to liquidate extra stock.

Company Speaker : Excess was not regularly if that is the reason, it is visible significantly because of accumulation of last year's stock added into this financial year.

Sameer Gupta : Got it Sir. That's very clear. Another follow up, the fat products sales that you report in the presentation, does it only pertain to the bulk fat or it also includes the branded fat that is ghee and table butter that you sell under Heritage brand?

Company Speaker : This fat includes everything but if I were to call out only consumer fat sale. Currently in the quarter that we just closed our consumer fats were close to about 93 Crores.

Sameer Gupta : 93 Crores is the branded.

Page 15 of 20 Samba Murthy : The consumer pack sale during the quarter is 41 Crores and nine months it is 108 Crores.

Company Speaker : So correction there. Thanks a lot Samba Murthy for stepping in. The 93 Crores is the cumulative sale out of which 41 Crores is consumer sale and 52 Crores is bulk commodity sale.

Sameer Gupta : Very clear Sir that is all for me thanks.

Moderator : Thank you. The next followup question is from the line of Vandit Dharamshi from Alpha Invesco. Please go ahead.

Vandit Dharamshi : Thank you for the opportunity again. Sir in the previous comments you said that going ahead our cow milk mix will move slightly higher and that should improve our procurement price. So I mean if you can just split I mean what percentage improvement can we see in the procurement price over the next two or three years whenever as the cow milk sales or the cow milk mix reaches to a certain level. So if you can give the level where we are today and where we will reach and what will be the improvement in the procurement price?

Company Speaker : See we are seeing two to three percentage shift from buffalo milk contribution to cow milk contribution year on year. Currently we are about 80:20 in terms of regional. So if you take nine months it will be more like 70:30 or 72:28 and the difference in prices between cow milk and buffalo milk is roughly around Rs.15 a litre. If you have a 10% swing from one to the other that will impact about 1 to Rs. 1.5 per liter. So that is the kind of impact that could be there over two- or three -years' time frame.

Vandit Dharamshi : Understood thank you so much.

Moderator : Thank you. Next question is from the line of Shreyans J from Svan Investments. Please go ahead.

Shreyans : I have a very basic question, so from what I understand the shelf life of fat or SMP as you call it is normally about 15 to 18 odd months. So I am just trying to understand why do we then every quarter sell it with prices which are below our cost because we understand these

books of business cycle. So I am just trying to understand, can we not hold the stock for about 12 -15 odd months and then accordingly sell it. You can obviously sell it as a WAP or then if it does not get sold then sell the bulk commodity rather than selling at distressed prices every quarter.

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Page 16 of 20 Company Speaker : See like any product butter also stored in bulk starts to deteriorate, even though it might have a shelf life of 12 months , the quality of the butter deteriorates as the time goes.

Secondly, there is a carrying cost, right and these are like when it sits in an inventory it is hundreds of Crores . There is a working capital that is involved. There is a cold room that we need to keep running, electricity consumption and all of that and all of it is speculative in nature because we really do not know where it is going. See we are dealing an industry which produces close to 200 million tonnes of milk and contribution of our share in this play is very small, even the largest dairy brand in the country has only 10 % share so the forces that we have to face as far as the volatility of com

modity prices are huge and there

is also global volatility that we have to deal with. I do not think it is really worth the effort and we are not in the business of speculation and if let us say tomorrow if our value added products go up and we really need this butter it is always available in the market and we can buy them because eventually what we want to build is a business which is dependent on sales requirement and B2C is more predictable in the sense we will be able to explain to you that this is a sales price and this is a price of the commodity that we have purchased to clear sourcing.

Shreyans : Sir my second question is, if I look at your business, what portion of your business will be non south for you right now versus five years back?

Company Speaker : I could about 10% is non south.

Shreyans : And what was this number say five years back?

Company Speaker : We will have to come back to you on that.

Company Speaker : For our business value added products are growing faster than milk within value added products non curd products are growing faster than curd. I mentioned that non south be about 10 %. I just added further saying that non south is growing faster than south.

Company Speaker : Sir if you could just send your question to Valorem we will get back to you.

Shreyans : Okay.

Moderator : Thank you . Next question is from the line of Abinash from Nafa Asset Management.

Please go ahead .

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Page 17 of 20 Abinash : Hi Sir congrats on the good set of numbers. I can see that the value -added product has grown year on year, but could you just give us the margin , how is the margin reflected for the value -added products for this quarter , previous quarter , and the same quarter last year.

Thank you.

Samba Murthy : EBITDA margin for the current Q3 value added products is 9.9% , corresponding year 9.27.

Abinash : So one follow up question, do you have any target margin that we have in mind for value added products? How do we progress from here , are we seeing mid teens so what do we have in mind?

Company Speaker : Ideally the value -added products still have a pricing opportunity of three to four percentage from the current level. So that should give us upside in the coming quarters.

Abinash : Thank you Sir. Thank you.

Moderator : Thank you. Next question is from the line of Ramesh Thota individual Investor. Please go ahead.

Ramesh Thota : Thanks for the opportunity. So I have a couple of questions. One is can you just tell me what is your current growth in Q3?

Samba Murthy : Growth is 15%.

Ramesh Thota : Is it on volume growth since we have taken multiple price increases in last year . This 15 % does it have price impact also in it?

Samba Murthy : No this is volume growth. Value growth is 18%.

Ramesh Thota : So I know so many have been asking about fat losses. One small question on fat losses. How much tonnage of fat could we liquidate in the current quarter?

Company Speaker : 1700 tonnes bulk sale .

Ramesh Thota : You said total consumer fat sale is around 93 Crores in quarter. Does it include this bulk butter sale or is it excluding that bulk butter sale?

Page 18 of 20 Company Speaker : No I corrected 93 is inclusive of everything . The consumer product sale is 41 Crores , roughly half of it.

Ramesh Thota : Okay you meant 93 Crores is complete butter fat sale in the current quarter? Is my understanding right?

Company Speaker : Only half of it is consumer and half of it is bulk roughly .

Ramesh Thota : Okay and one futuristic question. So what is our outlook on next season . Q4, Q1 being our seasons for fat, curd and all. Last quarter Q1 we were having industry slow down which already you told in Q1 investor call. So what is our outlook for next season? Are we going to have a 20% growth, 25% growth in that as we have i

n this quarter? Is it like that or is there a slowdown in the market?

Company Speaker : See the only thing which is outside of our control is how the milk production happens, right, because the sales mostly in our hands and are growing that steadily. So you can continue to expect steady growth of our volumes and revenues going into next year. As far as the supply side at this point in time, the indications are that it will be normal. We are not expecting terrible shortage or huge price increases, but then it has to be seen.

Ramesh Thota : So are we targeting our next year some 15 -20% growth in overall revenue we currently are growing at 2 to 2.5 % for you are we continuing targeting 2.5 to 3% next year also.

Company Speaker : You are probably comparing volume growth with revenue growth because 2.5% is the volume growth so are you talking about volume growth or revenue growth? Revenue is revenue is a function of price increases plus volume growth. It is a function of both happening. So there could be years when volume growth is slightly muted, but the pricing growth is higher. There could be years when pricing growth is slightly muted, but volume growth will be higher . Irrespective what we are committed to is keeping the top line growing at a steady pace.

Ramesh Thota : So my question was slightly different. Since the current year we have not taken much price increases unlike last year since we had a milk shortage.

Company Speaker : Ramesh sorry to intervene, but just to save time, I think there is a little bit misunderstanding of the context this year see there are two pricing we are talking about.

One is raw milk pricing which is actually the input commodity for our business and the second is market pricing, whether it is milk or value -added products. There were a lot of

Page 19 of 20 discussions around value added pricing, milk pricing and all of that. So maybe it has been a little bit confusing. Just to give a context, last financial year was a year when India faced a severe shortage of milk which resulted in raw milk prices going up, which actually put a strain on profitability of not just Heritage but many other dairy companies as well. And this we are speaking about three to four quarters back and these high prices of raw milk or input material. prompted us to increase market prices of milk in Q1 of this year. In fact, we had started increasing prices from March of this year, which was Q4 of last financial year itself. And we continue to take prices across markets from March of 2023 till about June, July of 2023, which is actually Q1 and Q2 were quarters where we took market prices up . Primarily we took prices up in milk and we took nominal price increases in value added products. Subsequently in Q3 what we have seen is that we had a regular flush season which means that supply side improved significantly compared to same period last year that resulted in raw material prices coming down. So we are in a situation where we took up market milk prices higher to compensate for raw milk prices price increases earlier. So we are at a higher market milk price situation with lower raw milk price input, I hope this was clear . Next financial year could be a situation where we may not take too much of market milk price increases because we are already at a higher price as far as the consumers are concerned and some of the previous people were asking about the outlook in terms of raw milk prices. We hope the raw milk prices hold steady or will have nominal increases as we get into a lean season.

Ramesh Thota : One last question. I attended Bajaj call yesterday. So they were entering a Greenfield project in Maharashtra. Does it have any impact on Heritage volumes in Maharashtra .

Company Speaker : There is competition always. People keep coming, joining and everyone procures milk. Everyone offers the sa

me price. I do not see any reason for impacting only Heritage.

Ramesh Thota : Thank you for the opportunity. Thanks.

Moderator : Thank you. The next question is from the line of Babu Raju, individual investor. Please call us please.

Babu Raju : Hi Sir, I thank you for giving me the opportunity. Congratulations on good set of numbers. I know the long-term target is 8% the margin. So currently we are at like 5 .5 and when you will be able to achieve that number.

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Page 20 of 20 Company Speaker : I think it was well explained during the call earlier by Srideep. We are already around 7 plus without the fat losses. So we try to achieve as early as possible but would not put a timeline because it is influenced by multiple factors and it may not be fair to put numbers and timelines in the anticipation but our aspiration is to reach there as soon as possible.

Babu Raju : Thank you .

Moderator : Thank you very much. As there are no further questions, I will now like to hand the conference over to D r. Rao for closing comments.

Sambasiva Rao : Thank you very much for your participation and interesting questions. We look forward to see your continued engagement with Heritage Foods. Thank you once again.

Moderator : Thank you very much. On behalf of Heritage Foods Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Jun 2024

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 48- 24

June 03, 2024

To

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

Scrip Code: 519552 To

The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, C-1, G Block, Bandra-Kurla

Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst

In Continuation of our letter dated May 15, 2024 the Company had organized a conference call with the Investors/Analysts on Friday, May 31, 2024 at 04.00 PM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M. No: FCS- 6317

Encl: a/a

HERITAGE FOODS LIMITED

Q4 FY2024 Earnings Conference Call

May 31, 2024

MANAGEMENT :

Mrs. N Brahmani – Executive Director

Dr. M Sambasiva Rao – President

Mr. A Prabhakar a Naidu – Chief Financial Officer

Mr. Srideep M Kesavan – Chief Executive Officer

Mr. J Samba Murthy – Chief Operating Officer

Mr. Umakanta Barik – Company Secretary & Compliance Officer

Mr. Upendra Pandey – Chief Executive Officer, Heritage Nutrivet Limited

MODERATOR :

Mr. Anuj Sonpal – Valorem Advisors

Heritage Foods Limited

May 31, 2024

Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this call is being recorded.

I would now like to hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you, and over to you, Mr. Anuj.

Anuj Sonpal: Thank you. Good evening, everybody, and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Heritage Foods Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the fourth quarter and full year financial year ending 2024.

Before we begin, let me mention a quick cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management.

Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mrs. N. Brahmani, Executive Director; Dr. M. Sambasiva Rao, President; Mr. Srideep Kesavan, Chief Executive Officer; Mr. A. Prabhakara Naidu, Chief Financial Officer; Mr. J. Samba Murthy,

Chief Operating Officer; Mr. Upendra Pandey, CEO of Heritage Nutrivet Limited; and Mr. Umakanta Barik, Company Secretary and Compliance Officer.

Without any further delay, I request Dr. M. Sambasiva Rao to start with his opening remarks. Thank you, and over to you, sir.

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Page 2 of 21 Sambasiva Rao: Thank you, Anuj. Good evening to everyone joining us today on this call. We are pleased to welcome you all to this earnings call for the quarter 4 and full year 2024. The financial results and earnings presentation have been uploaded already on the exchanges, and I hope you must have had a chance to look at them. We are pleased to inform you that Heritage Foods has reported robust growth in terms of earnings and profitability for the quarter as well as for the full year.

For the quarter 4, under revenue on a consolidated basis, the operating income was INR951 crores, representing a growth of 16% year -on-year. EBITDA for the quarter was INR70 crores, which grew by 68% year -on-year. EBITDA margins were at 7.39%. Net profit for the quarter was at INR41 crores, representing a strong growth of 126% year -on-year, with PAT margins reported 4.26%.

For the financial year ending 2024, our consolidated operating income grew by 17% year-on-year to INR3,794 crores. EBITDA stood at INR210 crores, representing a strong growth of 52% with EBITDA margins improving to 5.52% as compared to 4.27% in the last financial year. Net profit for the year stood at INR107 crores, which has seen a significant improvement of 84% on a year -on-year basis with PAT margins reported at 2.81%.

Now moving on to the operational performance. In the fourth quarter under review, milk procurement volume grew by 11.32% year -on-year to 1.59 million liters per day, while the average procurement prices dropped by INR3.5 per liter, that is 7.5% to INR41.7 per liter. Our milk sales volume experienced a steady growth of 3.74% year -on-year in quarter 4 to 1.11 million liters per day. While the average milk selling prices for the quarter rose by 1.78%, that is close to INR1 per liter to INR54.84 per liter. Value -added products registered a robust revenue growth of around 22% year -on-year in quarter 4. We also had several new launches in quarter 4. The products we launched include toned and skimmed milk in tetrapak under the brand name Farm Fresh and Lite Fit; a new ice-cream variant VibeZ 's launched during Valentine's Day; new variants of fresh milk, Gold and Super Gold in Chennai; flavoured curd in two variants under brand name Shubh Meetha Dahi.

We also expanded our distribution network further in quarter 4 by adding 432 milk distributors, 33 VAP distributors and 11 fresh value -added product distributors. This

expansion aims to improve product availability and reach a wider consumer base.
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Page 3 of 21 For the financial year ending 2024, VAP witnessed a strong growth of 18.7% year -on-year basis. Value -added products contribution including consumer packed ghee and butter stood at 33.5% for the financial year '24 and at 29.63% without ghee in consumer pack and butter in consumer pack.

Coming to our subsidiary and joint venture. They also had a strong performance in financial year '24 with Heritage Nutrivet, the wholly owned subsidiary, reaching INR160 crores in revenue in FY'24, representing a growth of 50% year -on-year and also a significant growth in bottom line from INR1.6 crores to INR7.4 crores, which represents a growth of 360% year -on-year. Our joint venture, Heritage Novandie Foods Private Limited reduced the losses by INR4 crores during the financial year from INR17 crores to INR13 crores.

With this, we'll open the floor for question and answers. Thank you.

Moderator: The first question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Firstly, sir, on the milk procurement price. No

w there is a sharp reduction in this price

this quarter. And the same is not yet visible in the selling milk prices, which usually follows with a lag. So first of all, this milk procurement price reduction, is there something which is a one -off or this is more of a trend now because this was also expected in a way? And if that is so, then do you expect some moderation in EBITDA margin from the current level, it may still settle at a higher level, but just the fact that some of this may need to be passed on to consumers. Do you foresee that? Your thoughts here.

Srideep Kesavan: Thank you, Sameer. This is Srideep, here. So first of all, yes, we have seen milk prices drop in quarter 4 of the financial year. And it is usually the case because quarter 4 is the end of a good flush season and prices usually start to drop from November, December onwards, and it continues to drop. So there is nothing unusual about it. In our opinion, this we had seen in all good flush years, except in the years before, where we had an abnormal year. So that is first answering your question on why the drop happened. Second question, I think you're probably asking us if we will drop the consumer prices. No is the answer usually because the pricing up with a lag is a reality, but pricing down with a lag, usually doesn't happen. So that we are not looking at any price reduction at this point in time.

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Page 4 of 21 Third, the price drop will it sustain during the quarter , Usually the prices go up a bit depending on the availability of the milk as we come off the flush season. So we are seeing a little bit of prices climbing up , but I don't think that there is anything to worry because alongside that, we are also seeing the sales volumes increase and the value - added product contribution increase as is usually the case in quarter 1. So we don't see anything abnormal happening at this point in time.

Sameer Gupta: Second question is that I still see a large amount of fat sales this quarter, around INR71 crores. Now before there was the phenomena of bulk fat sales, this used to be a INR30 crores to INR40 crores quarterly number. So just a question here that is it like your branded fat sales have gone up to that extent? Or there is still some element of bulk fat sales sitting in this quarter?

Srideep Kesavan: Yes, Sameer, Srideep here. Yes, this quarter also, we had bulk fat sale. But if you look at the quantities, while in quarter 3 -- quarter 2, we may have sold close to 2,000 tons, in quarter 3 that came down to 1,500 and quarter 4 was just about 1,000 tons. So the quantity has significantly come down. In fact, the closing stock of fat is now very much in under control in the sense we have just about a month's stock. So we do not anticipate any further bulk fat sales to happen.

The sale of fat products on the consumer side has been steadily growing. While in quarter 1, we sold close to 560 tons, the same number in quarter 4 was close to 800 tons. So if you could note the trend on consumer side, the sales volume is growing steadily quarter -on-quarter 560, 680 like that, eventually ending up with 800 -odd tons in the quarter, whereas in the commodity side, which is the bulk fat sale has come down from 2,000 tons to 1,000 tons and nearly we can say that it is now absolutely at 800 tons is nothing, 800 tons is what we need for sales of consumer products. So we are not carrying any bulk fat at this point of time.

Sameer Gupta: Just a follow-up here, Sri. This bulk fat, and correct me if I'm wrong, this is usually sold at the existing fat prices with almost a 0 gross margin. Is this understanding correct?

Srideep Kesavan: It depends on when you accumulate it, at what price you accumulate it and when you liquidate it. So there is always a lag...

Sameer Gupta: Assuming there's no price change during that time, would that be a fair understanding?
Herita

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Page 5 of 21 Srideep Kesavan: Okay. If it is sold on the spot, you're absolutely right, you're bang on. But if you recall what happened early on in last financial year, the raw milk prices were very high in quarter 1. And in fact, in quarter 4 of last financial year, the milk prices were very high. And last financial year, which is FY'23, we exited with a good amount of bulk butter in hand, and that was helped 2,000 tons of bulk butter in hand. And that was you can imagine at the peak raw milk prices.

And from then on, quarter-on-quarter, the milk prices -- raw milk prices have come down steadily, which means that the butter was being sold always at a lower price than the accumulated price. That is the reason why the loss happened. But if you do spot trade, you are right, that buying and selling would be at the same price. But that's not how usually it happens. There is a small lag.

Sameer Gupta: Got it. No, no, this was just for understanding.

Moderator: The next question is from the line of Kiran Kumar from Investwise.

Kiran Kumar: So my question is on this milk growth, where we have grown 3.74% year-on-year. So majorly, which market had given us this growth? Is it overall all the geographies we operate like Hyderabad is our major area. So are other areas also contributed to this growth or only it's Hyderabad, which we grew?

Jangam Murthy: Yes. This is Samba Murthy. So milk sale volume has grown across all the markets. Growth is there all the markets, okay, not only a single market.

Kiran Kumar: Can you just tell me how much we grew in Hyderabad, which is our major market, which is a sustainable growth as I feel?

Srideep Kesavan: Okay. While Mr. Samba Murthy gets that number, I do not agree with what you said that growth in Hyderabad is only sustainable. In fact, all the other markets are also equally sustainable, our growth. Usually...

Kiran Kumar: Sorry for my statement. What I meant was like since we have the higher market share in Hyderabad, which gives you a better margin. So I quoted in that sense, not in a different sense.

Jangam Murthy: Hyderabad also roughly the same growth.

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Page 6 of 21 Kiran Kumar: So my second question is on your future -- I mean Q1, how are we trending in our sales milk and other product sales? Is it like last year, I remember we were like -- we had a bad season our VAP products and all because of unscattered rains, all those stuff. Is it better in this quarter? Or we are still experiencing the same?

Sambasiva Rao: We'll answer later, Kiran.

Kiran Kumar: Okay. And my last question is regarding butter provision. Did we exhaust our butter provisions which were made till Q3 Or are we still carry forwarding some provisions in our books?

Sambasiva Rao: Butter provision around INR4.5 crores is still carried -- we have provided actually as on 31st March.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital.

Ankit Gupta: Congratulations for great set of numbers. So my first question was on the milk sales. We have seen a steady increase in the milk procurement over this financial year. But our milk sale has been in low single digit for the full year and most of the quarters. But -- and our VAP sales have continued to grow pretty well in high double digit. So is it that the increase -- the higher milk procurement is going -- is being directed towards VAP, and since those are higher-margin products and milk sales growth will continue to lag the milk procurement number by a big margin?

Srideep Kesavan: Thank you, Ankit. This is Srideep here. So just to give you a sense of last 4 or 5 quarters trend of what has happened. In quarter 1, we declared milk volumes degrowth of about 1.1%. In quarter 2, volumes of milk grew at 0.8%, quarter 3 was 2.3%, quarter 4 was 3.8%. So you can see that minus 0.1, minus 1, plus 1, plus 1, pl

us 2.3, plus 3.8. So -- which

should give you confidence that the trajectory is good.

And the reason why it initially went negative was because of raw milk procurement price increases we had passed on close to about 11% to 12% price increase to the consumer. Whenever there is a significant price increase to the consumer, there is a little bit of a contraction of consumption. .

And I'm not sure, Ankit, if you had attended the previous con calls, investor con calls, we had mentioned that we had achieved the price increase partially through increase of MRP, and partially through what we call shrinkflation, which is basically a reduction of grammage of the pack sizes, which also resulted in like a consumer buying -- the number
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Page 7 of 21 of packets the consumer buys remain same, but the quantity purchased comes down a little bit. So it is pretty much understandable when we take a price increase of 11% to 12%, volume tapers a little bit. But the good news is that we have been able to turn it around, and now it has ended -- the year has ended with a steady growth of about close to 4%.

Now specific question about difference in growth rates of value -added products and milk. One should understand that milk is largely organized. 40% of milk consumption in the country is in the organized sector, and only rest is unorganized. Hence, the growth that we see in milk is usually at the rate of population growth or growth of organization. Unless consumers start to drink a lot of milk, the consumption quantities increase. That is not the case as far as value -added products are concerned.

Value -added products -- most of the value -added products are largely unorganized. And the momentum that we are able to get is because of the conversion from unorganized to organized because we are able to provide the highest quality products because we are able to give consumers convenience, which they do not have with organized. For example, paneer, only 4% is organized. Curd, only 8% is organized. So naturally, value -added products will continue to have a higher growth rate compared to milk. And so this you should expect going forward as well.

Ankit Gupta: So that very well explains my questions. And my second question was on -- in the current quarter, given the kind of the heatwave which the entire country has experienced. How do you see the growth of VAP, specially products like curd and ice -cream in the quarter? And what percentage of our total sales from VAP are we targeting for FY'25?

Sambasiva Rao: Yes, Ankit, as we mentioned earlier, we are trying to defer discussions on current quarter to the next quarter.

Ankit Gupta: But any targets that you can give for value -added product contribution for FY'25?

Srideep Kesavan: I think there's a lot of general opinions in the media from some of the leaders of cooperatives. I think -- you have a lot of information. But specifically to our company, we can't release at this point in time But if you -- you can look at the past trends and understand what the potential could be.

Moderator: The next question is from the line of Nirmam from Unique PMS.

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Page 8 of 21 Nirmam: Sir, can you quantify the fat loss for the quarter? And do we expect any fat losses in the next year?

Prabhakara Naidu: Sir, this is Prabhakara. Fat losses for the quarter 4, INR13.45 crores, both bulk and consumers.

Nirmam: And do we expect this in the next year, say, what amount could it be?

Srideep Kesavan: This is Srideep here. So like we said, it's our intention to consistently bring the losses in fat quarter -on-quarter. There are several strategies that we are working on to ensure it happens. First of all, the larger part of the loss is when we sell fat in bulk in quantities.

So we are -- like I mentioned earlier in the call, currently, the bulk fat that we are holding is very

minimal. So we do not expect too much of bulk fat sale to happen.

Most of the sales should happen in consumer packs, which means that naturally like that will help us in reducing the losses to go on. Number two, we are also trying to reduce the time lag between accumulation and sales, which will also reduce, what you call the arbitrage as far as the price is concerned.

Nirmam: Got it, sir. And sir, secondly, so we've seen a good uptick in the gross margins for the quarter. So can you elaborate what led to it and if this number is sustainable going forward?

Srideep Kesavan: Sure. Thank you. And I think specific numbers, I will request CFO, Mr. Prabhakara

Naidu to give. But on a very high level, one, the fat losses came down in quarter 4. And secondly, we had the benefit of raw milk price reduction, which happened in quarter 4. We also had advantage of low -priced SMP that we use. And you will also see that the value -added products growth had gone up at around 22%. So all of these helped, and specific numbers may...

Prabhakara Naidu: Gross margin for Q4 is actually 23.34%, for the year 20.09%.

Srideep Kesavan: So his question is why? The raw milk prices, we have already indicated that it has come down. I think it is there in the investor note. The second thing is SMP, whatever we have consumed is also at a lower price compared to because of -- all benefited because of the milk prices coming down.

N. Brahmani: Brahmani here, just to expand a little bit upon gross margins. we have displayed in our results also stability or improvement of gross margins over the last 8 quarters through a Heritage Foods Limited
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Page 9 of 21 combination of different initiatives, as CEO, Srideep had mentioned, the focus on value -added products, better procurement mix and more focused on growth of these higher -margin products and also improvement in the increase in sale of consumer fat versus bulk fat. So I think that's something we can expect going forward, a focus on stable and growing gross margins.

Nirmam: And my third question is just related to the JV. So we've seen reduction in losses, but we've still provided an impairment of about INR16 crores to INR17 crores this year. So can you talk about that?

Prabhakara Naidu: This is as per accounting standard, actually, when there are indications that the company continues to incur the losses, we need to test it for impairment. We have appointed external consultants for valuing the company, applied DCF method. So based on the valuation report and our carrying amount of investment in stand -alone financial statements, we are supposed to provide the higher of the carrying amount more than our share of value of the JV, that has been provided as of now.

Nirmam: Okay. But then we need to...

Moderator: Sorry to interrupt, sir.

Sambasiva Rao: Just to add one point. It's true that losses have come down and business building is happening at a rapid pace by expanding the channels and outlets, markets, etc . But to present the true and fair situation of the company's assets value, investment value, it was recommended by our consultant to have impairment noted so that has been carried through so that the health of the company is clearly reflected for the years to come.

Moderator: The next question is from the line of Rohit from Samatva Investments.

Rohit: So my first question is on the JV only. So I just want to know what's our plan for the JV, right? The losses have decreased, I get it. But what's our plan next 2, 3 years in terms of revenue growth, in terms of market reach? And by when do you see it breaking even, just your thoughts on that?

Sambasiva Rao: So it's a -- yes, sure. Thank you. It's a single product category company, which started focusing on yogurts in different forms, liquids, fruit, flavour, etc. We had an initial setback when the business commenced because of the COVID that this company was ready

to commission at the onset of COVID.

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Page 10 of 21 So 2 years, we couldn't place the products in the markets because of the physical constraints of reaching, etc. So we lost valuable time for the first 2 years after commissioning the business. But subsequently, it picked up, the volumes are growing. There was some issue in terms of reaching out long -distance markets because of the cold chain requirements. Now all the requirements have been fulfilled. The business is picking up.

We estimate another 2 financial years, including current year to achieve breakeven as for the current movement of the business. So that is '26 financial year we can see a business in a very healthy shape. We're even trying to expand the product portfolio so that the volumes can come faster. It's a well -accepted high -quality niche product. There's only a question of building volumes, how rapidly we can build to absorb the overheads and other costs.

Rohit: Got it. So what has been the revenue for the last 2 years for the joint venture?

Sambasiva Rao: Revenue is small. It's about INR6 crores, INR7 crores, INR8 crores kind of thing.

Rohit: Got it. Sir, my second question would be, could you give me the number for curd sales

FY'24 and FY'23?

Sambasiva Rao: It's close to about INR820 crores, which is growing at a rate of 16%.

Rohit: So FY'23 to FY'24, it has grown 16%, right?

Sambasiva Rao: That's right.

Rohit: Okay. Sir, and my last question would be on the ice-cream part. So this year, we have done around INR70 crores to INR80-odd crores. So in terms of scale, right, there's a very big opportunity in ice cream. So the next 3 to 4 years, how big can this segment be for us?

Srideep Kesavan: Yes. This is Srideep here. Ice cream is a category which you're seeing -- like all, every single value-added product category is growing. And our intention is to keep the growth ahead of the industry. So our understanding is that ice cream as an industry is growing at the rate of about 16% to 18%. And for us, this year, we have grown at 58%, which I think, okay, fine. See, you asked me why didn't we grow 40% or 50%, of course, it can be much better than this. So it's our intention. If I could just give you the comfort that we intend to grow much faster than the industry. At this point in time, we are growing at

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Page 11 of 21 double the rate of the industry because our size of the business, like you mentioned, is still small.

Moderator: The next question is from the line of Dhawal Dhama from DVD Capital.

Dhawal Dhama: Sir, my first question is -- I mean, we have come a long way in terms of value-added products being 25%, 26% of the revenue to now north of 33%, 34% of the revenue. In your mind, what's a sustainable number in terms of -- let's say, what's your ambition when you're talking about INR6,000 crores revenue? What number can VAP be? Like -- I mean, will it peak out at 35-odd-percent or even 35%, 38% or 40% is possible? Just wanted your sense on that.

Srideep Kesavan: Thanks for the question. We have been -- like INR6,000 crores is the ambition that we have as far as revenue is concerned, and the same breadth we had mentioned that we want to have 40% of that revenue coming through value-added products. So we're sticking to the same number, which means that internally for me, my effort is to ensure that 2.5% to 3% improvement happens every year, which means that in 3 or 4 years' time, when we get to the INR6,000 crores, we should be able to get to the 40% as well.

Dhawal Dhama: Sure, sir. Sir, my second question is regarding sustainable margins. You've always mentioned that your margins in VAP are significantly higher than what it is in milk. And when you say that -- and the journey that we have travelled from 25%, 27% to 33%, 34%, and you want to take it to 40%. And obviously, there will be some

operating

leverage. On a sustainable basis as a company, from where we were, do we see at least 2, 3 percentage points higher margins as -- not quarter-to-quarter or even year-to-year. But I think on a sustainable path basis, do we see us becoming an 8%, 9% margin company over a longer term when this VAP goes to 35% and 38%?

Srideep Kesavan: Yes. This is Srideep here. See, this is all a little speculative and a little bit of arithmetic. But what we know for sure is that on a sustainable long-term basis, value-added products will always have higher margins compared to milk, right? Primarily because that was a very nature of value -- by very fact that it is a value-added product means that consumers will pay a higher price, and we should be able to make higher margins in that. Now the rest is you can do arithmetic at some point in time, the gap between milk and value-added product was 5% to 6%. At this point in time, the gap has come down a little bit because we have taken up prices of milk quite a bit. So milk is actually now pretty much profitable for us.

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Page 12 of 21 So a gap between milk and value-added products has reduced, and it's only now 2.5% or so. So -- but still, value-added product will always give you a higher return compared to milk. So in our opinion, if currently, we are at around 29.6% of value-added product without ghee and butter because in our -- the reason why we gave two numbers is that internally, we keep value-added products to quote without ghee and butter because the margin profile of ghee and butter is different from the rest of the value-added products. So whenever I say that the value-added products return higher margins compared to milk, I'm talking about value-added products other than ghee and butter. So the value-added product contribution today other than ghee and butters is 29.6% and including ghee and butter, it is 33.5%. So that 29.6% is what we hope and aim to take to 40% and

that 10% swing should definitely help us improve the profit profile of the company as the bucket moves from, let's say, 5% or 6% EBITDA to about 11% to 12% of EBITDA bucket.

Dhawal Dhama: Sure, sir. And my last question is regarding capex. What will be your capex for this year and next?

Sambasiva Rao: Capex for the financial year completed was INR136 crores, that is FY'24. FY'25, current year, we are planning around INR150 crores.

Moderator: The next question is from the line of Resha Mehta from GreenEdge Wealth.

Resha Mehta: Congratulations on a very strong set of numbers, especially on the profitability side. My first question is on the growth rate, right? So last financial year, we have seen a higher kind of growth rate. And do we see -- so even in Q4, we saw that the growth rate kind of tempered a little bit at 16% versus 20% in Q2 and Q3. So now we are cycling such a high dose, did you see any moderation in our growth rate? So let's say, going ahead, could this number from high -teen go to a low single kind of a number or any thoughts around that? And also for this growth that we are targeting, are we confident of achieving the related procurement growth as well? That's the first question.

Srideep Kesavan: Yes. Thank you, Resha. This is Srideep, here. Fortunately, we are in a very attractive industry. And this attractive industry is sitting in a very attractive country. So that's possibly what our biggest strength is, right. The country GDP is expected to grow at 7%, 7.5%, 8%. And in that dairy industry -- dairy sector is supposed to grow or expected to grow faster than that, right? And all estimates given by experts all talk about 11% to 13% kind of industry growth rate.

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Page 13 of 21 And our intention is to continue to gain share and grow at a differential rate compared to our peer group. And if you compare our growth rate with any of our competitors,

you

can see that we are above them, which means that if industry is growing at 11% to 13%, then we should aim to grow higher. We should continue to grow that, right? So I can give you the comfort of tailwind that we have and our determination to make it happen.

Resha Mehta: And related procurement rate?

Srideep Kesavan: Yes. So which, this year, we have grown our procurement in line with our milk market -- milk requirement. So every year, we have -- as it's a steady work that we do every month, we open about 150 -odd village -level collection centers, which means that in a year, we opened about close to 2,000 village -level collection centers. And each village -level collection center picks up close to about 180 to 200 liters of milk, which means that every month our procurement is growing in line with our milk requirement or milk demand. I do not see at this point in time -- there is a lot of hard work, but I do not see any challenge or disruption in this journey.

Resha Mehta: Right. The second one is on the margins. Again a two -part question here. The first thing, so milk prices have been largely subdued for the last 18 months, right? And while you've mentioned that, okay, in Q1 we may inch up because of the seasonality factor. But otherwise, we have been largely subdued for the last 18. In the past cycles, what we have seen is that whenever milk pricing remains subdued for a very long time, the farmers, their behaviour changes a little bit, they tend to ignore their animal's health, which eventually leads to drop in productivity and then milk inflation cycle. So how are you people seeing it on the ground in terms of farmer behaviour? And because of this, how do you see the milk prices shaping up both on a long -term perspective?

Srideep Kesavan: Yes. Resha, this is Srideep here again. It's a very, very excellent question and very difficult question to answer because we are talking about large numbers, and many -- India is the largest producer of milk with 6 -8 crores people involved in it. And so it's very difficult to predict.

But if I could just call out a few things, which could be in our favor, at least in the near to short term, first of all, even when the prices have come down, it has just come down -- you could say that it is just nipped a bit lower than its peak, and it was not crashed. So the prices have come down, for example, in the last quarter by 7 -odd percent. But it is still considerably good or higher than, let's say, Q4 or Q3 of the previous financial year,

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Page 14 of 21 which means that as far as the farmer remuneration is concerned, it went up quite a bit, and it has settled down to a sustainable price is the way I'll put it.

So at this point in time, I believe that the producer is happy, companies like us, we are able to make money, and we are able to give the consumers products at affordable prices. So it's -- the equation is actually very well balanced at this point in time, and which is the reason why there is stability for the last many months, and we are hoping that the stability sustains for some time. But surely, like external disturbances and disruptions can happen. But at this point in time, the prices that we are paying to our farmers is quite sustainable on both sides.

Resha Mehta: So you're not seeing in the market where you procure that farmers have started neglecting animal health or anything of that sort, right?

Srideep Kesavan: No. Such things would be seen on news as well. We are not seeing anything. Everything is -- at this point in time, everything is very stable, touch wood.

Resha Mehta: Got it. Right. And lastly, on the EBITDA margin. So just a quantitative data point question here. So if you could call out the EBITDA margins for liquid milk and VAP in Q4 and also for the full year? And also, have you taken any blended price hikes in VAP in Q4?

Srideep Kesavan:

I'll answer the second question. We have had market mix changes because of which the prices have changed. You will see that the net realization weighted average -- yes, blended average would have changed, but we have not taken any price increase as such.

Resha Mehta: Okay. So for entire FY'24...

Srideep Kesavan: Resha, to your first question, I think CFO is answering.

Prabhakara Naidu: This is actually for Q4, milk margin is 8.97%, and VAP margin is 10.48%.

Resha Mehta: And for the full year?

Prabhakara Naidu: For full year, milk margin, 6.34%; VAP 9.75%.

Resha Mehta: Right. And just a clarification for no price hike have been taken...

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Page 15 of 21 Moderator: Ma'am may we request that you return to the question queue. There are several participants waiting for their turn, please. The next question is from the line of Sanika from Sapphire Capital.

Sanika: Like -- since you said that we're going -- we are targeting higher growth. So what kind of growth are looking from the value side? And what kind of growth are we looking from the volume perspective?

Srideep Kesavan: Yes. This is Srideep here again. Sanika, this year, the raw milk prices have stabilized, we are not expecting a lot of price increase to happen on the consumer side. So a large percentage of the growth will have to be driven through volume growth. That's what we foresee. I hope I've answered your question.

Sanika: Yes. So like this 15% to 20% growth, can we expect this kind of growth on a year -on-year basis going in quarter 1 and kind of 7.5% to 8% EBITDA margin?

Srideep Kesavan: So for volumes growth, we have been delivering the level of volume growth in value - added products for some time. Milk is a product category where we need to accelerate the growth as well. And that also is an upward trend. There is a lot of work that we are doing, both on distribution side as well as on the consumer side to make sure this happens. For example, you have seen in the report itself that we have added close to 400-plus distributors in the quarter, which is going to help us in quarter 1 and beyond. We continually expanding our presence in the market through distribution initiatives. We have added tens of thousands of retail outlets.

We have entered new channels of distribution. For example, in Tamil Nadu, we have opened several new towns where we were not present earlier. So that's the continuous work that we are doing. And on the consumer side, we are investing now consistently on the marketing side to create consumer demand. And that's also helping us drive differential offtake from the stores compared to our competitors. So we are gaining market share as well at the same time. So it's a combination of these, which should help us continue the growth journey.

Moderator: The next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Just wanted some colour on the current state mix in terms of sales. If exact data you cannot give, any flavour that you can share will also be great. This is for FY'24, I'm asking.

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Page 16 of 21 Srideep Kesavan: Sameer, you're quite anxious to know, but we are also trying to be disciplined.

Sameer Gupta: I understand, sir.

Srideep Kesavan: Our compliance officer is sitting next to us.

Sameer Gupta: Any flavour will also be helpful, sir. Just wanted to understand, it's been some time since we tracked it.

Srideep Kesavan: I tell you that our core markets are growing at healthy numbers, and our noncore markets or frontier markets, all the developing markets are growing much faster. That's all I can say at this point in time. And it's a healthy mix at this point in time.

Sameer Gupta: And just a follow -up here. Any new states you might have entered in the last 2 years?

Srideep Kesavan: We had mentioned that we have entered Odisha. Odisha is a market

that we entered in

this quarter, quarter 4 of FY'23.

Moderator: The next question is from the line of Govindlal Gilada, who is an Individual Investor

Govindlal Gilada: I have got only one question. A few days, exactly on 28, there was a webinar organized by CRISIL. In that one of our officials, I don't remember his name was represented in this webinar...

Sambasiva Rao: Please go ahead.

Srideep Kesavan: Yes, yes, please.

Govindlal Gilada: So there was a statement from one of our representatives who had represented in this CRISIL webinar that this year, dairy is a growth story of this decade, so that I want to just -- can you elaborate on that decade of dairy growth story, what exactly, some elaboration can give on this, sir?

Srideep Kesavan: Yes. So see, I think that is a figure of speech. The idea is that this is what I was just saying some time back that in India is expected to have a continued consistent GDP growth for the next many years to come, and we are growing at a rate of 6% to 7%, which means that if the economy is growing at that rate, then the dairy industry is expected to grow faster. And here are the reasons why.

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Page 17 of 21 Number one, a large percentage of the dairy sector is still unorganized. In fact, close to about 55 percentage of the dairy sector is still unorganized. So there is a constant shift that we are seeing from unorganized to organized. I had mentioned this answering to another question earlier. For example, product such as curd, it's only 8% to 9% is organized.

Ghee, only 18% is organized. Paneer 4% is organized. Even milk, only 40% is organized. So the shift from unorganized to organized is what is helping dairy grow faster than the economic growth of the country. Secondly, the consumers are becoming more and more health conscious. And in India, 40% of consumers are vegetarian. The primary source of nutrition or protein for most of these consumers is milk or milk products, which means that actually, like we are seeing that in India, the protein consumption still is way below the requirement. That is another thing which is going to drive growth of dairy products.

The third reason is the dairy is very versatile. See, unlike any other food category or any other FMCG category, which only plays in one opportunity or one occasion. Dairy plays across many occasions, from the morning tea or coffee until lunch or dinner, even snacks, even sweets. So sweets -- organized sweets is a fast -growing category. Ice cream is a very fast -growing category. Everything is made from dairy.

So the number of occasions that you count in a day, you can have a dairy is enormous, even ghee, which is a cooking medium, butter. So it's boundless, which is the reason why I think there was a general opinion that we are just going -- we are going to witness a very fast -paced growth in the dairy sector.

Moderator: The next question is from the line of from Kruttika from Sharekhan by BNP Paribas.

Kruttika: Just one confirmation. We said that the Q4 bulk fat loss is of INR14 crores. So for the full year, they were INR47 crores. Am I right?

Sambasiva Rao: Sales growth. And then second part, I couldn't hear you.

Kruttika: Bulk fat losses for the Q4 it was INR14 crores. So for the full year, was it INR47 crores, if I'm right? Around INR45 crores, INR47 crores?

Prabhakara Naidu: INR49 crores.

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Page 18 of 21 Kruttika: Okay. So excluding the bulk fat, our margin for the year, would that be around 6.8%, is that calculation correct? You said it's 5.5%. So if we exclude these losses...

Srideep Kesavan: Kruttika, this is Srideep here, so bulk fat contributed close to about 1 percentage of the loss, okay? It's slightly at that of a 1.1%. So if you look at the margins without the bulk

fat, then you can add that back.

Kruttika: Okay. Also, sir, regarding the fat, what we are expect

ing for FY'25? So are we expecting

that the fat products sales will likely to decline because we have shown a very strong growth in FY'24. So for FY'25, what are we expecting?

Srideep Kesavan: Impact on the sales?

Kruttika: Yes, revenue from the fat product.

Srideep Kesavan: Your question is on revenues or on volumes?

Kruttika: Revenue.

Srideep Kesavan: Yes. So yes, that is something that we are aware of. And hence, our intention is to continue to drive growth in the core categories where we are focused on like whether it is curd, paneer, flavoured milk, milkshakes, ghee, cheese, milk primarily. So these are all the core categories that we are trying to continue to drive and sustain the growth rate that we expect.

Kruttika: Okay. Sir, the last question. What will be the VAP volume for Q4 and for FY'24, VAP volume growth for Q4 and for the full year?

Sambasiva Rao: Volume growth VAP it is about 20%. And the value growth 32% in Q4. Full year, it is 13% growth in volume and 19% growth in revenue.

Moderator: The next question is from the line of Dhwanil Desai from Turtle Capital.

Dhwanil Desai: Am I audible?

Srideep Kesavan: yes, sir, please go ahead.

Dhwanil Desai: So Srideep, my first question is, I think we have been having discussion around fat losses or gain. And I think you have explained in earlier calls and interactions that it's very peculiar for every company to have very different profiles on that. And we are Heritage Foods Limited

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Page 19 of 21 working on 3 or 4 initiatives to ensure that over a period of time this fat loss or gain part is minimized.

So can you update on that, whether it is introduction of gada milk or selling more butter and ghee, or changing the milk buffalo and cow mix. If you can update on that? And any timeline where we would be able to kind of you move away for these fluctuations on the fat side of it?

Srideep Kesavan: Thank you, Dhwanil. Actually, I'm very pleased and surprised that you remember exactly the conversation that we had and the points that we discussed. So yes, so there are three interventions that we can have. One is on the supply side, right? Supply side intervention is the shift from the proportion from buffalo milk more towards cow milk. It actually reduces the incoming fat into the company. And we have actually made good progress on that in this financial year, actually, when we closed, the contribution of cow milk has increased by 3%, right? And that is something that is significant when we are procuring 15.5 lakh liters per day.

The 3 percentage is something that really makes a big difference, big impact over a period in time. So you should realize that the fat difference between cow and buffalo milk is close to 2.5% to 3%. So that's the first initiative. So that's something that we are working on -- we have been working on for some time and it's yielding results. The second, I'm not sure if you have received the investor presentation.

In the presentation itself, we have shown that we have launched so many products which is like higher fat products, which is helping us take this -- the incoming fat out into the market. In addition, we are also growing our ghee sales steadily and ghee and butter, which is on the consumer side, this is something that is growing steadily, and I called out some numbers earlier that from 500, 600 tons per quarter, now it is 800, 900 tons per quarter. So that's also -- these are all the initiatives that we are taking to ensure that over a period of time, we tied over and we do not have this problem.

Dhwanil Desai: And second question, so whatever our aspiration is of reaching, let's say, INR6,000 crores number over a period of time. So are we factoring in growth in the existing states? Or it's also considering entry into -- meaningful entry into newer states? If you can talk a bit about that.

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of 21 Srideep Kesavan: Yes. It will be a mix of all. So we will continue to, like I mentioned, we just entered Odisha market. So we are looking both geographic as well as entering into a new state, but we are also looking at entering into newer markets in existing states. So we are now expanding our reach into Tier 1 cities, Tier 2 cities, which is where we are seeing a lot of growth as well. So that's the geographic expansion definitely is in place, is part of the plan as well as going deeper in the existing geographies and cities where we are operating.

Dhwanil Desai: Okay. But the larger part of growth will come from the existing geography. getting denser. Is that how you look at it?

Srideep Kesavan: Yes, you could say that.

Moderator: The next question is from the line of Aditya from Securities Investment Management.

Aditya: Sir, my first question is on our inventory. So this year, our inventory has reduced considerably, while I look at your other two south -based players, they have almost doubled their inventory. And they are talking about taking advantage of the low -cost milk situation which we are currently witnessing. So what is our strategy on inventory, if you could just elaborate?

Sambasiva Rao: Our inventory on butter has been much lower than the last year's. So that is to our advantage, we visualize. The other inventory of milk powder, value is low because the price is lower. Per ton price is lower this year significantly. So the quantity required for our internal consumption is available. So we are comfortable with the inventory buildup we have for company's requirements. We don't have any surplus inventory, which we have to sell out in terms of butter, in terms of SMP.

Prabhakara Naidu: And finally, just to add. So previously also, we mentioned, I think it was in the Q2 call, we had mentioned that we do not do speculative trade. So we don't do that. So we are not speculating and buying. Last year also, we bought enough to cover us till December, the SMP. This year also, it's exactly the same.

Aditya: Sir, but as our strategy, don't you want to take the advantage of these low prices, which we are currently witnessing because in Q1 or Q2, when the prices increase, you could take advantage of this low -cost inventory what the other players are doing instead of buying from spot.

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Page 21 of 21 Srideep Kesavan: It's a good question. At this point in time, monsoon is very good. So we are expecting the milk production to be very good. And if that happens, then?

Sambasiva Rao: Yes, it's a double -edged weapon, it can go either way. So we chose not to do speculation

Srideep Kesavan: Good production prices to come down further. So anyways, I don't want to comment on that. Let's not see the point is that as you're investing in our company, I would like to assure you that we won't give speculative surprises, yes. So we are trying to build the business on a more robust predictable model.

Aditya: And sir, generally, in Q1, we see a spike in prices in milk procurement. So have you seen a similar spike this year or the increase has been very limited in the procurement prices? And secondly, we see how is the cow flush progressing for us this year?

Sambasiva Rao: Yes. As we discussed earlier, Q1 discussion, we'll have next time, please.

Aditya: So I'm talking about procurement prices, how are they been trending as compared to Q4?

Srideep Kesavan: The prices are stable, but in Q1, always, there is a little bit of price increase which happens. So we are witnessing that. Nothing out of the ordinary.

Moderator: Ladies and gentlemen, that is the last question for today. I would now like to hand the conference over to Dr. Rao for closing comments.

Sambasiva Rao: Yes. Thank you all for participating in this earnings call today. I hope we were able to answer your questions satisfactorily, and at the same time

, offer insights into our

business. If you have any further questions or would like to know more about the company, please reach out to our Investor Relations manager at Valorem Advisors.

Thank you.

Moderator: Thank you. On behalf of Heritage Foods Limited, we conclude this conference. Thank you for joining us, and you may now disconnect your lines. Thank You

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Call: Jul 2024

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 70-24

29th July, 2024

To

The Secretary BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai - 400 001

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Scrip Code: HERITGFOOD

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst

In Continuation of our letter dated July 12, 2024 the Company had organized a conference call with the Investors/Analysts on Thursday, July 25, 2024 at 11.00 AM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M. No: FCS-6317

Encl: a/a

HERITAGE FOODS LIMITED

Q1 FY2025 Earnings Conference Call

July 25, 2024

MANAGEMENT :

Mrs. N Brahmani – Executive Director

Dr. M Sambasiva Rao – President

Mr. A Prabhakar a Naidu – Chief Financial Officer

Mr. Srideep M Kesavan – Chief Executive Officer

Mr. J Samba Murthy – Chief Operating Officer

Mr. Umakanta Barik – Company Secretary & Compliance Officer

Mr. Upendra Pandey – Chief Executive Officer, Heritage Nutrivet Limited

INVESTOR RELATIONS REPRESENTATIVE :

Mr. Anuj Sonpal – Valorem Advisors

Heritage Foods Limited

July 25, 2024

Page 1 of 20 Moderator: Ladies and gentlemen, good day and welcome to Heritage Foods Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask question after the presentation contains. Should you need assistance during the Conference Call, please signal an operator by pressing "**", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal. Thank you and over to you, sir.

Anuj Sonpal: Thank you. Good morning, everybody, and a very warm welcome to you all. My name is

Anuj Sonpal from Valorem Advisors. We represent Investor Relations of Heritage Foods Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the 1st Quarter of the Financial Year 2025.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's Earnings Call, and hand it over to them for opening remarks. We firstly have with us Mrs. N. Brahmani – Executive Director; Dr. Sambasiva Rao – President; Mr. Srideep Kesavan – Chief Executive Officer; Mr. A. Prabhakara Naidu – Chief Financial Officer; Mr. J. Samba Murthy – Chief Operating Officer; and

Mr. Upendra Pandey – CEO of Heritage Nutrivet Limited; and Mr. Umakanta Barik – Company Secretary and Compliance Officer. Without any further delay, I request Dr. Rao to start with his Opening Remarks. Thank you and over to you, sir.

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Page 2 of 20 Dr. Sambasiva Rao: Thank you, Anuj. Good morning to everyone joining us today on this call. We are pleased to welcome you all to this earnings call for the 1st Quarter of the financial year 2024. The Financial Results and the Earnings Presentations have been uploaded on the exchanges, and I hope you have had a chance to review them by now.

Let me take you through the Financial Performance of the quarter under review :

I am delighted to inform you that Heritage Food crossed the Rs. 1,000 crores quarterly revenue for the first time ever in its history, along with a very healthy improvement in EBITDA margins and profitability for the quarter. For the quarter under review, on a consolidated basis, we recorded a revenue of Rs. 1,033 crores, reflecting a 12% year-on-year increase. EBITDA for the quarter reached Rs. 94 crores, which grew by 133% year-on-year, with EBITDA margins at 9.08%. Additionally, net profit for the quarter was Rs. 58 crores, which surged by 249% year-on-year, resulting in PAT margins of 5.66%.

Now, moving on to the Operational Performance :

Our milk sales volumes continued to grow steadily in quarter one, registering a 4.26% year-on-year increase to 1.13 million liters per day. With milk selling prices averaging Rs. 54.81 per litre, up by 0.40%. Average milk procurement for quarter one stood at 1.62 million liters per day, making a 6.66% year-on-year growth. Average milk procurement prices for quarter one decreased by Rs. 3.47 per litre, down by 7.75% compared to Q1 of the previous financial year. Momentum in value-added products continued in quarter one with robust revenue growth of around 20%, reaching Rs. 423 crore, with value-added products contributing 41.5% compared to 38.6% in the Q1 of last financial year. This revenue includes consumer pack fat products of ghee and butter. Excluding ghee and butter, value-added products revenue was Rs. 382 crores, contributing 37.5% of revenue in quarter one, up from 35.3% in the same period last year, growing at a rate of 18.7%. This summer we launched three new variants of lassi, that is sweet, mango and strawberry. And three new variants of ball ice creams under Alpendie brand, cotton candy, banana strawberry and bubblegum. We also introduced long shelf-life milk in UHT cartons of various sizes. Ahead of the festive season, we also launched a range of healthy and indulgent laddus under Heritage Truly Good brand in three variants, that is ghee besan, ghee jawar and ghee millet laddus.

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Page 3 of 20 Lastly, Heritage Nutrivet Limited, our wholly owned subsidiary achieved a robust top line growth of 29% year-on-year to Rs. 42 crores, and an exponential bottom line growth of 363% to approximately Rs. 3 crores. Heritage Novandie Foods Private Limited, our joint venture company, reduced its losses by Rs. 23 lakhs year-on-year from Rs. 3.34 crores to Rs. 3.11 crores.

Now the floor is open for question-and-answers session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Avinash Roy from Nuvama. Please go ahead.

Abneesh Roy: Yes. This is Abneesh Roy. My first question is, given good monsoons expected and that will lead to higher fodder crop, what is your expectation on milk prices over the next two to three quarters? And till now how much would be the price cut you have already taken given your gross margins have expanded? In Maharashtra, for example, we do see that milk cost has come down in the last two quarters. So, in your state if you could tell us what has been the price

cut in the last one year?

Dr. Sambasiva Rao: Samba Murthy, would you like to take the first question on price outlook?

J. Samba Murthy: Going forward there will not be much big spring in the procurement prices. The fluctuations will be region wise, but there will not be any much change by the way. So, compared to last quarter to this quarter, there's a drop of Rs. 0.47 per liter actually, overall procurement cost. So, looking forward, there will not be much change looking at the current recruitment actually and the current commodity available in the country.

Abneesh Roy: Sir, what was the price cut till now, I did not get that?

J. Samba Murthy: Last quarter to this quarter there is a Rs. 0.47 paisa per liter.

Abneesh Roy: That is the cut?

J. Samba Murthy: Yes.

Abneesh Roy: And are you seeing the increase in competition? We do see whenever the margins expand in dairy and FMCG companies, local players become more aggressive. So, local smaller unorganized players become more aggressive. So, would you comment on how the competitive intensity is in your market?

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Page 4 of 20 Srideep M Kesavan: This is Srideep here. See, these quarterly variances is nothing new to the dairy industry, because there is always a lean season and a flood season, and there is also inter -year cyclicality that we have seen happen once in three or four years. So, I do not think there is anything unusual. After a very bad 2023 this was bound to happen. So, I guess the industry expected it. And because of this temporary phenomenon, I do not think that we are seeing any significant change in terms of the comparative intensity, we continue to compete. And in fact, actually quite on the contrary, we are seeing consolidation happening in the industry at a very rapid pace, both on the procurement side as well as on the sales side. On the sales side, consumers are preferring known high-quality brands, which is helping all branded dairy companies like ours. And on the procurement side, because of the growing demand with the branded players, we are able to procure strongly with the farmers.

Moderator: Thank you. Next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Hi, Sir. Good morning and thanks for taking my question. Firstly, on the milk prices front, on the selling milk prices, so we have seen some pricing actions from industry leaders like Amul and Mother Dairy post the General Election result announcement. Have we also taken any price hikes following them or we continue to remain? And if so, do we have plans to take price hikes in line with the industry?

Srideep M Kesavan: Yes. Thank you, Sameer. This is Srideep here. See, the front price hike that Amul and Mother Dairy have done is in the northern part of India where even farmer milk prices were slightly subdued. So, we, alongside the increase of the consumer milk prices, also took up the farmer milk prices. For our business in the north of the country, we have also done similar, as in, in line with what Amul and Mother Dairy have done.

But the dynamic in the southern part of the country, that is Maharashtra and southwards is a little different. We had a good milk production period from last October till now, which means that there is sufficient milk available, there is stability on the procurement side in terms of milk prices are concerned. As we explained before, the raw milk procurement prices are lower by about Rs. 3.5 rupees in the southern part of the country per liter compared to same period last year. So, there has been no need, as in there is no justification for us to increase the consumer prices at this point in time. And we do not anticipate taking up the prices immediately.

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Page 5 of 20 Abneesh Roy: Got it. So, that is very clear. Secondly, on the EBITDA margin, now the company has

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one a 9% EBITDA margin this quarter, and this is a benefit of lower milk procurement prices, also the value -added contribution supposed to be the highest in 1st Quarter of the year. So, if, let us say, milk prices remain where they are, would it be fair to assume that this is the peak, at least for the time being, and sequentially margins should start tending downwards? More importantly, where do you see this settling on a full year basis, the margins? Assuming that prices remain where they are and there is no bumper flush or subdued flush.

Srideep M Kesavan: Yes. Thank you, Abneesh. This is a million -dollar question. You are asking us to predict future profitability. But if I can say that, see, in the last many quarters we have always mentioned and ensured that our objective is to stay in the corridor of 7% to 8% EBITDA, and we have worked hard to get here. Yes, at this point in time, we have a slight advantage as far as the milk price is concerned, and which may or may not remain, we do not know. And you also know that the dynamics of quarter two and quarter three are very different, both on the procurement side as well as on the sales side.

On the procurement side, usually the flush season starts from the month of October, November post -Diwali, which means that there could be a further downside to the pricing, we do not know that yet. On the sales side, usually the fat sales go up with the festive period, whereas some of the profitable value -added products like ice creams and all come down. So, there is dynamics on both sides. We will have to see; it will be our effort to sustain the margins. But then it depends on many other factors.

Moderator: Thank you. Next question is from the line of Aniruddha Joshi from ICICI Securities. Please proceed.

Aniruddha Joshi: Sir, just on the ice cream business, how was this season? Because we have seen across the board a strong growth in the ice cream business. So, for Heritage as well as Alpenvie, both the brands, how was the season? And then secondly, we have seen multiple product launches from Heritage, and some of these products are actually competing with Novandie products also, so how should we read this? And any update on Novandie business as well?

N. Brahmani: Yes. This is Brahmani here. I can take the second question first, Mr. Joshi. Novandie's seen, I am happy to say that we have seen strong growth not just year -on-year but quarter -on-quarter. And we have seen a significant growth in our existing markets itself across existing channels, as well as relatively newer channels such as general trade as well as e - Heritage Foods Limited

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Page 6 of 20 commerce. So, we are seeing really good consumer acceptance, consumer loyalty and customer confidence when it comes to our Novandie set of products.

In addition to that, as President sir has mentioned, we have seen improvement in bottom line, so lower losses this year. And we are seeing that given the fact that we are scaling and increasing in terms of volume, our costs are also getting better optimized, for instance, with the fixed costs, etc. So, strong growth over there and improvements in bottom line when it comes to Novandie business, which we expect to continue in the coming couple of quarters.

In addition to that, there is no competition between Novandie and Heritage Foods when it comes to product portfolio. The joint venture company is into the business currently of making yogurts, stirred as well as set yogurts, drinkable yogurts. So, there's absolutely no overlap of products between the two.

Srideep M Kesavan: Thank you, Brahmani. This is Srideep. Aniruddha, on the first part of the question which is regarding ice cream business, ice cream business has grown at a strong 18%, 19% in the 1st Quarter in terms of volumes. In terms of revenue, it is close to the 20 % growth that we have seen. And the growth, it's very, very strong

in the first part of the quarter one, and we are right as far as maybe national average is concerned, quarter one was excellent as far as ice creams are concerned. But in the southern part of India, we had exceptionally high levels of rainfalls in the second part of quarter one, which actually played a little bit of a spoilsport, and which softened the numbers a little bit, otherwise the numbers would have been even more higher.

Aniruddha Joshi: Understood. Very helpful. Just the last question, just a quick update required on the subsidies. So, as we understand, there is Rs. 6 subsidy in Karnataka, I guess Rs. 3 subsidy in Andhra Pradesh, and now Maharashtra Government has also announced I guess Rs. 5 subsidy per liter. Is this understanding correct or please suggest if any changes are in this? And any other state if any subsidy is there? Yes. Thanks. That's it from my side.

Dr. Sambasiva Rao: Aniruddha, this is Sa mbasiva here. There is a support price in Karnataka at the rate of Rs. 6 per litre if the milk is supplied to cooperative. In Andhra Pradesh, there is no subsidy. But in Telangana they have the same support price of Rs. 4 per litre. Maharashtra has announced very recently this additional Rs. 6 or Rs. 5 I think it's Rs. 5, subject to the milk procuring companies paying Rs. 30 per litre for a particular quality of milk. Over and

above that, Rs. 5 government would offer to the same farmers, and there is no other state as of now giving such supports.
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Page 7 of 20 Aniruddha Joshi: Understood. So, Maharashtra subsidy is not just for cooperating, even Heritage or for that matter any private company can also avail subject to they fulfill the required conditions, correct?

Dr. Sambasiva Rao: Absolutely correct.

Aniruddha Joshi: And so, is there any subsidy from central government? Because in the last first cycle we had seen there was a subsidy of around Rs. 50 per kg on SMP export. So, now I guess even more cooperatives are also full of huge amount of SMP, so do you see any such possibility in the sector? Or it would be a bit premature to say?

Dr. Sambasiva Rao: As of now there is no such support. We are not sure whether something is in the line.

Srideep M Kesavan: And it is an incentive and not subsidy, export incentive.

Aniruddha Joshi: Yes, export incentive was there, correct. So, as of now, there is no such incentive?

Dr. Sambasiva Rao: Right now, no. Yes, you are right.

Moderator: Thank you. Next question is from the line of Vandit Dharamshi from Alpha Invesco. Please proceed.

Vandit Dharamshi: Congratulations on a great set of numbers. I think this is what you have been speaking about, and finally we are seeing that happen in numbers. The first question is towards I think some of our competitors and peers have taken some sort of price cut in our core Telangana, Hyderabad market. While we continue to sell our products at the same price. So, any thoughts in terms of market share gain/loss, or how do we think of this?

Dr. Sambasiva Rao: Thank you, Vandit. Yes, we have seen that certain brands have dropped prices actually, this has never happened. And for the last 45 days since this happened, we have not seen any change in market share at all for us. So, we have sustained the prices. We continue to sustain the prices; we have no plans to drop prices. Secondly, we have put in place several strategies to ensure that the damage because of any price disparity is to the minimum.

Vandit Dharamshi: Got it. And sir my second question is, as we see, say, some competition coming up and maybe we might not lose market share, but as more and more local competition comes up, would you think that our volume growth might take some kind of a softer hit in terms of how you have been doing right now versus what we have done historically? Do you think that can happen because of more competition?

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Page 8 of 20 Dr. Sambasiva Rao: So, Vandit, let me just break down the growth numbers or rather growth potential opportunity for you. Even today off the total industry, roughly around 40% is what the organized players contribute. 60% is still in the unorganized sector, right? So, it's not like unorganized players have just come in or they are taking an opportunistic fund. It's largely an unorganized market. And the level of organization varies from, for example, the highest level of organization is in the milk segment where 50% of the volume is in organized, whereas the lowest would be in categories like paneer and all where only 5% is organized. The growth that we are seeing is primarily because of consumers moving from unorganized to organized, not the other way around, right, because consumers are demanding better and higher quality. They are also discovering their affinity towards brands. So, for example, we are seeing very clearly that consumers who used to buy only Heritage milk are now buying Heritage curd, Heritage paneer and even Heritage ghee as well. So, people are buying into the idea of the brand and that is what is helping us drive our growth.

Thirdly, the growth is not just because of milk, because milk as a category will always grow at the rate of population growth or urbanization. Because milk, I would presume that everybody is already having as much milk as they have. The growth we will differentially see will be in the value-added products where we do not have, the dynamics that you just mentioned do not come into play at all.

Vandit Dharamshi: And sir, last question from my end. I think the entire industry, I think, including cooperatives and the entire industry is having good amount of SMP inventory with them.

And looking at the kind of range that we are seeing in Maharashtra, Telangana, Karnataka and the further flush season that we see coming, what would be your view on SMP?

Because I think most of the balance sheets are fairly loaded up with SNP, so how do you see that play out for the industry and for us? Thank you.

Srideep M Kesavan: This is Srideep here. I will request our CFO – Prabhakara Naidu to give a comment on our

SMP stock, and then I will answer the second question.

Prabhakara Naidu: Good morning, sir. We have SMP stock as on 30th June of 4,586 tons. Value is Rs. 117 crores.

Srideep M Kesavan: Thank you, Mr. Prabhakara. And this 4,500 tons is the stock that we will require for the rest of the year. And there is nothing special for us because every year we cover ourselves for the commodities that we require till the end of the year, end of the year in the sense

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Page 9 of 20 calendar year which is November, December. So, the stocks that we currently have should sufficiently cover us till the beginning of the next flash cycle. And this is just a usual phenomenon.

As far as the industry is concerned, you said there has been several reports that the industry is holding high stocks of SMP and butter. How the dynamics will play on this will depend on how the milk production will go in Q2 and Q3. The good news is that on the production side so far we are getting signals of stability. So, at this point in time at least we do not see any cause for concern.

Vandit Dharamshi: Got it. Thank you so much and wishing you all the very best for this great performance. Thank you.

Moderator: Thank you. Next question is from the line of Rishabh Gang from Sancheti Family Office. Please proceed.

Rishabh Gang: So, I have been seeing your products, I think you are doing very good on branding and the marketing of them. I wanted to understand what have been the initiatives that we have been taking on creating a key brand differentiator? And how much of our initiatives are in-house and how much external help are we taking on the branding and marketing side in the last

last five years and maybe going forward also?

Srideep M Kesavan: Thank you, Rishabh. This is Srideep here. Thank you for your nice comments. In terms of marketing, I think our differentiation story starts with our product itself. I think what makes Heritage very unique is our distributed network of procurement as well as sales. So, on the procurement side, we are closest to the farmer, we procure from over 10,000 villages. We have 198 chilling centers which allows us to keep the milk as fresh as possible. And on the sales side, we have 18 factory locations which are again closest to the consumer, which means that both on the raw milk side or on the finished goods side we do not transport the goods long distance. This is the biggest differentiator. So, when you taste any of our products, you will see that it is far superior to anything else that is available in the market.

Further, in the last several years, our marketing team and R&D team have worked closely in improving our product superiority even further. So, we spend a lot of effort, time and money in terms of improving our products. So, a good amount of investment goes into that as well. Apart from all of that is communicating the superior to the consumer. And for that we work with multiple partners in this. On the creative side we work with Leo Burnett as

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Page 10 of 20 the agency, and on the digital side we work with LS Media, which helps us with all our digital campaigns. And we also work with several top of the game packaging design firms, which help us really create clutter breaking packaging designs.

Rishabh Gang: Which packaging design firm, just curious to know?

Srideep M Kesavan: I think I can tell you on one-on-one, but this is not the forum for it.

Rishabh Gang: Absolutely fine. No, because your packaging is very beautiful. The second thing I wanted to understand is, how much has been marketing spend as a percentage of revenue?

Srideep M Kesavan: Currently we are tracking around 0.9%.

Rishabh Gang: Two points on the distribution and the procurement side, what has been the key initiatives or practices which we have which are different from the competitors which has helped us across the procurement and distribution side? Because I think you are doing very well procurement as well, we want to know on that.

Srideep M Kesavan: Rishabh, this is Srideep again. I do not know as in if your question is to differentiate with competition. Because we have a very wide variety of competition, we compete with so many companies in so many states. You must be familiar that we procure from nine states, and we sell in 12 states. So, the competition for us is like such a huge spectrum. So, I would not want to differentiate versus any of our competitors. I can tell you what makes us tick.

On the farm side it's the same principles that Heritage had established 32 years ago, we

continue to follow that. First and foremost is the transparency in terms of measurement. So, when a farmer pours milk to Heritage, they realize that the measurement that we give to the farmer is accurate. And for somebody who has been pouring milk to an unorganized vendor collecting milk in the villages, the difference is so obvious instantly.

Secondly is a fair price, fair price in the sense that our pricing is always in any of the procurement regions that we operate, our pricing is on par or better than anybody else's offering in that particular region. In fact, we give a lot of stability, which gives our farmers comfort and confidence in pouring milk to Heritage.

And the third is the most important part, which is payment on payday. Which means that on 11th, 21st and 31st of the month, three times in a month, money will be in the bank account of the farmer, irrespective of anything, like if there is a bank holiday the money

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e paid the day before, even if there is a cyclone the money gets into their bank. And this is not for one year, two years, this we have been doing it for the last 32 years, that's more than thousand payment cycles. This is actually what is the secret mantra of ours on the procurement side.

And the another most important aspect is the assured marketing of the surplus milk as far as the farmers are concerned. 365 days, they do not have to worry will somebody buy the milk. There's a concept in our industry called milk holiday. Heritage has had not even one milk holiday. Even during COVID pandemic when there was a lockdown, when many of the cooperatives also did not procure milk, Heritage went and procured milk, not even one day we stopped procuring milk. So, as far as the farmer is concerned, this is one assured bank, Heritage, right, so that's clearly the strength we have.

Similarly, on the distribution side, we have a very clear omni-channel strategy, and this is something that we had spoken in the previous quarterly calls as well. We do not depend on only one channel, we are very strong in the traditional channels of distribution, which is what we call as milk agents. We also have roughly 50% of our business revenue come from milk agents. We continue to grow on that. Like for example, in quarter one we added about 150 milk agents. So, it's not just traditional and strong, but we also continue to expand in that. But we also have milk parlors, we have about 859 Heritage parlors which service our consumers.

We have a new concept called as Heritage Happiness Centers. We have close to 300 Heritage Happiness Points now. We are also very strong on the product side with close to 400 product distributors who are typically FMCG distributors, right, who take our products to grocery stores across the country. And we also are very strong with our modern trade and e-commerce partners. We work with each and every one of the modern trade partners. In fact, we contribute a good percentage of their revenue, so they consider us as a key vendor as well. So, we have strategic partnership with all the modern trade and e-commerce partners. So, it's not just one. So, we have an omni-channel approach and that's what gives us strength.

Rishabh Gang: Thank you. I really appreciate the kind of clarity you have, and you have given to me, thank you so much. Just one question if I can ask more. So, what do you think about the competition from cooperative societies, right? Because these players like Amul do not have a target of profitability, they can just make a breaking one and they are fine with it. So, about how do we think about that?

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Page 12 of 20 Srideep M Kesavan: So, Rishabh, this is Srideep here. I will just say that, maybe you are asking this question for the first time. Every quarter we get asked this and I am sure Heritage has been asked this question for the last 30 years. All I can say is that in 1992 when the industry was liberalized, the private organizations' contribution to the daily industry was zero. Today, off the total organized play, private plans like Heritage contribute 55%, whereas all the cooperatives put together contribute only 45%. And you have our revenue report in front of you, you will see that our growth is always ahead of cooperatives. So, how we do it? I just explained to you on the procurement side as well as on the sales side, and the product. I cannot say anything more than that on the product.

N. Brahmani: Just to add to what Srideep has beautifully articulated, which is very close to our heart. It's also the fact that we are always listening to the consumer in the different markets that we are operating in. And we are heavily quantitatively, not just qualitatively, but quantitatively driven in that direction. So, we are listening to the consumers, we get brand

insights through internal as well as external

teams.

And what we are seeing consistently quarter -on-quarter is that our brand, Heritage as a brand, top of mind or in terms of trials or in terms of repeat purchases, not just for milk and curd but also for other value -added products has been significantly increasing. Now, you know it's not me talking from my heart to my mind, but numbers show that to us. So, I am really happy to be sharing that.

And also, qualitatively what comes out is people trust us as a brand. And we are seen as a very hygienically produced set of portfolio of product. And this is what drives them towards purchasing Heritage products. Also, our DNA is very effective, we have a large S&D team that across channels keeps growing the number of touch points in terms of retail stores as well as other channel sort of outlets that we touch. So, that's been supremely effective for us in the last couple of quarters.

Rishabh Gang: Thank you so much. Excellent insights. Very grateful. Thank you.

Moderator: Thank you. Next question is from the line of Kiran Kumar from Investwise. Please proceed.

Kiran Kumar: I have a couple of questions. How are we trending on curd, since Q1 will be our biggest quarter for curd, what is our growth rates of curd versus last year same quarter?

Dr. Sambasiva Rao: Kiran, our growth is 13% in terms of volumes.

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Page 13 of 20 Kiran Kumar: And my second question is on procurement. From last year to this year, it is Rs. 3.47 you have dropped your prices. Can I just know the same number for Q4 to Q1, how much we have dropped?

Srideep M Kesavan: We will come back to you, Kieran, on that. Meanwhile, we can take another one.

Kiran Kumar: And my last question is on uh SMP, you said you have some around 4,500 tons of SMP.

Can we know the mix of buffalo/cow, because I presume our buffalo BMC ratio, referring to our previous investor calls, it is some 80%, 20% or something. So, is the SMP also in a similar ratio 80:20 or is buffalo more than cow, is it something like that?

Dr. Sambasiva Rao: Yes, it will be more or less 50:50.

Kiran Kumar: And our last thing is on sales distribution. So, how are the sales mix in the geography like agents, distributors, we have our partners, how are we distributed among it, rough percentage mix, can we have that numbers?

Dr. Sambasiva Rao: Sorry Kiran, could you please repeat that question?

Kiran Kumar: So, what I was saying is, the sales mix in the geography what we sell, among distributors, agents we sell in modern trade, and we sell to our own parlours, do we have a specific percentage, means rough percentages, how much percentage of our sale is going to agent, how much percentage of our parlour? Is there a rough percentage?

Dr. Sambasiva Rao: See, we can give you very high-level numbers. So, the traditional channels as we call it are primarily agents and parlors, they contribute close to about 70%. And the rest is all the newer channels that we have opened.

Kiran Kumar: And are we coming on big firm also?

Dr. Sambasiva Rao: We of course are. Where are you based, which is your city of residence?

Kiran Kumar: I stay in Bangalore.

Dr. Sambasiva Rao: Please order Heritage on Swiggy, Zepto, Big Basket. In fact, our presence in e-commerce in Bangalore is far stronger than in many other cities. Request you to buy and try our products today.

Kiran Kumar: Definitely. I will do it.

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Page 14 of 20 Srideep M Kesavan: Yes. You asked the question as far as the landed cost. Rs. 0.24 it has increased compared to Q4.

Moderator: Thank you. Next question is from the line of Vicky Punjabi from UTI Mutual Funds. Please go ahead.

Vicky Punjabi: Just, I mean, two questions from my side. I think one is, in the past we have alluded to the fact that there are margin expansion levers that we have, like cost efficiencies, the gain in share

of value -added products. How far have these, I mean, how much of more juice can you extract from these aspects going forward? I believe currently we are being helped by procurement prices being lower, but once inflation returns, how much of juice can be

extracted from these levers going forward?

Srideep M Kesavan: Sure. So, you hit upon a point which we have been discussing over the last several quarterly calls. So, one of the biggest lever that we spoke about is the shift from milk towards value-added products. And you can pretty much imagine that we still have a long way to go, right? Last year we closed with our value-added product contribution of close to about 29.6 -odd-percent, so we can say roughly 30%. This year, it is our aim to improve it by another 3%. We still have some way to go before we reach the 40% target that we have set for ourselves. And hopefully we should reach there in the next two years.

The second is, as far as operational excellence is concerned, we had mentioned in the previous calls as well that some part of the CAPEX is allocated towards replacement CAPEX. And the replacement CAPEX is done with a very clear automation and operational cost reduction perspective, which we still have some good way to go. Last financial year was a year where we were able to reduce operating cost by close to about Rs. 0.50 per litre, which is actually significant. And we think that we can further reduce it going into this year as well. So, there's still a long way to go.

There are many other operational efficiency parameters, efficiency initiatives that we are working on. For example, logistics, on a single metric of liters of milk per kilometre as a metric is something that we are trying to improve through better vehicle organization, better route planning, conversion of fossil fuel vehicles to electric vehicles. We still have a long way to go in all of these things. We are making good progress. We are seeing those efficiencies kick in. But we are encouraged by the fact that we still have a long way to go.

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Page 15 of 20 Vicky Punjabi: Sure. Thanks. And just last thing, I wanted to understand with the realizations in milk kind of falling off, would the growth actually trend down going forward? I mean, because I do not think we can, I mean, more than a mid-single digit volume growth is actually possible in the liquid milk segment. So, from the expectations of possibly around 6% to 7%, would the actual growth in liquid milk segment going forward be a little lower than what we generally, and what would we be targeting?

Srideep M Kesavan: See, this quarter we grew milk by 4.6%, and almost all of it came from volume growth, because we did not increase the prices at all, right. But that need not be the case forever. We do not anticipate any price increase in the coming three to four months. But usually cost increase, inflation, it's not just the procurement price cost increase, right, there is fuel cost increase, there is employee benefit cost increase. The general inflation that is happening in the country, overall consumers' grocery basket inflation increases. So, in line with this we expect before next quarter one, there will be an increase in milk prices as well. So, which means that we should be able to sustain either through volume expansion or through pricing initiatives sustained a mid-single digit or a high single digit kind of growth rate as far as milk is concerned. Plus, you will also know that we are expanding into newer geographies, so that will also help us grow our business.

Moderator: Thank you. Next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Sir, first question on the bulk fat loss, anything that we recorded this quarter?

Dr. Sambasiva Rao: One second, the CFO will be answering this in a minute.

Pratik Kothari: Sir, in the meantime

e, there were a couple of initiatives that we are working on to bring this down, I mean, increase our cow milk procurement, do more value-added or do more consumer fats, any update, any progress on that?

Prabhakara Naidu: Bulk fat loss is minimum. Actually only 3 lakhs, 4 lakhs, and only coming up at losses Rs. 6.4 crores has been taken.

Pratik Kothari: Bulk fat loss is 0 and consumer is Rs. 6.5 crores?

Prabhakara Naidu: Yes, Rs. 6.4 crores.

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Page 16 of 20 Srideep M Kesavan: Yep. So, as far as the milk procurement expansion is concerned, it's an ongoing process and every year we keep adding, every quarter, in fact every month we keep adding our, what we call as like, village level collection centers. And that work is ongoing. So, we expect by the end of the year we would enter another 1,500 -odd villages, which will keep the milk flowing.

More importantly, in these villages what we are also trying to expand to other access, one is the number of farmers in each of the villages is something that consciously we are

trying to increase. So, on average you might have 15 farmers in a center, we are trying to increase it to 20, let us say . I am just giving some hypothetical numbers, please do not hang on to those specific numbers. But increasing and expanding farmers in each of the centers is also something that we are consciously working on.

Pratik Kothari: Correct. And sir the margins that we did now or maybe even in the future, it is higher than what our aspiration band is. So, how do we intend to use these margins? I mean, do we pass it on to, I mean, show more growth, use it to spend on our advertising? How are we thinking about this additional windfall that You are making, maybe even for time being at least?

Srideep M Kesavan: Pratik, this is Srideep here. See, we have a very clearly defined strategy. We are sticking to our plan. So, these things should not deter us and suddenly change the plans. So, we are not doing anything which we have not said before. So, even when times were hard, we stuck to our plan and it helped us recover faster than others, and we will continue to stick to our plan.

Pratik Kothari: And how long, I mean, can you hold on to this spread that we are making between the procurement and the final price? I mean, at some point I believe you would have to pass it along.

Srideep M Kesavan: No. See, this is very speculative. I would not be in a position to answer it. I would not know, as in whatever I say would be purely speculative.

Pratik Kothari: I am asking because we have seen multiple such cycles in the past. So, I mean, like you said every three, four, five years this comes along.

Srideep M Kesavan: See, listen, usually what happens, if this kind of margin sustains, let us say , for example 10% EBITDA margin is a given for ever and ever and ever, right. If that's the case, then I think all dairy players, not just Heritage, forget Heritage, all private players have a serious Heritage Foods Limited

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Page 17 of 20 job of expanding the category itself. Like I mentioned some time back, only 5% of the paneer consumption in this country is from organized branded play, only 9% to 10% percentage of the curd consumption in the country is organized play, people still make curd at home. Only 20% of the ghee consumption in the country is organized play, people still make it here at home.

So, if this kind of margin is given, then naturally this is purely hypothetical, Pratik, that when dairy will become like every other FMCG company the advertising -to-sales ratio will go to 2%, 3%, etc. So, the category momentum will increase. That's all I can say. But this is a very hypothetical question and purely speculative.

Moderator: Next question is from the line of Resha Mehta from GreenEdge Wealth. Please go ahead.

Resha Mehta: Congratulations to the entire team for a ve

ry strong set of numbers. So, my first question is on the, I am sorry for hopping on this again, is on the Maharashtra subsidy bit. So, a two - part question here. So, I understand that I think we have around 4% to 5% procurement from Maharashtra. So, with this Rs. 5 subsidy, does this apply to us? Because I think you mentioned that only if we pay Rs. 30 to the farmer, then the government will pay them Rs. 5 additional. So, which effectively means the farmer gets a net realization of Rs. 35. So, how does this affect our Maharashtra operations and the procurement price there? The first part.

And second, the farmer is demanding at least Rs. 40 in Maharashtra and procurement prices have been subdued. So, do you think that this farmer disenchantment is probably spreading in the South as well? And how are you reading that? And that very soon while the commentary is that procurement prices are expected to remain stable, but if they remain stable for so long, then the farmer disenchantment increases and it also affects the South part of the operation. So, that's the first question.

Srideep M Kesavan: Resha, thank you. We do not see the spread effect, as you visualized. There is an event coming up in Maharashtra, I am sure you are aware, that is why the aggression on ground. But the price of Rs. 35 is quite reasonable. The government policy says, the procurement organization should pay Rs. 30 per litre, over and above that Rs. 5 government will give us the support, that's the Rs. 35. The milk prices went as low as Rs. 20 during COVID. Subsequently it reached Rs. 40 during the last years when production was not so good. So, now it has come to Rs. 30 plus Rs. 5.

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Page 18 of 20 And we do not have much impact. We are already paying Rs. 28, Rs 29 per litre in that area. So, for us it is Rs. 1 or Rs. 2 on the volume we procure in that zone. So, it is good,

farmers are getting reasonable price, Rs. 30 plus Rs. 5, which keeps them interested in the dairy sector and production will not fall in the following year. Whenever there is a low price, the following year had a production problem. This would ensure production remains at the normal level in the coming year also, and there is no such indication in any other state, all states are quite normal. It's only in that state that this is happening.

Moderator: Thank you. The next question is from the line of Ankit from Adhesive Ventures. Please go ahead.

Ankit: Congratulations on the great set of numbers. Well, my question is taking more of a medium term view. Say, maybe if I look three years forward till FY '28 for the entirety of the business, if I was to take a three of you, how do you see our growth profile whether it's volume and value trending over these three years?

And also with the VIP business piece growing, how do we see our EBITDA margin profile evolving maybe by FY '28? The idea being that, obviously, milk prices will fluctuate and that will affect it, but kind of just assuming some sort of constancy there.

Overall, what should be our goal profile three years and margin profile after three years?

Srideep M Kesavan: Yes. Ankit, Srideep here. See, it is our intention to sustain the growth momentum. And part of the growth will come because of volumes expansion, as primarily more number of consumers consuming more of our products, more number of times. That's what we are working on those three axis. And part of our growth will happen because of revenue. So, roughly you can say, if we aim to grow in high teens, let us say, 17%, 18% year-on-year, 5% or 6% should happen because of price increases. Price increase actually partly because of MRP increase, partly because of mix change with more and more value-added products the weighted average revenue also goes up. That should contribute about 5%, 6%, 12% to 13% should come from volume growth. That's what we aim to achieve, right? And

as far

as the EBITDA is concerned, we would like to have the business sustainably deliver in the corridor of 7% to 8%, that will be our aim.

Ankit: And the 17% to 18% that we talk about, is this for the value-added product or is it for the entire piece, including the milk?

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Page 19 of 20 Srideep M Kesavan: No, overall business we are hoping that it will grow in the 17% to 18% range. That's what our aim is right now. I am not giving any guidance, like, I have no ability to predict future.

But that's what we are aiming to achieve.

Moderator: Thank you. Next follow-up question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Hi, just a follow-up. So, cow and buffalo milk share, just wanted some clarity over there. So, 80% is cow milk, is that correct?

Srideep M Kesavan: Yes, that is right.

Moderator: Thank you. Next question is from the line of Raj from Ourjob Partners. Please go ahead.

Raj: I just skipped a point on the growth part. So, you are intending to grow 17% to 18% on the sales side for FY '25 and FY '26, and with 7% to 8% EBITDA, am I right?

Srideep M Kesavan: Yes, that is the intention.

Raj: All right. How much is the fat sales for Q1 FY '25?

Srideep M Kesavan: Are you asking in terms of revenue?

Raj: In terms of volume.

Srideep M Kesavan: So, volumes would be roughly around 700 plus tons.

Moderator: Next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: I have one bookkeeping question. So, what is the average procurement price for this

Prabhakara Naidu: That is Rs. 41.31.

Srideep M Kesavan: There was a question on what is the total fat sale during this quarter? The exact number is 1,084 tons.

Moderator: Thank you. Next question is from the line of Pradeep, an Individual Investor. Please go ahead.

Pradeep: Congratulations for the good set of numbers. And I am from Orissa, that's why last six months I could see your products in Bhubaneswar and the interiors of Orissa. And congratulations for coming into Orissa also, that's great news. First point, first thing is, what is the differentiation in the ghee part? If you see the competitors, they clearly write that they make it a slow cook process for 3.5 hours or 4 hours. And the aroma of love, all

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Page 20 of 20 those things will be there. But in your website it is not mentioned anything. That's my first

question.

And second part is when will you do e-commerce in Orissa? These are the two questions.

Thank you.

Srideep M Kesavan: Thank you very much, Pradeep, for appreciating our products and consuming our range as well, thank you very much. The question on differentiation, as far as our ghee is concerned, our ghee is made from milk. Most of the ghee that you buy in the market may not be. That's I think that is a very big differentiation. Most of the very well-known brands also may have one of that.

Pradeep: I just wanted to say that ITC brand, if you see here, it is the most prevalent here –

Srideep M Kesavan: Yes. See, there is one thing that our Executive Director mentioned some time back when Ms. Brahmani spoke. She said that we listen to consumers. So, we understand that, for example, ghee, we understand that the requirement or the consumer expectation of ghee varies from state to state from region to region. And we tried to formulate our ghee in terms of the boiling point and consistency, granularity, color, all these things we try to get it as close to the consumers' expectation as possible. So, there's a lot of work that goes in making sure that it meets your expectations. So, that's one.

And as far as e-commerce is concerned, we are working with our partners. We are figuring out some back-end logistics, etc. Once we have a solution for all of that, we will be launching an e-commerce as

well.

Moderator: Thank you. Ladies and gentlemen, due to the time constraints, that was the last question for the day. I would now like to hand the conference over to Dr. Rao for closing comments.

Dr. Sambasiva Rao: Thank you all for participating in the Earnings Concall. I hope we were able to answer your questions satisfactorily and at the same time, offer insights into our business. If you have any further questions or would like to know more about the company, please reach out to our Investor Relations managers at Valorem Advisors. Thank you.

Moderator: Thank you. On behalf of Heritage Foods Limited, that concludes this conference. Thank you all for joining us. And you may now disconnect your lines.

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Call: Oct 2024

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 93-24

October 28, 2024

To

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400 001

Scrip Code: 519552 To The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, C-1, G Block, Bandra-Kurla Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call with the Investors/Analyst

Dear Sir/Madam,

In Continuation of our letter dated October 10, 2024 the Company had organized a conference call with the Investors/Analysts on Thursday, October 25, 2024 at 11.00 AM

(IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M. No: FCS-6317

Encl: a/a

HERITAGE FOODS LIMITED

Q2/H1 FY2025 Earnings Conference Call

October 25, 2024

MANAGEMENT :

Mrs. N Brahmani – Executive Director

Dr. M Sambasiva Rao – President

Mr. A Prabhakar a Naidu – Chief Financial Officer

Mr. Srideep M Kesavan – Chief Executive Officer

Mr. J Samba Murthy – Chief Operating Officer

Mr. Umakanta Barik – Company Secretary & Compliance Officer

Mr. Upendra Pandey – Chief Executive Officer, Heritage Nutrivet Limited

INVESTOR RELATIONS REPRESENTATIVE :

Mr. Anuj Sonpal – Valorem Advisors

Heritage Foods Limited

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Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal. Thank you, and over to you, sir.

Anuj Sonpal: Thank you. Good morning, everyone, and a very warm welcome to you all. On behalf of the company. I would like to thank you all for participating in the company's earnings call for the second quarter and first half of financial year 2025.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated.

Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. First, we have with us Mrs. N. Brahmani, Executive Director; Dr. Sambasiva Rao, President; Mr. Srideep Kesavan, Chief Executive Officer; Mr. A. Prabhakara Naidu, Chief Financial Officer; Mr. J Samba Murthy, Chief Operating Officer; Mr. Upendra Pandey, CEO of Heritage Nutrivet Limited; and Mr. Umakanta Barik, Comp

any Secretary and Compliance Officer.

Without any further delay, I request Dr. Sambasiva Rao to start with his opening remarks. Thank you, and over to you, sir.

M. Sambasiva Rao: Thank you, Mr. Anuj. Good morning to everyone joining us today on this call. We are pleased to welcome you all to the earnings call for the second quarter and first half of Heritage Foods Limited
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Page 2 of 20 financial year 2025. The financial results and earnings presentation have been uploaded on the Exchanges, and I hope you have had a chance to review them by now.

Let me take you through the financial performance for the quarter and review first. For the quarter under review, on a consolidated basis, we recorded revenue of INR1,020 crores, reflecting a 4.2% year -on-year increase. EBITDA for the quarter was INR83 crore, representing a 77% year -on-year growth with EBITDA margins at 8.16%. Additionally, net profit for the quarter was INR48 crores, which surged by 117% year -on-year, resulting in PAT margins of 4.77%.

On a half yearly basis, we reported revenue of INR2,052 crores, reflecting an 8% year -on-year increase. EBITDA for the period was INR177 crores, representing a 103% year -on-year growth with EBITDA margins at 8.63%. Finally, net profit for the period was INR107 crores, which surged by 173% year -on-year, resulting in PAT margins of 5.22%.

Now moving on to operational performance. Milk sales volume continued its steady growth in Q2, increasing by 5.11% year -on-year to 1.19 million liters per day. However, revenue growth in milk was slightly lower with average milk selling price at INR54.59 per liter, a 0.31% decline compared to the same period last year. Average milk procurement in Q2 FY '25 stood at 1.64 million liters per day, marking a growth of 11% year-on-year.

Average milk procurement prices for Q2 '25 decreased by INR2.94 per liter compared to Q2 of the previous financial year. The growth momentum in value -added products remained strong in Q2 with a robust 16% increase reaching to INR298 crores in revenues. and VAP contribution to total revenue rose to 30% compared to 27% in Q2 of FY '24.

In anticipation of the festive season, the company launched several engaging consumer promotions and advertising campaigns, including TV campaign and the scan -and-win offer across the ghee and sweets range, further accelerating the momentum in value -added products.

Lastly, Heritage Nutrivet Limited, the wholly owned subsidiary, experienced robust top line growth of 18% year -on-year, reaching INR86 crores during H1 with a healthy 117% increase in PAT totaling to INR4 crores.

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Page 3 of 20 With that, we can now open the floor for question -and-answer session. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Kiran Kumar from Invest wise. Due to no response from the current participant, we will move on to the next participant. The next question is from the line of Sandy Mehta from Evaluate Research. Please go ahead.

Sandy Mehta: Yes. Congratulations on strong bottom line growth. What is your expectation of normal margins going forward? So I think the management, you have previously talked about 7% to 8% EBITDA margins as normal. But in a recent media interview, I believe the CEO talked about 9% to 9.5% EBITDA margin as a sort of a normal level going forward. And especially as you get closer to that INR6,000 crore revenue target, which you have publicly stated, at that level, on a normalized basis, then would you target 9.5% EBITDA margins?

Srideep Kesavan : Yes, Mr. Mehta. This is Srideep Kesavan, CEO. We have always maintained that , we are aiming to keep our EBITDA in the range of 7% to 8%. And that's our long -term outlook and this is something that we have maintained. And just to correct, I have not

mentioned

9 percentage to 9.5 percentage in the TV interview that you mentioned. You could listen to it again.

The question asked was would the EBITDA margins be sustained in the near term. The answer to that would be that the raw material prices are expected to remain stable as a not too much volatility. Hence, it will be in this particular range that we are seeing. We did not mention 9 percentage to 9.5 percentage. Even though that will be very good for us to achieve that, but our objective is to keep it in the range of 7 percentage to 8 percentage.

Sandy Mehta: But as you grow your revenue substantially, there has to be some operating leverage, operating synergy. And also your Value Added Products continue to increase. So is it reasonable -- even if you are not articulating and publicly stating a higher margin target, is it reasonable for investors to expect that, over time, margins may possibly increase?

Srideep Kesavan : So Mehta, this is exactly what happened on the TV entity also. If you try to put words in my mouth, then it is difficult. See, the thing is we do not give guidance. Of course, because you are asking this question in this particular point of view, I will have to agree with you that in every business, our objective is keenly on increasing the margin over a Heritage Foods Limited

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Page 4 of 20 period in time. And that's what we are going to do. But at this point in time, we are not promising that we'll go to a 9% to 9.5% range immediately. So that's what we'll aim to do, right?

Moderator: The next question is from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: I have three questions. So , the first question is that in the last 5 quarters, we have been in that INR1,000 crores kind of revenue, say, plus/minus INR20 crores. So why is the stagnation in revenue that we are seeing? Like is it just because of the prices which have come down? Or is it something on the sourcing side? Or is it just that whatever preparation we did as an organization for the last 2, 3 years, we have probably grown there. And now we need more infra and more setup to reach that number ? So that's my question number one on revenue stagnation.

Question number two is on the employee costs that for us, employee costs are roughly around 8%. They used to be around 6%. They are now around 7.5%, 8% of the revenue. Is there any sort of operating leverage here? Or this is the new heritage, which will incur this 8% employee cost?

And I ask this because your competitor is at around 4%, 4.5% kind of employee cost, the one who's in the neighbouring state. And my third question is on the Nutrivet business.

Like has cattle feed business really picked up? And despite the low milk prices, are farmers investing in giving good cattle feed to their animals? What's happening in this cattle feed market, that would be useful. So these are 3 questions from my side.

Srideep Kesavan : Yes. Thank you. There are 3 parts to our question and 3 of us will try to answer it. this is Srideep Kesavan. I'll go first. And then I'll request CFO to speak specifically about the

numbers that you're mentioning as far as the human resource cost is concerned. And then Mr. Upendra Pandey, CEO of HNL, Nutrivet Limited, will answer the feeds question.

So the first question, I'm just reading out the numbers. Q1 of last year, the number was -- I'm reading out last 6 quarter numbers. Q1 of last year was INR913 crores. This is stand - alone numbers, INR913 crores. Q2 is INR962 crores. Q3 is INR922 crores. Q4 is INR935 crores. Q1 of this year is INR1,020 crores and Q2 of this year is INR1,007

crores. These are stand-alone numbers. So I don't see why you say it is stagnant. Last year, around same time, we had breached the INR900 crores revenue in a quarter for the first time. This year, we've reached INR1,000 crores in a quarter in a revenue for Heritage Foods Limited
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Page 5 of 20 the first time, and we are sustaining that. Secondly, our business has -- whenever you look at our revenue, and this we have consistently maintained in the past as well, that you need to look at our revenue in 3 or 4 buckets, right?

Let me just break it down for you. One, of course, is the question that you asked of Heritage Nutrivet Limited, which is the feeds business that is one part of our business. Apart from that, on the stand-alone basis, when you look at the revenue, you will find our numbers reported as milk, value-added products and bulk fat, right? And bulk fat is something that we do not take position in commodity.

So as and when we accumulate the butter because of excess raw milk and lower sales, we liquidate that as bulk fat, which is usually a loss-making proposition, right, for -- not just for Heritage, but for the industry. Now apart from that, there is milk and value-added products. I request you as investors to stay sharply focused on the milk and value-added products growth as far as we are concerned.

So last year, if you recall, in quarter 2, we had reported that our profitability was much lower because we had booked a large quantum of bulk fat sale, which helped, of course, in the top line growth, but did not help much in terms of bottom line growth. This year, we have very little of bulk fat growth, whereas a year of -- what is of interest to you is that the milk revenue growth is upwards of 5%, primarily driven by volume growth. In fact, actually, volume growth is ahead of revenue growth as far as milk is concerned. And similarly, in value-added products, without consumer Ghee, we are at 16 percentage growth, including consumer ghee, if I consider, value-added products is growing at 19% -- and in our investor presentation, we have shown a graph which shows the milk and value-added products growth, which is consistent in terms of high teens in terms of value-added products and seeing high single digits as far as milk is concerned.

The core of the business remains strong and robust. There is nothing that needs to be of concern. And there is a small concern for us, which is the value-added product growth has come down by about 3 to 4 percentage. Primarily, this is on account of adverse weather we have seen.

In fact, in the first half of the year, we have seen roughly around 60 percentage increase in rainfall in absolute millimeters of rainfall. And you must have read about this in all news articles. and rainfall impacts at least 3 of our value-added product categories, which is primarily curd, drinkables and ice creams. All 3 of that get impacted because of Heritage Foods Limited
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Page 6 of 20 rains. And everybody is aware of the floods and the cyclones and the repeated climatic calamities we have seen in the last quarter.

So your company has delivered 19 percentage value-added products of growth despite of all these adverse conditions. And I request you to compare our numbers with any comparable competition on this parameter. And before I hand over to the CFO, I would like to comment on the human capital cost, whereas in our case, we capture all the human capital cost, whether it is direct or indirect cost, our competitors might be booking it as other operating expense. So the 2 are not comparable. I'll request our CFO to talk about those numbers.

A. Prabhakara Naidu: Actually, as compared to Q2 to Q4, there is actually around INR55 crores of employee cost last year, INR59 crores. Now it has gone up to INR75 crores because the profitability has gone up by more than 100%. Variable components of the employee cost has been provided accordingly. So that is the main reason.

And over a period of 12 months, actually, there is a new employees also when the business is expanding. In new geographies new employees are also joined. So these are the two reasons. And the top line growth, i

t has come down as compared to the previous year. That is also another contributor as the percentage has gone up actually by 1.3% as compared to Q2 to Q2. Thank you.

Upendra Pandey: We have realizing the market scenario, we have taken a couple of new initiatives a few months /quarters back, and that has started having this result. One is that we have

launched high -protein and high -fat product in multiple geographies, and products are very well accepted by farmers. They have seen a significant improvement in their milk production as well as patent SNF improvement, and that led to growth of the cattle feed volume.

Also seeing the market trend that price has come down and farmers were struggling, what we did is that further we improvised the quality of our product without changing the price. And that led to increase in the improvement in the fat and SNF of milk, which is giving a better realization to farmers. So farmer continuing our feed and helping us to grow our cattle feed volume.

Moderator: The next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

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Page 7 of 20 Sameer Gupta: Firstly, sir, outlook on net procurement, given we are at the cusp of the flush season, do you expect the prices to soften further? Usually that happens with a healthy flush. Or -- and I'm asking this question because there has been a persistence in food inflation over the last few months. And generally, what we see is that it lingers into other categories sooner or later. Do you see that risk currently? Or whatever is information we have on the ground, any suggestions on the procurement/how it is going to be?

J. Samba Murthy : This is Samba Murthy. So procurement run rate now currently, it is stable. Then going forward, it may a little bit some changes will be there, but there won't be again major changes in the procurement prices, a little bit here and there. And now currently, it is going stable actually. Now consistently it is.

Srideep Kesavan : I'd like to address the question on inflationary trends. See, there are 2 parts to the business, right? One is on the procurement side. We are actually -- we have actually seen solid good monsoon and the crops and crop season is looking -- crops are looking much better. MSP from the government is also looking good, which means actually the rural economy is actually looking very good positively. We have had some setbacks because of -- we might have lost a 3 or 4 percentage growth in value -added products because of the negative impact of the weather on the sales side.

So that -- these are 2 different aspects, right? You can't take the rural economy robustness and apply to the inflationary trends in the urban India. So I don't think the 2 go hand in hand. At this point in time, you must have seen that our prices have remained stable for the last 5 quarters. In fact, milk prices as well as the value -added product prices have not gone up in the last 15 months. So if you look at our net revenue per liter on milk or in value -added products, it's roughly the same as what we had in Q1 of last financial year. So without -- so we haven't seen any revenue increase -- sorry, a price increase as far as the market products are concerned.

Sameer Gupta: Got it. Secondly, on ice cream. So we have a major player Hindustan Unilever, who had just announced that as part of their overall strategy, they will be exiting the segment. Do you think this is a good opportunity for Heritage? And if so, any plans to capitalize on this opportunity? Your thoughts?

Srideep Kesavan : Yes, this is Srideep here, Samit. First of all, I'm not sure if Unilever said that they're exiting the ice cream. They said they are restructuring the business is my understanding, which could be probably in the way the company is structured. Yes, ice cream, Unilever
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ge 8 of 20 is a last player. I believe they are the #2 player in India. And I think their business will continue is my understanding.

But see, the opportunity that we are looking at in ice cream is the industry itself waiting to explode. It's in a very nascent stage, if you ask me. The per capita consumption in India is quite low. The category penetration, whether it is at a retail level or household level is still very insignificant compared to many of the other indulgent categories like carbonated beverages on juices and all of that.

So I feel that there is a huge headroom to grow. And this is the reason why we are bullish on it, and we very recently announced our capital investment to create a new greenfield facility as well.

Sameer Gupta: Just a follow -up there. So let's say, they do divest it. I understand that they might not have finalized that plan. But let's say, they do divest it. Will we look at that as an opportunity to accelerate whatever we are doing or we'll stay where we are like in a normal way? That was actually my question.

Srideep Kesavan : Yes. Of course, that's what I'm saying, Sameer. See, whether they divest are now

diverse, We are anyway looking at capturing all possible opportunities, which is why we have gone ahead with the capital investment of INR200-plus crores in this particular category. So we are going to set up an ice cream plant which will come up roughly around the same time next year, maybe towards the end of 2025 we'll see that. And we are putting in all efforts to accelerate our growth in ice creams.

Sameer Gupta: Got it, sir. The last bookkeeping question. Can you quantify the bulk fat sales during the quarter, which is apart from the -- which is included in the INR76 crores that you have reported but unbranded?

Srideep Kesavan : Yes. Just give us a minute. Yes. INR26 crores is the revenue from bulk fat in this quarter.

Sameer Gupta: And the corresponding figure in the base quarter?

Management : INR72 crores.

Moderator: The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

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Page 9 of 20 Ankit Gupta: Congratulations for a good set of numbers. Sir, my question was on the Milk sales growth. Last few quarters, we have been doing very well on that. But over the medium term, how do you see the Milk sales growth for us over the next year or 2? And in correlation with that, on our target of achieving INR6,000 crores, how do you see Milk growth panning out from -- for us?

Srideep Kesavan : Yes. So thank you. This is Srideep again. There are two components to it. One is the volume growth and then there is the revenue growth, right? See -- and while quarter -to-quarter or year -on-year it might change because of dynamics of the business of the market, on a continuing basis, you should expect that about 50% to 60% is the growth to come from volume growth, and 40% of it to come from revenue, which is revenue price increases, right?

What is missed at this point in time is only the price increase because the price increases have not happened for the last 5 quarters, which is why the top line at this point in time is primarily driven only by volume growth, right? And as far as volume growth are concerned, the industry grows at around 2% or 2.5%, 3%, whereas we are growing at double that rate as we speak. And we have maintained this growth level for quite some time now as far as Milk is concerned. So our objective will be to keep it at this level, 5 to 6 percentage range, for the near future.

What we are hoping is probably a couple of quarters down the line, we are able to take price increases as well so that we are able to push the revenue growth on Milk towards a double -digit kind of thing or high single digit.

As far as revenue growth on Value Added Products is concerned, it will be similar. We are currently growing at about 16%. Earlier this y

ear, this is used to be at 18%, 19%.

Again, here also, what is missing is the 4 percentage or 5 percentage of revenue top -up, which is supposed to come through price increases which has not happened. We hope to maintain the growth momentum as far as the volumes are concerned.

And we are hoping that maybe a couple of quarters down the line, we were able to take the price increases so that the revenue growth on Value Added Products goes to high teens or even 20%, 21% as it used to be earlier. So that's -- so as far as we are concerned, the underlying volume growth is what is keeping us all really excited. And that continues. That momentum is sustained.

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Page 10 of 20 Ankit Gupta: Sure, sir. And sir, second question was on the milk procurement. Last few quarters, we have seen surplus availability of milk from farmers. And how do you see the next few quarters? And any indication how the next flush season is looking like? I know it's a bit immature to talk about it, but any indications that you can give how the next season is expected to pan out?

M. Sambasiva Rao: Procurement side, whatever we just planned and we are getting it. And even Q3 also, whatever we have planned actually, we are going to get it. And there's no problem in getting the procurement. As we mentioned, the prices are stable and a little bit changes in the prices, but we are going to make procurement.

Ankit Gupta: So you expect...

Srideep Kesavan : In terms of volumes, in Q2 also, we reported 11.4% growth in procurement volume. It's looking pretty good for us.

Ankit Gupta: And on the pricing front, the prices continue to remain a bit tight on the procurement side?

M. Sambasiva Rao: Yes. As of today, it's stable, but there won't be much changes in that maybe a little bit fluctuations here and there, the upside or downside. But overall, it is a stable.

Ankit Gupta: And any indication that you're getting for next flush season, how is that expected to pan out?

M. Sambasiva Rao: Yes. Already, we have planned increase in the procurement, but we are also going to get that whatever we planned it. But in Q3, yes, we are going to get more procurement than Q2.

Srideep Kesavan : We know that we are currently entering flush, right? So the numbers that he -- when he mentioned Q3, he's talking about flush.

Moderator: The next question is from the line of Resha Mehta from GreenEdge Wealth. Please go ahead.

Resha Mehta: So first one is a suggestion. So actually, if you also put out the revenue growth clarification even as a part of the press release, it would have been great because I think we had to wait for the investor presentation to figure out that your revenue growth ex of bulk products was 10%. So that's a suggestion. My first question is on the PAT part.

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Page 11 of 20 So, in a bit to kind of reduce the PAT losses or provisions that we have, one of the measures that we had outlined was that we try and increase our cow milk procurement savings. So can you just talk about the progress there? And related bookkeeping question, any PAT losses for the current quarter? So that's my first question

M. Sambasiva Rao: This is Samba Rao again. We are actually procurement of our cow milk contribution is going up. Yes so it is about -- currently, it is about -- Q3 is about 85%. H1, it is 83% cow milk ratio. And compared to the previous year, the cow milk contribution is going up. And as you know, also you know that cow milk, the fat will be less compared to buffalo milk. So that is why we are not generating surplus butter to the extent of our...

Srideep Kesavan : See, I don't think that this is something that -- because the cow and buffalo both have different flush season. So sometimes, you will see that the buffalo milk has gone up. So unless -- there are so many dynamics in the business. Like, for example,

in Q3, buffalo

milk goes up, right? In Q2, cow milk goes up.

So I don't think that this is something that we should be very much worried about at this point in time. The company has a very clear action plan on exactly how the butter is sold in consumer pack. And our -- what is encouraging for us is our consumer fat business, whether it is ghee or butter, is all strongly growing upwards of 50%. So -- which means actually that, that means that the quantities that we have left with to liquidate and B2B bulk is coming down quarter -on-quarter, right?

So strategically speaking, we will maintain a certain ratio of cow milk and buffalo milk, but I think that we should leave that -- it's a very business call.

Resha Mehta: Understood. And the PAT losses for Q2?

M. Sambasiva Rao: Q2 PAT loss is INR7 crores, 68 lakhs.

Resha Mehta: INR7.75 crores, right, roughly?

M. Sambasiva Rao: Breakeven, including bulk.

Resha Mehta: Sorry, I did not get that number.

Srideep Kesavan : It is about INR7.5 crores to INR8 crores, yes. That's right.

Resha Mehta: Got it. Got it. The second question is on the feed business. So what is the revenue potential here with our existing capacity? And what kind of margin improvement can we

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Page 12 of 20 see over, let's say, over the next 2 to 3 years in this business? And because if you see our peer is doing around 13% EBITDA margins in the feed business with a slightly lower revenue profile. So is this because the raw material basket in our feed would be different from theirs? Or just some color on the feed business' growth potential and the margin potential with current capacity?

Upendra Pandey: So what I can say right now is that we will continue to sustain the growth momentum.

We will not give any indicative number. But we'll continue to sustain the growth momentum in terms of top line. Bottom line, we are continuously improving, and we'll keep targeting this 7% to 8% of EBIT. What we had done in the previous 2 quarters, we'll continue with. Focus will be on top line growth in next few quarters, and we are taking several new initiatives to ensure that we continue on the top 10 growth part.

Resha Mehta: Got it. And raw materials -- can you just outline what would be a raw material mix year for the feed business?

Upendra Pandey: So feed business, critical raw materials are like BRB, maize, molasses, rice TDGS, rapeseed, these are the critical raw materials. And we keep some of the raw materials do the strategic purchase. We buy at the right time when the prices are extremely low and we stock it in our warehouses. So we gain some advantage because of that. and that helps in improving our profitability.

Resha Mehta: Got it. And lastly, any pricing actions or grammage actions we took in Q2? Because I think Q1, we held steady despite competition kind of increasing grammage or reducing prices, we will not go ahead with that.

Upendra Pandey: No, we are not taking any pricing corrections. And we don't think that in next quarter also we are going to take any pricing conditions.

Resha Mehta: No, this is for the daily business, I'm asking, sorry. not the feed business.

Srideep Kesavan : Okay. Could you please repeat the question?

Resha Mehta: Yes. So I was just asking that in Q1, in line with competition, if I recall correctly, we have not restored grammage or increased grammage or taken any pricing actions. So just wanted to check in Q2, have you taken any pricing action for the dairy business?

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Page 13 of 20 Srideep Kesavan : No, I already addressed this question earlier to someone else who had a similar. The last 5 quarters, our prices are stabilized, and we have not increased prices. Here and there, that might happen. But overall, our revenue per liter is same, flat.

Resha Mehta: And nor have we increased the grammage? Is that understanding, right?

Srideep Kesavan : No, there's no change. Yes, it's -- overall, there's nothing much to talk.

Moderator: The next question is from the line of Kiran Kumar from Edelweiss. Please go ahead.

Kiran Kumar : So, I have one question. How much is our curd growth?

Srideep Kesavan : We are growing cur d at around 11%.

Kiran Kumar : Is this volume or revenue growth? Is it same for the both...

Srideep Kesavan : Volume. Volumes and revenue is all the same because price per liter is the same.

Kiran Kumar : Got it. And one other thing, actually the previous one of the participant was asking. So it's on the employee cost. So, I heard the answer of our CFO, what he had said. It's around 16% if I compare both the Dodla and Heritage. Do we have any plans for optimizing some cost of any cost, like outbound costs and all, selling and distribution to have an edge? Because we are concentrated in certain areas. So do we have an edge over competitor? Or is it the same with other competitors?

Srideep Kesavan : Okay. So first of all, Kiran, I don't think that -- this is Srideep here. I don't think the numbers are comparable because I don't think other people report the employee cost in the same way as we do. right? So I do not want to compare versus anyone. I can give you the commentary as far as we are concerned.

We are investing at this point in time on 3 things as we continue to drive growth in the long term, right? Because that's the single -minded objective -- long-term profitable growth is a single -minded objective that we are working with. The 3 things are: number one, we are investing in human assets. So we are increasing the quality of people. We are increasing feet on street, which will keep our growth momentum trajectory ahead of the industry and ahead of our competition, right? That's something that we are focused on.

Secondly, we are investing in our marketing assets. You will see that our brand investments have gone up. We are currently investing about 0.8, 0.9 percentage of our

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Page 14 of 20 revenue in marketing, advertising and marketing and promotions, which is also another thing that is driving significant growth as far as Value Added Products are concerned.

And we keep updating you, we must be seeing our brand more and more.

And the third is we're investing in capital assets for increasing the capacity of production as well as Value Added Products are concerned. So most of the capacity increase is going either in Value Added Products or in terms of increasing our procurement capability or in terms of like there is some replacement CapEx that keeps happening. So these are 3 things that we are continuously investing on. And it's our endeavor to ensure that the revenue growth is ahead of the growth of cost on any of these 3 line items so that the overall profitability is looking good.

In this particular quarter, because we haven't had any price increases. So our revenue

would have been probably 3 or 4 percentage lower than what we would have wanted it to be because of -- because price is remaining flat and the top line only driven by volume growth. That is the reason why your percentage of any of this cost to the revenue would look slightly higher than what we would like. But we are absolutely on track as far as our long-term growth plan is concerned, and there is nothing that there is of any concern. Kiran Kumar : Thanks for the detailed answer . And one last thing. Do we exhaust our entire provisioning on -- which we made last year on fat? Or -- will continuing in our provision?

M. Sambasiva Rao: I think almost except INR1 crores, or INR1.5 crores everything has been taken.

Moderator: The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Sir, on the INR7.5 crores, INR8 crores fat loss, can you break it between bulk and consumer?

Srideep Kesavan : You could

say it's roughly equal. Of course, the consumer fat loss will be marginal. Bulk fat losses would be there, which will be a large part of it. Yes. If you need further information, we can speak to you on one-on-one.

Pratik Kothari: Correct, correct. My question that was so our understanding was, as we keep growing our consumer fat business, which is the retail, butter, ghee, you will run down on our bulk fat losses, right? So, if you look at our quarter 1, we did some INR6 crores, INR7 crores of loss on our consumer fats. Again, we did some -- like this quarter, INR3 crores, INR4 crores of loss there.

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Page 15 of 20 So if you can explain, I mean, so how do we solve for this fat loss? Well our assumption was that we do more of consumer fats and that will get sold. But if you're making losses in consumer fats also...

Srideep Kesavan : Pratik, do you see that this quarter, our overall profitability is far better than last year's same quarter profitability?

Pratik Kothari: 100%.

Srideep Kesavan : Yes. So Pratik, this year's quarter 2 profitability is roughly 117 percentage higher than last year same quarter without any revenue increase. And primarily, this is because of 2 aspects. One is milk prices having come down by about 6%, which has contributed to it. The second thing is the bulk fat sales having significantly come down about INR50 crores to INR52 crores of bulk sale is less. That's the top line, that's the highlight that you need to look at.

Beyond that, actually, there is -- when we look at the -- at a PBT level, there is a way we apportion and allocate our overhead costs and stuff like that, marketing costs and all of that. I think that there will be like unnecessary details to get into. Eventually, if we move from bulk fat to consumer fat, which is had and all of that, which ideally is what we desire to have, this particular loss over a period in time will come down.

But even in this quarter, even though we had a much lower bulk fat sale, we had bulk fat sales in this quarter. So there will be a little bit of a loss, which will continue to incur over a period in time, which will become negligible.

Pratik Kothari: Correct. Fair. Actually, my question was more on consumer fat loss, not bulk fat loss.

But we can take another. And second, I mean, in respect to what our margin guidance, etcetera, is we are currently higher than where we are. So any plans to utilize this excess margin? I mean, it may not be passing in terms of price, but accelerating our distribution, be it something on the procurement side. Anything that you can highlight, how are we using this extra margin that we have currently from our intended band to kind of drive growth faster?

Srideep Kesavan : So see milk prices are down by about 6.5%, 6.8% or so. 6.8%, milk prices are lower. But you also know that revenue is flat, flat since I'm talking about revenue per kg, which means that we have not increased prices at all, Whereas ideally, if you consider cost inflation, whether it is human capital, somebody asked -- there were lots of questions

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Page 16 of 20 about people costs. Like every year, there is increment and incentives and variable pay and stuff like that, right? The costs are going up. Operating cost, electricity cost has gone up. Fuel cost has gone up. Correspondingly, the revenue price increases have not happened.

So a large part of it has -- of the procurement price drop has been compensated by the loss of revenue increase in terms of prices remaining stable. In a way, you can say that,

yes, that's an investment that we've made into building the business over a long period in time. We hope we can recoup that in the next couple of quarters. Maybe after a couple of quarters, we hope we can recoup that. We don't see any price increase immediately.

Pratik Kothari: Fair enough. Point take

n. And the last comment, in the last call we had spoken about some competitor entering our home market and cutting -- slashing prices, but we were able to maintain our ground. 90 days has passed since then, and do we still hold on to that?

Srideep Kesavan : Milk volumes are growing at 5.1%. Value -added products are growing at 16%. So I don't need to. The volumes are going strong.

Moderator: The next question is from the line of Jayvansh Mehta from Care PMS. Please go ahead.

Jayvansh Mehta: I just had one question. What is our outlook on the dairy industry for the full year and also in the coming quarters?

M. Sambasiva Rao: Can you repeat, please?

Jayvansh Mehta: Yes. So I was asking like what is your outlook on the dairy industry for the full year and also in the coming quarters?

Srideep Kesavan : I think, see, outlook of the industry is something that is so good. I can -- I'll first start with what is the fundamental drivers of the industry, right? In India, the per capita consumption of dairy is still very low, at about 350 grams per person. So there is tremendous potential for the per capita consumption to grow.

In terms of population, roughly 40, 45 percentage of our population are vegetarian population, for who the primary nutrition comes from milk and milk products. So it's the primary source of protein as far as 1 out of 2 Indians are concerned. And even the balance 50, 60 percentage who would eat nonvegetarian foods are all flexitarians, so

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Page 17 of 20 who will 5 days vegetarian and 2 days on nonvegetarian. So dairy has got a huge potential.

And the second biggest driver as far as the -- this is as far as dairy in the larger scope of things, right? And out of the 350 grams consumption or the paneer consumption and all that I think about, 65 percentage of the consumption even today is in the unorganized sector. The organized sector contribution is at best about 35% or 40%, which is highest in milk, which is about 50 percentage organized. But if you take any category paneer, paneer, for example, 5 percentage is organized. 95% is unorganized.

If you look at curd, 20 percentage is organized, 80% is unorganized. Moving from unorganized to organized because of -- either because of hygiene, because of availability, because of brand consciousness, because of urbanization, primarily multiple reasons are driving this growth. So one, dairy, as such, is growing. Then within dairy, there is move from unorganized to organized.

And the third, there is consolidation within the industry, either in terms of retail. For example, more and more growth coming from e-commerce, quick commerce, modern trade and all of that, where branded play is most important. That is where your company is getting stronger because even with an organized play, this play gets limited to a few companies who have stronger brand and access to these organized channels. So overall, we are actually sitting at the pinnacle of all this growth momentum.

Jayvansh Mehta: Yes. Just one last question. Have we seen a good amount of demand in the -- for the full year and also in the coming quarters?

Srideep Kesavan : Yes, yes, yes. Demand -wise, there is no problem. I'm reiterating. We might hit air pocket in the middle sometime due to weather because -- at least 3 of our value -added product categories are weather -dependent, curd drinkables, primarily, whether it is butter milk, flavored milk and all, milk shakes and ice creams. If it continuously rains and if there is flood and all of that, we might have a little bit of a slowdown in growth rate. But otherwise, the underlying demand is very strong.

Moderator: The next question is from the line of Neha Jain from SKS Capital. Please go ahead.

Neha Jain: I just have one question. Recently in Bengal, particularly Kolkata and the Durga Pooja . I saw many like branding of Heritage being done on a la

rge scale, but I do not see any like

retail presence there. So are we thinking of expanding or is there any plan?

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Page 18 of 20 Srideep Kesavan : Okay. Thank you, Neha . This is Srideep here. Thank you for that feedback. So I'm

happy that you noticed our brand but not our product. So yes, this feedback we'll take. We launched in Bengal in the -- not Bengal, Kolkata, you could say, and Southern part of Bengal in August. So it's been 2 months. We have appointed a certain number of distributors and we are expanding distribution. So just like you already saw the brand, I'm sure that you will see our products also everywhere now.

Moderator: The next question is from the line of Parikshit Gupta from Fair Value Capital. Please go ahead.

Parikshit Gupta: I just have one question. This is more to do with the festive sales at this point. I wanted to understand how was the performance of the sweets segment or any related products that are more privy to being purchased during the festive period? Just that question.

Srideep Kesavan : Yes. Thank you Parikshit. We are actually having a very good festive sale. The demand is good. So your question was specifically about sweets. Our sweets for the first 6 months has grown -- it's almost like pretty much grown in line with our expectation. We are growing about 40% or so. So that's -- and even in quarter 2 also, we have grown at -- yes, we have about 40 percentage of the growth that we are seeing in our sweets in quarter 2.

So it's quite strong. And we are currently running a very innovative QR code promotion as well for consumers, which is actually giving us further traction.

Parikshit Gupta: Understood. Just a follow-up on this. I believe the sweets segment would be across channels, retailing as well as e-commerce. Do you have a high level demarcation of the split among the 2?

Srideep Kesavan : Okay. So for us, e-commerce and modern trade roughly contributes about 15 to 16 percentage of sales, and same would be in sweets as well.

Moderator: The next question is from the line of Govind Lal, who is an individual investor.

Govind Lal: I have 2 questions, sir. First one is in first half, we have done around 8% top line growth. Generally, we are guiding around 15%, 18%. So second half of is looking -- will we make up the shortfall of 7%, 8%? So to catch up with 18%, 15%, we have to do 20% in second half? Just your views on that.

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Page 19 of 20 Srideep Kesavan : Sir, thank you very much for the question. See, I'll just repeat again, we have to look at growth in two parts. One is the volume growth and the other is revenue growth. Volume growth, we are aiming to keep mid-single digits for milk and mid-teens for value-added products. And this is what we are aiming consistently. And in quarter 2 also, it was same, 5.1 percentage of milk and about 16 percentage of value-added products.

There is also another component, which is a price-led growth, which is the MRPs and the revenues increase, right, which is about -- usually every year, there is a 3 percentage, 4 percentage price increase that happens because of inflation. This year, we have not seen any price increase at all. So that 3 percentage, 4 percentage is what is being missed as far as the top line is concerned. We hope maybe after -- towards the end of this financial year, maybe we'll be able to take those price increases, and that will also add in. Otherwise, the momentum of growth in volumes, we'll make every effort to sustain the current growth.

Govind Lal: No, no, your netted we -- generally volume and price for the top line growth, what we guide on that, I was asking. So another thing, sir, the standalone, the quarter-on-quarter 9% growth as we have not done anything. It is flat. In the year-on-year, we have 26% growth, our competitor. So any view on that, sir?

Srideep Kesavan : Maybe, sir, you joined a little late. Initially, there was a lot of discussion on the same. What we were trying to say was that we are cycling much higher growth because last year same quarter, which is quarter 2 of FY '24, there was about INR72 crores, INR73 crores of revenue, which came through bulk fat disposal, which is a B2B sale, which is not something that we -- it's not our focus, right? And that's not something that the company is building.

It's not -- it's something that we were liquidating excess inventory that was sitting with us. So that is absent now. Now if you remove that, the core business that you should look at is the milk, value-added products and the feed sale. Milk is growing at about 5 - plus percentage. Value-added products is growing at about 16 to 19 percentage and feeds is growing at about 18%. So everything is strong. It's just that the bulk fat has degrown at about 80%. That is the reason why overall top line is looking like 4.5%. Otherwise, we are in double-digit growth.

Govind Lal: Got it, sir. So coming back to again, just second half, how it is looking, sir, I am asking top line, how we should look whole year top line this first half, we have done around

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Page 20 of 20 8%. So how should we look is another 8% second half also better we can do and overall, it can improve net -net.

Srideep Kesavan : We'll work hard, sir.

Govind Lal: Okay. Then last few questions, sir. This -- I'm new to this industry and your company investment by investor. So just I want to understand, sir, how seasonal factor plays in quarter -to-quarter? In 4 quarters, how we should distribute our revenue of INR1 in Milk and Value -added products, which are the good quarters, which are the good quarters? So should I presume that the second quarter is the biggest one?

Srideep Kesavan : It's a good question. And I don't know if we have time. But I'll Just quickly, maybe take one minute. See quarter on quarter...

Govind Lal: Please, sir. I got sufficient time.

Srideep Kesavan : So I'll just take one minute to explain. Every quarter, the shape of the business changes.

Quarter 1, the summer months usually is heavy on many of the value -added product categories such as curd and drinkables and ice cream. Quarter 2 usually is slightly heavy on milk. Quarter 3 is slightly heavy on festive sales, which is sweets and ghee and all of that. Quarter 4 is also very similar to quarter 1.

So roughly, something or the other is always growing as far as this industry is concerned. So overall, revenue growth will remain robust. But yes, the shape of the business categories will keep shifting as we move from quarter -to-quarter.

Govind Lal: Okay, sir. net -net, again, you can summarize. just I wanted to INR1 revenue, how we should split the quarter 1, 2, 3, 4. seasonality, how it plays. Overall revenue, I'm asking INR1. So quarter 1 will be 25%, 27%, equal, how it is your view, if possible on that?

Srideep Kesavan : My request is, sir, if you could connect to us on one -on-one, we'll be more than happy to explain you. But overall, like I said because we are a growth company and milk is growing at 5% and value -added products are growing at 14%, 15%. Over a period in time, the Value -added products product share will keep growing, okay?

So which means, let's say, for example, if -- but still in quarter 2, the ratio of Milk to value -added products will again tilt towards Milk. In quarter 1, it will tilt towards value -added products. That ratio will always remain like that. But expect that the size of value -added products will keep growing over a period in time. I hope I'm able to answer.

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Page 21 of 20 Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Dr. Rao for closing comments.

M. Sambasiva Rao: Thank you f

or participating in this earnings con call. I hope we were able to answer your questions satisfactorily, and at the same time, offer insights into our business. If you have any further questions and would like to know more about the company, please reach out to our Investor Relations manager at Valorem Advisors. Thank you.

Moderator: On behalf of Heritage Foods, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Jan 2025

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 12-25

27th January, 2025

To

The Manager

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, et

Mumbai - 400 001

Scrip Code: 519552 To

The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, C-1, G Block, Bandra-Kurla

Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst held on January 23, 2025 -reg.

In Continuation of our letter dated January 10, 2025 the Company had organized a conference call with the Investors/Analysts on Thursday, January 23, 2025 at 10.30 AM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in.

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M No: FCS-6317

Encl: a/a

About Heritage Foods Limited:

Heritage Foods Limited (NSE: HERITGFOOD; BSE: 519552), founded in the year 1992, is one of the India's leading value-added and branded dairy products

companies. Heritage Foods' milk and milk products, such as Curd, Ghee, Paneer, flavored milk, among others, are consumed by more than 1.5 million

households in 17 states across India. Heritage Foods enjoys strong brand affinity with its consumers and is primarily known for its product authenticity,

quality and freshness. It also enjoys long-term relationships with over 0.3 million farmers and has a vast distribution network across the country,

comprising 7,200+ distributors and agents. The Company is ESG responsible and has a total renewable energy generation capacity of 11.70 MW from both

Solar and Wind for captive consumption within its dairy factories.

HERITAGE FOODS LIMITED

Q3 and 9 Months FY '25 Earnings Conference Call

January 23, 2025

MANAGEMENT :

Mrs. N Brahmani – Executive Director

Dr. M Sambasiva Rao – President

Mr. A Prabhakar a Naidu – Chief Financial Officer

Mr. Srideep M Kesavan – Chief Executive Officer

Mr. J Samba Murthy – Chief Operating Officer

Mr. Umakanta Barik – Company Secretary & Compliance Officer

Mr. Upendra Pandey – Chief Executive Officer, Heritage Nutrivet Limited

INVESTOR RELATIONS REPRESENTATIVE :

MS. Garima Singla – GO India Advisors
Heritage Foods Limited
January 23 , 2025

Page 1 of 20 Moderator: Ladies and gentlemen, good day and welcome to the Heritage Foods Q3 and 9 Months FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this call is being recorded.

I would now like to hand the conference over to Ms. Garima Singla. Thank you, and over to you, Ms. Garima.

Garima Singla: Thank you. Good morning, everyone. I am Garima Singla, and it's my pleasure to welcome you all on behalf of Heritage Foods Limited. Thank you for joining us today for this earnings call where we will discuss the operational and financial performance for quarter 3 and 9 months of FY '25. This call is hosted by Go India Advisors.

Please note that today's discussion may include forward-looking statements. Therefore, they must be viewed in conjunction with the

risks that the company faces. We are joined

today by Mrs. N. Brahmani, Executive Director; Dr. M. Sambasiva Rao, President; Mr. Srideep Kesavan, CEO; Mr. A. Prabhakara Naidu, CFO; Mr. J. Samba Murthy, COO; Mr. Upendra Pandey, CEO of Heritage Nutrivet Limited; and Mr. Umakanta Barik, Company Secretary and Compliance Officer.

So, without any further delay, I now hand over to Dr. Rao to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you. And over to you, sir.

M. Sambasiva Rao Thank you very much. Good morning, everyone. Welcome to Heritage Foods Limited earnings call for quarter 3 and 9-month period ending financial year '25. As we approach India's 76th Republic Day, I extend warmest greetings to all. The financial results and earnings presentation have been uploaded to the Exchanges, and I trust you have had a chance to review them. Heritage Foods set an extraordinary benchmark over the last 3 decades by completely transforming the dairy industry.

With an impeccably robust integrated supply chain, a cutting-edge omnichannel presence and the revolutionary federated supply chain model, we ensure that every product reaching consumer is nothing short of perfection, always fresh, of the highest quality and delivered with unmatched consistency. We have been focused on building a Heritage Foods Limited

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Page 2 of 20 strong portfolio of products which meets our consumer requirements across seasons and at the same time build a strong consumer engagement with Heritage brand.

I'm happy to report that today Heritage has one of the most diverse product ranges. Our value-added products now account for a substantial 28% of the total revenue, underscoring the continued strength and momentum of this high-growth segment. In anticipation of the festive season, we launched a series of dynamic consumer promotions and high-impact advertising campaigns, including a compelling TV campaign and an exciting scan-and-win promotion across our ghee and sweets range, further accelerating the growth of our VAP, value-added products.

Our commitment and connect with the farmer community is our biggest strength and sets us apart in many ways. Since our inception, we have had no milk holiday. We have had no milk holiday. And no farmer has ever been turned away from our milk collection centres. We have ensured full transparency in collection with fair pricing based on measurement of solids delivered and efficient thrice a month or twice a month payment, which help us build a strong community of over 300,000 farmer families.

We have empowered them with veterinary care, advanced nutritional guidance and industry-leading best practices. All of this is done while harnessing renewable energy to significantly shrink our carbon footprint, underscoring our commitment to a better tomorrow. Heritage has established a robust and expansive integrated network with a presence across 7,200 distributors, more than 180,000 retail outlets, about 25 modern

retail chains and 16 e-commerce platforms, ensuring widespread accessibility to its products.

Additionally, the brand operates 859 Heritage parlours and 352 Happiness Points strategically placed within its own network, further strengthening its market reach and enhancing consumer engagement. The Indian dairy market is on the verge of an explosive growth surge, with a stellar 9% overall CAGR and the value-added products category growing at 20%+ annually.

India, already responsible for an impressive 25% of global dairy production, holds immense untapped potential, as its per capita consumption remains strikingly low at 81 kg per year, far below the 200%+ kg per year seen in developed markets. This stark consumption gap presents an unprecedented opportunity for organized players like Heritage to lead the charge and completely redefine the dairy landscape in India.

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Page 3 of 20 With the nation's expanding middle class driven by rising aspirations and the unorganized tech sector still commanding 60% of the market, Heritage stands poised to capture and accelerate this growth, positioning itself as an important player in India's dairy revolution. This is a once-in-lifetime market opportunity, and Heritage is primed to capitalize on it in a way that will reshape the industry for generations to come.

With high-asset-turnover products such as milk and curd, Heritage Foods is not just well positioned but perfectly poised to generate exceptional returns on capital employed far exceeding industry standards. Even with the inherent seasonality of the dairy sector, we have consistently demonstrated unmatched resilience by effectively managing fluctuations, converting excess milk into premium-quality skim milk powder to ensure uninterrupted supply during lean periods.

We have crossed INR10,000 million turnover for the third consecutive quarter. This quarter, we saw extraordinary demand for butter and ghee driven by festive celebrations, which significantly boosted our performance.

I'll now present some important operational highlights. We procured an impressive 18.38 lakh litres of milk, a substantial increase from 16.32 lakh litres last year. Our dairy milk sales reached an all-time high of 1,169,000 litres per day, marking a remarkable 6% year-on-year increase. Curd sales experienced an outstanding growth of 12% year-on-year, reaching 380 metric tons per day, while our value-added products volumes saw a surge of 14.3% year-on-year and 17.6% increase in revenue, generating INR2,874 million in revenue.

On the procurement front, we were able to secure milk at an average price of INR41.91 per litre, 2.7% lower than last year, enabling us to keep milk prices stable while maintaining our confident outlook. The average selling price remained flat at INR54.64 per litre in quarter 3 compared to INR55 per litre last year.

Now moving on to the financial highlights. On a consolidated basis, revenue from operations grew by an impressive 10%, reaching INR10,339 million. EBITDA for the quarter 741 million, reflecting 43% year-on-year growth, with EBITDA margins expanding to 7.2% from 5.5% in quarter 3 financial year '24. Profit after tax for quarter reached INR431 million, reflecting 60% year-on-year growth, with PAT margins expanding to 4.2% from 2.9% in the quarter 3 of previous year.

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Page 4 of 20 In addition, Heritage Nutrivet Limited, our wholly owned subsidiary, has also been a major contributor to our overall success, delivering strong growth with 15% increase in revenue to INR509 million, coupled with a 172% rise in PBT which tallied to INR56 million. We are committed to creating superior shareholder value and appreciate your strong support.

With this, I conclude our updates for quarter 3 and 9 months for the financial year '25 and now open the floor for interaction. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Sameer Gupta with India Infoline.

Sameer Gupta: Sir, firstly, there has been some firming up in procurement prices. It's up 4% on a sequential Q-o-Q basis. Generally, we see third quarter as a buffalo milk flush quarter. And there is an assumption that prices will dip...

Moderator: Sorry to interrupt, sir. Sir, may we request you to keep your handset little away?

Sameer Gupta: Okay, sir. So, basically first question is that there has been some firming up in milk

procurement prices. On a sequential basis, it's up 4%. And generally, 3Q is a buffalo flush season, so one expects some dip here. So has there been any firming up of milk procurement prices for you? Or is this more of a mix change in terms of regions, buffalo -to-cow mix, etcetera? An

d what is your outlook going forward for milk prices?

Srideep Kesavan: Thank you, Mr. Sameer Gupta, for the question. This is Srideep Kesavan answering your question. So, you're right, quarter 3 is usually a buffalo flush season. And buffalo milk prices sequentially has come down by INR2.71 for us, per litre, INR2.71 drop, average buffalo milk prices, for us in Q3 over Q2. And -- but we have seen a marginal increase of INR0.3 or INR0.30 per litre increase of cow milk prices in Q3 over Q2. And this has mostly happened in Maharashtra and other cow milk regions for us.

The overall increase of INR1.66 per litre has happened because of mix change. With Q3 flush, more has shifted towards buffalo milk. That said, your second part of the question is what is the outlook on prices. Usually, from now onwards, prices usually firm up, so we are expecting the prices to go up. You -- I think we are all expecting prices to go up at least by INR1.5 to INR2 over the next several months. And the transition from flush to lean happens in various stages across various regions, so the net effect will be a weighted average of all of this.

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Page 5 of 20 Sameer Gupta: Sir, my question was more on the weather vagaries or nitty -gritties or exceptions. I know that this is a lean season and prices generally firm up, but are there any unusual aspects to the milk procurement this time? Like the last few years have been impacted by external events. Are there any such thing that you have been noticing?

Srideep Kesavan: Nothing we are noticing. There's nothing. Everything is fine. I think the rains have been very good. There is a lot of green fodder that's available in the rural markets. The concentrated feed consumption has gone up across the world. And we are seeing a normal flush, so I don't think there is anything. The only reason why prices might firm up is natural course because of overall cost increase across fuel and other things and all of that. So, it's a normal thing at this point in time. We are not witnessing any shortfall of milk.

Sameer Gupta: Got it, sir. Second question is can you help me with the amount of bulk fat sales this quarter. I think it seems to be on the higher side this time.

Srideep Kesavan: I will hand over the -- see. Before I hand over to our Chief Operating Officer, Mr. Sam Murthy, who will help you with the answer: One should realize that Q2 and Q3 usually are months when we liquidate surplus fat because we do not carry forward fat. That said, if you see sequentially, our fat sale and -- on B2B has actually tremendously come down. I think Mr. Sam Murthy will give the numbers.

J. Samba Murthy: Q3 fat sale is -- bulk fat sale is about INR54.66 crores compared to last Q3 of INR52.17 crores, almost same compared to the previous year.

Sameer Gupta: Got it, sir. This is helpful. I'll come back in the queue...

Srideep Kesavan: In terms of -- yes. In terms of if you compare it, like, last year, INR52 crores was out of INR941 crores of revenue for dairy division. In terms of percentage, this has come down significantly lower, now INR54 crores upon INR1,019 crores.

Moderator: The next question is from the line of Aniruddha Joshi with ICICI Securities.

Aniruddha Joshi: Sir, thanks for improved presentation which is very helpful. Sir, in terms of questions.

So how should we see milk prices moving in FY '26? Because we have seen, in a way, almost 2 years of lower milk procurement prices, so a natural -- as naturally, cycle should turn upwards and we should see inflation in milk procurement prices. So, are we seeing on that trend? Or do you see the milk procurement prices may still remain at the lower levels on a year -on-year basis. That is question one.

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Page 6 of 20 And secondly, in terms of price hikes, where is the company? Because we have seen cooperatives raising the pr

ices, but so far, we have not yet seen the private players

hiking the prices. So, what is our take on the price hikes also?

Srideep Kesavan: Shall I answer? Okay. So, this is Srideep here. Aniruddha, thank you for your question.

We are -- yes, from Q1 -- I think Q1 of last financial year was when we had seen a peak in terms of milk prices. As far as Heritage was -- Heritage is concerned, our prices, milk prices, had peaked to about INR44.78 in Q1 of FY '24. And now it is about INR41.91,

so we are roughly INR3 lower than the peak that we have seen in Q1 of FY '24.

So, you are right. For the last almost 6 quarters, prices have been sequentially coming down. And this is the first month when we saw a slight turn of events. So, basically you could say that we are at the beginning of taking a U -turn, which is why I said one should expect at least a INR1.5 to INR2 price increase on an average basis, weighted average basis, over the next few months.

When will it happen? Will it happen in Jan, Feb, March and all is a timing issue of when the flush transitions to lean and also a weighted average of the procurement that we have from various regions, but I think roughly, around INR1.5 to INR2 per litre, we should expect despite supply not being a constraint. So, while Q1 of FY '24 was an aberration because there was a supply constraint, supply demand mismatch, this, I believe, is a normal course of events.

So, INR2 upon INR40, you can imagine, is about 4 to 5 percentages of annual inflationary impact that we should see over the next few months. I don't think that there's any surprise in there. As far as the market prices are concerned, I take note of the point you are making that cooperatives have increased the prices. Frankly, we are not aware of it because -- I think it was sometime beginning of this calendar year, last calendar year, 2024, that some of the leading cooperatives had increased prices by INR2.

And that too was mostly in Mumbai and Delhi and all. In our markets or rather actually after that particular point in time, nobody has increased prices. So as far as Heritage is concerned, we are maintaining the same prices as in Q2 of FY '24, so for the last 6 quarters, we have maintained the market milk prices. Obviously, everybody knows that, that is not possible going forward, so we are looking at price increases as well.

Aniruddha Joshi: Okay, sir. That's helpful. Second and last question. Some years ago, we had introduced multiple value -added products like Mamie Yova, Yo PoP, Alpenvie ice cream. Even we Heritage Foods Limited

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Page 7 of 20 had tried cheese also in a -- value -added cheese variants also, so I guess -- any updates on that? And considering we are going geographically -- so whether it will be geographical or product growth or it will be geographical plus product growth as well.

And any update on all these new products that you have done?

Srideep Kesavan: Yes. So, we have a -- you can call it like we are a full -portfolio dairy player. So, we have everything from milk to ice creams. We play across fresh category. We play across ambient value -added product category. We also play across frozen ice cream and other categories, right, so -- and except for frozen category, we have all other categories across all our locations, whether it is Maharashtra or North of India.

And the products that you spoke about, cheese: Of course, cheese is -- we are selling cheese in all markets. Cheese is a much smaller category for us at this point in time, but it is something that is growing in leaps and bounds. So, as you can expect, while milk grows at 5.5%, 6% year -on-year, the value -added products are growing at 14% to 17%, depending on the period of the year.

And within value -added products, while products like curd and all are growing at 12.5%, products like paneer and cheese are growing anywhere between 50% to 70%. So, the smaller the category

ries, the faster they are growing. And we are seeing robust growth across all categories of our value -added products. I hope I've been able to answer the question.

Moderator: The next question comes from the line of Disha Giria with Ashika Institutional Equity.

Disha Giria: So, I have a few accounting -related questions, and a few market share related questions. So firstly, can you just let me know, what is the ice cream business revenue for the quarter?

J. Samba Murthy: Yes. Revenue for ice cream, INR15.94 crores. Q3.

Disha Giria: Okay. Then secondly, So, there has been around 24.81% increase in our other expenses and around 177.46% year -on-year increase in our other income. So, what is the reason behind it?

Srideep Kesavan: So, this is Srideep here, CEO. Before I speak on the other expenses, I'll request our CFO, Prabhakara Naidu, to speak to us about the other income.

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Page 8 of 20 A. Prabhakara Naidu: Yes. This is -- other income is related to mainly -- we have actually surplus funds, which we have kept it in liquid mutual funds, which is giving us in this quarter around 7.34% of gain. So that is the main actually other income that -- entire 9 months actually,

INR13.1 crores on account of gain on mutual funds we got it. So other income is because of the gain on mutual funds.

Srideep Kesavan: Right. I hope that is clear, Ms. Disha. On your question on other expenses -- yes. So, the expense that you read out in terms of increase is actually on absolute -- sorry. Let me rephrase that. The expense increase that you referred to is on absolute cost increase, and a large part of it is because of the revenue growth. So, if I could just read out the heads that come under other expenses. They are freight, power and fuel, selling and distribution, stores and spares and consumables, rent, repairs and maintenance, etcetera, etcetera.

So, as you can make out, most of these are directly linked to our business. As the business grows, they will grow. So currently our business in this quarter has grown at about 10.9% on our consumer side of the business which is keeping aside the bulk fat that we sell. So about 11 percentage on a year -on-year basis, you should -- the expenses to go up because of the variable cost nature of it. There'll be a little bit of efficiencies that come in, but that gets mostly all counteracted by the cost increases because fuel is increasing.

Power is increasing. Labour charges are increasing, etcetera, etcetera, right? Now apart from that, we have seen about -- on a percentage to revenue basis, we are seeing 2 aspects. One is that power and fuel as a percentage to revenue has gone up by about 0.2%. And that is a function of -- one, a function of unit cost increasing in terms of electricity and our tariff increase. Second, in terms of the -- some of the market spread and the market mix that is changing for us.

Rather than being -- that's actually good for the business because we are de-risking by spreading our geographical footprint, right? The second aspect is that our sales promotion and marketing expenses on a percentage basis has gone up by about 0.3%. And that's also something that we are -- you could say that we were pretty much aware of. So, in quarter 3 of last year, sales and -- sales promotions and marketing expenses used to be about 0.6%.

Now it is standing at about 0.95%. Certain investors who have been following us for a long time will know that we had very clearly, explicitly mentioned earlier that we want -

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Page 9 of 20 - we would be looking at spending about 1 percentage of our revenue in marketing expenses. And this is what is primarily driving our revenue forward despite the headwinds that we are seeing in terms of the general economy.

Despite the headwinds we are seeing in terms of adverse weather conditions. So, at this point

in time, I'll believe -- I believe that all these promotional and marketing expenses increase of about 0.35 percentage as percentage of revenue has helped us gain more consumers, gain more consumption occasions and sustain our revenue growth so that -- when the market bounces back strongly, I think we'll be on top of it.

Disha Giria: All right. That answers my first question. Coming on to my second question that is could you give some sense on what is your market share, especially in the newly opened markets of Eastern India.

Srideep Kesavan: That's very, very, very -- see. In fact, actually, we are not measuring any market share at this point in time in these new markets because we are very insignificant in these markets. So, at this point in time, we are not measuring. We are working with what we call as metrics. There are business milestones that we have set for every quarter to achieve, and we are fairly on track of that.

We've just launched these markets 2 quarters back, so it's very -- nothing much to talk about, as far as those numbers are concerned, but as far as our regular core market -- core and other markets are concerned, we have gained market share. We are subscribing to several syndicated tracks, as well as we have our own tracking. Both are showing strong market share gains in our core and adjacent markets.

Disha Giria: On a year -on-year basis?

Srideep Kesavan: We are across different categories, right? So, if I can say that, we have seen more than a percentage gain in value -added products and primarily led by curd and paneer.

Moderator: The next question is from the line of Digant Haria with GreenEdge Wealth.

Digant Haria: So, I have 2 questions, 1 for Srideep. And 1 is on the cattle feed business. So, the first question, Srideep, is that you mentioned that we are about to enter a lean season and the flush season may be ending. And the opex of our company has generally been growing at a higher clip than our revenue because of all the marketing initiatives and expanding our -- the network and the delivery infrastructure, so have we seen the margin peak for now?

Page 10 of 20 Like we have already seen 50 bps of gross margin erosion in this quarter and some erosion in the operating margins. Do we expect that next 6 months will probably be a little more tougher on the margins?

Srideep Kesavan: Okay. You said you have another question on the feeds business also. Will you be asking that later?

Digant Haria: Yes. Maybe I'll just ask it right away, that we have seen a big improvement in the performance of the cattle feed division. So, is it largely to do with the raw material? Or has it been our own initiatives? Any colour on that would be great?

Upendra Pandey : So, the improvement is mainly because of two reasons. One is as you rightly highlighted the raw material prices which was quite favourable in the last few months. At the same time, I would say 50% contribution has come from improvement in the operational efficiency. So multiple initiatives we took and those have started contributing. That has led to improvement in the margin part.

Srideep Kesavan: Right, yes, yes. So, on the question on margins. So, every quarter – see we have within dairy, there are 3 subsegments, right? One is milk. The other is value -added products. And the third is fats, consumer fats and bulk fats. Let me call it fats. And the mix of these or the ratios of these change in each quarter. In quarter 1, usually value -added products have tremendous contribution. Now value -added products include products such as curd, butter milk, flavoured milk, milkshake, ice creams.

These are all very highly summer -dependent products. And it also includes other product categories which are growing but still small, like paneer, cheese, doodh peda and other sweets, right? Now paneer, cheese, doodh peda, sweets, etcetera are, you could

say,

fairly non -seasonal. They sell throughout the year. And sequentially -- because these are small businesses, sequentially they are growing.

Every quarter, compared to previous quarter, we are growing in these categories, but the larger value -added products, whether it is curd, butter milk, flavored milk, ice creams, etcetera, are highly seasonal. And which means that quarter 1, you'll always see a surge of these products. And quarter 3 will be the rock bottom, as far as these products are concerned. Fats, on the other hand, usually surge during quarter 3. Quarter 3, October through December period is when ghee, butter and all is a festive period. That is when ghee, butter and all sells.

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Page 11 of 20 Now it is very important for us to ensure that the margin profiles of each product category is protected or improving. Now if you look at the value -added -- if you look at the milk gross margins, compared to Q1, we have been able to improve the gross margins of our milk by about 1.2% in quarter 3, right? This is despite a little bit of a sequential price, raw milk price, fluctuation.

In terms of fat products, we have improved the gross margins by 12%, okay, on fat on fat, right? The only area where we have seen a kind of a gross margin decline is in value -added products and that is only because of the mix change. Now because ice creams, like Mr. Samba Murthy read out earlier that while we do about INR100 crores, INR110 crores of annual revenue of ice creams, this quarter is only INR15 crores. So when something like that happens, you have a certain number of -- a certain percentage of costs that are loaded in terms of volumes.

The variable costs actually increased because of fewer units being produced, distributed, etcetera. Because of this, the value -added products come down in terms of margins. And also the mix also changes far more towards milk and fats, which are lower in gross margin. Other than that, we are not seeing any structural problem -- and plus, the marketing costs increasing by about 0.35 percentage that I spoke about earlier. Other than that, there is nothing structurally changing in the business.

The business is strong. Fundamentals are good. In fact, actually we are very confident that we are going to enter Q4 and next year, Q1, in a much, much stronger footing than we were ever before. Because whatever -- let's say for example if raw milk prices increases by INR2 or something, we are on the verge of increasing our market prices as well, and that will be easily absorbed.

We are entering a season where value -added products are going to come up, surge again, so the ratio will again swing back to as it was earlier. I hope you understand, right? So you can't compare sequential margins. I invite you and all other investors to look at year -

on-year comparison of quarterly margins. And you will see that your company is actually performing strongly on a year -on-year basis.

Digant Haria: I wish you all the best. This is the first time that we are probably entering a lean season and we are still confident of maintaining or improving margins, so it will be very heartening to see that happening over next few quarters. All the best to the team.

Moderator: The next question is from the line of Pratik Kothari with Unique PMS.

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Page 12 of 20 Pratik Kothari: Sir, first question, this -- I mean, first of all, thank you for the change in presentation. It's much more detailed and informative. First, on this VAP, right, so in over 3 years, we plan to take this from 30% to 40% in -- I mean subsequently our gross margin also should improve. But in subsequent slide, you have mentioned that we intend to maintain these operating margins in this level of 7, 8 -odd. So this delta in gross margin that we'll achieve -- I mean, how do we intend to spend this, given that it would

n't pass to the operating margin line?

Srideep Kesavan: Okay. So thank you, Mr. Kothari. So it is correct that we are -- we intend to take our value -added products to 40 percentage contribution of our revenues. And you are yourself witnessing in the last 3 or 4 years consistently how it has improved. If you analyze our last 3 -year numbers, you will see that for sure, right?

Every quarter also, we are -- I don't think that in recent -- any of the quarters, we have talked about value -added products coming down in terms of margins. Now that said, first of all, we do not give any guidance. And whatever I'm telling you should not be even taken as guidance, but because you asked such a question and it is -- yes?

No, but I don't want to give it as guidance. The reason is that -- so the numbers that you are referring to is you could say an all -weather fair number because now you know you operate in an industry which is cyclical in nature. We operate in an industry where 75 percentage of our cost is actually sitting in raw material. And we have seen how -- while fluctuations have happened.

We are at this point in time coming off a peak as far as the margin profiles and potentials are concerned. We have seen how there is a gap between raw milk price increases and market milk price increases happens. There is a small delay in passing on the price increases and cost increases to the consumer. We have also seen how our GDP rate of growth has slightly slowed down and has hit the consumption numbers, etcetera, across board, especially the consumer companies.

Now all of that said, I'll hope that you will look at the fundamentals of the business. And each and every fundamental number of the business and whatever we have transparently communicated to you will continuously keep improving, which is why on a relative scale I believe we'll continuously perform better than the past.

Now whether it will be 7%; tomorrow if market is conducive, it can even be 9%, but those are all statements that we wouldn't want to make. So hence, it is not a speculative

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Page 13 of 20 number and it is an all -weather, all -season fair number assessment. And we have always maintained that we would like to look at the EBITDA margins in 8%. The question earlier was that that was not happening. Now we are all the more confident that we'll be able to deliver that. That's the way it should be looked at.

Pratik Kothari: Correct. So actually my question was that, even at 30% mix, we are achieving that. And our plan is 3 years out, I mean when VAP goes up and subsequently the gross margin also goes up, so this delta, do we intend to keep for ourselves...?

Srideep Kesavan: I understood your question, Mr. Kothari. What you're saying -- I understood your question. Your question is at 30%, if we are at this level, at 40 percentage, we should be much better. Why are we only saying much better...?

Pratik Kothari: We can be much better or you can use that to invest.

Srideep Kesavan: Yes. So you should expect all of that to happen. So we are expecting -- see, there are many -- if I were to unpack that, I'll say that at this point in time -- someone earlier, Disha, had asked this question about operating expense increases. Now when others are all growing in single digits, how is our company growing at 11%? So I'm saying that there are some expenses that we need to incur to keep these headlines growing as well, right?

So at the same time, we are investing to create capacities in value -added products, whether it is ice cream business and stuff like that, which will have certain depreciation

costs coming in the future as well. The point is how can we maintain a healthy growth rate over long periods in time and how can we deliver strong, predictable, decent EBITDA is the way we are looking at business. Now if things go well, we should be able to outperform these numbers that

we have talked about as well. I hope I've been clear.

Pratik Kothari: Correct, fair enough. Yes, yes, very clear. Sir, second, on this, the fat loss for this quarter, I mean, between bulk and consumers, if you can share that data.

A. Prabhakara Naidu: Sir, actually this is Prabhakara Naidu, CFO. Fat losses for the current quarter is bulk INR1.29 crores, consumer pack INR7.4 crores.

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Page 14 of 20 Pratik Kothari: Okay, sure. And sir, one on the distribution. So currently we have about 1.8 lakh retails, a few Heritage Parlours, etcetera. So over time, I mean -- what's our intention in terms of addition to this? I mean, at what run rate are we currently adding to retail outlets or our Heritage Parlours or maybe even distributors?

J. Samba Murthy: During the quarter, we have added at about 242 customers in the form of Heritage Happiness Points, agents, product distributors and all. So we are again planning to announce it further in the coming quarters as well. Happiness Points as on 31st December, it is 352 Happiness Points.

Srideep Kesavan: We should -- see we are adding close to about 35 to 40 Heritage Happiness Points every quarter, but Happiness Points are not the only distribution initiative we have. We have several others as well. Like COO just mentioned, we have added more than 200 distribution partners in the last quarter. So distribution expansion will continue to happen in the same cadence. You should expect that.

Pratik Kothari: Correct. And sir, last...

Moderator: I'm sorry to interrupt you, sir. May we request that you return to the question queue for follow-up questions...

Pratik Kothari: Just a last clarification, if you allow.

Moderator: Sir, we have participants waiting in the queue. Sir, may we request that you return to the question queue, please.

Pratik Kothari: Sure.

Moderator: The next question comes from the line of Naitik with NV Alpha Fund.

Naitik: Sir, congrats on a good set of numbers. My first question is, sir, you just mentioned that you have seen 10% to 12% gross margin increase in your fat products. So that is very commendable. If you could list out things that has helped to contribute -- helped to increase these gross margins?

Srideep Kesavan: Primarily it is a function of prices going up is what I should say. And we are at this point working on multiple initiatives. For example, the ratio of our ghee sales through quick commerce and e-commerce partners have increased tremendously. And our revenue realization in quick commerce and e-commerce is naturally higher because we sell

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Page 15 of 20 smaller pack size -- smaller -pack SKUs in these channels, compared to, let's say, larger SKUs which we sell through wholesale and other grocery channel which is slightly lesser in terms of revenue yield. But a large part of it, I should say 70 percentage of it, is actually driven by prices improving.

Naitik: All right, sir, got it. And my second question was again on these alternate channels that you were mentioning. I have seen some -- the presence of yours on quick comm and e-comm increasing in the past couple of months, so I just wanted to ask what sort of contribution are we getting from these alternate channels like quick commerce and e-commerce right now? And how is it growing?

Srideep Kesavan: It's growing very, very, very fast for us. In fact, in many of these quick commerce channels in our core markets, we are market leaders. Currently, as we speak now, the quick commerce channel contributes about 6.5 to 7 percentage of our revenues.

Moderator: Sir, may we request that you return to the question queue for follow-up questions. The next question comes from the line of Kiran Kumar from Invest Now .

Kiran Kumar: Congrats for the good set of numbers, a steady streak of INR1,000 crores over last 3 quarters. I hope I'm audi

ble.

Moderator: Yes, sir. You're audible, sir.

Kiran Kumar: Yes. Sir, I will just limit my question to one. I would like to ask, like, the current curd volume growth compared to Q3 FY '24, right, the volume of curd sold...

Srideep Kesavan: Yes. So I'll -- yes. Our Chief Operating Officer will give you the numbers, but primarily, if you -- if I could just talk about the first point I mentioned: We have not increased prices for the last 18 months or so. So every growth is actually driven only by volumes, yes, but he will give the exact numbers.

J. Samba Murthy: So this is Samba Murthy. So milk has grown by -- volume has grown by 6.08% and curd has grown by 12.37%. And overall, value -added products have grown by 14% volume terms.

Kiran Kumar: I didn't get. 14% is with respect to VAP, value -added products?

J. Samba Murthy: Yes. Value -added products has grown by 14.3% in volume terms and revenue terms, 17.8%.

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Page 16 of 20 Moderator: Kiran Kumar, may we request that you use your handset, sir. Your audio is not clear, sir.

Srideep Kesavan: We will give you some more product growth numbers just so that you get a sense. So if you -- I hope you heard; milk at 6.08% growth, curd at 12. 37% growth, value -added products is about 14. 3% growth now. And the breakup of the value -added products, some of the products' growth.

J. Samba Murthy: I think drinkables, we are growing at about 23.2% volumes and revenue at about 18%.

And cheese, as you know, we are growing by 60% volume growth. So revenue also 64%. And sweets we are growing by 38% volume and revenue by 35%. And ice cream - - paneer we are growing by -- volume, we are growing by, paneer, 71%. So revenue by 66%. These are the -- yes, number of value -added products.

Srideep Kesavan: I hope this gives a sense of kind of growth we are getting across value -added products.

Moderator: The next question is from the line of Sneha Jain with SKS Capital.

Sneha Jain: Yes. So just I wanted to ask, what kind of geographical expansion or which areas are we looking at? And what would be our growth drivers going ahead?

Srideep Kesavan: Thank you, Sneha, for the questions. See, geographical expansion at this point in time has -- we have -- in the last 6 months, we have entered Eastern markets, which is basically West Bengal and Bihar, etcetera. And through Amazon and other e -commerce partners, we are now fairly available across most of India. But I would invite you to think about the business going deeper more than growing broader, right?

Even in our core markets, which is actually the Southern states of India, 5 states, and the other states where we have deep presence, whether it is Maharashtra, NCR, Haryana, etcetera, we have quite a lot of headroom for growth. So our first and foremost priority is actually deepening in our roots in these markets and growing faster in these markets. And of course, with our ambient and longer shelf -life products like ghee and flavored milk and milkshakes and all of that, we are expanding into East of India and many other markets.

We are also -- in exports business, as you are aware now, we are in the last 12 months, we have been exporting to the US. We have been exporting to Singapore. We have been exporting to Middle East. These are markets that we are trying to grow faster, but still these are all like -- whether it is East of India or export markets and all of that, these are all at this point in time, as far as the company is concerned, very small, negligible

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Page 17 of 20 contributions. And they will continue to grow in very high double digits, 50%, 60% kind of thing. But still it will take some time before they become significant enough for us to -- for it to really impact the business.

Moderator: The next question comes from the line of Dhwanil Desai with Turtle Capital.

Dhwani

I Desai: So my first question is on the ice cream side, the recent capex that we are doing. I think it's going to get operationalized in November '25. And over next 4, 5 years, INR100 crores ice cream scale can go to INR500 crores, INR600 crores, INR700 crores kind of a number. So what are we doing at the ground level to ensure that this capacity that we are putting in get absorbed fast? What are the markets we are targeting? How about the freezer network, the distribution? If you can talk some game plan around that.

Srideep Kesavan: Yes, okay. So see, we have been in ice cream -- this is something that I should say. We have been in ice cream for the last 15 years. We launched ice cream for the first time in 2008, '09, so it's been a long time we've been in ice cream business. And primarily

because our location was Hyderabad, we focused initially only in Telangana. And in the last few years ever since COVID, we have started expanding rapidly in South of India. Let's say, for example, Bangalore, Chennai, etcetera, which is why currently we are almost out of capacity. We are hitting close to about INR110 crores of revenue this year. That's the reason why we have gone in for the capex. So even if the current markets continue to grow, we will need capex. I hope you understand, right?

So the capex, you can first imagine, will go to serve the needs of the existing market. That said, the capex is also allowing us to set up a state-of-the-art factory which is able to produce the kind of new innovative products which we don't have in our portfolio. That will allow us to expand into newer channels. For example, we are not so strong in e-commerce and quick commerce and all of that with ice cream. Maybe it will help us to expand in those channels. It will also help us with the additional capacities to expand into adjacent geographies like Maharashtra, etcetera.

As far as game plan and distribution is concerned. Every year, we have been placing close to about 1,000 to 1,200 freezers. That's the kind of footprint expansion that we are doing. We have close to about 7,000 stores at this point in time, and that will continue to scale like that. So we expect our footprint to grow between 15 percentage to 20 percentage in terms of retail outlets. And the sale throughput per store should also increase 5 percentage to 10 percentage because of new innovative products. So net-net, we should be able to drive growth upwards of 20 percentage year-on-year on the ice

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Page 18 of 20 cream business. That's the way we are looking at it at this point in time. I'm giving you broad strokes.

Dhwanil Desai: Yes, got it, sir. Very helpful. And sir, second question is on the milk side. So our milk sales, we have guided that, on the volume side, I think if industry grows at 2%, 3%, we'll be growing mid-single digit in terms of volume. So my question is that, given that we are getting deeper into existing geographies, also opening up new markets; and on procurement side, we are really doing well in terms of the volume. So is there any effort or thinking in terms of driving this growth beyond mid-single digit in terms of milk sales volume?

Srideep Kesavan: Yes. See, in the last quarter, it was 6.1%. So if you look at -- my request is -- we can share these numbers with you. Every quarter, if you look at the last 8 quarters, it's gone up from -- like it used to be 1%, 2%. Then it is 3%, 4%, 5%, 6%. So every quarter, the growth is going up. So our effort -- I mean that's what we are working towards, right? Our effort is to squeeze the maximum of what is possible.

Moderator: Our next question comes from the line of Falguni Dutta from Mansarovar Financials.

Falguni Dutta: Sir, I have not been tracking the sectors long enough, so I'll just -- 2 basic questions. Sir, what is the milk procurement cost for us for the quarter?

J. Samba Murthy: INR41 per liter.

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Falguni Dutta: INR41 per liter. And what is the milk realization for us?

J. Samba Murthy: 54.64.

Falguni Dutta: Okay. And sir, one more basic question. Sir, is there any pattern in the change in milk procurement costs? I mean, when typically do the farmers increase or decrease, the prices change essentially for the procurement cost? In which quarter, if that is so?

Srideep Kesavan: So it's a free economy. Farmers don't increase the price, so it's a competitive thing. It's usually a dynamic between different players, but it follows the simple, basic principles of supply-demand. When supply and demand match, prices remain stable. At this point in time, you would have seen several reports that said that overall volume growth in milk production is around 4% to 5%. And consumption growth is also roughly following that number, which is why there is no ups and downs that we are seeing.

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Page 19 of 20 But that said, different markets have different dynamics. For example, in the last 4 or 5 months, Maharashtra government had given INR5 subsidy, in fact actually INR5 incentive for the farmers on top of whatever is the procurement price that the organizations were paying. Certain other -- and the lean and flush also happen at various periods. For example, the flush season in North India happens usually in the October to February period, whereas in, let's say, Tamil Nadu, the flush season happens sometime between May to December kind of thing. So these kind of things also impact. So some -- in some places, there is a lot of excess inventory. The demand is less, so the

prices might go down. In certain other places, supply is less and the demand is higher. So it's actually pure dynamics. And on top of it, like I said, the current situation is that everything is stable. There is no problem at all, but there is inflationary pressure. Input production costs are going up. Palm prices are increasing, so because of which, you should expect about 4 percentage to 5 percentage price increase. So it's very difficult to explain because you said that you are new to the sector. There are multiple dynamics at play. It's very complex. There are close to about 8 crores milk producers in the country. Moderator: Due to time constraint, the last question is from the line of Chinmay Nema with Prescient Capital.

Chinmay Nema: Before taking my question, I just wanted to continue on the milk, the passing on of price variability. Just wanted to understand how does your ability to pass on the prices compare with industry? Just a qualitative commentary would do. And is it largely -- and you said there is some delay in this. So is it largely driven by your procurement cycle? Or is it more to do with how things happen on the distribution side?

Srideep Kesavan: It's a function of a lot of things. But if I can just -- this is Srideep -- qualitatively answer your comment, I should say that our ability to take lead and pricing is much higher in our core markets compared to some of the markets where we are weak and new. I guess like all of these things follow principles of economics, right? So, let's say, for example, in Delhi, I may not have the ability to take up pricing on my own. So we usually move in cycles with industry pricing, whereas in Southern markets we move fast.

But that said, there is always a -- there is a delay because see, usually, milk and dairy as a sector is very highly price sensitive unlike many other product categories. This is something that you buy every single day, every day. It's a 365 days product, right. So any small price increase actually impacts to a much higher degree in terms of CPI, in terms of a person's ability to spend, etcetera, and consumption also shrinks, market Heritage Foods Limited

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Page 20 of 20 shares change. So we are a little careful in terms of our pricing, timing, etcetera. And I hope I

am able to answer you, right?

And this is mostly only in milk. Moment we move to value -added products, it's a very different game altogether because for each value -added product follows different cycles. For example, if it is paneer, there is no -- like there's no -- as consumers do not have a direct linkage of paneer price or MRP to, let's say, raw milk price or even market milk price.

So those are all -- like the further we move away from pure white milk, our ability to do pricing in line with our brand equity is much higher, even in, let's say, non -core markets. So our primary strategy is to grow value -added products where we have ability to do our pricing, where we have the ability to increase our margin potential, whether it is core market or weak market.

Just one more line I would like to say. While the company's average value -added products remain at about 32% or so, in our non -core markets, let's say, for example, Delhi, NCR or North of India or Maharashtra and all of that, the value -added product contribution there is much higher, 40% or so. Our dependence on milk is low there, which also allows us to build a more profitable business that way because there we have pricing ability, as far as value -added product is concerned. I hope I've been able to answer.

Chinmay Nema: Yes, sir. That's very helpful.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

M. Sambasiva Rao: Thank you all for participating in this earnings con -call. I hope we were able to answer your questions satisfactorily and, at the same time, offer insights into our business. If you have any further questions or would like to know more about the company, please reach out to our Investor Relations managers at Go India Advisors. Thank you all.

Moderator: Thank you. On behalf of Heritage Foods Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: May 2025

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FSMS002

HERITAGE FOODS LIMITED

CIN: L15209TG1992PLC014332

AN ISO: 22000 CERTIFIED COMPANY Ref: SECT: STOC: 54-25

May 21, 2025

To

The Secretary

BSE Limited Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

Scrip Code: 519552 To

The Manager,

Listing Department, National Stock Exchange of India Limited

Exchange Plaza, C-1, G Block, Bandra-Kurla

Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call held on May 19, 2025 - reg.

Dear Sir / Madam,

In Continuation of our letter dated May 6, 2025 the Company had organized a conference

call with the Investors/Analysts on Monday, May 19, 2025 at 4.00 PM (IST) . A copy of

Transcript of conference call held with the Investors/Analysts is enclosed herewith and

the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M. No: FCS-6317

Encl: a/a

HERITAGE FOODS LIMITED

Q4 and FY '25 Earnings Conference Call

May 19 , 2025

MANAGEMENT :

Mrs. N Brahmani – Executive Director

Dr. M Sambasiva Rao – Whole Time Director

Mr. Srideep M Kesavan – Chief Executive Officer

Mr. A Prabhakar a Naidu – Chief Financial Officer

Mr. J Samba Murthy – Chief Operating Officer

Mr. Umakanta Barik – Company Secretary & Compliance Officer

Mr. Upendra Pandey – Chief Executive Officer, Heritage Nutrivet Limited

INVESTOR RELATIONS REPRESENTATIVE :

Ms. Garima Singla – GO India Advisors

Heritage Foods Limited

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Page 1 of 21 Moderator: Ladies and gentlemen, good day, and welcome to Heritage Foods Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions when the presentation concludes. Should you need assistance during the conference call, please

signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Garima Singla from Go India Advisors. Thank you, and over to you, Ms. Singla.

Garima Singla: Thank you. Good afternoon, everyone. I'm Garima Singla. It's my pleasure to welcome you on behalf of Heritage Foods Limited. Thank you for joining us today for quarter four and full year financial year '25 earnings call. This call is being hosted by Go India Advisors. Please note that today's discussion may include certain forward-looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces.

Today on the call, we are joined by Mr. N. Brahmani, Executive Director; Dr. Sambasiva Rao, Whole-Time Director; Mr. Srideep Kesavan, CEO; Mr. A. Prabhakara Naidu, CFO; Mr. J Samba Murthy, COO; Mr. Upendra Pandey, CEO, Heritage Nutrivet; and Mr. Umakanta Barik, Company Secretary and Compliance Officer.

Without further delay, I now invite Dr. Rao to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

M. Sambasiva Rao: Thank you. Good afternoon and a warm welcome to Heritage Foods Q4 and full year FY '25 earnings call. FY '25 marked a pivotal chapter in the Heritage journey, a year not only of strong performance, but of purposeful transformation. It was about more than just financial outcomes. It was about laying the foundation for a future-ready consumer-centric dairy enterprise. For over three decades, Heri

tage has earned the trust of millions, building a brand synonymous with quality, reliability and reach.

This year, we took bold and deliberate steps to evolve that legacy, aligning ourselves with the aspirations of a new generation of consumers. We embraced digital acceleration, strengthened our go-to-market strategies and significantly expanded our presence in the value-added and premium dairy segments. These efforts were executed

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Page 2 of 21 with both agility and discipline, reflecting our commitment to profitable innovation-led growth.

FY '25 was not just a milestone, it was a momentum builder. We are proud of the progress made and energized by the road ahead as we continue to shape the next era of Heritage with purpose, passion and precision. India continues to be the largest dairy market globally with a fast-evolving demand landscape. Consumers today are no longer just buying dairy. They are buying trust, traceability, taste and nutrition. And in this shift, organized dairy players like Heritage are uniquely positioned to lead.

The industry continues to navigate a dynamic and challenging landscape within the dairy sector. This year, we saw rising input costs, including increased fuel and fodder prices, which led to price hikes across the country. In response, we at Heritage Foods made a strategic adjustment to our pricing to ensure sustainability for our farmers and to maintain product quality.

The government's focus on strengthening rural dairy economy through subsidies, infrastructure investments and tax exemptions has been a positive step towards supporting the sector. Additionally, innovations in value-added products and greater adoption of digital technologies have opened new avenues for the growth.

Our focus this year has been crystal clear, that is strengthen our business through operational efficiency and consistent quality, scaling up our value-added products like Paneer, Lassi, flavored milk and curd. Farmer's first approach deepening partnerships to ensure quality at source, sustainable procurement and timely payments, accelerating green operations and digitalization to future-proof the business. I'm happy to report that we delivered on every front.

FY '25 was a strong year yet and Q4 capped it off with robust momentum, anchored by healthy volume growth, premiumization and continued margin resilience. Our Q4 revenue of INR10,485 million, up 10% year-on-year, supported by broad-based volume gains. Not only that we delivered on all four quarters of the year more than INR10,000 million. Full year revenue is INR41,346 million, a 9% increase over FY '24.

Value-added products contribution grew 2.3%, now accounting for 32% of total revenues without considering fat products. EBITDA, INR3,310 million, up 58% year-on-year with margin expansion of 248 basis points to 8%. PAT, INR1,833 million, a

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Page 3 of 21 77% year -on-year increase. What truly differentiates Heritage is our deep -rooted partnership with over 300,000 farmers built on fairness, trust and mutual growth.

In FY '25, we processed an average of 1.72 million liters of milk per day with no milk holidays and timely payments as a matter of principle. Our omni -channel distribution footprint is equally formidable. Our retail reach of 180,000 outlets served via 7,300 -plus distributors. Our Heritage franchisee -operated outlets, 859 parlors and 386 happiness points. In modern channels, a strong foothold in modern trade, quick commerce and e -commerce.

On the sustainability front, our renewable energy investments now stand at 12.14 megawatt capacity installed, making Heritage one of the very few Indian dairy brands to embed green power directly into its operations. Across our brands, Heritage Toned Milk or Heritage Paneer or Heritage Lassi, whatever, we have upheld superior standards of quality,

traceability and freshness. We believe that superior quality commands a premium and our consumers consistently validate that belief with their trust and loyalty. By maintaining the highest standards from sourcing to shelf, we continue to earn our place in millions of households. In FY '25, we also ramped up our marketing from regional campaigns and digital -first activations to seasonal SKUs and customer loyalty initiatives. These efforts are helping us expand our brand recall across both urban and Tier 2 markets. As part of our strategy to scale up our value -added portfolio, I'm pleased to announce that Heritage Foods has acquired majority stake of Novandie, transitioning from a joint venture to a subsidiary company.

The state -of-the-art facility near Mumbai, previously dedicated to yogurt production is now being repurposed to start a broader portfolio, including curd and a diverse range of value -added dairy products. This transition reflects our commitment to maximizing asset productivity while aligning with evolving consumer demand.

This move strengthens our footprint in Western India and supports our vision to become a nutrition -powered innovation -led food enterprise. As we look forward -- look towards FY '26 and beyond, Heritage is no longer just a dairy company. We are evolving into a nutrition -first food enterprise with sustainability embedded as a key enabler of long -term growth and operational resilience.

Our strategic focus areas include strengthening the core milk and curd portfolio, scaling up other value -added products, expanding urban -centric offerings that bridge urban

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Page 4 of 21 aspirations and rural reach, deepening our green and renewable energy programs, building a resilient future -fit balance sheet. With strong brands, a farmer -first mindset, disciplined governance and a highly motivated team, we are confident in leading the next phase of the growth in India's dynamic dairy ecosystem.

With this, I conclude the business update and open the floor for questions. Thank you very much for your attention.

Moderator: Thank you. The first question comes from the line of Sameer Gupta with India Infoline.

Sameer Gupta: Sir, firstly, just wanted to get an update on price hike. We've seen Amul take a price hike announced INR2 per liter on 1st May. And in the Analyst Meet, in March, I remember you had mentioned that you had taken a INR1.6 per liter price hike. So have we taken more after Amul has taken? Any sense on that, sir?

Srideep Kesavan: Yes. So Sameer, yes, you're right. Actually, we had already taken up the price increase sometime during the fourth quarter. And the cooperative, some of the leading brands had increased the prices in the beginning of May. At this point in time, we are now comfortable in our situation. We are evaluating selectively whether it is in a regional level or in a variant level, if there is any opportunity to take any price hikes, we'll be looking at it.

Sameer Gupta: Got it, sir. That's helpful. Secondly, sir, on the employee and other expenses, seeing that this has been growing at a rate which is higher than our overall sales growth. Now we have been supported by a declining milk prices trend, but now that trend is largely behind. So if you are to continue to expand distribution for VAP that would also mean that employee and other expenses will continue to grow at a faster rate. With no benefit of gross margin expansion, do you see that the EBITDA margin overall should now start moderating from the current level?

Srideep Kesavan: No, you shouldn't read too much into that. See, if you see actually the employee cost as a percentage of revenue was growing much faster a few quarters back. And actually, the rate of growth has actually slowed down in this quarter if you compare it with the previous year same quarter. That said, you're absolutely right, Sameer, that

t currently, I believe employee benefits have actually increased at around 14.5% compared to revenue growth, which is around 10%.
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Page 5 of 21 So that is not the desirable scenario. Ideally, we would like the employee cost to increase lower than the revenue increase. But the trend is what you should look at. You see that actually the trend is going the other way around. So you should expect revenue growth to pick up and go ahead of employee cost in the shortest possible time. And I don't think that this has anything to do with any -- this is not any indication of any change in EBITDA percentages.

Sameer Gupta: Let me rephrase the question, sir. So what I meant was that there was a tailwind in gross margins or input costs, which probably allowed you to expand faster and more aggressively. Now with that tailwind no longer there because it's almost anniversary sed, just an outlook on this aggressive growth approach.

Srideep Kesavan: What makes you feel that there is no tailwind? See, fundamentally, let me just talk about the tailwind. I understood your question. I was just trying to give a very summarized answer if you would like to delve a little deep into it. See, the growth opportunity in India has not gone away, right? The GDP growth might have come down from 8% to 6.8% -- it doesn't mean that it is still quite high, right?

And any time we expect the overall GDP to bounce back to the high growth scenario that we had seen a few quarters back. It should happen. Secondly, the consumption growth that we had seen post -COVID had slowed down a little bit in the past couple of quarters, but doesn't mean that there is no bounce back possible. We are already hearing great stories of bounce back from industry leaders like Unilever and Nestle and all who are already talking about a bounce back that is visible around the corner.

That is the second thing. Third, as far as the raw material prices are concerned, we had a long period of stability, almost 18 months of no price increase as far as the raw material price is concerned or the milk prices are concerned. So t he milk prices having gone up 3% in the last quarter is fairly normal. And I don't think that there is anything much to read in it. And we have also passed on a large percentage of this increase through consumer price increases in the last quarter.

And of course, the entirety of that price increase is not reflecting in the quarter because the price increase was taken during the quarter. So the quarter numbers is actually an average of January, February, March, whereas if you look at the March numbers, most of the price increases have been affected. So I don't see in the long run how -- why we should have any difference in opinion on the potential of growth of the country, potential of growth of consumer industry, potential of growth of dairy industry.

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Page 6 of 21 And within that, the potential of growth of value -added products, everything is looking very bullish. There might be some seasonal impacts. There might be some certain months or quarters where you might have impact due to external factors or seasons. But I don't think in the long run, there is anything that should tell us the story otherwise.

Moderator: Next question comes from the line of Disha Giria with Ashika Institutional Equities.

Disha Giria: Sir, my question is regarding the statement that you made in your opening remarks that is you are evolving into a nutrition -first company, not only a dairy company. Could you explain the rationale behind it? Because unlike our immediate peers, we are not doing geographic expansion. We are doing vertical expansion. So what is the rationale behind it?

Srideep Kesavan: . The reason why we say nutrition -first company is that the focus of the company is on nutrition and in terms of the products that we formulate in term

s of our focus on value -added products in terms of the focus on increasing the nutritional value of the food that people consume. That's primarily the way we are building our product categories and the brand.

That is what is the essential story behind that particular statement. I don't think that, that has got anything to do with unless if I misunderstood your question, Ms. Disha, in the core markets where we are operating, this is still valid. For example, if the consumer has a basket of consumption, which she today in which he probably has 8 percentage of the basket or the expenses going towards dairy product.

The growth, we expect the growth to come from expanding this 8 percentage to, let's say, 10% or 12 percentage. And that primarily will happen by focusing the conversation

more on nutrition. Nutrition is a very large term at this point in time. It could start from micronutrients to macronutrients. As far as micronutrients are concerned, all our milk, 100% of the milk is fortified with Vitamin A and D. So that's a conversation that we are trying to drive at this point in time, shifting consumers from unpackaged or non -fortified milk towards dairy.

Secondly, if we take our value -added products, the conversation is around macro nutrients such as protein, et cetera, which is what is the growth for categories like Paneer, Curd, et cetera. Even category like flavored milk, we are shifting the conversation towards nutrition and not just, let's say, a refreshment. I think that is the broad purpose of that particular line that you mentioned. I hope I'm able to answer.

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Page 7 of 21 Moderator: Next question comes from the line of Sandy Mehta with Evaluate Research.

Sandy Mehta: Congratulations on a strong year overall. Two questions. One is there was an INR87 million charge in Q4. And the footnote there, it related to Novandie impairment. Without that charge, your fourth quarter profit before the exceptional item was up 15%. So should we look at that charge as a sort of a one -off item? It sounds like a one -off item. And now that you have consolidated Novandie with the majority stake, what sort of revenues do you expect from Novandie going forward?

Nara Brahmani: You're right. Our partner has expressed their desire to reduce their stake. And this gives Heritage a tremendous opportunity in both yogurts as well as other value -added products in a strategically very important location for us. And as we speak, we are also in the process of synergizing these operations with Heritage Foods and also talking to other players for co -packing opportunity. And within a quarter or two, we believe that we will be able to turn around the operations and keep growing fast and reach our max capacity utilization very, very soon.

Sandy Mehta: So that charge is it sounds like a one -off charge just with the acquisition. So we should look at the results ex the charge for a more sort of ongoing operational view.

Nara Brahmani: That is right. It's a onetime charge.

Sandy Mehta: Yes. And my second question is your EBITDA margin reached 8%. Earlier, your goal that you have stated for many years was 7% to 8%. On Slide #28 of your presentation that was released yesterday, you talk about higher gross margins by 2028. So margins seem to be going up for the next couple of years. That's what you said in your presentation. So what is your goal on EBITDA margins now? Should we expect 9% to 10% going forward?

Srideep Kesavan: Let's say one of the things that you should see is the margins expand. It's natural because we are doing three things. The first is that we are shifting our business more and more towards value -added products. So because of which surely, if you work out the weighted average, the weighted average margins will continue to expand, right? So that's a no -brainer. The second is we are constantly trying to increase the premium that

we are able

to get from our brands and products.

That is the reason why I think Director sir when he was reading out the opening remarks, he spoke about how we are investing in our brands and some of the categories. The idea

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Page 8 of 21 of those investments is that we are able to expand the net revenues from those value -added product categories. So in milk, you have a certain disadvantage in terms of pricing beyond a particular point. But in value -added products, there's nothing like that.

Let's say, for example, if you have a buttermilk and then we add a probiotic buttermilk, there is a particular revenue premiumi sation that we are able to do. So that's the second way in which we will continue to expand. And the third is the investments that we are making in our capex , which is allowing us more and more automation in our factories and reduction in costs, which will also expand our EBITDA margin. And this is a journey.

So we should continuously look at expansion of the margin potential in the business. But that said, I think we should be very, very conscious that still a good percentage of our cost. Currently, in this quarter, 74 % of our cost is related to the materials, raw materials. And as long as raw materials continues to be a large percentage of our cost item, which is volatile, you understand that the milk prices do go down.

Hence, these kinds of trends are only visible over a very long period in time, and it's unfair to look at it on a quarter -to-quarter basis. So it is possible that next quarter or in

any of the quarters, we might have expanded the value -added products. We might have premiumised our products. We might have reduced our operating expense, but the milk price might have moved against us and the EBITDA might have come down. But over a longer period in time, you will see that the expansion of EBITDA is inevitable.

Sandy Mehta: So like with the 2 -year view, as you stated in your own slide, something like 9% to 10% is possible then in a multiyear view?

Srideep Kesavan: I wouldn't want to give any numbers, but we are very ambitious, I should tell you that.

Moderator: Next question comes from the line of Sunil Kothari with Unique PMS.

Sunil Kothari: Sir, congratulations, Mr. Rao, Srideep and team for doing a really good job during the last 3, 5 years, the way we increased our milk procurement from 8 lakhs to more than 17 lakhs. My question is milk sales is not that growing and milk sales is giving a good -will always give good ROCE. So what is the strategy to increase milk sales? If you can little elaborate and throw some light on your strategy?

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Page 9 of 21 Srideep Kesavan: Sunil, thank you for your compliments. So nice of you. If I can just give you some numbers. Yes, of course, milk is growing slower than value -added products. While value -added products are growing in high teens, in fact, value -added products grew at 20% in the last quarter, but milk grew only 4.5%. It is a fact, right? So yes, we would like milk to grow at around 7 percentage to 8 percentage, right? That's ideally what we are also trying to do. There are multiple strategies that we are working on at this point in time.

So one very simple straightforward strategy is distribution expansion. Distribution expansion helps us make our products more and more available, whether it is in the cities and regions where we operate or in newer geographies. Let's say, for example, if it is a state like Telangana, we are covering now Tier 2, Tier 3 cities, going beyond Hyderabad to smaller towns, which is another a lot of district capitals right now, which are suddenly growing and we are seeing potential.

We are expanding our presence in these markets. And that is what is -- which is one of the factors that is driving the growth. So both geography as well as number of outlets cov

ered, right? The second is we are coming up with new innovative variants. You must have seen in the Investor Presentation, we have launched a new variant called Sarvaguna. Sarvaguna is a variant that we launched in this quarter.

And in the previous quarter, this Sarvaguna was a variant that we launched in Delhi NCR and which is actually doing very well. It's been only a couple of months since we launched, and we are getting fantastic response from the market. And we also launched another variant called Sampurna. Sampurna was a variant that we launched in Maharashtra and that is also doing great, right? So these variants are especially formulated for the taste and expectations of the local population.

So we are not expanding just a toned milk or a full -cream milk and copy pasting across. We are understanding exactly what the consumer needs, and we are creating those formulations uniquely for these markets. So that's the second aspect that is driving the growth of milk. Together with the new variants as well as market expansion, we feel that we will be able to bring milk back to 7 percentage to 8 percentage kind of growth.

Sunil Kothari: Okay. Great, sir. And sir, second question is, say, during last 3, 4 years, we really invested well on brand establishment expansion or product expansion in new geography and categories. We have done a remarkable job on VAP increase from 20% to 28% and Heritage Foods Limited

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Page 10 of 21 then 32% and now we are targeting another maybe 2, 3 years, 40%. Our gross margin expansion also will happen because of that.

And the loss which we make on some -- these fat products or some consumer ghee products also should increase the way we are expanding our size and prices we want to premiumize. So it clearly reflects that there should be an expansion of margin. So which are the risk factors other than this sudden milk price increase, procurement prices, which are other risk factors you see which will prevent the expansion of EBITDA margin?

Nara Brahmani: If I may just expand upon Srideep's previous answer, I think like Srideep has been saying and you also rightly mentioned, we have invested into marketing, not just in terms of making our products more visible, but also in terms of improving our understanding of the consumer and thinking about consumer -centric approach. So that's

something that's significantly yielded results in specific markets for us.

Value -added products expansion is very significant growth factor. So in fact, if we were to combine value -added products along with consumer packed fats such as ghee as well as butter, we're seeing a significant growth. So in Q4, the contribution was 37.8% of revenues from value -added products and consumer packed fats, which was an increase from last year Q4, which was at about 34.1%. So there was about a 3.7% increase year -on-year when it comes to that.

And aside from that, a lot of efficiency initiatives are being taken within the organization, as mentioned by Srideep. And of course, I think cutting down fat losses by improving sales of consumer packed fat is something that's a big initiative. In fact, the past financial year, we've seen a growth in revenues from this particular category of about 35% year -on-year, which is tremendous. It is big, and that will only continue to grow at a fast rate.

So as a function of these four initiatives that we are taking in terms of premiumization through scientific marketing efforts, value -added products, operational efficiencies and focusing more and more on consumer packed fat sales, we believe that we will be able to get closer to the margins that is expected.

Moderator: Mr. Kothari, are you done with your questions? Since there's no reply from the line of Mr. Kothari, we'll move to the next. The next participant is Mr. Raghav from Quadrun. Please go ahead.

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v: Good evening. Thank you for the opportunity. Your earlier in this financial year, you had given guidance of INR6,000 crores sales in FY '27. So what is our stand on that? And how are we going to achieve that?

Srideep Kesavan: Yes, Raghav, the guidance is a pretty strong word. We have always maintained that it's our ambition to reach INR6,000 crores in FY '27. So , which is two years away, right? So we are working towards that. This year, we have crossed INR 4,130 crores. So , which means that we will still gun for getting to that INR 6,000 crores mark in two steps, right? Step one is FY '26 and FY '27. But I wouldn't call these as guidance. I'm not giving you any guidance. This is just an ambition, and we are working hard towards that. That's all I can say.

Raghav: Okay. Thank you.

Moderator: Next question comes from the line of Resha Mehta with GreenEdge Wealth Services. Please go ahead.

Resha Mehta: Congratulations to the entire team. I think all the hard work and initiatives that we've taken over the last 2 years we are bearing fruits of that. So good to see that. And I think also versus peers, we've done one of the best top line growth just in terms of the dairy business. And even margins, I think they only want to expand Q -o-Q and Y -o-Y. So that's great.

So see, the first question is on the growth. If we just look at the Q4 numbers, do you all think that the growth numbers could have been better had it not been -- so we've seen that a bill was passed and there were some social media posts of particular community boycotting Heritage products. And this demography has a decent population in Hyderabad, which is our core market. And this has turned out to be a risk if we look at the other MNC brands when the Israel - Hamas war was at its peak, right?

So would that be one of the reasons probably why we would have done a 10% kind of a growth? And also, if you could comment that for Q4, did the unseasonal rains or the erratic summer play -- did it play a spoilsport for our VAP revenues in Q4?

SrideepKesavan: Resha, thank you very much for your kind words and compliments. I'm very surprised by your statement. There is of course, there is always whenever you have a situation, there are extreme voices. But we should all remember these extreme voices are very miniscule when it comes to percentage population. And they have absolutely no

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Page 12 of 21 practically little or no impact on business at all. So we had no impact at all. And we reassure you, there is no impact at all on account of any of these things.

See, we have as a business, we have operated independent, our founder, our promoter family is a leading political figure. But the business is independent of all the political ups and downs. The biggest proof of it is that even when our leader was in opposition, our founder was in opposition, at that time also, our business was doing very well.

In fact, actually, those were the years of fastest growth. This has no impact whatsoever. Please understand this because the brand is loved by millions of consumers, is consumed by millions of consumers every single day. And consumers actually focus on what the brand brings to them, the value, the quality and our service. That's what they focus on and the value that we are able to deliver to them. So there was no impact at all, and there will be no impact in the future as well. And you guys have to believe us when we say this. And past is the proof of that, right? Last 33 years, we're not able to show it in the last 33 years. And whatever I say may not be of much help.

The second question is about seasonality. And I'll also link back to a previous person who asked about what risks could be there. Yes, one risk we have apart from the -- what you call the raw milk price volatility is actually the seasonal volatility. It's actually -- it's a risk that everybody should be aware

of, and it's not just in our business. This is affecting many businesses. Weather is something that has become totally unpredictable and especially in South of India, the summer has been like it's raining a lot, yes. So those kind of things.

The business is very strong because when there is no rain, our business, we can see how it bounces back but then there's a lot of rain. So that's actually an uncertainty that we are faced with, and we can't do anything about it except try to expand the business so that the impact of such weather vagary is minimized.

Resha Mehta: Right. So good to know on the first part. And also, so basically, I was just trying to understand that the erratic summer did play some spoilsport, right? I mean, in Q4, especially March and probably we would even be seeing that currently in the current quarter. So that was what I was asking. And also for the full year, worst case, can we assume that we would do -- we could do a 10% kind of a revenue growth in FY '26? That's the worst case. I know we don't give guidance. Our aspirations are much higher, which are in high teens. But I'm just saying from a business scenario, internally, like Heritage Foods Limited

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Page 13 of 21 worst case, do you still think that we can do a 10% kind of revenue growth on this high base? So that's...

SrideepKesavan: I believe you have answered yourself.

Resha Mehta: All right And on the margins, right

Nara Brahmani: Also just wanted to add to what Srideep said, which is the fact that we are also, again, investing into marketing and awareness building to more and more season proof of products. And that's where the nutrition proposition is becoming significantly important for us. Our buttermilk is significantly probiotic. In our core markets, we are building the awareness of the importance of protein and paneer and hence we're growing at over 50% year-on-year in terms of volumes.

And we are proactively taking initiatives in order to make dairy more accessible and improve consumer awareness about the nutrition profile of our products, which are primarily very healthy products. We're also ranked among the top products in the country for health benefits or health profile. Secondly, I think what we also want to share is that we are fairly diversified in terms of our channel mix.

So we are also strongly present in the fast -growing e -commerce and Modern retail formats (MRF) space , where we feel that more regular purchases versus impulse purchases of products do happen. And the channels themselves are growing at tremendous rates. And we are a very strong partner with most of these players, and we are witnessing that growth in terms of season proofing ourselves. I just wanted to add that.

Resha Mehta: Sure. And yes, some of your new products, especially like buttermilk are outstanding. So second is on the margin bit, right? So see, so we've maintained or probably actually improved margins both Q -o-Q and Y -o-Y in a very challenging quarter, right, which probably -- should that give us kind of enough confidence that, okay, hey, this is like 7% to 10% will be the new margin band from the worst dairy cycle to the best dairy cycle? I mean, can we kind of take that as the new margin band from here on? And considering that the remarks that you all made initially that employee and other operating costs, the growth rates would now slowly, slowly start coming in line with the revenue growth and probably go lower than revenue growth as operating leverage kicks in. So that's on the margins bit.

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Page 14 of 21 SrideepKesavan: Yes. So see, if you ask me, Resha, we have -- the business is stronger in Q4 compared to, let's say, Q1, I mean, last, last year, okay? So every quarter, because we are continuously working on several initiatives to improve our business, right? And Q1 of last year would have been better than Q1 of

previous year. But if you actually look at the numbers, if you look at the margins per se, the margins from Q1 to Q4 have dipped. You've seen that, right?

And that's primarily a function of raw material prices going up and mix change and several other variables. And this is why I'm saying that it's such a complex business that there are so many factors that are impacting.

So my suggestion is that if I could just say, put it in this way, that irrespective of competitive scenario or irrespective of the market volatility and the external forces, going forward, we would be stronger and stronger in our ability to withstand those external forces and be driving our performance based on internal parameters.

That's what eventually we want to take -- imagine a scenario, I don't know how many years it will take or decades. But imagine if we are able to build a truly dairy FMCG company where the brand equity is such that we are able to outprice our products and which has no relation to what is happening in the market and all of that, then we'll be unaffected by anything that happens around, right? That's the North Star, but we still continue to have 50% plus contribution coming from milk.

So these are things that cannot happen overnight. But that's what we are working hard towards. And that is why we'll say that over a long period in time, the impact of external forces acting on us will kind of diminish. And that is where we will have more command and control over the EBITDA that we deliver.

Resha Mehta: Sure. And just the last one, on the margin bit again, see, Novandie, if we see, you know, after so many years, I think this JV was formed in 2018, maybe we had a hiccup with COVID, which caused delays. But after so many years, we see that it's just a INR6 crores to INR7 crores top line business. And PBT loss is now INR25 crores. Now after we consolidate this with our numbers going forward, right, this PBT loss of INR25 crores or maybe if it is higher, it will just hit us completely, right? And that could severely impact margins, PBT margins by around 70, 80 bps, right?

So what is the plan here? Do we have any hard timeline here that, let's say, if we are not able to turn around this business by, let's say, the end of next 2 to 4 quarters, are we

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Page 15 of 21 ready to kind of abort this project or are we very confident that, okay, in the next two quarters, we are going to kind of breakeven or some basically perspective and some thoughts if you can share here?

Nara Brahmani: Thanks for the question. And I just wanted to repeat that the PBT loss that you are mentioning also includes a onetime impairment cost, which contributes half of that number. And it's purely onetime cost that we've taken on our P&L and that will continue to be there.

Secondly, it opens up an interesting opportunity, like I said, in a very important location of Maharashtra, wherein we are more efficiently able to consolidate the operations, not just in yogurts, but other value-added products with our existing operations and absorb overheads more efficiently and immediately, be it logistics, be it S&D, be it plant operations, etc.

So in addition to that, there are very interesting opportunities almost immediately coming up in the co-packing space. And we believe that the plant utilization will go north of 50% almost immediately. And within a quarter or two itself we should be able to turn around the operations very comfortably. And please also note that the JV plant is actually located in the same premises where Heritage's mother plant in Maharashtra is based. So basically the operations teams will be more or less the same and synergies will be significant and overheads will be immediately absorbed within our operations. In addition, it gives us an opportunity to provide a wider, more attractive range of products to our customers in the Maharashtra ma

rkets immediately and other surrounding markets as well. So please don't be under the impression that any losses will continue. We expect to turn around our operations there within a quarter or so.

Moderator: Next question comes from the line of Rishi Kothari with Pi Square Investments. Please go ahead.

Rishi Kothari: Thank you so much for the opportunity. And congratulations on good set of numbers for the whole FY '25. I had some specific questions regarding the geographical split for our

distribution that we have for the products. But can you just give me a brief idea because as we are now expanding out of Hyderabad and different, different North and Northeast of India, can we have some sort of split what exactly revenue is coming from the outside Hyderabad market per se for us? And what exactly was it probably 2, 3 years ago before we just initially we entered at that time?

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Page 16 of 21 Nara Brahmani: I just wanted to mention that, of course, our Telugu states are the biggest markets, but the fastest -growing markets are the newer markets for us. And also outside of the core markets in the surrounding areas. More specific numbers can be shared one -on-one when we meet, but we are seeing exciting growth in our newer markets as of now.

Rishi Kothari: But just can you give me which states are we looking at for this expansion growth, of course, not numbers for now. We can talk about this later over some different calls. But in general, I wanted to have what states you are looking at for the growth market?

Nara Brahmani: Going forward, we intend to focus on the existing states of operations itself. We believe that there is huge untapped potential in milk as well as value -added products.

Rishi Kothari: Okay. Interesting. And the question regarding this acquisition /increase in stake in Mamie Yova, right? So we are saying that within a quarter, we'll make this turnaround, make it a profitable which will be beneficial for us. What exactly is the value add for this company? Are we just looking like a contract manufacturing for this? How exactly is it?

Nara Brahmani: Yes. So the company will continue to manufacture yogurts within the same brand within other brands, like I mentioned earlier, Heritage could also manufacture yogurts and other products. And of course, contract manufacturing, like how we had a relationship with Nestle is also an opportunity. In fact, as we speak now, we are also in the advanced stages of closing out on an agreement with a prominent player.

Moderator: Next question comes from the line of Ankur Gulati with Genuity Capital. Please go ahead.

Ankur Gulati: Thanks. First of all, congratulations for great results and very sensible capital allocation. Just from a strategy perspective, you guys have a brand, you have a distribution network. Any thoughts on using this platform to push non -dairy products, even if it entails using contract manufacturing? So broader strategy, any thoughts on non -dairy products being pushed through?

Srideep Kesavan: At this point in time, it is very tempting. I agree with you. But at this point in time, no is the answer. The reason is that we value opportunity loss more than opportunity that we could have. So we still have a long way to go as far as dairy is concerned. So we are not looking at any non -dairy at this point in time.

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Page 17 of 21 Ankur Gulati: Okay. And in the last question, you mentioned you are discussing something with another partner or I think if you can give me more details? Is this acquisition or is this distribution, what?

Nara Brahmani: So what I was saying, Ankur, is that there are several opportunities, including contract manufacturing opportunities to maximize capacity utilization of the JV plant, which is based in our existing premises in Maharashtra.

Moderator: Next question comes from th

e line of Kiran Kumar with Green Investors. Please go ahead.

Kiran Kumar: Congratulations on this good set of numbers. My question is more on the numbers. Like in the total revenue growth, how much is like because of the bulk, like for Q4 of this '25, what was the total bulk sale in value ?

J. Samba Murthy : FY '25 total bulk sale is INR125.4 crores, whereas in FY '24 it was INR159 crores.

Kiran Kumar: Sir, this is for Q4 or full year?

J. Samba Murthy : Q4 it is INR38.6 crores.

Kiran Kumar: For last year?

J. Samba Murthy : Last year it was INR34 crores.

Kiran Kumar: Okay. I just asked about the numbers regarding the bulk sale and I got the numbers. Thank you.

Moderator: Next question comes from the line of Aditya with Securities Investment Management. Please go ahead.

Aditya: Yes. Hi, sir. Thanks for the opportunity. We have seen an increase in procurement prices this quarter. So have the procurement prices stabilized or we are witnessing further increase in April and May?

Srideep Kesavan: Yes, procurement prices more or less has stabilized is the way I'd like to answer, but that is only at this point in time. It's very difficult to predict over a very long period in time. As you know, that we are in the cusp of a flush season in the South of India. We will have to see how the flush progresses, how the demand in the market continue.

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Page 18 of 21 At the end of the day, it is just a demand and a demand -supply equation, right? So we'll have to see how it works out. And the Buffalo flush happens later in the year, calendar year, starting from October, November onwards. So that also is yet to be seen. But at this point in time, in this moment, it is stable.

Aditya: Understood. And sir, just wanted to understand when does the cow flush start in the South? And with unseasonal rains happening, shouldn't it be beneficial for a better cow flush in May and June?

Srideep Kesavan: Yes, the flush has started. And we are also hoping that it is beneficial. We'll have to see, but then there are lots of factors, yes.

Aditya: Understood, Sir.

Moderator: Thank you. Next question comes from the line of Ankit Minocha from Adezi Ventures Family Office. Please go ahead.

Ankit Minocha: Hi. I joined in a little late, so sorry if this is a repeat. But if you can just give an outlook on considering the current situation on raw milk prices with your prices, etc ., what is the EBITDA margin outlook that you're looking at for the Q1 and Q 2 currently?

Srideep Kesavan: So yes, Ankit, if I can summarize what's happened in the quarter that we just concluded quarter four, we had raw milk prices, which had increased by 3% or so compared to previous year same quarter. And market milk prices had gone up. We had corrected the milk prices also relatively during this period by about 1.4% and that -- and various value -added products in the range of 4 to 5 percentage.

And this price correction is an average of January, February, March because the price correction started sometime from end of Jan or beginning or middle of February. So we didn't see the full impact of the price corrections, which you will see from quarter one onwards. So which means if I could just summarize, a large part of the raw milk price increases, we have passed on to the consumers.

So the net impact of -- due to price is minimal there. It is there because we have not completely passed on the entire price increase on the raw milk side to the consumer, a little bit of which we have absorbed, which is what you will see in terms of margins, in terms of milk, the milk margins have actually come down a little bit by about 0.5, 0.6 percentage due to this. But that said, while I was answering the previous person who asked this question on outlook. Currently, it is stable at this point in time. But does that

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hat the prices will further go up or come down? We are not sure. We are watching.

And just in the beginning of this month, month of May, the leading cooperative brands also increased their prices by about INR2 per liter. We have not taken up the prices, but we might look at selective increasing of prices in the coming months and quarters. So we will have to see all of that. The margin will be an evolution of all of that.

Moderator: Next question comes from the line of Rohit with Samatva Investments. Please go ahead.

Rohit: Good evening and thank you for the opportunity. So my first question is on the value - added products. So if I look in the last 1 year, 1.5 years, the horizontal expansion has been pretty aggressive in the value -added part. So I just wanted to know what are your plans going forward? Are we going to start consolidating the products that we have or are we going to continue to get into new product categories?

Srideep Kesavan: Yes. Thank you, Rohit, for that nice comment. Yes, we are -- see we are doing multiple things, right? I mean, if I can say there are three things that we are doing. One is we are building categories. What do I mean by building categories? The growth that we are getting is by converting unpackaged or unorganized consumption to organized branded consumption. That is the primary growth driver.

Let's say, for example, a product like curd, I don't think there is anyone in the country who hasn't eaten curd. Like it's not -- we are not selling things like cookies or laundry detergents and all of that, which like you'll still find large people who have never had that product, right? In our case, all the products everybody has had. It's just that they haven't had it in a branded form or in a packaged form, right?

We are accelerating the transition from unorganized to organized and that too under Heritage brand by offering certain advantages through our brand, right? So that's the category building that we are doing. At this point in time, or in the last 2 or 3 years, we were significantly focused on building curd and paneer. These two categories, these two categories -- these were the two categories that we have significantly invested in building, right, whether it is advertising or whether it is distribution, whether it is in terms of new products, new innovations, new packaging etc., right? And it has actually paid -- feel great returns.

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Page 20 of 21 Our Executive Director, Brahmani sometime back said that the paneer has been consistently growing upwards of 50% for us for quite a long time now. So this all have paid dividends. Now we are expanding. We are looking at newer categories. Right now, we are in the middle of reviving the whole drinkables category with investing and creating a new brand called as Livo. Livo is our new flavored milk brand. This, we hope will help revive the flavored milk category itself.

Milk is a fantastic -- flavored milk is a fantastic beverage to have when you think about sustained energy as in -- today, the market is full of all carbonated and noncarbonated sweetened artificial beverages. Compare that with the nutritious milk-based energy drink that you could have, right? That is Livo. So we are working on re-launching and re-purposing that brand. So that will give us renewed growth in drinkables as a category. The other categories that we are thinking of building over the next few years would be ice creams is one. We have made a capex investment in enhancing our capacity of ice cream plant, which will get commissioned by the end of this calendar year. And next financial year, we will have the full force of that new capex investment. So along with the capex, we are also investing in building ice cream as a category, right, creating new products, innovations, brand etc.

And the fifth one category that we'll be investing in the future would be ghee. Ghee i

s

also something that we need to invest in building, growing in terms of increasing the consumer value so that we are able to reduce the losses, in fact, actually turn around and make it a hugely profitable business for us. So these are all things that we will do continuous -- so while curd and paneer are our mainstay as of today, we want to create more and more mainstay in terms of value-added products, which will actually expand the portfolio over the years to come.

Rohit: Got it. So sir, the reason for me asking this question is to build a brand, it takes time, it takes money, and it may have a short-term impact on our profitability. So that was my reason for asking. So you said curd and paneer, it's been quite some time. But these new products that you have just said, drinkables and ice creams. So in terms of profitability, how much of a hit are we going to take? Because drinkables, it's been some time we have been in this segment...

Srideep Kesavan: No, no. So, that's not how we do, okay. I get what you're asking. Yes. So see, we are very judicious in doing all of these things. As in previously, a lot of people who had questions, congratulated us on expanding our EBITDA margin, right? What you did not

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Page 21 of 21 notice probably is that in the meantime, while we expanded our EBITDA margin, we also increased our marketing spend by about 0.8% of revenue. So despite increasing our marketing investments by about 0.8 percentage of revenue, we were able to expand EBITDA margin also.

So it's a matter of judiciously taking those calls on what to spend, when to spend, how much to spend. So it's not like going all out and spending without a plan. And which is why we are taking category-by-category. And our expenses in advertising and marketing is also very judiciously done.

For example, in terms of ice creams, large part of the investments that we'll be making will be in innovations and not necessarily in above-the-line advertising, if you get my point, right? So it will be mostly in creating fantastic products, in creating wider placements. That is where probably we'll end up investing our money and not in, let's say, above-the-line advertising.

Ghee could be a different story where we will require some amount of monies in terms of advertising. Again, flavored milk is also. So each one has a different uniqueness, and we'll be making very judicious calls so that we will drive growth not at the expense of

margins.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question -and- answer session. I would now like to hand the conference over to the management for closing comments.

M. Sambasiva Rao: Thank you very much to all the participants for your continued interest and very active participation. We take all the feedback positively and move forward. Thank you very much.

Moderator: Thank you. On behalf of Heritage Foods Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Jul 2025

Ref: SECT: STOC: 89-25
July 21, 2025

To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Scrip Code: 519552 To
The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra -Kurla
Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call held on July 18 , 2025 - reg.

Dear Sir / Madam,

In Continuation of our letter dated July 7 , 2025 the Company had organized a conference call with the Investors/Analysts on Friday , July 18 , 2025 at 11.00 AM (IST) . A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards

For HERITAGE FOODS LIMITED

UMAKANTA BARIK
Company Secretary & Compliance Officer
M. No: FCS -6317

Encl: a/a

HERITAGE FOODS LIMITED

Q1 FY'26 Earnings Conference Call
July 18, 2025

MANAGEMENT :
Mrs. N Brahmani – Executive Director
Dr. M Sambasiva Rao – Whole Time Director
Mr. Srideep Kesavan – Chief Executive Officer
Mr. A Prabhakar a Naidu – Chief Financial Officer
Mr. J Samba Murthy – Chief Operating Officer
Mr. Umakanta Barik – Company Secretary & Compliance Officer
Mr. Upendra Pandey – Chief Executive Officer, Heritage Nutrivet Limited

INVESTOR RELATIONS REPRESENTATIVE :

Ms. Garima Singla – GO India Advisors

Heritage Foods Limited

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Page 1 of 17 Moderator: Ladies and gentlemen, good day, and welcome to Heritage Foods Q1 FY '26 Earnings Conference Call. As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Garima Singla. Thank you, and over to you, Ms. Singla.

Garima Singla: Thank you. Good morning, everyone. I am Garima Singla, and it's my pleasure to welcome you on behalf of Heritage Foods Limited. Thank you for joining us today for Quarter 1 Financial Year '26 Earnings Call. This call is being hosted by Go India Advisors. Please note that today's discussion may include certain forward-looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces.

Today on the call, we are joined by Mrs. Nara Brahmani, Executive Director; Dr. Sambasiva Rao, Whole-Time Director; Mr. Srideep Kesavan, CEO; Mr. A. Prabhakara Naidu, CFO; Mr. J. Samba Murthy, COO; Mr. Upendra Pandey, CEO, Heritage Nutrivet; and Mr. Umakanta Barik, CS and Compliance Officer.

I now invite Dr. Rao to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

Sambasiva Rao : Good morning, everyone. Thank you for joining us today. Heritage Foods steps into financial year '26 with renewed energy entering its 34th year. At Heritage, this quarter marked the celebration of 33 years of purpose-led growth built on farmer empowerment, strong corporate governance and innovation. While quarter 1 was shaped by weather-related challenges, including an erratic monsoon and an unseasonably cool summer across our core markets, we view these as short-term disruptions within an otherwise resilient growth trajectory. The core of Heritage remains unchanged. That is a robust procurement network, deep consumer trust, strong brand recall and disciplined execution.

Despite a muted seasonal start, I'm pleased to share that company delivered its highest ever quarter

ly revenue of INR11,368 million, our third consecutive quarter of double-digit revenue growth. This performance reflects the strength of the core business and agility of our supply chain networks. Early rains temporarily impacted demand for value-added products such as curd, butter milk, flavored milk and ice cream.

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Page 2 of 17 However, June brought a clear recovery with volumes rebounding across most of the categories. As a result, revenues from value-added products, including ghee and butter consumer packs totalled INR4,540 million, growing at 7.4% year-on-year and contributing over 40% to the top line.

On the profitability front, EBITDA came in at INR739 million with a 6.5% margin and PAT stood at INR405 million with a 3.6% PAT margin. Year-on-year margins were softer due to seasonality, input cost inflation and a temporary product mix shift, but are expected to normalize in the coming quarters as volume-led operating leverage kicks in. On the operational side, milk procurement rose 10% year-on-year to 17.8 lakh liters per day, supported by quality-linked sourcing from over 300,000 farmers across 9,000-plus villages. Milk sales grew at 2.8% year-on-year to 11.6 lakh liters per day with average realizations improving to INR56.4 per liter, reflecting strong pricing power and stable demand. Over the past year, several strategic actions have laid the foundation for the next phase of our growth.

I'll list out a few. An additional 44% stake was acquired in Heritage Novandie Foods Private Limited, increasing the holding of Heritage Foods to 94.4% and ensuring a strategic control of the yogurt supply chain. The upcoming greenfield ice cream facility expected to be operational by end of calendar year '25 is set to unlock new product and market opportunities for us.

360-degree brand campaigns were rolled out across our core states, Andhra Pradesh,

Telangana, Tamil Nadu and Karnataka, enhancing visibility and deepening consumer engagement. The Heritage Livo Healthy Living platform was introduced with a fortified flavored milk range with vitamins A and D and high -protein yogurts targeting the growing healthy conscious consumer segment -- health -conscious consumer segment. Heritage Nutrivet Limited, the Animal Nutrition subsidiary continued its stellar performance. Revenue during quarter 1 grew at 26% year -on-year to INR533 million. Profit before tax surged to 130% year -on-year to INR67 million. This vertical is quickly becoming a strategic differentiator driving farm -side innovation and deepening supplier loyalty. Further, Heritage was recognized among India's Best Workplaces in FMCG 2025 by Great Place to Work Institute, a reflection of our inclusive culture and high -trust workplace environment.

Meaningful progress continues on our Vision 2030 road map anchored on four strategic pillars: premiumization, digitalization, sustainability and people -first governance. Digital -first delivery systems are being deployed. Last mile logistics are being strengthened and farmer engagement is deepening, all contributing to a traceable farmer - first supply chain and long -term sustainability. FY '26 is not just a continuation, but a

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Page 3 of 17 consolidation phase, aligning strong operating momentum with strategic depth and focused execution.

With an expanded portfolio, a strong consumer patronage and an unwavering commitment to innovation and farmer empowerment, Heritage is well positioned to deliver positive momentum and strengthen its growth trajectory through the rest of the financial year '26 and beyond.

A heartfelt thank you to our farmers, consumers, customers, team members, partners and shareholders for your continued trust and support.

Now I open the floor for question and answers. Thank you.

Moderator: The first question comes from the line of S

ameer Gupta with India Infoline.

Sameer Gupta: Sir, firstly, on milk procurement prices, now the feedback in early May was that these milk procurement prices are kind of moderating. But in your case, you're not seeing any such moderation. And in fact, they are up sequentially. So has anything changed versus in the middle of the quarter? Or is it specific to your geographies of procurement and outlook going forward?

Srideep Kesavan: Yes. Thank you, Sameer, for this question. Nothing has changed actually. The raw milk prices had -- I should say that if you look at a year -on-year change, it is just 4.74% a tad higher than what we would have liked, but I won't say this is anything extraordinary. And usually in quarter 1, in the months of May and June, it goes up a little bit because that's actually the peak of the lean season.

If you recall, the raw milk prices had started going up from the month of December. December and January, we saw some price increases, then again, a bit of increase in April and May. Nothing extraordinary, except that on a similar proportion, we were not able to pass on to the consumer because of multiple reasons, which in our opening statement, we called out. Number one, due to the mix change, primarily because value - added products came down -- significantly from what we would have expected. Second is in certain cases, certain deliberate decisions made to hold prices to drive sales volume growth happened and the mix change. Apart from that, nothing extraordinary happened as far as the farm level prices are concerned. It was as expected.

Sameer Gupta: Okay. And just a clarification, the pricing changes are primarily in value -added products or liquid milk or both?

Srideep Kesavan: In both, but primarily more in value -added products. We did not change any prices. I was just saying that certain deliberate choices to hold price increases to ensure volumes

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Page 4 of 17 stay strong during the April, May month. This is only the initial period of the quarter 1 that I'm talking about. By the month of June, all numbers had normalized actually. In fact, they were looking pretty strong.

Sameer Gupta: Got it, sir. Second question is on fat sales. Now these are up 73% on a Y -o-Y basis. Typically, this is a quarter where consumption of branded fat is lower -- ghee and butter. So -- and just a quantification of the bulk fat sales this quarter. Also, if you can quantify the fat losses at a gross margin level?

J Samba Murthy : Bulk fat sale -- So it's about 620 tons we have sold during Q1.

Sameer Gupta: Sorry, come again. I didn't get that number?

J Samba Murthy : 620 tons of bulk fat -- bulk butter has been sold.

Sameer Gupta: And any value here?

Srideep Kesavan: yes, while we come back on the value, actually, in terms of margins, we actually improved. The losses declined by about 6 percentage on a year-on-year basis

J Samba Murthy : Yes. Bulk fat, so the revenue is about INR36 crores.

Sameer Gupta: Okay. Got it. And just if you can also quantify the loss amount. I understand it has declined by 6%, but what is it?

Srideep Kesavan: The total loss in fat is about INR8.5 crores.

Sameer Gupta: And this is at a gross margin level, you're saying?

Srideep Kesavan: No, these are all PBT level numbers we are talking about.

Moderator: Next question comes from the line of Aniruddha Joshi with ICICI Securities.

Aniruddha Joshi: Just taking the question from earlier participant forward. So how do we think about the milk procurement prices over the next 12 months? Do you see inflationary pressure and hence, there will be impact on the margins on a year -on-year basis? Or do you see that there is a possibility to maintain the margins?

Secondly, the company has taken a small price hike. But as I understand, cooperatives have taken price hikes higher than the private sector companies. So is there a po

tential to

raise the prices further to maintain the margins or reduce the impact of inflation in milk procurement prices? That is question number one.

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Page 5 of 17 And then secondly, what is the outlook on this Novandie -- Heritage Novandie business now. Now it is almost as good as Heritage Food Company . So what happens to the brands like Mamie Yova or Yo Pop? And I guess now we have introduced new brand like a Livo kind of a brand. So whether the earlier brands are discontinued and now a new brand has started or what will be, in a way, future of this joint venture now?

Srideep Kesavan: Thank you. I'll answer the first part of the question, and I'll hand over to our Executive Director to address the last question. On milk procurement, we are seeing stable milk availability across the regions where we are present, right? See, this is the first thing that you should note. That said, as we speak now, we are going through a lean period in certain parts of the country, right?

As you know, that usually August and September are lean months. And usually flush availability starts to appear from September, October onwards, all indications because the monsoon actually has been a little too good for our liking. Actually, on the sales side, we would have wished it was a little less. But on the farm side, this is actually going to be impacting very positively in terms of supply of milk is concerned.

As far as prices are concerned, there might be some short -term increases. We are expecting at this point in time, a little bit of increases, but nothing extraordinary. See, we should understand that 4 percentage or 5 percentage year -on-year increase in milk prices is normal and it is actually healthy as well, right? So -- and if you go back about 18 months, the prices had not increased from June of 2023 till about December of '24.

So it was natural that post December, there were some price hikes and this 4.74% that we have seen in quarter 1 is a result of that. So nothing extraordinary. We don't expect anything extraordinary in the months to come. Predicting up to 12 months is difficult, but I can say from here till December, we expect milk availability to be decent, right?

The second part of the question was about market prices.

As far as we are concerned, our brands are priced at a premium compared to all cooperatives. I don't think there is any cooperative who is selling at the same prices as we do. And in many cases, the cooperative pricing is a catch -up on the pricing that we have done. The price increases made by many of the cooperatives in the month of March and April was a catch -up to the price increases that we had done -- already done in the month of December and January.

Yes, you're right. In the normal course of business, we may have done one more price increase, let's say, towards the middle or end of quarter 1, which we did not do this time because of the sales side pressure because of very, very inclement weather. And if I can just call out some numbers, if that gives you a sense of the kind of inclement weather

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Page 6 of 17 that we faced on a weighted average basis, in the month of May, the temperatures that we faced in our markets were about 3.5 degrees lower than previous May.

And even if I take a 10-year average, it was 2.6 degrees temperature lower. In terms of rainfall, we had 152 millimeters of rain. Cumulatively, if I talk about April and May period, we almost saw about 180 millimeters of rain against the 65 millimeters of rain in the previous year same period. So this kind of unprecedented weather event, we haven't had in any time in the past. There is no other reason.

And the business had bounced back in the month of June. For example, our overall business growth -- revenue growth had bounced back to 15.1% in terms of revenue in the month of June. And value-added products also, which had the average number that

you are seeing in quarter 1 is only 6.6% -- 6% whereas in the month of June, the value-added products had grown at 11%. All our products had bounced back by the month of June.

Nara Brahmani: Going back to HNFPL, yes, you're right, Heritage Foods now holds 94.4% shareholding in HNFPL. And we've been -- I'm happy to say that we've been successfully able to repurpose the business. And HNFPL has already started co-packing yogurts for Heritage Foods under the brand name now of Livo, which is our new sub-brand for high-energy nutritious products.

In fact, I'm quite happy to also share that our R&D team and marketing team very efficiently quickly turned around the project. And the initial launch of our yogurts in MRF channels as well as e-commerce channels is quite encouraging in terms of offtake.

And it's a very attractive proposition.

It's a high-protein portfolio of yogurts with different flavors, currently available in snackable packs of 90 grams and in the future also available in 400 grams and other SKU sizes. So yes, the company has been repurposed and yogurts continue in the form -- in the brand of Livo under Heritage Foods driving sales.

Aniruddha Joshi: Okay. No, this is very, very helpful. Just one last question. Is the entire inventory of, let's say, SMP plus butter accumulated during the melt -- deflation period is largely over now? Or is there anything still excess inventory with the company at, let's say, June end?

Srideep Kesavan: Thank you. I'll hand over the question to CFO. But before I hand over, I'll just indicate one point, correction. The SMP did not accumulate. We always -- during flush season, we build up inventory stock. And during summertime, which is usually the lean period, we consume it. This time, because of the value-added product sales not happening to our expectation, that consumption of SMP did not happen. So we did not accumulate. That's just a correction and maybe CFO can elaborate

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Page 7 of 17 A. Prabhakara Naidu: As on 30th June, we have actually 6,197 metric tons of SMP. Corresponding year, actually, it was actually 4,586 tons. So as Srideep said, actually, then the consumption slightly, it has come down because of that, this much of stock we are keeping it. Going forward, actually, it is going to be consumed in the next Q2 and middle of Q3 also.

Moderator: Next question comes from the line of Pratik Kothari with Unique PMS.

Pratik Kothari: Sir, recently at our Foundation Day, I mean, first of all, congratulations to the team for completing 33 years. So in a press release, we had this statement during a Foundation Day about Vision 2030 and being the most admired dairy company backed by clear metrics and milestones. I mean this was what was mentioned in the press release. If you can just highlight more qualitatively, quantitatively, what is it that we intend to do or what's the plan that we have until, say, 2030?

Srideep Kesavan: Thank you, Pratik, for that question. As you rightly said, the Vision 2030 is to be the most admired dairy nutrition company in the country. There are certain parameters that we have. Number one parameter is to do with the revenue growth. So that's mostly to do with the size and salience of the business as far as the country dynamic is concerned. It's our intention and continuing with our past communication.

It's our intention to keep our growth in the double-digit space continuously over the next many years to come, not just next 5 years. And in the near to short term, we are looking at keeping it in the mid-teens. That's our ambition. We also have clearly laid out ambitions in terms of how we want to improve the farmer income in this period. There are certain metrics that we have drawn out as far as that is concerned internally. We are in the process of finalizing those numbers.

There are certain metrics that we have drawn out in terms of consumer metrics. We are already number one in all our markets as far as consumer loyalty is concerned. In fact, we enjoy 19% consumer loyalty in our markets, and this is done through an independent market research agency as part of our routine quarterly brand health track, which is the

highest among all South Indian brands in our markets.

So we plan to enhance it further. We also have metrics which is related to our customers and partners in terms of the ratings that we have from them in terms of our Net Promoter Score. These are all parameters that we have for measuring our progress against this.

And we also have ambitious targets as far as environment and sustainability is concerned. There are several things that we are working on at this point in time.

Pratik Kothari: Anything on the margins?

Srideep Kesavan: See, as far as the margins and shareholder wealth is concerned, that's primary focus of the company at any cost, and that goes without saying. We are in the process of scaling

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Page 8 of 17 value -added products and it is just the beginning. The idea of the business is to constantly shift the narrative towards branded business, branded consumer business, which becomes resembles more and more like FMCG. So it's our intention to transition our margin potential also towards that -- in that direction, but it is a journey. And as far as milestones of 2030 are concerned, it's a little too early for us to communicate any number.

Pratik Kothari: Fair enough. Sure. Sir, coming to this quarter, again, anything to call out on the other expense? I mean it seems higher than our past.

Srideep Kesavan: That is right. 2 numbers are higher as far as that is concerned. One, as far as our marketing expenses are concerned, it's about INR7 crores higher than last quarter 1. A bit of it is intentional as well and a bit of it is because of the sales volumes not happening as we expected. We -- in the beginning of the quarter, rather actually end of quarter 4, we had already gone on air on television and all for our curd -- with our curd campaign. This is season three of that.

And in the middle of quarter 1, we started our first -ever milk brand campaign. I'm sure that you must have seen it, which was focused on driving purity. These campaigns are very essential for us as far our business is concerned because it is essential that we establish our superiority over other brands, including many of the start -up brands, which have started gaining momentum in some of the organized trade.

So the campaigns -- and we also ran certain consumer promotions in -- for curd, etcetera , during the summertime to sustain the volume. So all of this additional cost is about INR7 crores. If I remove that, actually, on a percentage basis, it will be very similar to 9.1% of revenue as similar to last year. So -- and this is one. And number two is freight. We had about INR4 crore s in absolute terms increase over last year on freight.

But there is nothing much to read in that. It is only because the number of kilometers traveled were more and fuel rate changes and all that. So the big story is marketing expenses increased over last year Q1, which may look in the short term like a hit, but I can tell you that this is what is going to help us build the business over the long term.

Pratik Kothari: Correct. Fair enough. And sir, last on gross margin, right? So even if we compare Q -on-Q, I mean, our VAP share is higher than what it was in Q4. Year -on-year, I mean, it's down, but I mean it's gone from only 37% to 35%, right? So it's not that material that our gross margin knocks off by 160, 180 basis points.

So anything to call out here? I mean, is it this bulk because last year, I think we didn't have this much bulk fat loss. Is it bulk fat loss, which is kind of driving this? Or is this

something more? Because I mean it's not that material that VAP has changed quarter -on-quarter or even year -on-year.

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Page 9 of 17 Srideep Kesavan: Okay, Pratik, no. Let me assure you, no, it is not the bulk fat loss, which -- that is not the -- if I compare on a quarter -on-quarter basis, yes, on absolute number, the total fat losses. Now here, I'm adding both bulk as well as, let's say, consumer fat losses, it's about INR8.5 crores compared to INR7.7 crores. But then the volumes, revenues have also grown at about 20% plus range. So on a per unit basis or a percentage basis, the profitability in -- or the losses in fats have reduced by 6%.

So no, there's nothing to read into this. The only difference is the value -added products decline compared to numbers. And here, I'm talking stand -alone numbers because the numbers you called out at 35% is on the consolidated number. But if I call out the value -added products, excluding fats to our stand - alone number, it stands at about 36.1% compared to 37.5% in same quarter last year.

And imagine that we are taking up our value -added product contribution 2% or 3% year -on-year. So ideally, we should have been at 39% or something. So that 3% swing is a

big one, if I can tell. And so it's not just the direct -- the contributions that are driven by value -added products. That kind of absolute loss of volumes also impact our, let's say, cost absorption of our plant and operating expenses and all of that.

So it is the only element. There is no other element at all. And we have done all sorts of analysis. So if I could just break up for your information, we can break it down into 2 parts. One is we had -- if suppose value -added products revenue had happened as we expected, let's say, or the mix of value -added products continued at 15%, 16% growth as we were having in the last several quarters, then our overall net revenue would have been better by about 0.8%.

Similarly, if we had gained the volumes, which is a mix change, that itself would have been about 1.3%. The total impact is about 2.1% on a revenue basis itself. So nothing more than that. I think that we have already recovered half of that in the month of June. These are quarterly averages I'm talking about. And July onwards, we should be getting normalized on this.

Pratik Kothari: Sir, point completely taken on the cost and at the EBITDA level. And hence, my question was at the gross margin level, right? Because this swing, I understand we were to have 2% higher, we came in 2% lower and hence, the swing at EBITDA level. But this kind of doesn't explain the 160, 180 basis point knock that we took on the gross margin level. That was the only question which I had.

Srideep Kesavan: Everything is -- even gross margin, please understand is a function of volumes. So among all of this, we actually have a very good news to share. Despite such inclement weather, for the very first time in quarter 1, we crossed on a quarterly basis 510 tons per

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Page 10 of 17 day on curd. This is the first time we crossed 500 tons. Last year, same time, we were knocking on the doors of 500 tons with 494 tons per day sale .

This year, we crossed 510 tons. So I'm saying that even in the face of all of this, we were able to grow volumes and do this. But imagine if we had done 550 tons or 560 tons or something, which is what is intended. The cost absorptions would be so much more better, right? That is what will deliver the gross margins as well.

Moderator: Next question comes from the line of Shirish Pardeshi with Motilal Oswal Financial Services Limited.

Shirish Pardeshi: Just one quick question on the Novandie business. Now obviously, we have consolidated. So in the INR1,137 crores revenue what we have reported, what is the contribution? And I have a little more understanding how we want to scale up

this

business over the next 2 to 3 years in terms of distribution, product and reach. So maybe you can give the current status?

Sambasiva Rao : The contribution will not be visible because this changeover happened in the last part of the quarter. A week before the end of the quarter only, the business started in Heritage Foods. So it's virtually nil contribution in quarter 1. The changeover happened towards the last week of June month. So therefore, there won't be anything visible to you in this. Coming to the future, yes, this new brand, Heritage Livo, the sub -brand Livo, high -protein yogurt, we just started placing in the market. So we want to build at least 2 tons kind of volume per day in the next 1 year and then build up to 10 tons in the next 3 years. The volume is the most important thing. And the logistics placement management, etcetera , will be done by Heritage Foods sales team.

All the logistics advantages we see because they move along with the Heritage products.

There's no independent sub -cold chain or independent delivery mechanisms required unlike when we were doing Mamie Yova that was done as an independent business.

Now it is getting integrated into Heritage value -added products basket.

So it would give us additional item in our VAP portfolio, and it will help us to reach more and more consumers who need it. The placements will be along with Heritage other value -added products in all the stores, in all the channels, etcetera . But actual numbers, projection, etcetera , maybe in course of time, we'll be able to articulate better, maybe 2, 3 quarters down the line.

Shirish Pardeshi: That's really helpful, Mr. Rao. What I was just wanted to say that Novandie part of the business now getting merged. So obviously, there is a distribution scale up. So

specifically, what is the heritage part of the business distribution can catch up? Will we reach a 50% level for the Novandie business in next 6 months, 1 year? Or it is still -- the

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Page 11 of 17 merger will happen and then we will merge the front end and then we will start distribution?

Nara Brahmani: No, no. Distribution is already going on through Heritage sales team. So that synergy is already realized with Heritage sales team. And even operations, while the existing team runs operations, it's overseen by the Heritage operations team. So for all practical purposes, all logistics, sales as well as operational synergies have been realized.

Moderator: Next question comes from the line of Resha Mehta with GreenEdge Wealth.

Resha Mehta: So while you have spoken about the milk procurement price and the fact that they are still elevated. If you could just give some quantitative or qualitative flavor in terms of the milk prices currently in July, the trend basically versus, let's say, the weighted average price that we saw as INR43.3 in Q1. And the reason I'm asking this is because -- see, while in South, which is our major procurement hub, there is a flush that we would have seen an early flush because of the unseasonal rain?

And the part where you're hinting at that in July, August, the prices would be elevated where there's still lean season, that would largely be the north where our procurement is relatively lower. So just wanted to understand the milk price procurement trend as we are seeing it now and whether it's lower versus the Q1. And if any quantification is possible, that would be great.

Srideep Kesavan: Yes. So Resha, I don't want to quantify the elevation of cost. See, we should understand that, yes, technically, you're right that if you take Tamil Nadu as South of India, then Tamil Nadu flush season starts from the month of May, and it usually continues till about November, yes. But we are quite diversified in our footprint of procurement, as you know.

We have procurement coming from Maharashtra. We have procurement coming from Andhr

a, where we have certain areas in Andhra and Telangana have got buffalo contribution. We still procure about 20% buffalo milk. And we also procure from North India, about 4% to 5% of our milk for our North Indian operations.

Now these regions, whether it is Maharashtra or buffalo milk regions or North India have got a different dynamic s as far as the lean and flush is concerned. And in fact, August, September is the time when if you look at as in for us, the cumulative supply scenario actually shrinks to the leanest most. That's the reason why I said that.

But of course, there are lots of compensating factors as well. It will all be a function. The eventual arithmetic will be a function of the weighted averages that we derive. But at this point in time, in general, if I can advise, milk supply looks good. There might be a temporary small inflation of INR0.50 or INR1 or something. Nothing much to read and Heritage Foods Limited

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Page 12 of 17 which should ideally get normalized once, let's say, October or November happens. That's all I meant. I do not want you to put any arithmetic to that.

Resha Mehta: Fair. And on the pricing front, so specifically for liquid milk because in VAP, I think since the last 18 to 24 months, we've had this strategy where we are okay with relatively lower margins in VAP, but the idea is to grow the market -- grow our market share. And that's why the pricing is relatively on the lower side, though we are s erious versus the cooperatives.

But on the liquid milk side, can you just call out that what would be the gap basically the pricing gap, which is there? And what is the pricing that we can still there is room to take so that we reach our kind of old gross margin level?

Srideep Kesavan: Yes. On liquid milk on a on a year -on-year basis, we are higher by about 2.9% and on a quarter -on-quarter basis, sequentially, we are up by about 1.4%. That said, you're right, there is still opportunity for pricing, and we will be looking at some of those opportunities in the remaining part of the year, for sure.

Like someone called out earlier that cooperatives increased their prices in the month of March and April, and we have not reacted with the corresponding increase at our end. That price increase is possible. But at this point in time, we believe that the margin is similar to see, if you look at the EBITDA numbers also compared to Q4, I'm only calling out sequentially. It is lower by about 1.1% in quarter 1, and they're primarily driven by the value -added product shrinkage as far as the contribution is concerned.

So we are focused on getting that back. And we have some pricing opportunities in value -added products, which we are realizing. We have already realized part of it in Q1 June itself. And like if I can just call out certain numbers if it interests you, for example, curd, on a sequential basis, quarter -on-quarter basis, quarter 1 revenue realization from curd was 0.7% lower than in quarter 4.

And -- but it is 0.3% higher than quarter 1 same period last year. So my first priority

would be to get curd back, which is already doing very well to get the revenue back up 3%, 3.5% over last year on a year -on-year basis. So the opportunities are still there in value -added products. And after that, we can look at milk revenue realization.

Moderator: Next question comes from the line of Kiran Kumar with Green Investors.

Kiran Kumar: Firstly congratulations on good set of numbers. My question is more into numbers. So can I know the breakup of the fat products revenue, which you quoted INR81 crores. Out of this from the last conversation we put that around INR36 crores is from butter. And the remaining, can we assume it is SMP or?

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Page 13 of 17 Srideep Kesavan: Can you repeat? We couldn't hear you properly. Can you repeat?

Kiran Kumar: Yes, yes. As it is evident fr

om the investor presentation, the fat products revenue is around INR81 crores, right? So what is the breakup of that? What amount is for butter and what is for SMP?

Srideep Kesavan: Okay, this is not SMP.

Sambasiva Rao : Not SMP, consumer pack.

Srideep Kesavan: You can expand.

Sambasiva Rao : Yes.

Srideep Kesavan: Breakup of INR91 crores. It doesn't include SMP. Fat products are basically butter, ghee and cream and you can explain.

Sambasiva Rao : Yes. In that bulk fat sale is INR36 crores around and consumer pack fat is about INR50 crores.

Srideep Kesavan: Ghee and butter.

Sambasiva Rao : Ghee and butter together.

Kiran Kumar: What is the revenue of curd in VAP or to what extent curd is there in '26 and '25?

Srideep Kesavan: Request you to repeat your question because your voice is not very clear.

Kiran Kumar: Yes. So what is the revenue of curd in '26 of Q1?

Srideep Kesavan: Sorry, come again?

Kiran Kumar: Curd's revenue in '26 Q1?

Srideep Kesavan: Yes, 2025 sales, it's about INR265 crores.

Kiran Kumar: INR265 crores.

Moderator: Next question comes from the line of Harsh Shah with Merisis Advisors.

Harsh Shah: My question is related to more of a strategy thing because more and more population in India has started becoming lactose intolerant. So any plan or any future strategy of coming up with lactose because other competitors are also coming up with lactose -free kind of milk. So do we have that in cards or how is it going to be?

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Page 14 of 17 Srideep Kesavan: Yes. Thank you for that question. See, one of the reasons why we see -- see, the question was on lactose intolerance. See, first of all, that's a largely debatable point about lactose tolerance or intolerance. But let's assume that there is a certain amount of people, certain number of people who are lactose intolerant, which is primarily -- which is the primary reason why we are seeing great interest and significant consumer traction for our value -added products.

Most of our value -add products, if you see, are reduced lactose products, whether it is curd, butter milk, anything, any of those products, you take paneer, etcetera, are all lower in terms of lactose and most of the lactose intolerant people take these fermented products because the lactose presence is negligible. Secondly, in terms of milk itself, we are working on several innovations at this point in time, some of which will address the lactose -- reduced lactose or zero lactose propositions as well.

Moderator: Next question comes from the line of Param Vora with Trinetra Asset Managers.

Param Vora: So what I want to ask is regarding value -added product. So beyond curd and paneer, what specific investment or market penetration strategies are planned for new VAP categories like Livo drinkables and upcoming ice cream products to drive their growth and ensure that they significantly contribute to the value -added product targets?

Srideep Kesavan: Thank you for asking that question. In fact, actually, we are one of the most diversified companies as far as value -added products are concerned. I'm not aware of any other company in the private space, which is as diversified as we are. We have quite a wide portfolio apart from, let's say, we call it foods, which is curd and paneer.

. We have quite a wide range of drinkables, starting from our biggest being butter milk, then flavored milk, lassi, milk shakes, cold coffee.

Recently, we launched a whey -based drink called GlucoShakti, which is doing exceedingly well for us, etcetera . We are also reasonably well invested in ice creams. Recently, we announced a capex of INR220 crores on expanding our ice cream facility. which is supposed to come up towards the end of this calendar year. The reason why we are making that investment is we are almost utilized -- fully utilized our existing capacity. So that capacity coming

in and our ability to bring out new to the market products is what is going to drive a significant growth in the coming quarters. We also have a small but growing presence in the sweet space. Our Doodhpeda is something that is pretty famous in our parts. But we -- last year, if you remember, we launched Ladoos. These are Millet Ladoos. We call it under the brand Truly Good. We also have a growing portfolio of Gulab Jamun, Rasgulla, etcetera. So we are pretty diversified. We are investing proportionate to the size of the business in each of these

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Page 15 of 17 categories to build traction in each of them. And that's primarily one of the things that we are doing to deseasonalize the business as well.

Moderator: Next question comes from the line of Gopinadha with PNR Investments.

Gopinadha : First question is, when it comes to vitamin D fortification, are we doing D2 or D3, sir?

Nara Brahmani: Actually, we first fortify all of our milk variants with vitamin both A and D, both absorbable and very good for bone health and calcium absorption, etcetera, and for eye health. Aside from that, we've also fortified our flavored milk with vitamin A and D and our yogurts also very healthy, not just fortified, but also high -end protein. So I think fortification is something that is going across the board for us, not just in milk, while we were the first in milk across other value -added products as well.

Gopinadha: Yes. The second one is when it comes to working capital cycle, working capital days from the last 3 years, it is coming down. Before that, it was going up. What are the factors that are affecting so much? And how will it going to be?

A. Prabhakara Naidu: As on 30th June, actually for the first quarter ending, the working capital cycle days are 19 days, inventory 35 days, trade receivable 3 days and trade payable 17 days .

Corresponding year, it was 20 days. One day it has come down. We will be maintaining around less than 20 days on the working capital cycle.

Nara Brahmani: I mean most of our products are fresh in nature. Most of our value -added products are also very fresh in nature. And we do B2C business. We are focused on that. So inventory holding is very efficient for us in general. And we are not into any kind of speculative business . So we intend to maintain our working capital days under 20 days.

Moderator: Next question comes from the line of Rahil with Crown Capital.

Rahil: So just one question, if you could give us an outlook for FY '26. When it comes to your revenue growth and EBITDA margins. What are your expectations in near term?

Srideep Kesavan: We usually don't give out guidance or outlook. But as I mentioned, we were on a journey to grow in strong double digits. So we were expecting a growth in terms of mid -teens. I think we have lost at least 5 percentage or 6 percentage points, thanks to the weather that we saw in quarter 1. So I hope that everything is normalized.

It's already normalized, but I hope that it holds good in Q2, Q3 and all of that, and we are able to be back at about 15%, 16% kind of revenue growth and value -added product growing close to about 20%. That's what we are -- we have been doing, and we hope to continue to do that. And the margins and all, at least a percentage correction is expected, assuming all goes well.

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Page 16 of 17 Rahil: Okay. And what is your value -added products contribution as of now overall to the revenue?

Srideep Kesavan: In the first quarter, on a stand -alone basis, it was 36.1%.

Moderator: Next question comes from the line of Pavan Kaware from Nayan M Vala Securities Private Limited.

Pavan Kaware : So firstly, congratulations on continued double -digit growth. And my question was also on a growth number. So if you can quantify our regional growth on West, North and South, like in home

market on quarter -- year-on-year basis for this quarter and the last quarter also.

Srideep Kesavan: Yes. So we won't have those numbers ready, but I can tell you that actually South has

actually been very under a lot of stress. The rains that -- or rather actually the whole dip in temperature and everything has been most in the South. Our West and North have performed relatively much better. Yes. So you could say about like West and North continue to perform.

Except in the month of June, there were lots of rains in the West and North. But nothing much in terms of like if I look at the delta between last year quarter 1 and this year quarter 1, West and North had more comparable weather and their performance was very good. In South is where we got really severely affected as far as the growth is concerned.

Moderator: Next question comes from the line of Lakshminarayanan from Tunga Investments .

Lakshminarayanan : I have two broad questions. One is I want to understand what is the loss of Novandie in Q1? And the second question is related to procurement. So procurement, I'd like to understand what is your procurement mix across the states you gave that North India is around 4%, 5% of the procurement. I just want to understand other state mix across. And within procurement, I also want to understand, I mean, how -- with respect to cooperatives, what is your pricing?

Do you price how many rupees ahead of cooperatives? And within procurement, again, where do you procure directly from the farmers that you pay the farmers immediately the same day? And how much you actually indirectly procure by way of some middlemen. So these are the questions related to procurement and the loss in Novandie.

Sambasiva Rao : Thank you. The loss from Novandie Foods for the Q1 was INR1.31 crores, which is booked in that company consolidated in Heritage Foods.

Lakshminarayanan: But last year, full year, I saw the loss of almost INR24 crores or something, if I'm not wrong as per the annual report. So I just wanted to understand whether that is one -off?

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Page 17 of 17 Sambasiva Rao : No, no. That was including some impairment value, onetime inclusion in the last year. This year, Q1 is INR1.31 crores operational losses.

Srideep Kesavan: Okay. There was a question on the procurement. We'll just quickly address. We procure across many states. We procure in Tamil Nadu, Andhra, Telangana, Karnataka, Orissa, Maharashtra and again, in the North in Rajasthan and Punjab. So we are pretty widespread as far as our procurement is concerned. There's no one significant domination we procure.

North is about 4% of our total milk. Rest of the areas, it's all pretty widespread. You can say it's almost equal everywhere. And as far as your question on pricing is concerned, we price the farmer on a very fair basis, which means that we price -- our pricing to farmer is on par with what is best in that particular region or a village. We don't pay anything excessive compared to any of our competition. We pay on par.

Sambasiva Rao : I'm sure this answers the question.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question -and- answer session. I would now like to hand the conference over to Dr. Rao for closing comments.

Sambasiva Rao: Thank you, all the participants very much for your active engagement and very insightful questions and the interaction. I'm looking forward to catch up with you next quarter. All the very best. Thank you.

Moderator: Thank you. On behalf of Heritage Foods Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Oct 2025

Ref: SECT: STOC: 12 6-25
October 22, 2025

To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Scrip Code: 519552 To
The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra -Kurla
Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call held on October 16 , 2025 - reg.

Dear Sir / Madam,

In Continuation of our letter dated October 6, 2025 the Company had organized a conference call with the Investors/Analysts on Thursday , October 16 , 2025 at 1 0.30 AM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards

For HERITAGE FOODS LIMITED

UMAKANTA BARIK
Company Secretary & Compliance Officer
M. No: FCS -6317

Encl: a/a

HERITAGE FOODS LIMITED

Q2 FY'26 Earnings Conference Call
October 16, 2025

MANAGEMENT :
Mrs. N Brahmani – Executive Director
Dr. M Sambasiva Rao – Whole Time Director
Mr. Srideep Kesavan – Chief Executive Officer
Mr. A Prabhakar a Naidu – Chief Financial Officer
Mr. J Samba Murthy – Chief Operating Officer
Mr. Umakanta Barik – Company Secretary & Compliance Officer

INVESTOR RELATIONS REPRESENTATIVE :

Ms. Garima Singla – GO India Advisors

Heritage Foods Limited

October 16, 2025

Page 1 of 21 Moderator: Ladies and gentlemen, good day, and welcome to Heritage Foods Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Garima Singla. Thank you, and over to you, Miss Singla.

Garima Singla : Thank you. Good morning, everyone. I'm Garima Singla, and it's my pleasure to welcome you on behalf of Heritage Foods Limited. Thank you for joining us today for Quarter 2 Financial Year '26 Earnings Call. This call is being hosted by Go India Advisors.

Please note that today's discussion may include certain forward-looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces. Today, on the call, we are joined by Mrs. Brahmani Nara, Executive Director; Dr. Sambasiva Rao, Whole-Time Director; Mr. Srideep Kesavan, CEO; Mr. A. Prabhakara Naidu, CFO; Mr. J. Samba Murthy, COO; and Mr. Umakanta Barik, CS and Compliance Officer. I now invite Dr. Rao to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

Sambasiva Rao: Good morning, and a warm welcome to all of you. I would like to begin this call by extending our heartfelt greetings to all of you on the occasion of Diwali, a festival that celebrates light, renewal and hope, may the season bring prosperity and positivity to all our shareholders, our farmer families, employees, partners and all shareholders alike. Quarter 2 of this financial year was among the toughest quarters in the recent times, marked by an extended and intensive monsoon, a lean milk season and an intra-year butter shortage. Yet I am proud to say that Heritage Foods once again demonstrated its ability to navigate multiple headwinds with composure and strategic agility. Despite these challenges, our business model remained resilient and delivered a stable and credible performance. Through agile planning, prudent cost management and a sharp focus

on value creation, we continue to deliver growth. Heritage Foods reported consolidated revenue of INR11,125 million, up 9% year-on-year.

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Page 2 of 21 And this is our second consecutive quarter above INR11 billion revenue. This top line growth was underpinned by strong consumer traction across key categories, an expanding retail footprint and a strategic shift toward higher-value products.

Our value-added products portfolio remained the cornerstone of this growth with revenues at INR4,132 million, up 18% year-on-year, contributing nearly 38% of total sales. Categories such as curd, paneer, drinkables and ice cream registered double-digit growth, supported by improved distribution and new product launches.

Strategic moderation of low-margin B2B fat sales and strong B2C expansion further enhanced the quality of our sales mix. On profitability, EBITDA stood at INR772 million with a 6.9% margin, while PAT was INR510 million, up 5% year-on-year.

We acknowledge that EBITDA margins were lower by 122 basis points year-on-year, primarily due to a 6.3% increase in milk procurement costs versus a 4.5% rise in realizations. Pricing actions helped absorb much of the inflation, but the mismatch was temporary due to delayed pass-through during the lean season. Importantly, margins improved 44 basis points up sequentially, indicating that normalization has already begun.

Excluding the INR93.6 million GST refund, normalized EBITDA margin stood at around 6.1%, which we view as a sustainable base that will strengthen further as milk costs soften and volumes rise in the second half. The structural product mix -- the structural levers are product-mix improvement, procurement optimization and operational efficiencies are already visible.

Operationally, milk procurement averaged 16.1 lakh liters per day, down marginally 2% year-on-year with higher procurement costs. To ensure uninterrupted supply, we continue to support our farmer network through timely payments and feed support. This approach preserves long-term loyalty and strengthens milk security ahead of the flush season.

At the same time, milk sales grew 1.1% year-on-year to 12.1 lakh liters per day and realizations improved to INR57 per liter, reflecting pricing discipline and sustained consumer trust. Our procurement efficiency programs, including crude optimization, chilling infrastructure upgrades and digital tracking are helping contain logistics and handling costs despite volume fluctuations.

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Page 3 of 21 Within the value-added products segment, the margin profile remains healthy. Some new and scaling categories such as yogurt, drinkables, ghee are currently in the investment phase, while mature categories like curd, paneer and ice cream continue to deliver profitability. As emerging segments scale up, blended VAP margins will expand further.

The greenfield ice cream facility, which remains on track for commissioning by end of this financial year will materially enhance manufacturing efficiency, logistics cost per liter and our play in high-growth, high-margin frozen desserts.

Simultaneously, the Heritage Novandia Foods operational level integration continues to gain traction with yogurt now reaching Tier 2 cities and new SKUs expanding our health-oriented range. Our wholly owned subsidiary, Heritage Nutrivet Limited, delivered another strong quarter with revenue of INR581 million, a 34% increase year-on-year and PBT of INR54 million, an 80% increase year-on-year. This growth is sustainable backed by higher feed adoption and efficiency improvements.

Nutrivet's performance not only strengthens stand-alone profitability, but also enhances cost efficiency at the dairy level through improved yields and milk quality. The recent GST rate rationalization created an opportunity to sharpen competitiveness

and helps

conversion from unorganized sector faster.

While it led to temporary pricing adjustments, we expect stronger volumes and market share gains to more than offset the short-term impact. Encouraging traction from retail and digital channels supports our confidence in the growth trajectory for the coming quarters.

Looking ahead, we expect margins to normalize as milk costs ease, supply stabilizes and premium categories gain traction. Our focus remains on balanced margin management through calibrated pricing, mix optimization and tight cost discipline. As we enter the festive and flush season, the environment is improving, milk availability is easing, consumer sentiment is positive and GST-led competitiveness will drive broader market expansion.

The first half of FY '26 will be remembered as a period of resilience, recovery and renewal, one where we faced inflation and weather disruptions head on, yet remain firmly anchored to our purpose of building a sustainable value-driven enterprise. Our

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Page 4 of 21 focus continues to be guided by our Vision 2030 pillars, premiumization, digitalization, sustainability and farmer-first governance.

I'm happy to share Heritage has been recognized as the Best Workplace in FMCG 2025 by the Great Place to Work Institute. A heartfelt thanks to you, to our farmers, employees, partners for your continued trust and confidence. Every challenging year makes Heritage stronger, more agile and better positioned to capture emerging opportunities. With this, I now open the floor for interaction. Thank you.

Moderator: Thank you. The first question comes from the line of Sameer Gupta with India Infoline. Please go ahead.

Sameer Gupta: Firstly, on value-added dairy, I understand that there were weather vagaries this quarter. But even if I look at a few more quarter history, value-added dairy as a segment, excluding fat, is averaging around 16%, 17% kind of a growth. And our expectations generally from this segment is that given the opportunity and given its size today, 20% plus kind of a growth is something that we all expect. So in your assessment, is this largely a weather-related issue?

Or do you feel that now the base has caught up and growing at 20% plus on that kind of

a base has its own challenges, but still the effort will be towards that side, but it's still a challenging proposition. Your thoughts, sir.

Srideep Kesavan: Thank you, Sameer. This quarter, our performance was about 15% and this performance is at least 5 percentage below our own internal expectation. That's all I can say. So our internal expectation and our internal targets are at least 5 or 6 percentage higher than what we are delivering now.

And the prime reason, there is only one reason that I can attribute this to, which is the weather because we look at the numbers on an everyday basis. And during these 92 days of quarter 2, there were days when the weather was good, and we would see significant uptick in volumes.

Please understand in value-added products, apart from paneer, all the other products have some dependence on weather, whether it is curd, our entire range of drinkables, which is butter milk and milk shakes and flavored milk, etcetera, ice creams. These all have dependency on weather. Except for sweets and paneer, every other category in Heritage Foods Limited

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Page 5 of 21 value-added has some dependency. So at this point in time, we cannot attribute this gap versus expectation to delivery to anything else.

Sameer Gupta: Got it, sir. This is very clear. Second question, can you just elaborate the reasons for the exceptionally lean milk season and the entire butter shortage? And following on to that, as we enter the flush season, buffalo flush is about to begin. So I mean, are there indications of a normal flush going as of -- as on the information available today or any

deviations from normalcy that you're observing till now?

Srideep Kesavan: Yes. Sameer, Srideep here again. Yes, at this point in time, Q3 is usually good in terms of milk availability because of with the onset of flush post Diwali, this time around Diwali is earlier. So we expect flush season also to be advanced from that point of view.

We do not see any reason to have any worry at this point in time. We don't see any structural problem. We are hoping that the flush season will be normal as it always is and the prices should ease.

Sameer Gupta: And the reasons for the lean milk season and the intra-year butter shortage?

Srideep Kesavan: See, there are so many factors actually. During quarter 1, the global GDP prices were strong, and we saw a lot of butter exports that happened out of the country. That must be one reason which actually created a little bit of a commodity shortage. So the fat prices across the country had gone up during that quarter.

So that's an indication of that, right? And whenever -- as butter prices actually went up quite significantly in quarter 1. And whenever such a thing happens, usually the demand of free float of milk increases, and it puts stress on prices. So it's -- very simply put, it is more supply-demand -- demand being higher than supply kind of scenario on the commodity side, right?

Secondly, the monsoon was quite erratic this year in the regions where we operate, we saw up to 29 percentage excess rainfall. And too much of rains -- good amount of rain is good because you have excellent water availability and water availability improves and the animal production stays good. But excess rainfall is not good because excess rainfall affects production, excess rainfall affects transport, excess rainfall affects collection of milk as well.

So this was the second factor which impacted the milk situation. So a combination of multiple factors is what resulted in shortage of milk and prices going up. Even then, Heritage Foods Limited

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Page 6 of 21 what you should look at, Sameer, is that if we had not been agile in the way we manage the situation, it would have been even worse.

So I think credit is due to our procurement team, which in a very agile fashion because of the advantage that we have of operating in multiple regions, we were able to balance from multiple regions. We were able to balance -- we were able to grow in regions which had decent availability of milk to manage the pricing, etcetera.

Sameer Gupta: Got it, sir. Just a last question, if I may squeeze in, more of a bookkeeping question. If I can have the bulk fat absolute sales and ice cream sales this quarter.

A. Prabhakara Naidu: Sameer. This is Prabhakar, CFO. Current quarter, bulk fat sale is negligible, INR3.67 crores only. Corresponding quarter, INR26.34 crores, last year.

Sameer Gupta: Got it. And the ice cream sales, sir, this quarter?

Srideep Kesavan: So while we get you the ice cream sale, it's a point to note that if I just look at, let's say,

B2C business, which is excluding bulk fat, the growth is, yes, excluding bulk fat, the turnover growth is actually much better at 10.5%. In fact, actually 11% -- 11% is the growth if I exclude bulk fat.

A. Prabhakara Naidu: So ice cream sale is INR19.46 crores.

Moderator: Next question comes from the line of Abhishek Mathur with Systematix.

Abhishek Mathur: Just wanted to check, I think the mid - to high teens growth in VAP that we have delivered despite adverse seasonality, erratic rains, I think it is quite a commendable performance. The base was also not weak for us. So quite a good performance. The question here is that in your understanding, since you are the first dairy company to report, is this sort of VAP growth the trend that we should expect for the broader industry to deliver as well also? Or are there factors specific to Heritage that are at play

here behind these numbers?

Srideep Kesavan: Yes. Abhishek, this is Srideep here. So let me just take -- first of all, thank you for your wishes. See, we should look at how the performance has been compared to the previous quarter, right? And if you look at the weather, the weather is actually worse in Q2 compared to Q1. In terms of number of days of rain, Q2 had more number of days of excess rainfall compared to Q1. In terms of average temperature drop below last 10 years, Q2 was worse off compared to Q1.

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Page 7 of 21 So in all aspects, actually, the impact of weather vagary and which is why in the opening remarks, our directors said that this probably was the toughest quarter that we had seen in recent times. The point to note actually is that we have been able to pull up our performance despite these things, right?

So, if you compare each and every category that we operate in value -added products, we have improved the growth rate compared to the previous quarter. So for example, while curd, for example, in the first quarter, we grew at 4% in terms of volumes. Here, I'm talking only volumes, right? With the worse weather in Q2, we grew at 10.1%.

Similarly, in the first quarter, I don't know, Abhishek, if you were on the call or not, one of the things that we reported was the drinkables portfolio actually degrew for us in quarter 1. With worse weather in Q2, we actually grew drinkables portfolio at 12%. Ice creams, we grew at about 5% in the first quarter, whereas ice creams with a worse weather grew at 17% in the second quarter.

So, with the worse weather, we were able to perform better. And this is attributable to the inputs and the work that we have done in building consumer traction and customer traction. On the customer traction side, we had expanded 60 odd distribution points in quarter 2 over quarter 1, which gave us roughly, you can say, about 6,000 retail outlets reached in addition over and above what we had in Q1.

So this is just a Q-o-Q comparison, right? Similarly, on the marketing side, I'm sure that you must have seen our investor presentation that we doubled down on marketing and consumer outreach. And we did several interventions. For example, our milk campaign was a very big success story from -- after spending close to about 5,000 GRP on television, we went on digital, which garnered 47 million views. Now these kind of numbers are really incredible.

And if you -- in the investor presentation, we had shared with you that the awareness levels across our markets have gone up tremendously. For example, in Bangalore, our awareness level went up by 12%. Trials went up by 22%. Chennai, 22%, 25 % trial rates improved. Hyderabad, 30 percentage trial rates improved. So, these are all trials that is directly proportionate to consumers buying our product, right?

So significant numbers, we were able to clock across the markets as far as consumer traction is concerned. And in terms of new products, we launched several new products.

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Page 8 of 21 In the milk itself, we launched a successful variant called Sampurna cow milk. And in yogurts, yogurts is something that we launched towards the end of last quarter.

But in this quarter, we were able to successfully scale it up across the country. So now our yogurts, Livo, high -protein yogurt is available across all metro cities in India. And this was achieved in such a short time, right?

So we have done so many things in this quarter to turn around the performance and deliver the results that you're seeing. So I'll not be able to comment about the industry, but we are pretty confident that we are getting more control on internal matters and less

and less dependent on external vagaries.

Abhishek Mathur: Just 2 quick questions, small questions I have. Firstly, fair to assume that our milk procurement, which

is slightly down Y-o-Y, maybe because of the rain season, should again pick up with us approaching the flush season, and we should -- we would again look to build up inventory as we approach this quarter?

And secondly, on the Ice Cream business, do you think, Srideep sir, that the traditional seasonality that we have come to expect from the ice cream segment in terms of the summer, winter, that seasonality is now starting to dilute a little bit and ice cream is becoming more of an all year-round consumption story in your view? That's it for me.

Srideep Kesavan: Yes. Thanks, Abhishek. I'll answer the second question first. So let's hope that -- as we all see ice creams in India has got tremendous headroom, tremendous. I cannot even tell you how much. Like in India, the per capita consumption is 1/10 of what is in the Western world. Even if I compare with China, we'll be at 25% in terms of per capita consumption. And the recent GST relief, which changed the GST rate from 18 percentage to 5%.

That's a 13 percentage drop in GST, right? That's significant for a category like ice cream. So while -- so we are expecting that more and more households will have ice cream in their fridge instead of, let's say, a soft drink, right? So that's the -- if people want to indulge, let them indulge in a healthy product rather than an unhealthy product.

So we are hoping a lot of tailwinds, all these tailwinds will help reduce the seasonality and will make ice creams a winter product. So may your wish come true. Now as far as the milk availability is concerned, Abhishek, we -- I already spoke about that, and I think Director sir read out in his opening remarks that usually quarter 3 is when we see flush.

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Page 9 of 21 Usually, we see milk volumes coming back. So you should expect about at least 1 lakh or 2 lakh liters procurement will increase. And this is also the time when we store up commodities for the next lean season. So everything looks okay at this point in time.

Moderator: Next question comes from the line of Pradyumna Choudhary with JM Financial Family Office.

Pradyumna Choudhary: A couple of questions. One is on the milk volume growth. So that's been 1% Q2. So what's the reason for the same? Why has it reduced slowed down so badly. Last 3 quarters, the volume growth on the milk sales has been 3%, and now it's 1%.

Srideep Kesavan: Yes. This is Srideep here. Yes, milk growth has been a bit subdued for our liking. It's -- usually, we see that whenever we take up prices, we -- it has some impact in terms of volumes, consumption drops a little bit. So it's something that we have seen in the past as well. And in this quarter, we have taken up prices of milk by about 4.5%.

We had no go to do that because the raw milk prices had increased by about 6.3%. And although we were not able to pass on the full cost, 4.5 percentage out of that raw milk price increase was passed on to the consumer, and that impacted the volumes.

Pradyumna Choudhary: Understood. Second, on the procurement side, the procurement actually declined by 2% in this quarter. So what would be the reason for the same? Would it be attributable to the weather-related events itself? Or was there any other reason for the decline in procurement?

Srideep Kesavan: I thought I answered that in great detail. Just to summarize, multiple factors impacted.

One is on the commodity side, across -- we felt a shortage of water, and that put pressure on milk demand. Secondly, the weather, then there was too much of excess rainfall, which affected production and transport of milk. I had addressed this question earlier.

Pradyumna Choudhary: Understood. That's what I just wanted to confirm whether it was weather related or something else as well. Just one more question. On the opex side, if I look at both your employee expense as well as other expenses, that's been growing

really fast, like it's

been growing at mid-teens or even higher levels for the last several quarters. So -- and even if you look at the current quarter numbers, our gross margin actually has been slightly up Y-o-Y.

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Page 10 of 21 The reason for the EBITDA margin decline is due to the growth in opex. So what's really happening here? What are the things due to which the opex is really growing fast? And where do we expect it to stabilize eventually?

And a related question will be on the normalization that you mentioned that we are already seeing signs of normalization. So what really is making us believe like in terms of -- are we seeing the procurement prices already falling? Or is there some other reason for us to believe that normalization is underway?

Srideep Kesavan: Yes. So a few cost lines are higher. Like, for example, you spoke about employee expenses. Employee expenses are higher compared to same period last year by 13.8%. Similarly, like you rightly pointed out, operating costs are also higher compared to last year, which is related to, again, the same thing.

Marketing costs are also higher this year compared to last year because -- see, let me put it like this. So we are a tad below our own expectation. Not a tad below, I think, like I mentioned, about 4 to 5 % below expected growth trends that we have been expecting in this particular period. primarily impacted because of weather.

When you build capacities, you're building capacities hoping that these numbers are going to happen, right? And so from that point of view, we are probably performing tad below that number, which means that you have already invested to deliver the growth and -- but that growth is below what we had invested for.

The numbers currently is all a reflection of that. Assume the growth is 5 percentage higher than what we have delivered. All these numbers would look very different to you, right? As you will probably say that, okay, the employee cost has fallen, operating cost has declined, etcetera, etcetera.

So the gap is primarily driven only because the top line is not -- or rather actually the volume growth is not as much as we would have wanted it to be or as much we would have planned it for. And I believe it's a matter of time.

Like I mentioned and described before, despite a very bad quarter in terms of weather and all of that, we were still able to pull up the numbers, which gives me hope that if we actually get a little bit of normal weather, we are not asking or expecting any tailwind and all of that. But if things normalize, our performance would be much, much better.

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Page 11 of 21 And because our business is so much volume dependent, all these numbers would look very, very different.

Pradyumna Choudhary: I'll tell you where I'm coming from. Yes, partly, it's been answered, just to follow up like where I'm coming from. Last 2, 3 years, most of our expenses below the gross margins have been growing upwards of 15% to 20% Y-o-Y. So at such rate of growth of these expenses, there's no scope for any operating leverage to play out really.

So how do we really keep these expenses in check, right, be it something like employee expense, be it freight cost, be it selling and distribution, be it other expenses. All these have been growing very fast, which is leading to higher revenue not really flowing into higher margins?

Srideep Kesavan: So I don't know. We will have to define very fast. And in my opinion, employee cost has been growing at 13% to 14% -- and I agree with you that we also would like that to be in single digits, right? But the fact is we are expanding and we are adding more people. We are investing in facilities for manufacturing, etcetera. And this is a people-intensive operation. This is a people-intensive business, which means that the headcount will increase and hence, the cost will increase.

Now the reason why I said operating leverage, we are operating below our expectation as far as the operating leverage is concerned or actually in terms of capacity utilization is concerned, is because we know which are the investments that we have made or which are the markets we have opened and how much we are expecting and how much we are doing, right? So I hope for a fact that these numbers will look different in a normalized scenario.

Now coming to initiatives we are taking to reduce the operating costs. There are many. I think we have been talking about this for the last several years. And all of those initiatives are in full play. Starting with, let's say, milk procurement itself.

A few years ago, maybe 3 years ago, we used to have 214 chilling centers, and we were procuring about 13 lakh liters of milk. Today, we are procuring 17 lakh liters of milk with just 186 chilling centers, which means actually, if you look at it, the throughput per chilling center has almost doubled, right?

And which means actually my operating cost of a chilling center would have, if not half, must have significantly reduced. Of course, in this period, people's salaries and other

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Page 12 of 21 costs, electricity and everything has gone up. But had I not done this, my operating cost would have been completely gone out of back.

Secondly, we used to have close to 1,300 vehicles to pick up the 13 lakh liters of milk. Today, we have lesser number of vehicles, about 1,200 -odd vehicles, which is procuring the higher volume that I'm talking about because we are sharply focused on a metric called as milk collected per kilometer .

And the milk collected per kilometer is increasing, which means actually the distance that we need to travel to get the milk is coming down, which improves the freshness of the milk as well as reduce the cost of pickup. Same is the case in terms of operations also, conversion of milk. For example, the number of liters produced per person has gone up by almost 10 % across our factories.

Electricity usage has come down as one metric that we track is liters of milk produced per kilowatt hour or unit of energy. That has gone up tremendously. But while we are improving all these parameters, what is also to be noted is that we are also investing in capex in terms of increasing capacity.

For example, we had invested close to 150 tons of additional manufacturing capacity for curd, for example, we increased our paneer capacity, we increase many of our value - added product capacity. And so it's a bit of like improved efficiency in our existing but additional new facilities coming up, and the volume is not catching up to the expectation. So it's simply a math which needs to work out, which I'm very pretty sure that in a normalized scenario, it will.

Pradyumna Choudhary: So do we have any margin targets for maybe FY '27 -- FY '26 can be a washout. But FY '27, do we have certain margin improvement targets in our internal calculation?

Srideep Kesavan: Yes, I think we should look at -- my request is if you look at the progression over the last 3 or 4 years and my request to our -- Go India Advisors to send across a comparison of how it has progressed over the last 3 or 4 years for you to better appreciate and understand the long -term trend. The reason why I'm saying is that our industry has -- is volatile. And it has a large dependency on weather. So some of these factors will play. We have seen in the past that every third or fourth year, the milk prices really go up and then it comes down, right? And then it comes down.

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Page 13 of 21 You must have seen that in FY '22, '23, it was a peak inflationary period where milk prices went up so high and then it came crashing down. And then we had a good 2 years, okay? Now this is another

year where it is seem to be going up. So this volatility is something that we will not be able to do anything much because it's a very large industry. India is the largest producer of milk.

And despite our size, we have only a very small percentage contribution in this. So we, as an individual player, there is very little we can do in terms of managing the industry volatility. That said, we are hoping that, like I mentioned before, law of averages catch up and next year prices softened. Usually, it happens after a peak inflationary year, and it is good for all of us.

Moderator: Next question comes from the line of Disha Giria with Ashika Institutional Desk.

Disha Giria : My first question is regarding the ice cream capex . Is there any recent update on it? And when do we actually see the factory being commissioning. And now that because of the seasonal impact, I am presuming that the high stream sales would not have had happened as much as you had expected. So if you have your own capacity, right now, it's more of like an outsourced manufacturing. So how do you plan on kind of utilizing it to its max. Or what is your utilization -- initial utilization targets, if you have anything in mind?

Nara Brahmani: I'll take this question. This is Brahmani, Executive Director. Actually, in fact, we are manufacturing our ice creams internally only. We have our own processing facility with a capacity of 25,000 liters per day, which we've, in fact, maxed out in peak summer season in the 3 months of Q4, which is why we had taken the Board approval to invest into a larger automated ice cream facility, not just to produce our existing range of SKUs, but also to widen our portfolio with exciting new SKUs, which is the need of the market or what consumers are asking for.

Having said that, in terms of capacities, we are commissioning our ice cream plant, as mentioned by Whole -Time Director sir, that it will be commissioned by the end of the financial year, just in time for the summer season. And we intend to use a fair amount of the budgeted capacity for the next financial year in Q1 of the coming financial years that might be, Yes.

Disha Giria : My question regarding the outsourced manufacturing was basically because I remember last time when I had met during the plant visit, we had this discussion that for this Heritage Foods Limited
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Page 14 of 21 summer season, you had already onboarded outsourced manufacturers to meet the excess demand. But because of the weather -related impact, I'm assuming that demand would have not been generated.

Nara Brahmani: Yes. So , we did outsource part of our manufacturing, expecting a normal season. But had the season been normal, that would have been required. But since the season was different, we could have done it internally. However, we given the current growth rate of 15%, 16%, and that's expected to go up during the later quarters, we will definitely need this higher capacity that we're investing into.

Srideep Kesavan: If I could just add, the growth of ice cream in quarter 2 was 16.5%. Volume growth. There's only volume growth because revenue growth is about 20%.

Disha Giria : With the existing SKUs?

Srideep Kesavan: Yes.

Nara Brahmani: Yes, that is right.

Moderator: Next question comes from the line of Pratik Kothari with Unique PMS.

Pratik Kothari: Sir, my question again on operating leverage. So one of our intent was to grow our revenue curve much faster than the cost curve. And this was, I think, mentioned in the annual report, too. I mean even if assuming this non -weather effect. And let's say we were growing 5 percentage points higher. Still, our other expense, our employee expense is growing faster than that number.

So other expense has been growing at 20% odd this year, even last year. And I'm not just talking about Q2, I mean you can look at H1 last year, last 4, 6, 8 quarters. So my que

stion is to achieve our intent of growing cost curve lower than revenue curve, I mean, how much more investment per se is required? I mean, when can we see that our other expense -- employee expense goes up 10%, but revenue starts growing at 15%, 17%, how far are we in that journey?

Srideep Kesavan: Yes, Pratik, this is Srideep here. See, it's not linear , I'm not very sure if I was clear in my answer. It's not a very linear thing, right? The way we report employee benefits, we are also talking about the indirect manpower that we have in our system to produce. So we have equal number of indirect employees as direct employees, right?

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Page 15 of 21 And these are -- at the moment you have production usually as per budgeted numbers or as per planned numbers, the per unit drop of our cost is significant because we are -- please understand that we are a volume player, right? We call ourselves a mass, premium player for a reason because everything for us is actually volume driven, everything?

And if those volume numbers happen, the cost structures look significantly different, significantly, right? And it's not a linear equation. That's all I'm trying to say.

Hypothetically, if I just say that if I had clocked the numbers that I had planned to with the kind of capacities that we had installed, the EBITDA margin and everything shoot up because of the better cost absorption of across the board.

So the overhead per se in terms of like where we are investing in terms of fixed people, where it will stay fixed is only at the management level, which is an investment which the company has consciously made because the company believes in investing in building people assets, operating assets as well as brand assets.

And this is something that, Pratik, in the previous conversations also, I have mentioned to you that we are investing in building brand assets. For example, marketing cost has gone up, and we are okay with it, because we are very confident when we see the numbers, such as, for example, awareness level going up by 25% to 30%, trial rates going up by 25% to 30%. These are all fantastic numbers because this is what is going to pay returns in the long run, right?

Similarly, operating assets, we are investing capex in the last several years, we've been putting in capex of INR150 crores on an average per year. This has all gone into creating capacity for value -added products. And we are happy with it.

Similarly, we have invested in people assets as well. Today, we have got a bunch of fantastic people who is helping us deliver results despite weather downturn. So all those assets are going to perform better and operating leverage is exponential and not linear.

These are 2 points I just wanted to plan.

Pratik Kothari: Correct. Great. And sir, one on liquid milk sales, right? So I mean, for the last, I think, 6 to 8 quarters, you've been growing at 5%, 6%. I mean last year, we did not take any price hikes. So all growth came from volume growth. And this year, we took price hikes, so volume is off and I mean because for us as a consolidated company to grow much faster in early teens that we kind of aspire to?

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Page 16 of 21 I mean. Liquid milk also then has to ramp up from 5%, 6% to maybe 8%, 9%. I believe this would not be as weather dependent. So if you can just highlight, what can we do, what are our plans to take this up from 5%, 6% to 8%, 9%. I mean -- and I understand that the price hike that we took this year, but last year, we did still the volume did not come through?

Srideep Kesavan: Srideep here again. Yes, that's a very fair question. Again, we are looking at what we do internally to see pricing, raw material price, market price, weather, these are all external factors, and we are trying to reduce the impact of these in our business through actions we are taking

internally. So one of the most important initiatives which we have taken this year was to invest in building our brand in milk itself.

I've mentioned it previously, we had run a very successful television campaign on Pure Doodh ki Shakti which clocked 5,000 GRP. 5,000 GRP, if I can just give you a sense of it, we were the most visible advertiser in our core market. So roughly about 40 percentage of the GRPs, share of voice, we had got with this campaign. And the same campaign on digital ran very strongly in Q2 with almost 47 million views.

Similarly, at this point in time, as we speak now, we are the cosponsor for one of the biggest television properties called Big Boss in both Telugu as well as in Kannada. These are all -- and this is primarily led by milk, and you can see how the contestants use our milk in their kitchen and stuff like that, right? These are things which we believe are very fundamental in building people's belief and trust in our brand.

Secondly, we've just launched -- I spoke about Sampurna cow milk, which just got launched in this particular quarter. We are in the process of scaling it up. In fact, yesterday, day before yesterday, we launched 2 new variants in -- for our country markets, which is called Sampurna milk which will come in Q3. These are all initiatives we are taking to drive milk volumes in -- through new product introduction. And third is continued investment in expanding retail distribution. There's no substitute to that. In quarter 2, we had expanded 60 distributor points at 2,000 retail points.

You should assume that every retail point should give us at least 5 to 6 liters of milk. That's about 20,000. So if we have to sustain and get growth to 8% or 9 percentage like you rightly mentioned, we need to sustain this growth momentum, which means that in quarter 3, we need to add 10,000 more retail outlets.

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Page 17 of 21 If you add 10,000 more retail outlets, that will give me 50,000 liters of milk, right? So we are absolutely focused on doing what needs to be done on the ground so that irrespective of price increases, irrespective of whether we can continue to drive growth, especially in milk.

Moderator: Next question comes from the line of Resha Mehta with GreenEdge Wealth Services.

Resha Mehta: I think a really good performance, especially on the VAP growth given the challenges we had. I have a couple of questions. Maybe I'll outline all of them in one go. So clearly, I think our ad spend seem to have been up if that could be quantified for this quarter as well as the previous quarter of the previous year. Knowingly what is the path to profitability? I think we were envisioning breakeven in Q2.

So have we achieved that? If not, how far away are we from that? And new markets, if you could just comment on how is the East market doing for us? And also some time back, we had entered into Singapore and U.S. So what is the kind of traction that we are seeing there? And overall, some exports, do we see any meaningful numbers going ahead? Yes. So these are my 3 questions.

Srideep Kesavan: Thank you, Resha. This is Srideep here. First, on marketing spends. I think marketing spends went up from -- sorry, 1 second. Please hold on. Is it okay if we send across the number, but I can tell you that roughly it has gone up by about 60% year-on-year.

Resha Mehta: Okay. Okay. Yes, sure. I mean maybe Garima can send me the number.

Srideep Kesavan: We'll give the numbers to you. I'm speaking from memory, we are looking for the

numbers. it has gone up significantly -- significantly. It has gone up in marketing, and it's something that we are very happy about. We're very happy about because it's going to really give us leverage in the long run, for sure, right? Yes. Sorry, can you just please remind me of the other questions. Could you please tell Resha. So see, the yogurts, I don't think

-- I think there is a misunderstanding. We never said that the business will break even in Q2 because we just started the business in Q2. So it's not possible to break even so quickly. But we can tell you that the operating metrics are looking already wonderful, right? In just a couple of months, we have already achieved the volumes that Mamie Yova was doing. So imagine Mamie Yova was doing x volume, we are doing the same volume with Livo brand in just 2 months' time, right? So which means actually we could actually grow
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Page 18 of 21 tremendously from here. This is despite the bad weather because Yogurt is also a category which is weather dependent. -- consumption goes up during summer and during rains, it comes down.

So volume -wise, it is a great performance. And in terms of unit economics also, I believe that the profitability as in the losses are much lesser compared to the previous operation. We'll share those specific numbers with you one on one.

Moderator: Next question comes from the line of Param Vora with Trinetra Asset Manager.

Param Vora: So what I wanted to ask was that with growing lactose intolerance amongst the nation, so are there any plans for Heritage to introduce a concentrated portfolio of low lactose or lactose -free dairy products?

Srideep Kesavan: Yes. Thank you. Yes, our entire portfolio of fermented products are all low lactose or no lactose. Because -- so if you're a lactose intolerant, you can consume curd or butter milk, and lassi and all of that because they are low in lactose or no lactose. We also have plans to look at milk, lactose -free milk is something that we are thinking about.

Moderator: Next question comes from the line of Naitik with NV Alpha Fund.

Naitik: My first question is, if you could give us the breakup between your VAP products, what percentage of it is coming from curd and what percentage coming from non -curd. And attached to this, the same additional question is that how would this sort of look like, say, a year or 2 down the line once the ice cream facility comes online?

Srideep Kesavan: See, curd is still about 70% of our -- see, actually curd is our biggest differentiator. Let me just put it like this to give you a sense. If you look at global large dairy players, whether it is Danone or Lactalis and all of that. They all talk about yogurts and cheese as to products that they sell, right? A bulk of the revenue comes from their revenue comes from these 2. In India, the equivalent of a yogurt and cheese is actually curd and paneer, right? So which is what is the leading elements in our portfolio also. Curd will be, what, 70%, 71%.

71% of all value -added products will be curd for us. And after that will be paneer. So these are 2 main value -added products that we are trying to build. Apart from that, we have about 5 -odd percent of our revenues coming from ice creams and roughly around 10 percentage of revenue coming from drinkables. The contribution of sweeps is very small. And of course, ice cream will grow fastest. Drinkables will grow faster than -- and
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Page 19 of 21 paneer will also continue to grow. So over a period in time, the contribution of curd will reduce, but curd is very important for us.

Moderator: Next question comes from the line of Sucrit D Patil with Eyesight Fintrade Pvt Ltd.

Sucrit Patil: I have a specific question for Mr. Naidu. As you plan for the coming quarters, what steps are being taken to improve margins, especially in terms of pricing, supply chain efficiency or cost control? How do you see profitability evolving in the medium term?

Nara Brahmani: Brahmani. I think this question has been answered by my colleagues already. But of course, I think for us, value -added products drive margins. I think getting our distribution network expansion, which we've done very successfully i

n the second

quarter will continue to be a focus area in terms of driving margins.

Aside from that, there's a lot of work that we're doing on the operations side, some of which has been mentioned by CEO already. But aside from that, automation is something that we are heavily focused on all our new processing facilities.

Our fully automated facilities and whatever expansion is happening in existing facilities or renovation is happening in existing facilities is in that direction. Aside from that, when it comes to our transactions or daily operations as well, we are automating a lot of processes. If you recollect, we are the first dairy company to go on SAP end-to-end to also evolve in SAP. And now we are using a lot of RPA.

We are using copilots and agents to improve efficiencies in which we operate and do things. CEO also had mentioned about the other initiatives that we're taking in terms of logistics. We are constantly tracking the amount of milk collected per kilometer. We're constantly looking at productivity of people at different levels, both on the sales side as well as on the procurement as well as operations side.

We are also measuring things as minute as milk handled per unit electricity in our operational facilities. And of course, renewable energy is a huge focus area as well, both from reducing our carbon footprint and managing our power costs or operating costs. So there are several initiatives that are being taken both from a monitoring standpoint and a tech-enabled sort of growth standpoint in terms of improving our margins. And of course, value-added products in terms of sales will drive this through continued strong distribution network expansion that will happen.

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Page 20 of 21 Moderator: Next question comes from the line of with Kiran with Green Investor. Since there is no reply from the line of Mr. Kiran, we'll promote the next Darshil Jhaveri with Crown Capital.

Darshil Jhaveri : So a lot of my questions have already been answered. Just one question from my end. So based on like how H1 has gone for us, what is the outlook that we see for H2 in terms of our revenue growth and margins? I think margins, we were trying to get it better. But if we could quantify it, that would be really helpful.

Srideep Kesavan: Sir, it's difficult to quantify. I can only say that we usually see milk supply getting better in quarter 3. And during first season, the prices come down, which means if X is the price in quarter 2, X minus delta X will be the price in quarter 3. Assuming the market prices, we don't change because we usually don't drop our market prices, it should be better.

But that said, I want all investors to know that each of our quarter has a unique mix, like quarter 1 is very high on value-added products. This year, it did not happen because of bad weather. Quarter 2 is high on milk, but moderate on value-added products. Quarter 3 is low on value-added products as far as mix is concerned.

See, we will continue to grow value-added products. We might grow at 20% in quarter 3 also, value-added products. Every indication shows us that value-added product growth in quarter 3 will be higher than quarter 2. But that said, the mix changes because quarter 3 is more festive and all of that, so our fat sales go up. Fats is not as profitable as value-added products.

So even though raw milk prices might come down, the product mix change is something that will influence. So rather than look at on a quarter-on-quarter basis, you should look at a long-term trend.

The long-term trend is that as long as we keep improving the contribution of value-added products, like in quarter 2, we were able to improve the value-added products by almost 3%. If we continue to do that over a long period in time, this is a great business, and that's what we are focused on. So my request is to look in the lon

g term and not

quarter-on-quarter.

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October 16, 2025

Page 21 of 21 Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to Dr. Rao for closing comments.

Sambasiva Rao: Thank you very much to all the participants for your continued interest in Heritage. Looking forward to catch up with you for the next earnings call, quarter 3 later. And I again extend heartfelt Diwali greetings from myself and on behalf of Heritage family here. Thank you very much.

Moderator: Thank you. On behalf of Heritage Foods Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Jan 2026

Ref: SECT: STOC: 1 5-26
January 31, 2026

To
The Manager
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Scrip Code: 519552 To
The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra -Kurla
Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call held on January 29, 2026 - reg.

Dear Sir / Madam,

In Continuation of our letter dated January 16, 2026 the Company had organized a conference call with the Investors/Analysts on Thursday, January 29, 2026 at 11:00 AM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in.

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,
For HERITAGE FOODS LIMITED

UMAKANTA BARIK
Company Secretary & Compliance Officer
M No: FCS -6317

Encl: a/a

HERITAGE FOODS LIMITED

Q3 FY'26 Earnings Conference Call
January 29, 2026

MANAGEMENT :
Mrs. N Brahmani – Executive Director
Dr. M Sambasiva Rao – Whole Time Director
Mr. Srideep Kesavan – Chief Executive Officer
Mr. A Prabhakar a Naidu – Chief Financial Officer
Mr. J Samba Murthy – Chief Operating Officer
Dr. Brij Mohan – Chief Executive Officer - Heritage Nutrivet Limited
Mr. Umakanta Barik – Company Secretary & Compliance Officer

INVESTOR RELATIONS REPRESENTATIVE :
Ms. Diya Kaswa – GO India Advisors

Page 1 of 23 Moderator: Ladies and gentlemen, good morning, and welcome to the Heritage Foods Q3 and 9 Months FY '26 Earnings Conference Call. Hosted by Go India Advisors. As a reminder, all participant lines will be in the listen only mode and you will get an opportunity to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that, this conference is being recorded. I now hand the conference over to Ms. Diya Kaswa from Go India Advisors. Thank you, and over to you, Ms. Diya.

Diya Kaswa: Thank you. Good morning, everyone. I am Diya Kaswa, and it's my pleasure to welcome you on behalf of Heritage Foods Limited. Thank you for joining us today for Q3 and 9M FY '26 Earnings Call. This call is being hosted by Go India Advisors.

Please note that, today's discussion may include certain forward-looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces.

Today, on the call, we are joined by Mrs. Brahmani Nara, Executive Director; Dr. M. Sambasiva Rao, Whole-Time Director; Mr. Srideep Kesavan, CEO; Mr. A. Prabhakara Naidu, CFO; Mr. J. Samba Murthy, COO; Dr. Brij Mohan, CEO, Heritage Nutrivet Limited; and Mr. Umakanta Barik, Company Secretary and Compliance Officer.

I now invite Dr. Rao to present the company's business outlook and performance, after which we will open the floor for Q&A. Over to you, sir.

M. Sambasiva Rao: Thank you, Diya. Good morning to everyone on the call. At the outset, on behalf of the management team at Heritage Foods, I would like to extend our New Year wishes to all our shareholders, farmers, employees, customers, consumers and all stakeholders. We wish everyone a healthy, prosperous and successful year ahead.

Now turning to quarter 3 of FY '26. The quarter is marked by an unusually industry supply environment, even during what is typically a seasonally strong flush quarter. Milk shortages, elevated procurement costs and butter supply tightness continued to weigh on operating performance, leading to margin pressure despite steady demand conditions.

Procurement and raw material costs rose sharply dur

ing the quarter, driven in part by

industry-wide butter tightness. Attractive global dairy trade prices led to significant butter exports from India, resulting in domestic butter shortages and firm pricing. For the Heritage Foods Limited

January 29, 2026

Page 2 of 23 first time in the last 2 years, constrained raw material availability even during flush quarter necessitated, bulk butter purchases at elevated market prices in November impacting overall profitability.

At the same time, milk procurement volumes were impacted by supply side constraints. For the first time in several years, YTD milk procurement volumes declined marginally by 0.82% to 16.86 lakh liters per day for 9 months of FY '26, following three consecutive years of 9% to 10% year-on-year growth. Q3 procurement averaged 16.73 lakh liters per day, down 9% year-on-year, reflecting milk shortages.

However, procurement volumes showed sequential stabilization during the quarter, supported by our farmer-first philosophy. We continue to prioritize timely payments, feed support and on-ground engagement, reinforcing long-term farmer relationships and ensuring continuity of supply during a challenging period.

On the sales side, milk sales volume grew 2.1% year-on-year to 11.94 lakh liters per day, while net milk realizations improved to INR57.31 per liter, reflecting pricing discipline and sustained brand trust. Ongoing efficiency initiatives across routing, chilling infrastructure, digital tracking continued to mitigate logistics and handling costs. Despite multiple headwinds, company delivered resilient top line performance, reporting consolidated revenue of INR11,192 million, registering 8% year-on-year growth, crossing the INR11,000 million quarterly revenue mark for the third consecutive quarter. This performance reflects resilient top line execution, supported by sustained consumer demand, value-added product-led growth and an expanding retail footprint even as elevated input costs constrained profitability. EBITDA stood at INR629 million, while PAT was INR346 million.

Margin compression during the quarter was primarily driven by a sharp escalation in milk procurement prices, which increased by 9% year-on-year, outpacing consumer price realizations despite calibrated pricing actions undertaken by the company.

Following the notification of new labor codes, the company recognized a onetime increase in provision for defined benefit obligations under Ind AS 19, that is Employee Benefits, resulting in an incremental provision of INR27.42 million on a stand-alone basis and INR27.78 million on a consolidated basis during the quarter, and the same has been recognized as an employee benefit expense in the current reporting period.

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Page 3 of 23 Value-added products remain central to our growth strategy during the quarter. Value-added product volumes grew 6.8% year-on-year with almost all categories delivering positive growth despite adverse weather conditions.

Strength was visible across curd, paneer, drinkables, ghee and ice cream, supported by strong consumer engagement and market expansion, which improved the quality of sales mix. Including ghee and butter consumer packs, value-added product revenues grew 22.6% year-on-year, contributing 38% of total revenue compared to 33.8% in the corresponding period last year, underscoring sustained premiumization and mix improvement.

From a strategic growth perspective, capacity additions remain firmly on track. The Hyderabad ice cream plant is progressing as planned with trial production underway now and commercial commissioning expected in current quarter. The flavored milk plant is also expected to be commissioned in the current quarter, positioning the company well to capture incremental demand across fast-growing categories.

I'm also pleased to share that Mrs. Brahmani Nara, Executive

Director, was honored at

the Business Today, most Powerful Women in Business Awards 2025 and Mrs. Nara Bhuvaneswari, Vice Chairperson, Managing Director, received the Outstanding Dairy Professional Award 2025 from the Indian Dairy Association, reflecting the strength of leadership and governance at Heritage. I'm also pleased to announce Heritage Foods Limited has been recognized among India's top 50 manufacturing companies for its practices.

Looking ahead, near-term cost pressures remain. We are confident that margins will progressively normalize, supported by improving supply conditions, higher value-added products contribution and continued disciplined execution. With that now, I open the floor for questions. Thank you very much.

Moderator: The first question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Till last quarter, we were expecting a normal flush, but you've seen milk prices rise even on a sequential basis. I understand you mentioned that, there were supply shortages, but can you just elaborate on the major reasons as to what resulted in this? And the point -- the reason I'm asking is just wanted to assess if these are more like recurring things or more like a one-off?

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Page 4 of 23 Srideep Kesavan: Thank you for your question. It was a bit of a surprise for all of us. Till the month of August, we were very hopeful and a lot of mixed news were flowing in that the flush would be normal. And these things we would not know unless -- until it happens. But if you recall, Q2, when we announced the results, we said that, it was a period of excessive rainfalls.

In fact, many of the regions where we operate saw upwards of 20 to 25 percentage of excess rainfalls, and which actually has caused a double whammy this year. And on the consumption side, many of the key weather-related value-added product categories were impacted in terms of consumption momentum.

And the same excess rainfall actually caused stretched at the animal level and which is possibly what has caused productivity decline at the farm level. And this was observed not just in procurement region, but we procure from across 9 states in the country, and we felt this across. Usually, in the flush season, we receive a lot of milk this year. If I can just give some numbers last year, from Q2 to Q3, we had 1.8 lakh increase in milk. So just to give Q2 last year was about 16.44 lakh liters of milk and Q3 of last year was about 18.4 lakh liters. So, 2 lakh increase from Q2 to Q3. This year, Q2 was about 16.1 lakh liter and Q3 was 16.7 lakh liter. only 60,000 liters has increased. So, that's primarily the big impact that we are talking about.

Is it going to be like this? Usually, no, because usually, after a season of constrained supply, usually, it eases because prices are very firm at this point in time. It is highly profitable for a dairy farmer to produce milk today. So, we expect dairy farmers to

increase production, and that should eventually sequentially bring down the prices. How long will it take?

We are not sure. We are expecting the mini flush season or the cow flush season in the South India, which starts from May onwards, we expect that at least to normalize because the prices in South of India is very firm at this point in time. So, with that, we expect things to ease out, but we'll have to wait to see how it happens. But one thing is -- one thing we are observing now is the impact of climate is palpable in our industry. And you will see -- you will read upon a lot of reports in this regard in the media.

I hope, I've been able to answer the question.

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Page 5 of 23 Sameer Gupta: Got it. Yes, yes. This is very, very helpful. Just to reiterate, basically excessive rainfall is only -- is the only reason. But usually, what we have seen is that excessive rainfall also

results in good groundwater.

And the next year typically results in a better year in terms of everything, in terms of agri production, in terms of milk production, etcetera, something that happened last time.

See, we can't really predict as to other factors, but this sole factor alone should result in better milk productivity. Is that a fair understanding?

Srideep Kesavan: I would say so. But see, the dynamics are so complex with over a dozen variables. It's very difficult to predict. We are also -- maybe up to 5, 6 percentage of milk -- up to 5, 6 percentage of rainfall access is good because you get a lot of green powder, and the farmer income also improves.

So, beyond that point, it creates stress for everyone. Possibly, that's what I'm -- we are waiting for more scientific reports to come in, and then we'll be able to update. But what we felt was a palpable shortage of milk.

Sameer Gupta: Got it. fair. And just another related question. So, I remember that during the analyst meet earlier this last year, you had indicated a 7% to 9% kind of an EBITDA margin range. And this was taking into account the weather vagaries and milk price volatility.

Now 9 months is 5.9% for stand-alone and 6.3% for consol. Would you still reiterate this margin guidance? Or do you think that one should basically trim it downwards?

Srideep Kesavan: Sameer, the only point I'd like to -- only word I'd like to call out here is guidance. When we said 7 to 9 percentage is our targeted range, I use the word -- I must have used the word targeted range and not guidance. We would like to keep our EBITDA towards the 7 to 9 percentage range, which means that at this point in time, which I feel is the lowest point we would have hit, we're still about 0.7, 0.9 percentage below that level, so which means that we need to work harder on an apple-to-apple basis, improve our business performance by about 1 percentage so that we can move.

Currently, even this year also, you must have seen that the EBITDA has declined by nearly about 1.8%, which means that actually, if I can improve the business performance on a like-to-like basis by about 1 percentage point with similar raw material situation, we should be around 7 percentage and a better raw material situation, which should be around 9%. That's what I meant when I said what I said. There is an impact of EBITDA on account of various other factors which we need to work on as well.

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Page 6 of 23 Moderator: We have the next question from the line of Saumil Mehta from Kotak AMC.

Saumil Mehta: So, if you can just quantify while the quarterly procurement prices are very high, what were the exit prices? And what are the pricing trends you're seeing at least for the month of Jan and any price hikes we have taken in liquid sales for the regions where we operate?

Srideep Kesavan: You're asking about exit price, right?

Saumil Mehta: Yes, the pricing trends in specific month of December and the Jan pricing. Yes.

Srideep Kesavan: Jan, I wouldn't be able to comment. So, December, I'll be able to tell you. Just give me 1 minute. Have you got the weighted average procurement price for the month of -- for the quarter? Hello?

Saumil Mehta: Yes. Sorry, I was not able to hear you.

Srideep Kesavan: Yes. So, the month ending cost of milk price in the month of December was -- weighted average price was INR46.01. So, if it gives you a sense of how sequentially that has increased because for the quarter, the reported number that we have put is about INR45.57.

But December is INR46.01, which means that you can see how it has climbed up from

October, November, December. We expect the prices to further harden in the next 30 to 45 days, but should ease off, like I mentioned, once the mini flush or the cow flush in the South starts from May onwards.

Saumil Mehta: Sure. And in terms of our end product prices, any

price hikes we've taken or at least we

envisaged to take at least in the forthcoming quarters at this point in time?

Srideep Kesavan: Yes. So, for the quarter that went by, which is Q3, our raw milk -- while the raw milk prices increased by about 8.9%, the market milk prices on a weighted average basis

across our regions, we have been able to increase by about 4.9%. So, we have passed on.

In absolute terms, if I can just give you the number, the absolute milk price has increased by INR2.67 per liter, which is about 4.9%. That's as much as we could pass on, which brought down the gross margin in milk itself by about 12%.

Actually, that has been the biggest impact. Actually, the impact, everything is dependent on how much milk is absorbed, how much milk had to absorb of the raw material

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Page 7 of 23 increase. Value -added products also on a percentage basis, we have taken up prices by about 6.6%. Weighted average value -added price per liter now is about INR75 compared to INR70.40 last year. Ghee also, we have taken up prices by about 15% compared to last year.

So, we have taken significant price increase compared to last year. But weighted average, if you look at all of this put together, the revenue has not been -- has not increased enough to compensate for the raw material increase.

Saumil Mehta: Sure. And my last question, what would be the carrying inventory for the bulk fat?

Srideep Kesavan: I'll ask CFO to answer this, please. Give me a second.

Saumil Mehta: Sure.

Srideep Kesavan: Okay. Without looking, I can tell you that the fats we are carrying at this point in time is very, very, very nominal, maybe 300, 400 tonnes, which is what would be less than a month's cover, I believe. 390 tonnes of butter is exactly what we are carrying. So, we don't have any butter.

Saumil Mehta: Sure. Sure. All the best for subsequent quarters.

Moderator: We have the next question from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: So, sir, I have a couple of questions. First on your ice cream plant at Shamirpet. So, you have said that, Shamirpet plant expected to commence commercial production by March 2026. So, what peak capacity utilization should we assume over the next 2 to 3 years?

And how margin accretive is this facility at steady state?

Srideep Kesavan: We are expecting the commissioning to happen towards the end of February or beginning of March as we had promised earlier. It's well on track. As we speak now, trial runs are happening.

We are just waiting for the commercial production date. In the first year of operation, we expect a capacity utilization of about 40% to 45%. 40% is what we are expecting, and this is on -- as per business plan. We don't expect any surprises unless the summer goes bad and ice cream business is impacted. As we speak now, ice cream is a product category, which has grown strongly for us in Q3.

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Page 8 of 23 We are on the back of -- we are entering Q4 with a year -on-year growth of about 21% on ice cream. So that's a very strong number. We are -- if you look at it, Q2, the growth was about 16%, 17%. So, every quarter, we are increasing the growth rate of ice cream, which is actually good news. We are expecting to enter the summer season with a very strong growth rate as well as volumes.

In terms of how value accretive it will be, it is -- on an EBITDA basis, it is actually a very profitable business, ice cream, as you would know. But then there is also the asset - it's a new asset investment with its depreciation and all that will come in. So, it will take at least a year or 2 for the profitability to normalize.

Rehan Saiyyed: Okay. So, you have said right now that your ice cream business is really doing well from the last 2 to 3 quarters. And you have also given the commentary in the last quarter that

20% CAGR over the -- that you can grow paneer, curd and ice cream categories are expected to grow at 20% CAGR over the next 7 years. So how is Heritage prioritizing

capital and marketing spend across these categories to maximize their returns on ROCE, ROIC basis?

Srideep Kesavan: So, except for ice cream, where we -- ice cream is -- it's the nature of the product that it is seasonal, 1. Number 2, you can't increase the capacity on an incremental basis. Except for ice cream, most of our value -added product categories where our capital investment over the years has been incremental to keep our utilization, plant utilization very high percentage.

And as we speak now, the key categories for us as far as value -added products is concerned there is curd, paneer, butter milk, ice cream that you called out, flavored milk as well as ghee. These are the categories where we have -- these are the products where we have made capital investment.

And curd is something in which every year we make capital investments so that we -- our plant utilization stays at around 90%. Paneer is something in which we have -- even this quarter also, we have grown Paneer by about 30%. So, Paneer is something which is growing very strong for us. So, we have some capex in the pipeline, which will get commissioned in the second or third quarter of next financial year.

Rehan Saiyyed: Okay. Fair enough. And one more last question, like kind of if you can understand a bit understanding regarding your -- like how -- am I audible?

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Page 9 of 23 M. Sambasiva Rao: Yes. Go ahead.

Rehan Saiyyed: So, like I want to be understanding regarding your southern market, like how -- like if you see that organized dairy penetration is expected to rise from 40% to 60% over the next decade. So, like how Heritage is realistically targeting it in its core southern markets to cater?

Srideep Kesavan: Overall dairy. I believe your question is regarding overall dairy, right?

Rehan Saiyyed: Yes, yes.

Srideep Kesavan: Yes. Okay. So, see, we are very sharply focused on our core markets. See, the size of dairy industry is huge. Even in the markets where we operate, the headroom for growth is tremendous. Like if I can just give you an example, the penetration of curd, packaged curd in a state like Andhra Pradesh, which is actually a very high curd consuming state is only 25%, okay?

75 percentage of curd that gets consumed in Andhra Pradesh is in the unpackaged form. And in a city like Hyderabad, it is about 40% is the penetration of packaged curd. So, the headroom for growth for us is tremendous. And our own core markets are delivering so much of growth.

So, we are -- our priority at this point in time is doubling down and going deeper. With cold chain, cold chain is one of the biggest enablers of our business. With cold chain improving, what we are seeing is that the retail outlets that are stocking dairy, especially value -added dairy is expanding manifold.

Maybe 5 years ago, the number of retail outlets that used to stock dairy were very limited because you had to buy dairy, you will have to either go to a milk boot or you have to go to a modern trade. Today, as an average retail outlet has started stocking dairy products.

And this is the biggest opportunity that we are capitalizing on. The headroom for us is tremendous, and we are working on expanding our distribution footprint as well as consumer traction for this. I hope I have answered. So that is our strategy. Stay focused on where we are strong and keep building strength.

For the benefit of all investors, see the advantage we have is that we are dealing with products and categories which don't need explanation. It's not something that you need

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Page 10 of 23 to explain what this product is. It's something that consumers are already consuming as something tha

t people are familiar for thousands of years. It's just that we are improving the product delivery in terms of quality, taste and convenience, which is what is switching people from unpackaged to packaged, apart from other aspects such as trust built on purity and transparency.

Moderator: We have the next question from the line of Pradyam Chaudhry from JM Financial.

Pradyam Chaudhry : Sir, a couple of questions. The first one is on -- like you mentioned that margins should progressively improve from here on. But if I look at your commentary on the procurement price, we are expecting the procurement price to further harden from here.

So why are we really -- like, why do we feel that the margins have bottomed out? Like are we expecting improvement in our selling price also? Currently, you mentioned that last quarter, the selling price had increased by INR2.9. So, are we expecting a further increase here in the current quarter?

Srideep Kesavan: Thank you, Pradyumna. Yes, you picked on that point when I said the margins probably would have bottomed out and probably should improve. This is an estimate at this point in time, and we'll have to see how this plays out. There are 2 or 3 reasons why I mentioned what I said.

One is raw material prices will increase at least in the very short term, okay? Let's talk about 30 days or so. That's a given. We were hoping, number 1, to pass on some of this to the consumer through higher pricing.

Number 2, we're also entering summer, which means actually already in many of the regions and markets where we operate, the temperatures have started hitting 30 degrees. We are our business -- many of our value -added products, especially the more profitable ones such as curd, butter milk, ice cream, these are all highly seasonal.

So, the contribution of these products to -- or the salience of these products in our kitty in Q4 will be much higher than that in Q3. So, it's an improvement of the weighted gross margins as well as our ability to pass on some of this pricing to the consumer. But you're right, procurement price, at least in the near short term, will increase.

This is something that we are cautious about. But our effort at this point in time is that as we grow volumes on the consumer side, we need to keep growing our procurement in line so that we don't have milk shortage. That's our highest priority. As we enter the

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Page 11 of 23 season, we will require at least a couple of lakh liters of milk from the current levels. So, our teams are focused on getting this milk at this point in time. Margins will be a result of how well we grow the value -added products.

Pradyam Chaudhry : Sorry, just a follow -up here. When was the last price hike we took in milk? Just to understand how much of it is yet to be passed on? And are we planning to take any further -- or have we already taken any further price hikes in the current quarter?

Srideep Kesavan: We operate in close to 8,500 villages. And this is across some 15 or 18 regions as we call it, as divided among all the 9 states we operate. At some point in time, some price is always changing, right? So, it's not like on one particular day, we changed the price. So, this price movement is a continuous phenomenon.

So, I won't be able to give a date when was the last time we changed.

Pradyam Chaudhry : Like let me just put it another way. The increase, absolute increase in selling price we are expecting in the current quarter, would it be higher than the absolute increase in the average procurement price in the current quarter?

Srideep Kesavan: We would like to match it is the way I'll put it. And the weighted average improvement would be beneficial.

Pradyam Chaudhry : Understood. And my second question is on the slow growth in value -added products, right? Like we mentioned -- you mentioned that we took a 6.6% price increase in value -

a

added products. And despite that, I think the VAP grew by around 14% for us compared to earlier it used to grow at 18%, 20%. This is the third consecutive quarter of slower VAP growth.

While I understand the first half was due to cooler temperatures. But any particular reason to point out here? In Q3 as well, the VAP growth was quite slow, especially if we look at the volume growth.

Srideep Kesavan: Yes. So yes. So, see, value -added products, we -- primarily, curd growth was lower this quarter. Curd growth came down to about 10%. Usually, we grow curd around 13%, 14%.

So, curd growth was lower. We also saw muted growth in drinkables primarily led by butter milk and flavored milk. The growth was muted. The drinkables grew only at 16%.

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Page 12 of 23 See, we used to grow and rather actually, our knobs are, or rather actually our attempt and objective is to grow value -added products at 20% to 22%, right?

The low 20s is the targeted growth rate of value -added products. And if it has to clock that kind of number, then our core value -added products, which is curd, etcetera , has to grow at about 14%, 15%. And then the smaller value -added products such as drinkables and ice creams and all of that need to grow at around 30%. Only then, you get a

weighted average like that. So Q3, weather-wise was soft.

It's something I spoke about, primarily due to excessive rainfalls and lower temperature.

On a weighted average basis, the average temperature across our region was about 1 degree lower than not just last year, but even last 10-year average.

So that impacted the weather-dependent categories with curd and the core value-added products coming to about 14%, 15% and the smaller categories such as ice creams and drinkables going to about 30%, which is what we expect in Q4 and paneer holding strong at around 30% as it will continue, should give us a weighted average of about 20% kind of value-added products.

But the key point to note, if I may call out, is that value-added product contribution to our revenue has expanded by 1.8% in this quarter, which is, you can say, roughly around 2%, which means that it is in line with the value-added products contribution improvement over the years. We've been growing value-added product contribution roughly 2% year-on-year.

Pradyam Chaudhry : Understood. And last couple of questions. The first one is the -- like there are 2 new plants that are starting, is on the ice cream side and one on the flavored milk side. If you can tell me full year revenue potential from these plants once they are operating at full capacity, what sort of a revenue potential do these 2 plants hold? And like, that gives me an idea regarding what sort of value-added products revenue potential I can expect? And second, on the continued growth of other expenses, right? Previously also, we've spoken about this and that continues to be a concern. So how are we really addressing this part? And how much of our other expenses? I think we incurred close to around INR117 crores, INR118 crores of other expenses in Q3. How much of this would be related to the new plants starting up?

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Page 13 of 23 Srideep Kesavan: Thank you. Just quick answers to both. See, the ice cream plant has a potential to deliver about INR500 crores to INR600 crores of revenue. That will take about 6 to 7 years for us to realize that, right? Our current revenues this year, we might close at around INR110 crores.

So that's a 4x or a 5x kind of multiple is possible because it's not just with volumes also because of revenue per liter increase, right, over a period, and it might take about 7 years for us to get there. Flavored milk, on the other hand, has a potential to grow up to about INR120 crores in revenue.

We are targeting ourselves probably in the next 4 or 5 years, we should be cross

ing the

INR100 crore mark with the flavored milk. So, these are all categories of significant categories which are profitable, which we are investing on.

As far as the other expenses are concerned, see, primarily, I'll just call out 2 numbers, while there are many, many smaller items, but the two big ones which has changed for us, one is the whole logistics cost, which has -- as a percentage of revenue has gone up from 2.7% to 2.9%, which is a roughly 0.2 percentage increase, which you will see in the EBITDA decline also.

The 0.2 percentage is impacted because of logistics, primarily because of revenue not growing in line with the cost and also our distribution expenses going up as we are pushing the distribution, right? So that's a small 0.2 percentage impact.

The other expense, which has gone up is our marketing investments this year in quarter 3 of this year compared to quarter 3 of previous year has gone up by about 0.5%. Last year, Q3 was about 1.2 percentage of revenue. This year, Q3 is about 1.8 percentage of revenue.

While this looks like a 0.5 percentage hit to the P&L, we consider it as a timely investment as we are getting on to a high selling season. Our salience in terms of organized trade is increasing. Organized trade is already contributing about 18%, 19 percentage of our sales. And we are seeing a higher uptick, higher stickiness, higher retention rate for our brands in these channels, thanks to these marketing efforts. This is something that we are consciously doing, which will help us differentially take up prices as far as the consumer is concerned.

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Page 14 of 23 Pradyam Chaudhry : So, at 10.5% other expenses as a percentage of revenue in the current quarter, can we say that most of it is sticky in nature because a large increase has come from marketing costs, which will continue going forward as well. So, the other expense at least seems to

be more sticky in nature.

Srideep Kesavan: Yes. See, the way I'll put it is that marketing is the only cost which is absolute, and it's not a percentage thing. And so, with revenues, let's say, for example, moving up by about INR100 crores or INR200 crores in the coming quarters, as a percentage of revenue, this marketing expense will continue to come down, right? I'm not going to see it's an absolute spend. It's, let's say, for example, in a quarter, I spent INR20 crores. So that will continue to come down as a percentage. And in terms of other expenses, we also count operating expenses, which has also gone up, especially the conversion cost, which we feel as we -- as the volumes increase, the absorptions in our plants will be much better, and that will also sequentially come down.

Pradyam Chaudhry : And the two plants which are starting, what would be -- the two plants which are starting, I'm assuming that...

Srideep Kesavan: That will have no impact. No, that has -- is there any impact of pre -operating expenses paying. I'll hand over to CFO to answer that question. Pre -operating expenses...

A. Prabhakara Naidu: Ice cream, right now which is not there actually -- but it is not significant actually as far as ice cream is concerned because in the month of February and March, actually, we are going to commission. So, nominal actually then revenue expenditure has been taken into account to be charged within that, not very much.

Srideep Kesavan: Nothing significant at all. Ideally everyone should get capitalized because it's a total greenfield facility.

Moderator: We have the next question from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: Sir, first on consumer fat, I think, I mean, very healthy set of numbers growth. If you can talk about what is going right? One, you spoke about the price hike we took. But other than that, how is our brand developing there? I mean, we are seeing quite strong ramp - up there. And also, the fat loss

number for this quarter, if you can share.

Srideep Kesavan: Yes. Thank you, Pratik. Volumes have grown about 45% and overall revenue growth is about 69%. And this is primarily in ghee. The bulk fat has degrown 99.9%. So

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Page 15 of 23 practically, there's no bulk fat this quarter. Unfortunately, the milk supplies that we had, raw milk procurement was just enough for us to meet the requirement for our own thing.

So, there was no surplus butter generated.

So, to meet the growing demand for ghee, we had to actually buy butter from the market, which happened at a very high price because the butter prices in the market were quite strong, quite high compared to last year. So, in terms of prices on a per liter or per kg basis, while sales side, we saw a strong improvement.

Weighted average basis, prices went up by about INR106. We've never seen this kind of price increase any time. INR106 price increase per liter, we have seen liter kg because I'm combining ghee and butter together.

It's not the right way to look at it, because you should understand that there is a conversion factor of 81% to butter to ghee. But if I just do a simple weighted average, it's about INR106 is a weighted average price of -- on the sales side, but the raw material side also went up by about INR103.

So, which means actually there's no benefit at all. So, because of which even though the business shifted from bulk to consumer, the losses are pretty much similar actually.

INR10.15 crores compared to INR9 crores last year. So, it's more -- or this much. Except that we are just cycling much higher volumes now.

Pratik Kothari: Correct. And sir, secondly, again, on other expense. So, it's been about 7 quarters since...

Srideep Kesavan: The good news is -- I'll just indicate. The good news is we have been able to establish a much higher consumer price in our ghee. The revenues are much higher, like, I just indicated the amount of revenue numbers that I spoke about at a much higher volume level, which means that with commodities easing, we should be in a very good position.

We are just hoping for that.

Pratik Kothari: Correct. No point taken. Sir, coming back on other expenses again. So, it's been about 7 quarters since we have not seen those -- the targeted VAP numbers or a consolidated revenue number. So, I understand that marketing is a good spend to have.

We want to build that brand. But ex of that, are there no levers where we can kind of slow down, cut costs at time when one we are not seeing growth, one where we are seeing increase in milk price to kind of manage our cost for last many quarters, our other expense has been growing at 20% year -on-year.

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Page 16 of 23 I think maybe 10, 12 quarters now despite no revenue growth or lower revenue growth rather. So, I understand we are investing for growth. But if that growth is not coming, do we not have any levers to kind of curtail this ex of marketing, which I understand is a good spend to have?

Srideep Kesavan: I agree. So, if I -- Pratik, a couple of things I'll call out. One is operating leverage. right, which is actually the most important thing in our business because we are not -- while we call it premium, but we are actually mass premium players, right? Our business is totally dependent on volumes.

And if you look at the volumes of this year, the volume growth is nothing great, actually. We need strong volume growth. And volume growth is what is going to completely offset our operating costs, and the operating leverage has to kick in. And for some reason or the other, this year has been from Q1, if you recall, maybe 2 quarters ago, in the same investor call, we mentioned that the Q1 was a washout, complete total washout because of rains. And the rains continued into Q2, okay? So somehow this -- this is a very, very strange year, whic

h the way it is going. We are actually building strength because we know that the per sales point offtake has improved, per consumer stickiness has increased, per distributor sales has improved. We know the unit metrics are looking good, but we have not been able to convert that in terms of large volume growth. We need volume growth coming back in low double digits and revenue growth in mid -teens. Revenue growth is fine. 4 to 5 percentage of NR increase is fine, but we need volume growth happening in 10 to 11 percentage. That's when operating leverage kicks in. And that is the reason why I was answering a previous question, I mentioned that we can offset the cost by about 0.6, 0.7 percentage the EBITDA on a like -to-like basis, today's EBITDA would be instead of 6.2% or something on a consol basis, it will be close to 7%, which I believe is a bottom - up number.

If we can do that, then we are working in the range of 7% to 9% going forward. But that operating leverage is what we see. And I have no -- nothing to -- yes, we can't be excuse here. We need to work harder to get those volumes.

Pratik Kothari: No, correct. But sir, if other expense is growing at 20%, the operating leverage will only come in if the top line starts growing beyond 20%, right? If you still grow volume at 10%, price at 4%, 5% and consol at 15%, you'll still not see operating leverage kick in.

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Page 17 of 23 Srideep Kesavan: No. See, operating -- I'm talking about, see, while the operating expenses that we report, a good percentage of it is actually fixed in nature and we can't do anything about. There are variable costs, which will keep increasing. But the other expenses as a percentage of revenue will come down the moment volumes kick in. That's what I meant. There are other factors as well, which has gone a little bit beyond our control. Like this quarter, we had close to INR1.7 crores of GST -- INR1.2 crores of GST impact.

A. Prabhakara Naidu: GST in the sense, actually, we are not able to absorb the ineligible portion of GST charge it to the P&L, because the dairy products GST has come down from -- in the case of actually ghee, actually from 12% to 5% and paneer has become 0 %, those kind of things. So the input GST, we are not able to recover, then the ineligible GST, we are charging to the P&L. In this quarter itself around 1.2 is the impact on account of that.

Srideep Kesavan: So that I'll consider as a variable number, which is what actually has softened the gross margins of paneer a little bit. The only option for us is to increase the NR. But excepting for these kind of things, many of the other things, other costs in the other expenses are actually fixed in nature, which will come down with operating leverage.

Moderator: We have the next question from the line of Abhishek from Systematix Group.

Abhishek: This is Abhishek from Systematix. Just wanted to check on this mini flush or the cow flush that you were talking about earlier. What is this -- what would this be as a percentage of the main flush? How significant would this be? Because what I'm trying to understand is in case for whatever reason there is some kind of a tepidity or a failure to this also, is there a risk of milk procurement costs remaining firm till the next flush and do things like till October?

Just wanted to understand your perspective on that.

M. Sambasiva Rao: Possible the mini flush is witnessed over a period of decades in South India, where the cows are predominant. There will be 2, 3 months of milk product improvement and some amount of price softening happens is a standard feature. But this climate vagaries and related issues like diseases can sometimes impact. Like 1 year, we had lumpy skin disease, which had impacted. And occasionally, there will be some problems, but it is a

standard feature of the cow.

There will be mini flush in the April

, May, June period in South India that we expect to

be normal this year, particularly the milk prices are very remunerative now to farmers.

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Page 18 of 23 They would take greater care and production should come. And the buffalo flush will typically occur in October, November, December period, which did not happen in the expected or standard way this year.

Abhishek: Right. Understood, sir. And secondly, on the price hikes that you have just detailed in your opening remarks. I understand from one of the earlier calls of the one of the listed competitors that probably some of the other private dairies and probably some cooperatives have not taken price hikes. They've chosen to not take hikes, while we have taken something like a 4.9% on milk and 6.6% on that.

Is there -- are we seeing some bit of market share impact of that in January? Or is there a risk that we see in this current quarter mainly because of this, yes. That's it from me.

Srideep Kesavan: Thank you, Abhishek. Yes. So, some of the -- see, there's also -- see, the volume growth, I'm sure that you must have done the analysis of all the operators of dairy, others who have declared results as well, accepting some of those new businesses, the core apple -to-apple business for everyone has been soft this quarter. So, I believe -- I think the industry will have to increase prices. It cannot remain like this. Everybody's cost has gone up. Everyone has reported higher costs in Q3. It's not just Heritage. So, we have been -- we have passed on part of it to the consumer.

We believe others also will do so. Usually, it is just before March that everybody passes on some bit to the consumer. So, we are waiting for -- waiting to see how this shapes up. I'll not be able to specifically comment why they have not increased prices or why they have reduced -- why they have taken lesser price increase. I can only tell you our reasons.

Moderator: We have the next question from the line of Resham Mehta from GreenEdge Wealth.

Resham Mehta : I do have a couple of questions. Sir, one is on the heavy rainfall or erratic rainfall kind of disrupting growth. Well, that is well understood. But how does excess rainfall hamper milk production? Because -- so does it happen that artificial insemination or natural mating gets impacted or farmers become lax. They don't give animal feed to their cattle. How does this basically hamper milk production?

Moderator: Ladies and gentlemen, the line for the management has been disconnected. Please stay connected while we join them back. Ladies and gentlemen, the line for the management has...

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Page 19 of 23 M. Sambasiva Rao: Yes. I don't know, you heard Dr. Brij's clarification on animal health and milk production drop.

Resham Mehta : Sorry, sir. I missed that. If you could repeat your answer because...

Brij Mohan: Yes. Sure. I'm repeating myself. This is Dr. Brij Mohan from Heritage Nutrivet. We have observed that across Indian states, we have the cross -breed cattle. And as you know, that major milk collection is happening from the cattle, not from the buffalos.

And these cross -breed cattle, they are -- so yes, I'm repeating again, but very briefly now that Indian states, we have the cattle, which are cross -breed, and they are found to have decline in their milk yield after a couple of lactations.

So two or three lactations, it goes down. And second is there are hormonal cycles during -- especially during the rain side. That time, there are a couple of complications like mastitis infections, which are widespread that reduces the milk yield. Hope I just answer your query.

Resham Mehta : But then structurally, how can this get resolved and from a midterm standpoint, how can the milk shortage be addressed? Because seeing a 9% degrowth on milk procurement was really huge. And how also in terms of

how do we meet this milk procurement

requirement considering the growth plans that we have. So my fear is that have we already lost out on some sales revenues because we were not able to procure milk? And is that expected to continue?

Srideep Kesavan: No, no. Resha -- okay. So Resha, no, we had sufficient -- see, what happened structurally, we had sufficient milk in Q3 to service our needs. You just see the quantity

we procured. We procured about 16.73 lakh liters of milk.

And if you see our average, our total sale of Q3 is roughly around 17 lakh liters. So we managed. But usually, what happens is in Q3, we get about 19 lakh liters of milk. You see that historically, you see the last quarter 3. That surplus milk is what converts into commodities.

It also brings down the prices, raw milk prices, it increases profitability, that butter we use it for ghee, etcetera, etcetera, etcetera. That didn't happen. Right now it doesn't mean that we don't have milk. Now what we are currently -- and to address your question, we have got 1 percentage share of the industry, right? It's a very humongously huge industry, Indian dairy.

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Page 20 of 23 It's very difficult for one small actor to impact the whole ecosystem. It's impossible nearly. What we are focusing on is to double down on what we do best, which is actually in the villages, in the farmers, with the farmers that we work with, we are trying to work on farmer productivity. On an average, 3 or 4 years ago, an average farmer that we used to work with, I'm not talking about Indian average farmer, an average farmer that we used to work with used to produce about 7 liters per day. Now it is about 10 liters per day.

Now we need to -- okay, we might have hit a small air pocket that productivity has come down a little bit in Q3 of this year because of all these events. But we'll have to continuously working on taking the 10 liters to 11 to 12 to 13 kind of thing. That's what we can work on. But this is a -- this thing takes time. It cannot be addressed on a quarter-to-quarter basis.

So while the overall -- so we'll have to expect the overall milk availability to improve, which will also improve our farmers. But our farmer productivity, we work with, let's say, 2 lakh farmers. These farmers are not going to produce 12 liters per day tomorrow. This is not going to happen, right? Because this is a long-term thing and it will take time. So what we'll focus on here is that structurally, if you see, while earlier, somebody asked this question on like what changed. Our EBITDA is down by about 1.8%. Let's look at it like that. We are about -- at a consol level, 6.2% and on a stand-alone basis, about 5.4%. We are saying that this should actually be about -- out of this, we spoke about marketing and other costs about 0.6, 0.7 percentage, which can be offset through operating leverage, which is revenues and volumes coming back, which means on a like-to-like basis, we should be -- we should look at this margin offset by that much amount getting into the next quarter and beyond, right?

And there are other operating leverages, which I mentioned, alluded to once the volumes kick in because we are still cycling much lower volume growth. We need the volume growth to come back for which we are working. I think all the metrics are looking good, but we also need a little bit of weather and other consumption boost everything. All of those things also to kick in. All in all, all these factors are what's going to stabilize, normalize our business in terms of margin potential. But that said, a 1.5 to 2 percentage swing in EBITDA will always be -- because this is a cyclical business. This is an agri commodity that we are....

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Page 21 of 23 Resham Mehta : No, no Srideep, sorry to interrupt. My question was not on margins. I think that was well covered. My question was more on -- so what I understood from what you're saying is that...

Moderator: Sorry to interrupt in between Resha. I would request you to kindly rejoin the queue for the follow-up question. As we have a...

Resha Mehta: I think a lot of time got spent in this -- the connection issue. And I think all the other participants were given a fair chance to ask their question. I've just asked one question.

Moderator: Resha m I've just also ...

Srideep Kesavan: I'll answer very simply that we are working with the number of farmers and the villages where we are operating. What we are trying to do is to recruit more farmers in the villages where we are operating. We are trying to get them to add more animals. We're also expecting, let's say, the mini flush to play to our benefit. That's the only thing we can work on, right? We are working on the variables that we have influence over.

Resha Mehta: So, in the markets that where we have taken price hikes, would our peers would have also taken price hikes? Or is it only us?

Srideep Kesavan: I think Mr. Samba Murthy, COO, will be able to answer this better.

J. Samba Murthy: Yes. Some places, we have taken it up and some competitors have taken it up, but most of the competitors have not taken up. But certain places, certain markets, they have also taken up. So, it's not that everywhere others have taken it up. So, some places they have taken it up along with us as well. So, the...

Moderator: We have the next question from the line of Harsh Dubey from LFC Securities .

Harsh Dubey : I just had one, like, a couple of questions, but I will restrict it to one. Just wanted to understand that the El Nino effect that is going to come into the weather. So, what is the expectation? Like clearly, the milk supply is really low in the industry as well as the prices are stiff, and you are saying that this is not something that we can expect in the next 30 to 60 days as well.

So, when we talk about the value -added product, how do you think that is going to do in this summer as well as since we are not able to convert excess of the milk into the

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Page 22 of 23 commodities now, so how about the prices and the margins? Will be sold on lower price on the margin?

Srideep Kesavan: So, I'll not be able to comment on El Nino. But yes, excess of anything in summer, if there is excess heat, also that affects milk production, excess rainfall -- excess of anything impacts our business, right? Business has to operate in a particular corridor of comfort.

That said, excess heat is good for our sales side. That is for sure. Products such as curd, butter milk, ice cream and all of that should be -- should go well. Whether it is El Nino or not, we expect the summer to be normal. If it's a normal summer, I believe the growth that we'll deliver will be strong because we already have good indications of -- even with soft weather, when the days weather would open up, our numbers are quite strong.

If I can just say, we crossed for curd, for example, 400 tonnes is a big number that we crossed and it's the first time we crossed that number in quarter 3. All other numbers are also strong. So, we are entering the summer in a strong manner.

Nara Brahmani: I just wanted to add one more point that our numbers show a lot of positive progress when we look at scientific numbers such as brand health track, loyalty awareness, etcetera . So, a lot of effort is going in that direction to mitigate some of these external factors that are impacting our sales, and that's been quite positive.

Aside from that, we are also seeing through platforms where things are measurable such as e-commerce platforms that the stickiness with the brand for our products in certain categories is improving significantly. Last but not the least, I think it is very important for us to a certain extent to de -seasonalize

ourselves as a business.

And hence, the functional proposition is becoming exceptionally important for us. I think all along, we've been very focused on fortification as a lever to be able to do it. We are also focusing significantly on probiotics. Our butter milk, one of our variants of butter milk is probiotic in nature and is growing pretty well so that people consume it more for the functional benefits and not just seasonal reasons. Aside from that, protein is a huge, huge proposition for us.

And dairy naturally is a great source of protein, if R&D and packaging is done the right way and it's delivered to the consumer with a good amount of awareness. I'm also happy

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Page 23 of 23 to say that in the past quarter, we had launched Nourish+ paneer, which is 60 grams protein paneer, a high protein paneer along with Nourish+ milk as well.

And the initial offtake has been very, very positive through new age e -commerce platforms. So, I think there are several levers that we are working on very consciously to sort of season proof ourselves and to make ourselves a formidable brand. So, we are less affected by external conditions, and we're also putting in that effort in building awareness among our consumers.

Harsh Dubey: Thank you for that detail. And sir, I would just like to have one follow -up in this guide up. When we talk about the milk procurement that we were not able to increase our milk procurement because of the industry problem that we are facing right now.

I just wanted to understand since bulk commodity is not there right now on our balance sheet. So, when we talk about value -added product sales, will there be milk shortages that you expect in the coming quarters? Is there chances of that? Or will we lost our sales because of that? Is that a possibility?

M. Sambasiva Rao: No, that is not foreseen. We will find the sources of milk. And also, we have enough

SMP purchased and stored for meeting the requirements of next season.

Moderator: Thank you very much. Ladies and gentlemen, that will be the last question for today. I now hand the conference over to Mr. Dr. Rao for the closing comments. Thank you, and over to you, sir.

M. Sambasiva Rao: Thank you very much for your continued interest in Heritage. I'm sure you got the essence of the quarter, and we look forward to meet you all soon for the next earnings call. Thank you again.

Moderator: Thank you, management members. On behalf of Heritage Foods Limited and Go India Advisors, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

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Call: May 2026

Ref: SECT: STOC: 51-26
May 14, 2026

To
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Scrip Code: 519552 To
The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra -Kurla
Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call held on May 12, 2026 - reg.

Dear Sir / Madam,

In Continuation of our letter dated April 28, 2026 the Company had organized a conference call with the Investors/Analysts on Tuesday , May 12 , 2026 at 11.00 AM (IST). A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards

For HERITAGE FOODS LIMITED

UMAKANTA BARIK
Company Secretary & Compliance Officer
M. No: FCS -6317

Encl: a/a

HERITAGE FOODS LIMITED

Q4 & FY'26 Earnings Conference Call
May 12 , 2026

MANAGEMENT :
Mrs. N Brahmani – Executive Director
Dr. M Sambasiva Rao – Whole Time Director
Mr. Srideep Kesavan – Chief Executive Officer
Mr. A Prabhakar a Naidu – Chief Financial Officer
Mr. J Samba Murthy – Chief Operating Officer
Dr. Brij Mohan – Chief Executive Officer - Heritage Nutrivet Limited
Mr. Umakanta Barik – Company Secretary & Compliance Officer

INVESTOR RELATIONS REPRESENTATIVE :

Ms. Garima Singla – GO India Advisors

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Page 1 of 23 Moderator: Ladies and Gentlemen, Good Day and Welcome to the Heritage Foods Q4 & FY26 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “star” then “zero” on your touchtone phone. Please note , that this call is being recorded.

I would now like to hand the conference over to Ms. Garima Singla. Thank you and over to you.

Garima Singla: Thank you. Good morning, everyone. I am Garima Singla and it is my pleasure to welcome you on behalf of Heritage Foods Limited. Thank you for joining us today for Q4 & FY26 Earnings Conference Call . This call is being hosted by Go India Advisors. Please note that today 's discussion may include certain forward -looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces.

Today , on the call, we are joined by Mrs. Brahmani Nara - Executive Director ; Dr. M. Sambasiva Rao - Whole -Time Director ; Mr. Srideep N Kesavan - CEO ; Mr. A. Prabhakara Naidu - CFO ; Mr. J. Samba Murthy - COO ; Dr. Brij Mohan - CEO Heritage Nutri vet Limited; and Mr. Umakanta Barik - Company Secretary & Compliance Officer. I now invite Dr. Rao to Present the Company 's Business Outlook and Performance , after which we will open the floor for the “Q&A .” Thank you, and over to you, sir.

Dr. M Sambasiva Rao: Thank you, Garima, for the introduction. Good morning to everyone on the call and thank you all for joining us today.

At the outset, on behalf of the entire Management Team at Heritage Foods, I would like to sincerely thank our farmers, employees, distribution partners, customers, consumers, shareholders and all stakeholders for their continued trust and support through what has been one of the most challenging years the dairy industry has witnessed in recent times. As we close FY26, we do so with deep gratitude, resilience and optimism for the future ahead.

Now turning to Quarter 4 and the Overall Performance of Financial Year 2026.

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The final quarter of the year was shaped by an exceptionally tight milk supply environment, elevated procurement inflation and sustained volatility in dairy commodity markets.

What made this period particularly unprecedented was that the industry experienced supply shortages , not only during the lean season, but even through periods where availability is traditionally expected to improve. This created significant pressure across procurement, input costs and operating margins for the entire dairy sector.

Despite these difficult external conditions, Heritage Foods demonstrated resilience, stability and execution strength across the value chain.

Our teams on the ground remain deeply committed to supporting farmers, ensuring uninterrupted supply, maintaining product quality and serving consumers consistently across markets.

Despite one of the toughest operating environments witnessed by the dairy industry in recent years, Heritage Foods delivered resilient revenue performance in Q4 of FY26.

Consolidated revenue for the quarter grew 10% year -on-year to INR 11,576 million while full -year revenue crossed the significant milestone of INR 45,000 million, reaching INR 45,260 million. This performance reflects the strength of our brand, resilient consumer demand and sustained momentum across value -added products.

During the quarter EBITDA stood at INR 522 million , with an EBITDA margin of 4.5% , while profit after tax stood at INR 230 million with a PAT margin of 2.1%.

Profitability remained under pressure due to unprecedented procurement inflation.

However, disciplined pricing actions, improving product mix and continued operational efficiencies helped partially mitigate the impact.

Milk procurement during the quarter declined 7% year -on-year to 16.38 lakh liters per day, reflecting persistent supply -side constraints across industry. Average milk procurement prices increased sharply by 8% year -on-year to INR 46.67 paisa per liter in

Quarter 4 , while for the full year the procurement prices increased 7% year -on-year to INR 44.72 per liter amid industry -wide milk inflation.
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May 12 , 2026

Page 3 of 23 Despite these pressures , we remain committed to our farmer -first philosophy, continuing to prioritize timely farmer payments, cattle feed support, veterinary assistance and direct engagement programs , reinforcing long -term trust and supply continuity.

On the consumer side, demand remained healthy and encouraging. Milk sale volumes grew 1% year -on-year to 11.73 lakh liters per day during Quarter 4 and 2% year -on-year to 11.83 lakh liters per day for FY26.

Average milk selling prices improved 4% year -on-year to INR 57.80 per liter in Quarter 4 and to INR 57.13 per liter for FY26, supported by calibrated pricing actions, sustained brand strength and stable consumer demand.

Value -added products once again emerged as a key growth driver for the company .

Categories such as curd, paneer, ghee, ice creams, drinkables and other high -margin products delivered strong growth, reflecting improving brand preference, deeper market penetration and sustained consumer engagement.

Importantly, the quality of growth continues to improve. Value -added products remained central to our long -term strategy, with VAP revenues growing 18% year -on-year during Q4.

In Q4FY26 Contributions from value -added products increased to 35.5% of overall revenues compared to 32.5% in the corresponding period last year, reflecting sustained premiumization and improving revenue mix. This transformation not only strengthens our profitability profile over the long -term, but also improves the resilience and quality of the business.

From an operational perspective :

Our teams continue to focus sharply on efficiencies across procurement, logistics, chilling and digital interventions. These initiatives helped partially offset inflationary pressures and improve

execution agility during a volatile environment.

Even amidst industry headwinds, Heritage Foods continued investing confidently behind the future. Our Hyderabad ice -cream facility has now moved into production phase, while the flavoured milk plant is also nearing operationalization fully. These capacities will strengthen our presence in high -growth categories and position us well for the next phase of expansion.

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Page 4 of 23 FY26 was not an easy year for the dairy industry. From erratic weather patterns and weak flush season to unprecedented butter shortages and elevated procurement costs, the sector faced several challenges. At what stands out for Heritage Foods is the resilience of our business model, the dedication of our teams and the trust of millions of consumers and farmers associated with us.

As we look ahead, while near -term cost pressures may persist for a while, improving milk availability, normalization in commodity dynamics, stronger value -added products contribution to revenue and benefits from ongoing capacity expansion give us confidence about the future trajectory of our business.

We enter FY27 with cautious optimism, stronger capabilities and renewed determination. Our focus remains clear on strengthening farmer relationships, driving premiumization, improving efficiencies and creating sustainable long -term value for all stakeholders.

With this, I would like to conclude my remarks and open the floor for interaction. Thank you very much.

Moderator: We will now begin the question -and-answer session. We will take our first question from the line of Sameer Gupta from IIFL Capital. Please go ahead.

Sameer Gupta: Hi, sir. Good morning and thanks for taking my question. Sir, first question and it has two sub -questions. So, the outlook on milk prices. Now, last quarter we had mentioned that milk prices would remain firm till the advent of cow flush in May. And so, here we are in May and are we seeing any signs of moderation? And a sub -question to this is , last year was a good year in terms of rainfall, which generally is seen as a positive for next year's milk production given reservoir levels are healthy , and there is ample availability of feed, etc ., But this year also has an expectation of below -normal rainfall and now we are seeing inflationary pressures because of the West Asia crisis. So, does it change the

outlook for milk production in the upcoming months , your thoughts?

Srideep N Kesavan: Good morning, Sameer. First of all, I would like to break down the problem into two, right? One is the volume availability or milk availability itself and number two is the pricing. Usually, whenever there is surplus milk availability is when the prices softened significantly. We saw in Quarter 3 as well as in Quarter 4, both impacted in terms of surplus milk availability, especially in the regions where we operate, there was a
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Page 5 of 23 constraint which impacted the prices as well. As we speak now, we are already seeing supply side improved in regions of dominant cow milk availability. So, you can say that the cow milk flush has started and we are seeing the volumes being increasingly available. But it has yet to reach a place where there is sufficient surplus that the prices will start softening. So, on the one hand, it is a positive signal which we are all very happy about, but it has still not reached a place where it has started reducing the procurement prices. That is the first part. The second is, yes, you are right. Last year, we had excessive rainfalls, but what we should also note is that rainfall happened at a time when rain should not have happened. So, like summer was totally washed out , whereas, during the monsoon, there were several areas which had a deficit of rainfall. So, the headline here is actually climatic vagaries, t

he unpredictability of weather. And this, in the last quarterly call also, our CEO of Heritage Nutrivet explained that it results in animal stress, usually hormones and all get impacted. And that is what results in production declining or animal productivity falling. We just hope, and again, like you rightly said, there is news of El Nino and all, and we are also witnessing on the same side, there is good news, there is a good summer happening right now. But then, what we need is a balanced year. At this point in time, we are hoping that this is a normal year, there would be monsoon as it should be, there is summer as it should be, and things will normalize , but it is still too early to say.

Sameer Gupta: Just a follow up here, sir. So, let us say, hypothetically, this is a below normal monsoon. Will it have implications this year itself on the cow or buffalo flush or it would not matter or, that is not a factor to look at ?

Srideep N Kesavan: We should not speculate, first of all. See , this as a country, India is the largest producer of milk in the world. We have 8 crore s dairy producing households. The numbers are just too many. And the regions are so, India is also a very large country with many geo - climatic regions. It is very difficult to predict exactly how this will go. But then, we should also understand there are multiple factors. One factor is the climatic impact on the animal productivity. But the other factor is pricing. The farm level prices have never ever reached the level that it is right now. I said in the last quarterly call also, that we feel at this price level, farmers are profitable. And with this, we expect more and more dairy farmers or more and more farmers to enter into dairy , and usually, this results in production gradually increasing. And despite all other adverse factors, it should result in production going up and prices softening. This has to happen. This is a fundamental basis of every commodity cycle, right? But the thing is, we should not speculate on the
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Page 6 of 23 timing of this. At this point in time, I can only report that the cow flush has started well, and we are seeing volumes coming in.

Sameer Gupta: Got it, sir. This is very helpful. Second question is on the CAPEX this year. So, we have seen a INR 380 crore s CAPEX. Can you give a rough split of where exactly this has gone? Normally, we do a INR 150 crores to INR 200 crore s kind of a CAPEX. And what would be the guidance for the upcoming year?

Srideep N Kesavan : So, the bulk of the CAPEX has actually gone in plant production capacity expansion. Sameer, roughly around INR 300 crores has gone into plant production capacity expansion. The largest proportion of this or large percentage of this has gone into our Greenfield ice cream facility, which we inaugurated in Hyderabad. We also inaugurated a flavored milk line. That is also a Greenfield facility , this is in Tirupati. These are the two main areas where the CAPEX has gone in. We have also expanded our curd production capacity by another 50 tons per day. This is as per requirement of the season. So, all investment and some small increase in buttermilk, etc. , So, all value -added products capacities that we have invested. We also invested close to about INR 20 crore s in milk procurement or chilling center capacity addition , that is in line with our year -on-year expansion. And the others are all minor CAPEX.

In terms of going forward, we have a couple of projects that is work -in progress. We are in the process of expanding our paneer capacity, which is growing at upwards of 30% in terms of CAGR in volume terms, which means that every two years we will have to almost double our capacity. So, there is a project on paneer , there is a project on ghee. Consumer ghee is actually doing very well for us. This year, again, in terms of revenue, we have grown

upwards of 50%. So, there is a project that is undergoing in this. Apart from that, we have only regular CAPEX in the pipeline.

Sameer Gupta: So, INR 200 crore s should suffice, or do you expect another year of more than INR 200 crore s?

Srideep N Kesavan: No, I think it will be around that amount is what we should look at.

Sameer Gupta: Got it, sir. So, just a bookkeeping number . Bulk fat sales during the quarter and during the year?

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Page 7 of 23 Srideep N Kesavan: Generally, I can say that there was no bulk fat sale, but I think CFO will give the exact number.

A Prabhakara Naidu : Bulk fat sale for this quarter is nothing actually, only INR 2.55 crores. For the full year, INR 37.56 crores.

Sameer Gupta: Got it, sir. That is all for me. Thanks for taking all the questions, and I will come back in the queue for any follow -ups.

Moderator: Next question is from the line of Abhishek Mathur from Systemati x. Please go ahead.

Abhishek Mathur: Yes, hi. Good morning, sir. Thank you for the opportunity. Just wanted to check,

Srideep, sir, do you feel that due to the milk supply constraints or shortages, the growth for us was held back or is currently being held back in any way versus what we could have done for the quarter or for the current quarter? That is my first question.

Srideep N Kesavan: Volume -wise, there was no constraint. We managed the volumes, right, but in terms of pricing, we had taken up pricing a little more aggressively, which might have muted the growth a little bit in terms of volumes, especially on the milk. In the milk, actually, our volume growth was only about 1.2 %. That was because of aggressive repeated price increases that we had to do to manage the raw milk price inflation. But otherwise, supply -side, it did not constrain t our growth.

Abhishek Mathur: Right. A follow -up on that, sir. The pricing that we took, what was the quantum of that for the previous quarter and currently anything that we are planning on this side?

Srideep N Kesavan: I think this is indicated in our investor note.

Abhishek Mathur: Anything further planned, sir, in the current quarter?

Srideep N Kesavan: Yes, so we increased our milk prices by about 3.96 % or 4% you could say for the quarter. And across value -added products, we had increased prices everywhere, like curd prices increased. There is again a mixed change also is there because different regions might have had different impact. Even paneer, we took up prices by 5 %. Ice cream prices went up by about 13 %, etc., so as we speak now, we have again increased prices selectively in several markets as in the month of April , and we are continuing to review this in May also , we are taking up some more prices. Good news is that the demand is strong. And despite price increases, we have been able to grow business. So, that is good

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Page 8 of 23 news. So, we are rather than picking pricing up in one shot, we are staggering it and we are taking it by different packs and different regions.

Abhishek Mathur: Right. And s ir, can you quantify the price increase that you have taken in April and now in May?

Srideep N Kesavan: I would no t be able to tell you about the prices in the current quarter. But , I can tell you that we are actively looking at price increases. We have done price increases as well.

Abhishek Mathur: Right. And secondly, I just wanted to check what is the salience of cow milk for our production and which are the regions where we are indicating that there has been a cow flush and therefore there is a recovery in supply?

Srideep N Kesavan: We have about 80% cow milk in our mix. And predominantly, it is the south of India, which is southern and coastal Andhra, as well as Tamil Nadu and Maharashtra. These are main regions for us.

Abhishek Mathur: All right. Great. Thanks and all the best.

Moderator: Next question is from Nirmam from Unique PMS. Please go ahead.

Nirmam : Yes, thank you for the opportunity. Just to follow up on the previous participant's question, sir, you mentioned that milk volumes were muted due to the price hike that we have taken, but volumes have been poor for quite some time now. So, what are the challenges that we are facing for growing our milk sales, especially volumes?

Srideep N Kesavan: Yes, I think the first and foremost as far as milk is concerned, as a company, we are focused on delivering a balanced growth, which means that we need to sustain growth momentum in milk, at the same time driving aggressive growth in value-added products. And it is a fact that as a company, we have sustained aggressive growth in value-added products. In Quarter that went by our value-added products have grown at 22.5%, and this is value-added products, including ghee. And if I remove the ghee also, value-added products have grown at 18%, right? But milk growth has been about 6%, and out of which roughly around 1%-1.2% is volume growth, and the rest is price-led growth. There are two factors happening. The first is that in most of our markets, actually what is driving aggressive growth for us in value-added products is curd. And we are seeing that households previously that used to buy milk and convert part of the milk to curd, are now buying curd as well in package form, which is great news. Because the penetration

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Page 9 of 23 of curd in households, even now, in south of India is only at around 20%-25%, which means that 75%-80% of people are still making curd at home. This is fast changing, especially with the aggressive category building work that we have done in the last four or five years. And this is helping us put ourselves in a leadership position. So, this is one factor. So, the quantity required for the household is now breaking up into milk and curd, and curd is coming home directly, and hence the milk requirement is falling a bit. This is one reason. The second reason is increasing competition. And I do not think that I can shy away from this. Like Heritage is now available in North India and West India and all of that in Mumbai, Delhi, and all the same way, some of the national brands are also coming to our markets, right? So, there is increased competition in all markets. And that is also another reason why the market is getting more and more fragmented. But see, as far as we are concerned, there are two things that are most important for us. Number one is that we hold our franchise and we sustain the momentum, which means that we need to continue to grow. And that is what we have delivered. I do not think in any other quarter we have declared that we have de-grown in volumes. We have never. So, we are growing. Secondly, what is important for us is that we are aggressively driving growth in value-added products to overcompensate for the limited growth in milk. And these two have worked reasonably well for us.

Nirmam: So, earlier we were expecting about 4% of volume growth in milk volumes. So, does that number change going forward in a normal situation when the supply constraints are not there?

Srideep N Kesavan: There is no supply constraint. But I am saying, yes, that is still our North Star. See, the industry is expected to grow at between 3% to 4% as far as milk is concerned. And so it is our aim to grow at that rate. But, this is a combination of many factors. It is a combination of, like I said, consumer basket shrinking. It is also a function of markets fragmenting, channels fragmenting. It is also a function of various regions. It is not like while our numbers are 1% growth, region-wise there are variances also. So, our aim is still to try and aim and reach that 4% growth target that we have for ourselves.

Nirmam : Got it, sir. Thank you and all

I the best.

Moderator: We will take our next question from the line of Resham Jain from VVD Asset Managers. Please go ahead.

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Page 10 of 23 Resham Jain: Yes, hi. Good morning. So, I have two questions. So, first one is, in the current situation, how are you seeing co-operatives behaving, especially in Andhra, Karnataka and Maharashtra -- is it similar or are you seeing any difference? And are they also taking price hike?

M Sambasiva Rao : We do not have their reported numbers. But all must be going through the same situation in all the regions, except in Karnataka where Nandini has reported in the news that they have achieved good volume of milk in the last month. Not many people procure milk in Karnataka as there is a price discrepancy. But, other states must be in the same boat, but no numbers are announced by any of them.

Resham Jain: So, no price hikes by co-operative as well, like you took 4% price increase?

J Samba Muthy : Yes, basically, some co-operatives have increased the prices and some other co-operatives have not increased the prices in this particularly southern region. Like Kerala and Karnataka not increased, AP co-operatives increased it and Telangana co-operatives increased, Tamil Nadu and Kerala went through elections recently, may be we can expect after the government has formed.

Resham Jain: Understood. Sir, the second question is with respect to your North and Mumbai geography. What is the contribution now coming from both these regions for you in terms of revenue?

Srideep N Kesavan: It is still less than 10%.

Resham Jain: And profitability, because these regions were still in the ramping up stage and profitability was low, are you seeing improvement there?

Srideep N Kesavan : These regions are still not profitable for us. We are working towards improving the profitability. Maybe this current financial year FY27 could be a year where we will see some improvement and we get closer to breakeven at least in one of the regions.

Resham Jain: Okay. Understood. Great, sir. Thank you. All the best.

Moderator: We will take our next question from the line of Rehan Saiyyed from Trinetra Asset Manager s. Please go ahead.

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Page 11 of 23 Rehan Saiyyed: Good morning to the team. I have a couple of questions. My first question is on your ice cream facility in S hamirpet ramp-up. So, I just wanted to understand, could management elaborate on the expected utilization ramp-up for the S hamirpet ice cream facility?

Srideep N Kesavan: Yes, sir, so, in the first year, we are expecting the utilization to be around 35 % to 40 %. And we had mentioned that it will take us about six to seven years to utilize this facility completely. That is assuming that we are able to grow year-on-year at upwards of 20 %, 25%.

Rehan Saiyyed: Yes. So, management added INR 500 crores ice cream revenue by FY 30, so, which implies a sharp scale-up. So, what gives you confidence in achieving this target given the highly competitive nature of the category?

Srideep N Kesavan: See, there are many things here, right, to way to look at it. First and foremost is that this is a very, very fragmented category, but it requires an ice cream freezer to sell the ice cream, which means if you place an ice cream freezer, only you are selling. You must be seeing it in your own residential area wherever you stay. I do not know where you stay, but wherever you stay, there will be only one brand available and that brand sells. An ice cream is an impulse product. And if you are in a shop and the product that you get is X or a brand that you get is X, then X is what you consume. You are not going to walk half a kilometer to buy another brand, right? So, that is one. So, we have our strength and in those areas of strength or regions of strength, we are adding more freezers and th

at is

what is driving our growth. And if you have seen our ice cream business in the last four or five years, it is nearly quadruple. That is the reason why we have added the ice cream facility, right? Otherwise, we would not have added. We are continuing to see that momentum in our market, right? Second thing that we also need to remember is that very recently we acquired majority stake in Peanut butter and Jelly Private Limited. It is one of the fastest growing new-age ice cream brand and it is available all over India. They sell high protein, zero sugar ice creams. They are doing exceedingly well. We are co-manufacturing for that as well. So, that is also being made in our factory. That is also helping us utilize the plant better.

Rehan Saiyyed : Okay, fair enough. And my second question is around your receivables that has increased significantly during FY26. So, could you please state the key reason behind this - is it increasing to higher dependence on modern trade and e-commerce channels where collections cycles are structurally longer ?

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Page 12 of 23 A. Prabhakara Naidu : Receivables, previous year it was actually INR 37.52 crores. Now, it has gone up to actually INR 64.81 crores. Mainly in MRF, actually, it has gone up by INR 26 crores.

Subsequently they have cleared the payment after 31st March.

In the month of April, it has come down. But as on 30th April, it came down to INR 51.67 crores.

Srideep N Kesavan: March is a transitory number. In April, that has significantly come down. But even if I take INR 51 crores and compare it with, let us say, previous financial year closing of INR 35 crores, it has gone up, and primarily, it is because of the reason that you

mentioned, which is our salience of organic trade is increasing. And organic trade, there is receivables. But these are all large listed entities that we are working with. You know most of the customers, right? In all the large organizations. We do not see any risk. And in terms of number of days, these debtors is not more than three weeks. There is nothing which is at risk at this point.

Rehan Saiyyed: Okay. And my last question is I just want an understanding about that how Heritage is transforming into a full FMCG company. So, what are the biggest operational changes underway to support this transition, because despite a strong brand positioning, a large part of revenues comes from liquid milk, so, which remains a relatively lower margin category, so, over that, what timeframe can the business generally start assembling an accessibility-style marketing profile?

Brahmani Nara: Thanks for the question. I think we are very much thinking in the line of the vision that we have for 2030, which is to be the most admired dairy nutrition company, and we are working strongly towards that. I think, I can not give you exact numbers, but Q1 itself is looking very interesting for us, because our value-added product performance is improving significantly given good weather, and given the fact that we are working with channels which are also new-age in nature. So, I think we are working positively in that direction. And we aim to increase our value-added product contribution towards that overall revenue by 2%-2.5% year-on-year going forward. We are also happy, as mentioned earlier, to say that some of our nutritious products are growing really fast in the market. We are seeing very good traction in paneer, which is very nutritious by itself, north of 30% in terms of growth as of last financial year. Even SKUs such as high-protein paneer are doing well in the market, especially through new-age channels. We are also happy to share that our yogurts are doing well in the market; we did about 100 tons of sales of our high-protein yogurts over Q4, which is good traction over what it Heritage Foods Limited

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13 of 23 was previously. We are also seeing good traction in probiotic buttermilk, which is sold in 500ml packs and which is north of about 25,000-30,000 liters per day in terms of sales. So, we are really committed to our vision of being not just growing in value-added products and improving value for all stakeholders, but also growing in nutritious products and differentiating ourselves. And another step in that direction has been the partnership for the acquisition of majority shareholding in Peanutbutter and Jelly or Get-A-Way ice cream. On the other hand, we are also very committed to our purpose, which is doubling farmers' incomes every couple of years. And I believe that this is a strong relationship that we have with farmers that is helping us secure our procurement going forward, as well as share more and more of the benefits with them across our geographies.

Rehan Saiyyed: Okay, that is great and thank you for answering my questions and good luck for the upcoming quarters.

Moderator: We will take our next question from the line of Shazad Shroff from Demeter Advisors. Please go ahead.

Shazad Shroff: Yes, thank you for the opportunity. A couple of questions. One is, when I look at the milk WPI chart, milk WPI is up from 186 to 192 over the last year, which is like a 3%, 3.5% increase versus our procurement prices have gone up by 8%. So I want to understand why is the difference there?

Srideep N Kesavan: See, the WPI is something that we have put on the charts as reported from a particular source. It may not be the exact number that is happening in the market actually. It is a country with various representations. We will have to look at exactly the weighted average for the regions where we are operating, #1. And #2, the wholesale price index is one way to look at it. But another way to look at it is actually the commodities and commodity prices. So, if you look at whether it is SMP or butter and all of that, the inflation which you can look at the NCDFI traded values, you will see that the inflation is roughly in the range of 8%. The raw milk prices for us is a reality and that is something that is not just reported by Heritage, but also by media in general. You can look at dairy news sources, which will give you a better perspective. But you can not compare a national average with the regions where we are operating.

Shazad Shroff: All right, that is helpful. And my second question was, can we say that margins have bottomed out in this quarter, because you are seeing better supplies for cow milk that Heritage Foods Limited

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Page 14 of 23 you stated earlier , you should see a ramp up on ice cream, which is a higher margin business , and you have taken price hikes and planning to take more price hikes as well ?

Brahmani Nara : So, margins are a function of two things, right , -- Increase in growth, especially in value - added products for our industry, as well as procurement prices. When it comes to the farmer, we are seeing very good traction already in this summer unlike the previous summer where it was a washout and there were incessant rains. It is hot across our core markets, and we are seeing really good traction in terms of volumes. When it comes to value -added products across the board, it would be curd, it would be buttermilk, it would be some other drinkables, and not just that, even in other products, which are value - added in nature. So, typically speaking, volumes should improve during this point in time given a good peak season , but we are just at the beginning of the season, so we need to wait and watch how things pan out both on the external conditions side and on the procurement side.

Shazad Shroff: Okay, got it. Thank you and all the best.

Moderator: We will take our next question from the line of Keshav Garg from Counter Cyclical PMS. Please go ahead.

Keshav Garg: So, firstly,

we wanted to understand about the balance sheet. We can see some goodwill, other intangible asset, intangible asset under development, which were not there last year, so, if you could just tell us that what are these regarding?

A Prabhakara Naidu: In the month of actually January, we have invested in PBJL Company . So, in that regard, actually, there is a purchase price allocation, whatever the price that we have paid, actually INR 9 crores. Then there is an agreement between these two parties to acquire actually additional 20%. So, that is a potential acquisition. Both together in the first or second quarter, it is going to be around 71% of the acquisition. In this regard, actually, whatever the assets for purchase price allocation, we have engaged a consultant to the value the business. Then tangible assets are INR 1.2 crores and intangible assets, I will tell you the broader numbers actually .

Keshav Garg : Understood. Sir, my second question was that when do you foresee our value -added products contribution exceeding 50% of our revenue? And let us say for the next three to five years, what kind of volume CAGR we are looking at? What is the aspiration for the EBITDA margin at what level in a normal year, not very good, not very bad , what is the Heritage Foods Limited
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Page 15 of 23 steady state kind of EBITDA margin that you have in mind? And how will that for every, let us say, 5% -point increase in value -added product contribution to our revenue mix? How much does our operating margin moves up, everything else remaining the same? And sir, lastly, sir, is there any advantage or disadvantage of being in, let us say, Punjab, which is not continuous to our South Indian geography, where we are in all the adjoining states? And since the revenue is very marginal, is there any gain in exiting those operations , or is the aspiration to become a pan -Indian player?

Srideep N Kesavan: Yes. Okay. Thank you, sir. You asked a lot of questions. So, I hope I remember and answer you all the questions. So, the first is with respect to value -added products. I think our executive director already mentioned this in her comment earlier, that we are looking at expanding value -added products between 2% to 2.5% every year. 2% is what we have delivered in the last four years. And last quarter , actually, in fact, in Q4FY26, we have expanded our value -added product contribution by about 3 % , So, that is an exceptionally good year as far as value -added products is concerned. But , I think on an average, you can take about 2.5%. So, if I take value -added products inclusive of ghee, which currently stands at around 40% roughly, it will take another four years or so for us to reach about 50% ... maybe maximum five years. But I think we should be able to get there in four years ' time. This is the first question. Second is with respect to EBITDA, what you mentioned. So, if you recall, last year, our EBITDA was about 8% , and this year is about 5.9%. So, we had roughly 2%, 2.1% shrinkage of EBITDA, right? Now, we know that in the milk business, there is a cyclicity of plus or minus 2%. We have seen this. Actually, you are all analysts, so you can do the analysis yourself. If you take long-term, last two decades, you will see that it goes up plus 2%, minus 2%. This cyclicity is something which is very difficult to get away from this business. Now, our median EBITDA is roughly around 7%. So, in a good year, we go to about 8 % or 9% EBITDA and in a bad year, we are going down to about 5% EBITDA. Now, what is to be noted here is that we have the fundamentals of the business have improved, which is the reason why I know that this is not a result which you all would have expected or actually will agree to. But actually, if the business fundamentals had not improved with this much of inflation, we would not have been able to deliver 5.9% EBITDA. So,

actually, we hav

e improved. So, the way I look at it, it is about 90 basis points better than our usual delivery actually. So, which means at this point in time, if I look at a positive swing, this can go to about 9.8% also, right? But the key point that we are looking at is that the median EBITDA that we have in a normal year of 7%. Every year, we are trying to improve it. So, I can say that in the last couple of years, we must have
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Page 16 of 23 moved it close to 100 bps, so, now our median is probably around 8%. We are trying to push our median upwards. Our objective is to take the median towards a high single digit, which is about 9%. So, that in a bad year like this, our EBITDA will be around 6.5%-7%, and in a good year, we will even cross 10% or 11%. That is our effort, right? And you will see this happening significantly year-on-year. You will see this happening primarily due to two levers, lever number one is value added product contribution increasing and lever number two is operating leverage. Now, operating leverage is not just with our factories capacity utilization going up, but it is also improving performances in the weaker regions like Maharashtra and North of India. Now, I will come to the last question that you asked, which is why are we present in Punjab? See, our presence in Punjab is limited to Chandigarh Tri city. And Chandigarh Tri city is a good market for us. We are selling our products there. See, our strategy is not to spread thin. Wherever we are present, we go deep. So, in Haryana, for example, we are there in Hisar, but we are not there in Rohtak. So, if you go there, actually you see, you will not find Heritage in Rohtak, but you will find us in Hisar. We are there in Ambala, but we are not in Kurukshetra. So, there are cities where we are present, but wherever we are present, we are present very, very strongly. We are either number two or number three player. So, there is salience in the business. That is the reason why we are there, and we are building our strength over a period in time. I hope I have been able to answer.

Keshav Garg: Sure. Sir, so is the aspiration to become a Pan-Indian player or a strong regional player?

Srideep N Kesavan: At this point in time, we are going deeper and deeper and deeper in the regions where we are present. We are taking very strong positions in certain value-added product categories, for example, we are already nationally top five players in curd, buttermilk, paneer, yogurts, ice cream. These are all products where we are betting and we are building our strength. Ghee also, now we have become a nationally top-ten player, as is our milk. Milk also, we are among the national top-ten players. So, there are products, bets that we have taken, and in these bets, we want to get strong. Similarly, in the regions or locations where we are, we want to become extremely strong. And that is the way we work. We do not believe in spreading thin. So, even in Maharashtra, you would not find us in Nagpur, but we are there in Thane. But in Thane, you will find us more and more. So, there are regions where we go deeper.

Moderator: We will take our next question from the line of Rajat Setiya from iThought PMS. Please go ahead.

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Page 17 of 23 Rajat Setiya: Hi, thanks for the opportunity. Sir, two questions. One is, what is the reason for the lower fat sales in this year? And secondly, on the milk volumes, you said volumes are coming in. And if you can comment on the raw material milk pricing, that would be great as well? Thanks.

Srideep N Kesavan: Yes. So, see, the fats actually is lower because of bulk fat decrease. I am giving a full year picture, right? So the bulk fats have declined by about 70%. So, we used to have INR 125 crores of revenue in bulk fats. This year, the bulk fat revenue, I think CFO read it

out earlier, is only INR 38 crores, whereas our consumer fats, revenue is touching close to INR 300 crores, it has grown at 48%, which is ghee and salted butter, right? So, that is actually good news for us. So, consumer business has grown at 48%, the bulk business or commodity business has declined by 70%. Overall, if I add both, then the fats have declined by 11%. But otherwise, it is actually a strong positive response.

Rajat Setiya: So, one small follow-up here. So, the reason why bulk fat sales have come down is because of the rising consumer sales or some other reason as well?

Srideep N Kesavan: There are two reasons. One is actually bulk butter prices were very high last year. So, if I had surplus butter, I would have actually sold in bulk butter and would have been even profitable. There could be others who would be doing the same. Because we had milk

constraint ... and somebody asked this question, "Did you have enough milk for your sales?" So, we prioritize consumer business because that is what is repeatable, it will keep happening next year, the year after next, and forever it will come, right? So, we prioritize consumer business or branded business. And because we did that, we did not go for the opportunistic sale of bulk butter, where we could have actually booked some sale and booked some profit also. We rather focused on driving our consumer ghee and consumer butter sale, right? That is the reality.

Rajat Setiya: Got it. Thank you. And so on the milk procurement prices, what is the scenario right now?

Srideep N Kesavan: Procurement prices for the last year, same quarter was INR 43.20, this quarter, it is INR 46.67. And please note, the way we report our procurement prices is landed to our chilling centre. The way you should understand is that farm gate price given to farmers, plus the operator commission, which is actually the village level collection centre expenses, plus the in-ward freight is added to it, right? So, that stands at INR 46.67, which is an increase of INR 3.47 or 8%.

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Page 18 of 23 Rajat Setiya: For the quarter?

Srideep N Kesavan: For the quarter. And for the full year, it stood at INR 44.72 versus previous year full year price of INR 41.92, which is an increase of INR 2.80, and in percentage, it is 6.7% increase.

Moderator: Next question is from the line of Hitendra Pradhan from Maximal Capital. Please go ahead.

Hitendra Pradhan: So, a follow up to previous discussion, I just wanted to understand the procurement prices. If you can explain what it is linked to? I mean, what you indicated is, it is basically we procure from farmers, farmer network and all, but it is not directly, like linked to the WPI index or national prices, and it is kind of regional. So, if you can talk about that, because in last two years, it has increased by INR 5, whereas our milk sale price has increased by INR 3? So, I just wanted to understand on the procurement side, what it is benchmarked with?

Srideep N Kesavan: At the end of the day, in each village, there is a supply/demand economics playing, right? It is a simple math. If I do not pay that price, then the milk goes somewhere else. So, it is not like you are the only operator there. In each region, we have different competition. So, like Tamil Nadu is one of our largest procurement regions. There we compete with the large private dairy companies like Hatsun Agro, Milk Must, etc., as well as the co-operative Amul. So, in each region, there is a price discovery happens because of the different prices offered by the different companies. Same is the case with Maharashtra. Wherever we are operating, there are multiple players. So, price discovery happens at the village level. And we have algorithms which tell us when we are having shrinkage of volumes and all of that, and then to sustain the volume, we have to give

the

price so that the milk keeps flowing, right? And of course, even though it is a very large industry, it is a small world. Everybody knows everybody's price. It is not a secret. So, we know the prices of all the players who are operating in our region.

Hitendra Pradhan: Got it. So, that the price discovery is faster and there is like competition?

Srideep N Kesavan: Yes. Because the moment anybody increases price, the price circular is circulated. It comes in WhatsApp. Everybody can see the prices.

Moderator: Next question is from the line of Kiran from Green Investors. Please go ahead.

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Page 19 of 23 Kiran: Thanks for the opportunity. Firstly, thanks for the opportunity and congratulations on the INR 4,500 crore revenue mark. So, I just have a couple of questions. One, what is the share of our conventional GT business whether is the new trend of E-Com and Quick Com? And what is the delta margin between these two channels or markets, what do you call it?

Srideep N Kesavan: Yes, so our general trade contributes about 80% of our revenue and Modern Trade and E-Commerce, Quick Commerce contribute about 20% of the revenue. And in terms of margins, they are comparable. Of course, the right number to look at is product-to-product, region-to-region, because the mix actually makes a lot of difference. For example, even as we speak now, fats for us make loss; we make about 6% loss in fats. And the contribution of sale of fats through organized trade is much higher, because of which the weighted average margins come down. Or for that matter, Quick Commerce, a

large percentage of sale is still milk, which milk has got lower profitability compared to value-added products. So, all these mix being kept aside, the margins are comparable.

Moderator: Next question is from the line of Abhishek Mathur from Systemati x. Please go ahead.

Abhishek Mathur: Yes, thank you for the opportunity. What is the trend that you are seeing on the fodder cost for the farmers -- do you see the fodder cost for the farmers inflating or how is the trend you are seeing now? That is it.

Dr Brij Mohan : Yes, the fodder cost if you remember the last time when I shared three months ago, during the summer, the fodder availability gets weaker. The second input which I would like to share with everybody is that we have fortunately a good surplus on energy crops like corn, the maize what we have, and we do not have much of exports as on today. Prices are relatively helpful to us. That means the farmer is having energy surplus forage. But , at the same time, the difficulty is coming from the protein side, the fodder, which is having a similar availability, but the prices are on the higher side. So, overall, to conclude on your question is, fodder side plus the feed side, we are in a very good situation. Only the prices are a little towards the higher side since November 2025 and continuing until today. But we are expecting to have some reduction, possibly by next month itself.

Moderator: Next question is from the line of Resham Jain from VVD Asset Managers. Please go ahead.

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Page 20 of 23 Resham Jain: Yes, you mentioned that your paneer sales is seeing a very good growth, but while manufacturing paneer, you get whey as a byproduct. So, what are you doing with whey and any plans to enter into whey protein, or is it too small right now to get into it?

Srideep N Kesavan: It is something that we are considering. At this point in time, we are using our whey for various things, including we also have a certain drinkable that we sell in the market, such as Gluco Shakti . Even though it is very, very small at this point in time, but we are doing some products. But of course, yes, let us say whey powder and all are things that we are looking at , at this point in time. I think a gentleman

asked in the beginning about

our CAPEX philosophy. Our CAPEX philosophy, we take balanced and measured risks. And so we balance our CAPEX with projects which have got short gestation, such as curd, paneer, etc. , Very short gestation because the ROCE of curd is very similar to milk, right , and it generates quick free cash flow. And we match that with long gestation projects such as ice cream, etc. , So, there is a plan that we have in the long range, and you will see these things coming up. Timing is what we will have to look for.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand the conference over to Dr. Rao for closing comments. Over to you, sir.

Dr. M. Sambasiva Rao: Thank you all for your continued interest in Heritage Foods and looking forward to interact with you in the course of the coming months. Thank you. Good day.

Moderator: Thank you. On behalf of Heritage Foods Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

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Call: Jul 2026

Ref: SECT: STOC: 76-26

July 21, 2026

To

The Manager

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

Scrip Code: 519552 To

The Manager,

Listing Department,

National Stock Exchange of India Limited

Exchange Plaza, C -1, G Block, Bandra -Kurla

Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call held on July 17 , 2026 - reg.

Dear Sir / Madam,

In Continuation of our letter dated July 8, 2026 , the Company had organized a conference call with the Investors/Analysts on Friday , July 17, 2026 at 4.00 PM (IST) . A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,

For HERITAGE FOODS LIMITED

UMAKANTA BARIK

Company Secretary & Compliance Officer

M No: FCS -6317

Encl: a/a

HERITAGE FOODS LIMITED

Q1 FY27 Earnings Conference Call

July 17, 2026

MANAGEMENT :

Mrs. N Brahmani – Executive Director

Dr. M Sambasiva Rao – Whole Time Director

Mr. Srideep Kesavan – Chief Executive Officer

Mr. A Prabhakar a Naidu – Chief Financial Officer

Mr. J Samba Murthy – Chief Operating Officer

Dr. Brij Mohan – Chief Executive Officer - Heritage Nutrivet Limited

Mr. Umakanta Barik – Company Secretary & Compliance Officer

INVESTOR RELATIONS REPRESENTATIVE :

Ms. G arima Singla – GO India Advisors

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Page 1 of 21 Moderator: Ladies and gentlemen, good day, and welcome to the Heritage Foods Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I will now hand the conference over to Ms. Garima Singla from Go India Advisors

for opening remarks. Thank you, and over to you.

Garima Singla: Thank you. Good afternoon, everyone. I'm Garima Singla, and it's my pleasure to welcome you on behalf of Heritage Foods Limited. Thank you for joining us today for Q1 FY27 Earnings Conference Call. This call is being hosted by Go India Advisors. Please note that today's discussion may include certain forward-looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces. Today, on the call, we are joined by Mrs. Brahmani Nara, Executive Director; Dr. M. Sambasiva Rao, Whole-Time Director; Mr. Srideep Kesavan, CEO; Mr. A. Prabhakara Naidu, CFO; Mr. J. Samba Murthy, COO; Dr. Brij Mohan, CEO, Heritage Nutrivet Limited; and Mr. Umakanta Barik, CS and Compliance Officer. I now invite Dr. Rao to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

M. Sambasiva Rao: Thank you, Garima. Good afternoon, everyone, and thank you for joining us today. Financial year '27 has begun with another quarter of disciplined execution for Heritage. Despite the challenging environment for the dairy industry, we delivered the highest quarterly revenue in the company's history while continuing to strengthen the building blocks of our long-term growth. Throughout the quarter, we remain focused on our strategic priorities, namely reinforcing our procurement network, expanding our value-added products portfolio, investing in manufacturing capabilities and building new growth platforms.

Our integrated farm-to-consumer model continued to differentiate Heritage by ensuring reliable milk availability while supporting the rapid expansion

of our

value-added products portfolio. This disciplined execution was reflected in our financial performance. Consolidated revenue increased 18% year-on-year to INR13,381 million, marking another important milestone for Heritage. EBITDA

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Page 2 of 21 stood at INR619 million with an EBITDA margin of 4.6%, while profit after tax stood at INR150 million, translating into PAT margin of 1.9%.

Although elevated milk procurement costs continue to weigh on the dairy industry, resilient demand across our value-added products portfolio, calibrated pricing actions and disciplined execution enabled us to deliver another quarter of healthy growth while continuing to invest for the future.

Every successful dairy business is built on a strong and resilient procurement network. During the quarter, milk procurement prices increased 7% year-on-year to INR46.61 per liter, reflecting continued supply tightness across key milk producing regions.

Despite these industry-wide challenges, Heritage increased milk procurement volumes by 2% year-on-year to 18.10 lakh liters per day through its sustained investments in farmer engagement, vet services, cattle nutrition programs and timely payments. These initiatives ensured uninterrupted milk availability while further reinforcing one of Heritage's most enduring competitive strengths.

On the demand side, milk sales volume remained stable, while average milk sale prices improved 4% year-on-year to INR58.68 per liter, reflecting the strength of the Heritage brand and sustained consumer trust. The benefits of these investments are becoming increasingly visible in the evolution of our business mix. Value-added products continue to be the primary growth engine during this quarter with VAP revenues growing 40% year-on-year to INR5,636 million. Importantly, this performance was driven by healthy underlying volume growth across categories with paneer volumes growing 33%; curd, 26%; ice cream, 25%; butter milk, 60%; and lassi, 98% year-on-year, demonstrating the growing consumer preference for our differentiated portfolio.

Consequently, value-added products contributed a record 44% of consolidated revenues compared to 36% in the corresponding quarter last year. Including our consumer pack ghee and butter portfolio, the broader VAP portfolio grew 39% year-on-year to INR6,322 million, contributing a record 49% of consolidated revenues versus 41% a year ago.

This continued improvement in our product mix reflects the premiumization of our portfolio and our steady transition towards a more branded value-added business. Our ice cream business also continued to build strong momentum

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Page 3 of 21 during the quarter. It crossed INR550 million, growing 65% year -on-year with Alpenvie, our new brand, delivering robust growth of 44%.

Get-A-Way also delivered an encouraging performance with revenue growing 196% year -on-year, supported by improved product availability following capacity expansion while achieving a near breakeven bottom line. Supporting this momentum, our newly commissioned ice cream facility ramped up well during the quarter, reaching approximately 40% capacity utilization.

The facility now manufactures both Alpenvie and Get -A-Way portfolios from a common platform, enabling faster capacity absorption, improving operating leverage and providing sufficient headroom to support future growth. Together, these developments reinforce our strategy of building differentiated high -growth brands across premium dairy and nutrition -led categories.

Beyond our core dairy operations, our adjacent business also delivered encouraging performance. Heritage Nutrivet reported revenue of INR728 million, represent a robust growth of 37% year -on-year despite elevated input costs across the animal nutrition industry, while delivering a PBT of INR20 million.

illion.

This performance reflects the strength of the business model and the growing opportunities within the Animal Nutrition segment.

We also continued to strengthen our long -term growth platforms during the quarter. Heritage Novandie Foods became a wholly owned subsidiary, reinforcing our presence in the fast -growing high -protein yogurt category through Livo brand. We also increased our shareholding in Peanut butter and Jelly Limited to 71%, reflecting our conviction in the long -term potential of the better -for-you nutrition segment and further expanding our presence in attractive premium food categories.

Alongside these investments, we continue to build a stronger portfolio of brands. Alpenvie is undergoing a comprehensive brand refresh with a new identity and several new SKU launches. Nourish+ continues to gain strong traction, particularly its high -protein paneer variant, while Livo continues to perform well across organized retail.

Sampurna A2 Curd, chef's choice curd and organic milk are also witnessing encouraging consumer acceptance and building salience across the markets where they have been introduced. Collectively, these initiatives are expanding our presence across premium dairy, nutrition -led and differentiated food categories while reinforcing our long -term brand building strategy.

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Page 4 of 21 The quarter also brought encouraging external recognition. Heritage Foods received the Investor Relations Excellence Award in the F&B category from the Investor Relations Society, while our Vice Chairperson, Managing Director, Mrs. Bhuvaneswari Nara; and our Executive Director, Mrs. Nara Brahmani, were recognized among Fortune India's Most Powerful Women 2026.

These recognitions reflect our continued commitment to strong governance, transparent communication and long -term value creation. As we continue to invest for the future, we remain disciplined in allocating capital towards opportunities that strengthen our competitive positioning while maintaining a prudent balance sheet.

Our long -term direction remains unchanged. We are building a larger, more premium and more resilient branded value products category anchored on a trusted dairy platform. Every investment we are making today across procurement, manufacturing, brands and adjacent growth platforms is aimed at improving the quality, resilience and predictability of our business while creating sustainable long -term value for all our stakeholders.

On behalf of the entire management team at Heritage Foods, I would like to thank our farmers, employees, distribution partners, customers, consumers, shareholders and all our stakeholders for their continued trust and support. With this, I would like to conclude my remarks and open the floor for discussion. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on their

touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use their handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We take the first question from the line of Sameer Gupta from IIFL Capital. Please go ahead.

Sameer Gupta: Hi. Good evening, everyone, and thanks for taking my question. First question is on the milk procurement outlook. So, we are now well into the summer flush or the cow flush. Any inkling to the milk production or procurement that has happened so far? Are the milk procurement prices kind of easing or they have continued to remain firm? Any outlook you could provide on the upcoming overall flush also would be helpful given that it is likely to be an El Nino year

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also in an inflationary environment? That would be my first question, sir.

J. Samba Murthy: Yes. I'd like to inform you that this time actually, this season generally, we expect a mini flush in April, May, which -- because of this weather condition, climatic conditions that could not happen much. And however, we have procured about 18.1 lakh liters during Q1 and the prices have gone up actually. So, if you take March to April to May to June, prices have gone up.

And looking that now prices are now stable, but still we have to see that there is any challenge further in that based on the geography and weather conditions because it is dependent on rain and some and temperatures and all. Different geographies are behaving differently, prices had increased but looking at stable now. And then as usual, we expect that in Q3 that October onwards, there is going to be a flush season. This Q2, actually, now we are observing that the price is going to be stable or a little bit increase.

But apart from that, whatever the quantity required for us, actually, we are able to source this by expanding our network at the village level through Heritage procurement centers by adding number of farmers actually each village level and improving the throughput at that village level procurement volumes and working with the farmers and improving the farmers level production actually.

So, productivity per animal has come down, but throughput from the farmer actually we are trying to increase it and to get more milk in Q2 as well. So that is the condition.

Sameer Gupta: Got it, sir. So, what I gather is that the mini flush in April, May, you said, right, typically happens. That hasn't happened. And typically, prices which should have come down have not come down, but firmed up and you still expect October flush to be stable to inflationary, which may not be the case normally. Is this a correct understanding?

J. Samba Murthy: Yes

Sameer Gupta: Got it. Sir, I understand that you will not have any procurement challenges, which brings me to my next question. So, when I am looking at milk procurement for Heritage, what I'm noticing is that it's been flattish to negative for the past 4 quarters. Any guideline here as to what is happening? Is it a conscious choice to not procure much given the inflation or your -- increase

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Page 6 of 21 your third -party milk procurement using old cost inventory? What exactly is happening here?

Srideep Kesavan: Yes. Sameer, we do very measured material balancing planning. If you recall, last year was not very good as far as the volume growth was concerned. And the procurement was in line with that. And as Mr. Samba Murthy just explained now, in this year, as the volumes have gone up and we have had good performance in the -- on the sales side, demand side, we have grown the procurement volumes in line with that in spite of, let's say, the prices.

But we should remember that this is nothing to do with only Heritage. The industry is actually facing, there is a little bit of a shortage of milk on the supply side, and this is something that all companies are reporting. The industry has been facing this for the last several quarters and our lack of growth procurement is also in line with that.

Sameer Gupta: Got it. So basically, you're saying that the procurement is growing in line with consumption and that is likely to continue?

Srideep Kesavan: That is right. So, like Mr. Sam ba Murthy said, we are investing in growing our farmer procurement network. We are investing in expanding our village level collection centers, farmer productivity, etc., which is what is going to help us in good stead in the long term.

Sameer Gupta: Got it, sir. Got it. But I was actually looking at it in conjunction with the VAP growth also because that also will require milk procurement volumes to go up.

So that was why the questi

on was there. I mean...

Srideep Kesavan: So see, what we should understand, that is why I use the word our milk procurement is in line with material balance planning, which you see, value - added products, for example, if it is butter milk or, let's say, any of the drinkables, or if it's ice cream, the amount of solids and fats required is what we have to look at. It's not always one is to one. We are able to manage it with the materials level.

Sameer Gupta: No, got it. I absolutely agree. Fair. And last question, if I may squeeze in. VAP growth of 40% this quarter, how much would be from price hikes and how much would be volumes? Any blended level number could -- can help?

Srideep Kesavan: Yes, it is largely all volumes driven. Price hike, we have had price hike of about 5% in value -added products, weighted average. 5.12% weighted average price

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Page 7 of 21 increase across value -added products and the balance 35% is all volume driven.

If you have seen our largest value -added product, which is curd itself has grown at about 25%. Paneer has continued to grow at the trajectory of 33%.

So yes, 26% is the curd growth, 33% is paneer growth. Yogurt, of course, there is no base, and we have done about 150 tons in this quarter. All like whether it is drinkables, butter milk, for example, has grown at 60%. So it's largely volume - driven growth and prices contributed about 5%.

Sameer Gupta: Got it. And just on this one, curd, how much of value -added would be curd now as a percentage?

Srideep Kesavan: I don't know what is the purpose of that question, Sameer, but curd as a percentage contribution to the value -added products will continue to decline.

Because curd grows slower than the rest of the value -added product category, right? Currently, it's at 68.9%. So it's about 69% of our value -added. So it used to be about 75% some time back.

Sameer Gupta: That was the purpose. So yes, I remember it used to be 75% and just wanted to gauge like how the contribution is trending. There is no other intention sir...

Srideep Kesavan: one should expect that the curd as a percentage contribution to value -added products will continue to dip.

Sameer Gupta: Yes, yes, and it is dipping, clearly. Thank, again, thank you, everyone, for answering these questions so patiently. I will come back in the queue for follow - ups.

Srideep Kesavan: Thank you Sameer.

Moderator: Thank you. Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to three questions per participant and rejoin the question queue. We take the next question from the line of Abhishek Mathur from Systematix. Please go ahead.

Abhishek Mathur: Yes, hi, sir. Thank you for the opportunity. Sir, this growth in the value -added products of about 40% or so is quite exceptional in the light of the recent trajectory that we have been on. While you have indicated the category -wise volume growth in VAP. But still, if you can give some more color on how we are able to achieve a 35% volume growth? Is it to do with geographic expansion or distribution expansion? Or are we taking some share?

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Page 8 of 21 So, what exactly is driving this 35% volume growth in VAP? If you can shed some color on that? And also, as a corollary, we have in the past spoken about a 20% plus -- 20% to 25% growth in VAP. So does that guidance change in the light of this recent delivery? Or is that intact? That's my first question.

Srideep Kesavan: Yes. Thank you, Abhishek. . See, we should look at growth over a long period in

time. On a year -on-year basis, there might be a little bit ups and downs because of weather influences, etcetera. We should also acknowledge the fact that we are cycling a low base of last year because investors will recall that last year, quarter 1 was heavily marred by rains and adverse

weather.

So we are cycling a low base as well, number one. But when it was raining last quarter, we told you that the underlying business is pretty strong. There is nothing wrong. And if we had a decent support in terms of decent weather, the performance would come back. And we had delivered in the subsequent quarters of last year as well.

The long -term trajectory, what one should expect is that -- and this is something that we have mentioned in the past as well, is that we are aiming to grow in the mid- to high teens, so 16 to 17 percentage kind of growth is what we are aiming to deliver, which requires milk to grow at about 7% to 8% and value -added products in the range of 25%. Now this is what you should expect in the long period in time. And this on a sustained basis, we should be able to deliver.

Yes. You also asked about the underlying factors. Primarily, you can say that 90% or 80% of the growth is primarily due to distribution expansion, new distribution points opened in existing geographies. We have not opened any new geography whatsoever. 20 to 25 percentage of the growth is on account of consumer traction increasing, which is where we have gained market share. In most of the organized channels where we are able to measure our market share, where we get quantitative data as to our market share, we have made significant gains in market share in this quarter 1.

And that is so mething that -- in every category. We have gained market share in curd. We have gained market share in paneer. We have gained market share in butter milk. So this is something that we celebrate as well. So 80% is with distribution or increased availability, 20% is because of increased consumer traction with our brands getting stronger.

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Page 9 of 21 Abhishek Mathur: Just a follow -up. This market share gain that we have talked about, is it from the unorganized sector? Or is it from the other listed dairy peers, organized peers that we are talking about?

Srideep Kesavan: No, of course, all dairy growth, not just for Heritage, for every single branded company in the country, all growth comes from unorganized sector, right? So that's a given. I was mentioning market share gain in the organized channel. In the organized channel, there is only organized brand. So when we are gaining share, we are gaining share from other branded players.

Abhishek Mathur: Understood, sir. Very clear. Just a quick second question. Any pricing acti on, any hikes that we have taken in the month of July so far? That's it from me.

Srideep Kesavan: Yes, we have taken pricing. So as Mr. Samba Murthy actually elegantly put in the beginning that we are actually going through a phase of prices remaining firm and flush being weak. While we wait for the buffalo flush to come in October, November, at this point in time, we do not see prices easing, which means that we have to pass on the increased raw material prices to our consumer. There is no other way. And w e are doing it successfully in each market. Even this week also, we have seen price increases across several of our markets.

Abhishek Mathur: Got it, sir. Thank you and all the best. Thanks.

Moderator: Thank you. We take the next question from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Hi, good afternoon. I think excellent delivery on the VAP side. Sir, my first question on gross margin, right? So, if we compare ourselves to last quarter Q4, the procurement price that we re port is almost stable. The VAP share has gone up materially, even we have taken some price hikes between the 2. But gross margin has come down. So is this a mix change that is driving this? I mean, ideally would have expected gross margins to have started improving now.

Srideep Kesavan: Pratik, it's a very, very valid and very right question to ask. So, on a weighted average basis, the numbers are

not really telling the story. Our weighted average

milk price is INR46.61 in this quarter compared to INR46.67 last quarter. So, it looks like it is flat. But the reality is cow milk last quarter, which is Q4 of FY26

was INR42.10 and cow milk now is INR43.2. So, if I just look at cow milk, it has gone up by almost INR1. And buffalo milk was INR61.38, which has gone up to INR65.99. So that's a significant increase in buffalo milk.

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Page 10 of 21 But we saw in this quarter a heavy decline in buffalo milk volumes. We actually had over 20 percentage of decline -- degrowth in buffalo milk. It was very difficult to get buffalo milk. And because of the mix change and mix going towards cow milk, the weighted average is looking like that. But see, the gross margins are impacted primarily because many of the regions are purely on cow milk. So those regions like cow milk has actually gone up by INR1, and that is seriously impacted, number one.

Number two, if you look at it, the milk prices have gone up by about 2.1% in this manner, if you look at it. But about 0.5 % or so impact is also because of SMP that we consumed in this quarter, number one, in higher quantities and number two, at a higher price per kg. This also is another impact. So net, we have had about 2.5%.

And the other third impact that we have had is packing material. On account of the war, the packing material also had a significant material impact, almost 30 basis points of bottom line impact. All of these put together have worsened the gross margin. So if you see the gross margin declining by about 2.5% compared to last year, it's only -- it because of, one, mix change; number two, the SMP and the third is the packing material.

Pratik Kothari: Correct. Correct. And sir, I mean, we have called out a couple of areas where we wanted to, kind of, first break even and then make money. So one is the consumer packs and in the 2 new geographies which we have seeded, which is Mumbai and North of India. If you could just touch upon where are we in that journey of at least first breaking even there? And how do we see that? When does that break even? Over what time period? And where are we in that journey?

Srideep Kesavan: Okay. See, in ghee, last year same time, we had about -- we were negative about 12% in EBITDA. And now that EBITDA number is about minus 8.5%. So despite the entire business looking worse off compared to last year, ghee is actually better off by almost 4%, right? But it is still negative. Secondly, the reasons that you called out, again, the losses have reduced.

So while the overall profitability has declined for the company, the losses in the loss-making regions have reduced, which means they are on the right trajectory.

So if you calculate the delta, it's quite significant.

If those regions have performed in line with the company's profit decline because those regions also had raw milk price increases, right? If they also declined in line with the raw milk increases, then we would have had additional INR1 crore

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Page 11 of 21 of bottom line hit. So that was avoided. So you're right, Pratik, in asking that question. The negative businesses have improved. It's just that the positive businesses have declined because of our ability to -- or rather delay in passing on the raw milk increase to consumer.

Pratik Kothari: And last one, sir, I mean, this has been a pain point and you have kind of called it out and sorry for asking again. But this liquid milk growth volume -wise, etcetera. I mean, we have been in this band for a while now. I know even you guys are as worried, but just any breakthrough, anything that we are seeing to kind of solve this?

Srideep Kesavan: So I should admit that this is the main problem that we need to solve. If liquid milk volume growth comes back, it supports overhead absorpti

on and the

numbers would look very differently. It's something that we are working on.

J. Samba Murthy: Yes. so regarding this milk actually, we are now focusing on the distribution network expansion almost through adding that fresh distributors and Heritage happiness points and all. So now we have almost in the quarter compared to previous quarters, we got about 1 lakh liters addition, liters per kg, . And we are expanding it and focusing on expanding it basically on the network, distribution network expansion.

And even within that also, then we are also focusing on the throughput

distribution point. So that's also there. And then we can see now month -on-month growth is there in the liquid milk like you take that March to April, April to May, May to June, June to even July, there is a growth actually. I think, yes, it is going actually in the right direction.

Srideep Kesavan: Yes. Thanks, Mr. Samb a Murthy. So, the numbers that we report here is an average of the quarter. In March and April, we took the prices, which actually came with a little bit of decline in volumes. We usually see that. And the team with distribution expansion was able to claw back. There's always a work in progress, but you're right in calling it out. This is the highest priority for us.

Pratik Kothari: All right. Great. Thank you all the best. And the annual report also was very good. Thank you for that.

Srideep Kesavan: Thank you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to two questions per participant. We take the next

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Page 12 of 21 question from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Hello, sir. And thank you for the opportunity. Sir, my first question is on the price hike part of it. I heard your earlier commentary and considering how the situation has and not -- the flush season, mini flush season that was expected didn't turn out in this quarter as well. So what kind of price increase are you in plan to be taken for the upcoming quarters? And also can you tell me if you took any price hike in quarter 1? I mean, was it at the start of the quarter or if you can give us a rough time line of that?

Srideep Kesavan: Mr. Vignesh. I didn't get the last question. Could you please repeat?

Vignesh Iyer: I wanted to know if you took any price hike in quarter 1? And if you could tell me if the price hike was taken on the later part of the quarter or the start of the quarter?

Srideep Kesavan: All right. Yes. Mr. Vignesh, so yes, we had taken up prices towards the end of quarter 4 of last year. And through quarter 1, so we got the benefit of that in quarter 1, right? For milk, for example, our prices were 4 percentage higher than same period last year, right? And like I mentioned, 5.1% for value -added products, etcetera.

But it doesn't mean that all pricing was done at one point. There were certain markets in which price increase was done in middle of May. There are certain other markets in beginning of June, etcetera, etcetera. Because all markets did not go up at the same time. It's also a function of competitive scenario.

Vignesh Iyer: Right. Also, any plans to take price hike, I mean, in this financial year? I mean -- or is it more depending on how the price fluctuation will happen from here on?

Srideep Kesavan: No. Like I mentioned as an answer to the previous question, we are taking price hikes as we speak. Even this week, we have increased prices in certain markets.

So we are continuously increasing prices, not just for milk, but also for value -added products.

Vignesh Iyer: Okay. Just one more question from my side. And I'm sorry if you have already answered it. What is our target for the VAP part of business for this year? Do we have any internal target to reach VAP as a percentage of revenue?

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Page 13 of 21 Srideep Kesavan: So - for the last several years, we have been trying to improve value -added product contribution by about 2 to 2.5 % ever y year, which means in a 4 -year period, we would like to see value -added products grow by 10 percentage. So let's say, our contribution was about 39% in last financial year.

So, we would like to end at around 50% by FY30. Now that's a goal that we have.

Of course, this year, you have seen that we have grown -- the contribution has expanded much beyond the 2.5 percentage, but it's also a function of milk not growing as much.

Vignesh Iyer: Got it. Yes, that's all from my side and all the best. Thank you.

Moderator: Thank you. We take the next question from the line of Kshitij Sowlani from Yes Securities. Please go ahead.

Kshitij Sowlani: Hi, sir. Congratulations on a good set of numbers. I just wanted some color on the margins for your milk and your VAP products individually, if that would be possible?

A. Prabhakara Naidu: Milk EBITDA margin for Q1 was 3.03% and . VAP EBITDA margin is 8.06%.

Kshitij Sowlani: Got it, sir. Got it, sir. And within the VAP products, what would be the highest margin product for you guys?

Srideep Kesavan: It's usually ice creams, which are most profitable.

Kshitij Sowlani: Got it. Got it. And sir, just one more thing on the procurement costs. So can you just give me a best case and a worst case scenario of what you think the procurement prices would be after the October flush?

Srideep Kesavan: We'll wait and explain after it happens. See what -- Kshitij, what we would say is that this is a cyclical business, and it's a very large industry. It's very difficult to predict. So best case, we are hoping that the buffalo flush is good and the availability is great and prices come down. Worst case is it doesn't happen, prices continue to decline.

Kshitij Sowlani: Got it. So that would also mean that post the October flush, when we are in Jan, we will see further increase in the prices, right? So that would mean that for FY27, if I take a base case, the prices will continue to be a bit higher. Is that a fair assumption?

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Page 14 of 21 Brahmani Nara: Yes. What I'd like to say is that things are looking quite unpredictable as we've seen in Q1 itself and as we continue to see in Q2. And if you've been following all newspaper reports and conversations in the agri space, I think across regions also things are very different. Trends are very different. We're seeing the rains in certain areas. We're seeing deficit as of today, especially in the Southern Peninsula.

It's very different across the country, and that might be very different a couple of weeks from now, right? So I think for us at this point, given the fact that weather plays such an important role in really anticipating procurement price, it's quite difficult for us to say how things may look 2 quarters from now.

Having said that, I think we are doing what we can do as an organization to secure our milk procurement at the right price, right? As my colleague, Mr. Murthy had said, one thing that we continue to do is continue to add the number of farmers that are pouring milk to us within the existing procurement regions as well.

We've added close to 5,000 farmers in Q1, and our intention is to add another 5,000 farmers in Q2 itself. We want to increase the volume that for Heritage, primarily because we work very closely with them by supplying cattle feed, which is subsidized, artificial insemination programs, improving their health of their animals, etcetera.

So we will do -- no matter what the external condition is, we continue to do this work. That will continue to help us secure our milk volumes that we require for milk as well as value-added products growth, which are looking very encouraging this year. I hope I've answered your question.

Srideep Kesavan: If I could just add one. What we are also doing in the meanwhile is we -- irrespective of the procurement scenario, we are continuing to grow our business in terms of our volumes, in terms of our brands, in terms of our consumer acquisition, in terms of our consumer love and retention.

That is what is most important, which means this procurement price will not remain like this forever. It is a cyclical business. It will come down. And that day, we will have a tremendous consumer franchise with us. Just think about that. The volumes are much higher. We have strengthened our portfolio actually in the meanwhile. That's the important point to remember.

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Page 15 of 21 Moderator: We take the next question from the line of Parth Sodha from Trinetra Asset Managers. Please go ahead.

Parth Sodha: First of all, thank for the opportunity. So my question is, at what stage do you believe the richer product mix will begin translating into the structurally high EBITDA margin?

Srideep Kesavan: Yes. So, see, it is a constant work in progress. So, I don't think that there is any one point. And because of our ambitions, we'll continue to push -- so we haven't put -- we have several internal milestones, but there's no one day when it will change. It's a constant work in progress.

I'll give you two or three data points that you can reflect on. One is that, let's say, the EBITDA that the CFO spoke earlier, milk is 3% and value -added products is 8%, right? So already, you can see VAP is higher EBITDA compared to milk. Last year, same time, which is Q1 of FY26, milk EBITDA was 5.8%; and VAP EBITDA was 9.7%, which means while milk EBITDA declined by 2.8% because of raw milk price increase, 2.8 percentage decline in EBITDA, VAP declined only by 1.7%, right? So VAP was able to withstand the raw milk increase better than milk.

The second is I draw your attention to the P&L statement that we have put out for the quarter. You can see the operating leverage kicking in already. Like if you see the operating cost, which is what is shown as the other expenses in the P&L as a percentage of revenue, Q1 of FY26, which is last year quarter 1, operating cost was 9.64% of revenue. Now it is 9.01% of revenue. So, we have gained operating leverage of 0.63 percentage because of the higher value -added product revenues contribution volume growth.

Second, employee benefits used to be 7.21% of our revenue. It is down to 6.74 percentage of revenue. That is about 0.47%. Together, these 2 components, which contribute the operating leverage have improved our bottom line by 1.1%. And this is not at all, right? As the value -added products continue to grow and our revenues continue to kick in, this leverage will continue to improve. The only number which has changed is raw material costs have gone up by about 2.54% and of course, depreciation and financing costs because of some of our new facilities coming into play.

Parth Sodha: Okay, got it. Thank you so much.

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Page 16 of 21 Srideep Kesavan: Thank you.

Moderator: Thank you. We take the next question from the line of Hitendra Pradhan from Maximal Capital.

Hitendra Pradhan: Yes, hi, sir. Thanks for the opportunity. So sir, just wanted to understand the VAP EBITDA margin was around 8% this quarter. So being summer, I assume the summer product portfolio would have been -- the sales and the mix would have been higher. So, going forward in Q2, Q3, I mean, what is the trajectory here, sir? I mean, just expected this margin to be slightly higher. So, if you can give us some sense and color on to that?

Srideep Kesavan: It's very difficult to give because the mix will change. You're right in saying that some of the summer parts, let's say, butter milk and all will come down in salience. So, there are several pa

rts of the value -added products, which will sustain also. Like, for example, paneer is a nonseasonal part of is a significant contributor to our revenue now.

For example, this quarter, about INR52 crores of our revenue has come from paneer its elf. So that's nonseasonal. Ice cream also because we are continuously growing, even though it is a seasonal business, we are sustaining. You can imagine that sequential numbers may not look so bad.

There are several other parts of the value -added products, even curd, which is because of our strength, has become less and less seasonal. And I also add one more thing, which like we just explained earlier, we are taking pricing up also. So prices are going up. So because of which -- but then there is some EBITDA expansion, but then some raw material cost is also going up, right? So very difficult to predict or give you an -- we don't -- we wouldn't like to give you an outlook on exactly how Q2 will be, but we are doing everything we can to improve our situation.

Hitendra Pradhan: The second question is like the El Nino thing, what we hear also is that, that can also disrupt the post October and that can bring in unseasonal rain also. And that usually also impacts the yield and the fodder. So is that understanding correct? And so if that is correct, then would it be prudent to take more price hikes in the next quarter on the portfolio side? I mean, if you can give us your thought process there?

J. Samba Murthy: We will take a balanced view as we keep watching every quarter, every month,

which way to balance the farmer interest, consumer pricing margin
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Page 17 of 21 improvement. Objective being ensure consistent supply of milk by giving remunerative price to farmer and do not load consumer price in one go. We give some lag, we give in phasing and then partially absorb in the margins for a quarter and then pass it on.

We don't disturb the ecosystem. It's a very balanced way of handling the model, keeping all interest in view. And definitely, if the procurement prices go up, the pricing action will be there. If procurement prices go down, the margin expansion will be seen. And it is cyclical. Every year, we see the ups and downs. One season or one year, if it is low production, the farmers get a higher price. That encourages the m to take more interest in dairy in the following season. The milk production improves, additional care was taken towards animals and additional yield comes through productivity improvement. And that following year, the prices will go down a bit because of the good kind of scenario. So this we have been seeing over a period of time. And Government of India also will not be silent. Just to give you a history, if you see in the last 15 years, there were years where the scarcity of milk was very high in India . Milk prices went up, then government intervened and allowed duty -free import of milk powder from Australia, New Zealand, Europe and then control the consumer prices. There were years where we had the glut scenario, farmer prices crashed to as low as INR20, INR22 per liter of milk. And government encourage export of commodities by giving incentive to exports. So, there were years where government kept a neutral position, no import, no incentives.

So various situations are handled by government also over a period of time. So, when situation goes out of control in terms of scarcity, high scarcity, we may see import of duty -free commodities also. If glut comes, the government may encourage exports by giving incentives. So, we are not operating in an isolated environment.

It's a public interest, is always seen by government of India. State governments also intervene. So, we have to keep all the factors in view, including farmer, consumer and other stakeholders in the company, a balanced way of reacting to every situation keeps us moving in the

right direction.

Moderator: Thank you. We take the next question from the line of Nishita Shanklesha from Sapphire Capital. Please go ahead.

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Page 18 of 21 Nishita Shanklesha: So, I just wanted to understand, you mentioned and you gave the milk margin and VAP margin separately. And you also mentioned that our VAP growth is going to be 20%, 25% going forward, which is going to be higher than milk. So, like going forward, can we expect our EBITDA to improve because currently, it's at 4.6% level. So, when can we expect it to go back to the 6%, 7% level, if you can give some sort of guidance on that?

Srideep Kesavan: Yes. A bit -- primarily because still three quarters of our revenue is attributable to -- sorry, raw materials attribute three quarters of our revenue. So, it's still quite significant, right? So hence, a large percentage of our EBITDA will still be driven by raw material. We still haven't reached a stage where EBITDA of value - added products can grow in spite of raw milk price volatility, right? We still haven't reached.

We are hoping that we will. We are working towards a situation where our value - added product salience in consumer basket reaches a level where we are able to price it irrespective of raw material prices.

Srideep Kesavan: Yes. So, talking about EBITDA improvement, our objective is not a 6% EBITDA. That's not what we are aiming for. We are looking at high single digits EBITDA. In fact, our average or median EBITDA in the last several years has been 7% or higher, 7.5%, etcetera. So, we should be aiming for -- we are aiming for high single -digit EBITDA. And that -- while value -added products is definitely one aspect which will help us improve. But primarily raw milk coming down will be a significant driver.

Nishita Shanklesha: Okay. Okay. Understood. And my next question is like what kind of capex have

we planned for this year, FY27?

Srideep Kesavan: So, at this point in time, we have two projects that is being constructed, that's being executed. One is a paneer project and another one ghee. We have some other investments into raw milk procurement side, also minor capex. All of it should add up to about INR250 crores for the year.

Moderator: Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to one question per participant. We take the next question from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya Khandelwal: Yes, hi, sir. Thanks for the opportunity. Sir, which are the major raw materials in our feed business? And what kind of cost inflation we are seeing in that? And secondly, sir, this rise in procurement prices, is it majorly due to the higher

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Page 19 of 21 summer season which we are witnessing, which is leading to drop in yields or higher feed costs have also played a part?

Brij Mohan: Yes. Thanks very much for the question. . And just to answer your first question that there is a very high increase in all the ingredients which are going to the cattle nutrition. And they are increasing month-on-month. It started somewhere in quarter 3 of last year, and it's moving until today. Quarter 2 as well looks quite heavy on the cost part.

Secondly is, due to the cyclical weather condition and also you are aware of the ethanol industry impact on overall consumption of corn, rice milling also has slowed down. That is not giving enough raw material for the cattle feed. And increment in the cost, especially for the packing materials has put most of our margins in distress.

At the same time, we also have a good competition from other industry like chicken industry and egg industry. So overall, I can say that higher prices will continue for the ingredients, pushing further out on the margins. But at the same time, we have passed on these to the consumers,

especially consumer in

the sense to the -- to our dealers as well as our farmers.

Some of that we had absorbed ourselves and improved our productivity, increased our volumes and also enhanced our -- or expanded our geographies. So overall, I can say that quarter 2 looks a little stronger than the quarter 1. But yes, pressure is there on all of us on the margins.

Moderator: We take the next question from the line of Viraj from Enigma Investment.

Viraj Mehta: So sir, just one question. Like if we look back a year before this all price hikes increased, our understanding was that the business has significantly improved from what it was 3 years back and our normalized margins are in the range of 7% to 8% or probably even higher than that. Assuming that this is temporary, and we don't know whether it is or not, would you say that, that statement is still true? And with some price hikes that we take over next 1 year and slightly lower raw milk prices, if at all that they happen, that statement still is true for, let's say, 4 quarters, 6 quarters out?

Srideep Kesavan: Yes. Thank you, Viraj. If you look at -- you're taking a very long-term view, right?

I was just looking very out of curiosity, I was just looking at what was the raw milk price of quarter 1 of FY25. In quarter 1 of FY25, the raw milk price was INR41.38. INR41.38, which means compared to quarter 1 of FY25, 2 years later

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Page 20 of 21 today, the raw milk price is INR5.35 higher. And we procure roughly around 18 lakh liters of milk.

So, you can imagine that, that's about INR9.5 crores per month. That's the kind of money that has moved, right? So that is in just 2 years. And -- but our PBT, our profitability is not impacted so much because we have so many numbers have changed in the meantime, whether it is in terms of VAP contribution or in terms of operating leverage or in terms of prices going up as well.

What we have to also remember is that I'll also call out one more number for you because you raised this question. You go back 1 more year, 1 more year behind, which is quarter 1 of FY24, quarter 1 of FY24, that number was INR44.78. So just -- I'm just reading these numbers. Quarter 1 of FY24 was INR44.78, then quarter 1 of FY25, it came down to INR41.31 and now we are sitting at

INR46.61. So, if you look at it like that, in 3 years' time, it has gone up by INR2 or INR3. This is okay.

So -- but another way to look at it is actually, if you look at isolate and look at cow milk and cow milk is what is actually a significant contributor to our business. It was INR40.58 in FY24, came down to INR37.51 in FY25 and which is now INR43 in FY27, which means cow milk has increased by about INR2.50 or INR2.60. That is -- even if I take INR2.60 increase over on 18 lakh liters of milk, we are talking about INR5 crore per month. That's the kind of impact.

Now this is a moving business, which means that if you look at 2 years down the line or 3 years down the line, the same price could be INR48 or INR49 or INR50 also. But in the middle, there could be years where it might go to INR50 and then come back to INR48, etcetera. One should look at the long-term trend.

And that long-term trend is about 3.5% to 4% year-on-year increase. Our intention is to shift value-added products, shift our business more towards value-added products so that our net revenue grows ahead of this 3.5 percentage to 4 percentage milk price inflation in the long term so that we are EBITDA accretive and our EBITDA continues to trend upwards going forward.

So at this point in time, I should say that we are in the trough of it. When the raw milk procurement prices come down, you will see the margins expand very widely. But that is not the normal. Again, I should remind you, because normal is always the trend something that goes in the middle.

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Page 21 of 21 And as long as the business is able to demonstrate that it is able to procure milk even in an inflationary situation as long as it has demonstrated that it can grow when the opportunity emerges and as long as it can demonstrate that every single year, it can expand value-added product portfolio by 3% or 4%, I think that we are -- our business is strong. And it will ride out the cycles.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question. I now hand the conference back to Dr. Rao for his closing comments.

M. Sambasiva Rao: Thank you all for active engagement and interaction with us. Looking forward to catch up with you in the next quarter's call. Thank you. Good evening to all.

Moderator: Thank you, sir. On behalf of Heritage Foods Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

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Call: Jul 2026

Ref: SECT: STOC: 7 6-26
July 20, 2026

To
The Manager
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Scrip Code: 519552 To
The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, G Block, Bandra -Kurla
Complex, Bandra (East), Mumbai – 400 051

Scrip Code: HERITGFOOD

Sub: Transcript of Conference Call held on July 17 , 2026 - reg.

Dear Sir / Madam,

In Continuation of our letter dated July 8, 2026 , the Company had organized a conference call with the Investors/Analysts on Friday , July 17, 2026 at 4.00 PM (IST) . A copy of Transcript of conference call held with the Investors/Analysts is enclosed herewith and the same has also been available on the Company's Website at www.heritagefoods.in .

Kindly take the same on record and display the same on the website of your exchange.

Thanks & Regards,
For HERITAGE FOODS LIMITED

UMAKANTA BARIK
Company Secretary & Compliance Officer
M No: FCS -6317

Encl: a/a

HERITAGE FOODS LIMITED

Q1 FY27 Earnings Conference Call
July 17, 2026

MANAGEMENT :
Mrs. N Brahmani – Executive Director
Dr. M Sambasiva Rao – Whole Time Director
Mr. Srideep Kesavan – Chief Executive Officer
Mr. A Prabhakar a Naidu – Chief Financial Officer
Mr. J Samba Murthy – Chief Operating Officer
Dr. Brij Mohan – Chief Executive Officer - Heritage Nutrivet Limited
Mr. Umakanta Barik – Company Secretary & Compliance Officer

INVESTOR RELATIONS REPRESENTATIVE :

Page 1 of 21 Moderator: Ladies and gentlemen, good day, and welcome to the Heritage Foods Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I will now hand the conference over to Ms. Garima Singla from Go India Advisors for opening remarks. Thank you, and over to you.

Garima Singla: Thank you. Good afternoon, everyone. I'm Garima Singla, and it's my pleasure to welcome you on behalf of Heritage Foods Limited. Thank you for joining us today for Q1 FY27 Earnings Conference Call. This call is being hosted by Go India Advisors. Please note that today's discussion may include certain forward -looking statements. Therefore, they must be viewed in conjunction with the risks that the company faces. Today , on the call, we are joined by Mrs. Brahmani Nara, Executive Director; Dr. M. Sambasiva Rao, Whole -Time Director; Mr. Srideep Kesavan, CEO; Mr. A. Prabhakara Naidu, CFO; Mr. J. Samba Murthy, COO; Dr. Brij Mohan, CEO, Heritage Nutrivet Limited; and Mr. Umakanta Barik, CS and Compliance Officer. I now invite Dr. Rao to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

M. Sambasiva Rao: Thank you, Garima. Good afternoon, everyone, and thank you for joining us today. Financial year '27 has begun with another quarter of disciplined execution for Heritage. Despite the challenging environment for the dairy industry, we delivered the highest quarterly revenue in the company's history while continuing to strengthen the building blocks of our long -term growth. Throughout the quarter, we remain focused on our strategic priorities, namely reinforcing our procurement network, expanding our value -added products portfolio, investing in manufacturing capabilities and building new growth platforms.

Our integrated farm -to-consumer model continued to differentiate Heritage by ensuring reliable milk availability while sup

porting the rapid expansion of our value -added products portfolio. This disciplined execution was reflected in our financial performance. Consolidated revenue increased 18% year -on-year to INR13,381 million, marking another important milestone for Heritage. EBITDA
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Page 2 of 21 stood at INR619 million with an EBITDA margin of 4.6%, while profit after tax stood at INR 150 million, translating into PAT margin of 1.9%.

Although elevated milk procurement costs continue to weigh on the dairy industry, resilient demand across our value -added products portfolio, calibrated pricing actions and disciplined execution enabled us to deliver another quarter of healthy growth while continuing to invest for the future.

Every successful dairy business is built on a strong and resilient procurement network. During the quarter, milk procurement prices increased 7% year -on-year to INR 46.61 per liter, reflecting continued supply tightness across key milk producing regions.

Despite these industry -wide challenges, Heritage increased milk procurement volumes by 2% year -on-year to 18.10 lakh liters per day through its sustained investments in farmer engagement, vet services, cattle nutrition programs and timely payments. These initiatives ensured uninterrupted milk availability while further reinforcing one of Heritage's most enduring competitive strengths.

On the demand side, milk sales volume remained stable, while average milk sale prices improved 4% year -on-year to INR58.68 per liter, reflecting the strength of the Heritage brand and sustained consumer trust. The benefits of these investments are becoming increasingly visible in the evolution of our business mix. Value -added products continue to be the primary growth engine during this quarter with VAP revenues growing 40% year -on-year to INR5,636 million. Importantly, this performance was driven by healthy underlying volume growth

across categories with paneer volumes growing 33%; curd, 26%; ice cream, 25%; butter milk, 60%; and lassi, 98% year -on-year, demonstrating the growing consumer preference for our differentiated portfolio.

Consequently, value -added products contributed a record 44% of consolidated revenues compared to 36% in the corresponding quarter last year. Including our consumer pack ghee and butter portfolio, the broader VAP portfolio grew 39% year-on-year to INR6,322 million, contributing a record 49% of consolidated revenues versus 41% a year ago.

This continued improvement in our product mix reflects the premiumization of our portfolio and our steady transition towards a more branded value -added business. Our ice cream business also continued to build strong momentum

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Page 3 of 21 during the quarter. It crossed INR550 million, growing 65% year -on-year with Alpenvie, our new brand, delivering robust growth of 44%.

Get-A-Way also delivered an encouraging performance with revenue growing 196% year -on-year, supported by improved product availability following capacity expansion while achieving a near breakeven bottom line. Supporting this momentum, our newly commissioned ice cream facility ramped up well during the quarter, reaching approximately 40% capacity utilization.

The facility now manufactures both Alpenvie and Get -A-Way portfolios from a common platform, enabling faster capacity absorption, improving operating leverage and providing sufficient headroom to support future growth. Together, these developments reinforce our strategy of building differentiated high -growth brands across premium dairy and nutrition -led categories.

Beyond our core dairy operations, our adjacent business also delivered encouraging performance. Heritage Nutrivet reported revenue of INR 728 million, represent a robust growth of 37% year -on-year despite elevated input costs across the animal nutrition industry, while delive

ring a PBT of INR20 million.

This performance reflects the strength of the business model and the growing opportunities within the Animal Nutrition segment.

We also continued to strengthen our long -term growth platforms during the quarter. Heritage Novandie Foods became a wholly owned subsidiary, reinforcing our presence in the fast -growing high -protein yogurt category through Livo brand. We also increased our shareholding in Peanut butter and Jelly Limited to 71%, reflecting our conviction in the long -term potential of the better -for-you nutrition segment and further expanding our presence in attractive premium food categories.

Alongside these investments, we continue to build a stronger portfolio of brands. Alpenvie is undergoing a comprehensive brand refresh with a new identity and several new SKU launches. Nourish+ continues to gain strong traction, particularly its high -protein paneer variant, while Livo continues to perform well across organized retail.

Sampurna A2 Curd, chef's choice curd and organic milk are also witnessing encouraging consumer acceptance and building salience across the markets where they have been introduced. Collectively, these initiatives are expanding our presence across premium dairy, nutrition -led and differentiated food categories while reinforcing our long -term brand building strategy.

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Page 4 of 21 The quarter also brought encouraging external recognition. Heritage Foods received the Investor Relations Excellence Award in the F&B category from the Investor Relations Society, while our Vice Chairperson, Managing Director, Mrs. Bhuvaneswari Nara; and our Executive Director, Mrs. Nara Brahmani, were recognized among Fortune India's Most Powerful Women 2026.

These recognitions reflect our continued commitment to strong governance, transparent communication and long -term value creation. As we continue to invest for the future, we remain disciplined in allocating capital towards opportunities that strengthen our competitive positioning while maintaining a prudent balance sheet.

Our long -term direction remains unchanged. We are building a larger, more

premium and more resilient branded value products category anchored on a trusted dairy platform. Every investment we are making today across procurement, manufacturing, brands and adjacent growth platforms is aimed at improving the quality, resilience and predictability of our business while creating sustainable long-term value for all our stakeholders.

On behalf of the entire management team at Heritage Foods, I would like to thank our farmers, employees, distribution partners, customers, consumers, shareholders and all our stakeholders for their continued trust and support.

With this, I would like to conclude my remarks and open the floor for discussion. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use their handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We take the first question from the line of Sameer Gupta from IIFL Capital. Please go ahead.

Sameer Gupta: Hi. Good evening, everyone, and thanks for taking my question. First question is on the milk procurement outlook. So, we are now well into the summer flush or the cow flush. Any inkling to the milk production or procurement that has happened so far? Are the milk procurement prices kind of easing or they have continued to remain firm? Any outlook you could provide on the upcoming overall flush also would be helpful given that it is likely to be an El Nino year

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onsoon plus also in an inflationary environment? That would be my first question, sir.

J. Samba Murthy: Yes. I'd like to inform you that this time actually, this season generally, we expect a mini flush in April, May, which -- because of this weather condition, climatic conditions that could not happen much. And however, we have procured about 18.1 lakh liters during Q1 and the prices have gone up actually. So, if you take March to April to May to June, prices have gone up.

And looking that now prices are now stable, but still we have to see that there is any challenge further in that based on the geography and weather conditions because it is depend ent on rain and some and temperatures and all. Different geographies are behaving differently, prices had increase d but looking at stable now. And then as usual, we expect that in Q3 that October onwards, there is going to be a flush season. This Q2 , actually, now we are observing that the price is going to be stable or a little bit increase.

But apart from that, whatever the quantity required for us, actually, we are able to source this by expanding our network at the village level through Heritage procurement centers by adding number of farmers actually each village level and improving the throughput at that village level procurement volumes and working with the farmers and improving the farmers level production actually.

So, productivity per animal has come down, but throughput from the farmer actually we are trying to increase it and to get more milk in Q2 as well. So that is the condition.

Sameer Gupta: Got it, sir. So, what I gather is that the mini flush in April, May, you said, right, typically happens. That hasn't happened. And typically, prices which should have come down have not come down, but firmed up and you still expect October flush to be stable to inflationary, which may not be the case normally. Is this a correct understanding?

J. Samba Murthy: Yes

Sameer Gupta: Got it. Sir, I understand that you will not have any procurement challenges, which brings me to my next question. So, when I am looking at milk procurement for Heritage, what I'm noticing is that it's been flattish to negative for the past 4 quarters. Any guideline here as to what is happening? Is it a conscious choice to not procure much given the inflation or your -- increase

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Page 6 of 21 your third -party milk procurement using old cost inventory? What exactly is

happening here?

Srideep Kesavan: Yes. Sameer, we do very measured material balancing planning. If you recall, last year was not very good as far as the volume growth was concerned. And the procurement was in line with that. And as Mr. Samba Murthy just explained now, in this year, as the volumes have gone up and we have had good performance in the -- on the sales side, demand side, we have grown the procurement volumes in line with that in spite of, let's say, the prices. But we should remember that this is nothing to do with only Heritage. The industry is actually facing, there is a little bit of a shortage of milk on the supply side, and this is something that all companies are reporting. The industry has been facing this for the last several quarters and our lack of growth procurement is also in line with that.

Sameer Gupta: Got it. So basically, you're saying that the procurement is growing in line with consumption and that is likely to continue?

Srideep Kesavan: That is right. So, like Mr. Samba Murthy said, we are investing in growing our farmer procurement network. We are investing in expanding our village level collection centers, farmer productivity, etc., which is what is going to help us in good stead in the long term.

Sameer Gupta: Got it, sir. Got it. But I was actually looking at it in conjunction with the VAP growth also because that also will require milk procurement volumes to go up. So that was

why the question was there. I mean...

Srideep Kesavan: So see, what we should understand, that is why I use the word our milk procurement is in line with material balance planning, which you see, value - added products, for example, if it is butter milk or, let's say, any of the drinkables, or if it's ice cream, the amount of solids and fats required is what we have to look at. It's not always one is to one. We are able to manage it with the materials level.

Sameer Gupta: No, got it. I absolutely agree. Fair. And last question, if I may squeeze in. VAP growth of 40% this quarter, how much would be from price hikes and how much would be volumes? Any blended level number could -- can help?

Srideep Kesavan: Yes, it is largely all volumes driven. Price hike, we have had price hike of about 5% in value -added products, weighted average. 5.12 % weighted average price Heritage Foods Limited

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Page 7 of 21 increase across value -added products and the balance 35% is all volume driven.

If you have seen our largest value -added product, which is curd itself has grown at about 25%. Paneer has continued to grow at the trajectory of 33%.

So yes, 26% is the curd growth, 33% is paneer growth. Yogurt, of course, there is no base, and we have done about 150 tons in this quarter. All like whether it is drinkables, butter milk, for example, has grown at 60%. So it's largely volume - driven growth and prices contributed about 5%.

Sameer Gupta: Got it. And just on this one, curd, how much of value -added would be curd now as a percentage?

Srideep Kesavan: I don't know what is the purpose of that question, Sameer, but curd as a percentage contribution to the value -added products will continue to decline. Because curd grows slower than the rest of the value -added product category, right? Currently, it's at 68.9%. So it's about 69% of our value -added. So it used to be about 75% some time back.

Sameer Gupta: That was the purpose. So yes, I remember it used to be 75% and just wanted to gauge like how the contribution is trending. There is no other intention sir...

Srideep Kesavan: one should expect that the curd as a percentage contribution to value -added products will continue to dip.

Sameer Gupta: Yes, yes, and it is dipping, clearly. Thank, again, thank you, everyone, for answering these questions so patiently. I will come back in the queue for follow - ups.

Srideep Kesavan: Thank you Sameer.

Moderator: Thank you. Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to three questions per participant and rejoin the question queue. We take the next question from the line of Abhishek Mathur from Systematix. Please go ahead.

Abhishek Mathur: Yes, hi, sir. Thank you for the opportunity. Sir, this growth in the value -added products of about 40% or so is quite exceptional in the light of the recent trajectory that we have been on. While you have indicated the category -wise

volume growth in VAP. But still, if you can give some more color on how we are able to achieve a 35% volume growth? Is it to do with geographic expansion or distribution expansion? Or are we taking some share?

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Page 8 of 21 So, what exactly is driving this 35% volume growth in VAP? If you can shed some color on that? And also, as a corollary, we have in the past spoken about a 20% plus -- 20% to 25% growth in VAP. So does that guidance change in the light of this recent delivery? Or is that intact? That's my first question.

Srideep Kesavan: Yes. Thank you, Abhishek. . See, we should look at growth over a long period in time. On a year -on-year basis, there might be a little bit ups and downs because of weather influences, etcetera. We should also acknowledge the fact that we are cycling a low base of last year because investors will recall that last year, quarter 1 was heavily marred by rains

and adverse weather.

So we are cycling a low base as well, number one. But when it was raining last quarter, we told you that the underlying business is pretty strong. There is nothing wrong. And if we had a decent support in terms of decent weather, the performance would come back. And we had delivered in the subsequent quarters of last year as well.

The long -term trajectory, what one should expect is that -- and this is something that we have mentioned in the past as well, is that we are aiming to grow in the mid- to high teens, so 16 to 17 percentage kind of growth is what we are aiming to deliver, which requires milk to grow at about 7% to 8% and value -added products in the range of 25%. Now this is what you should expect in the long period in time. And this on a sustained basis, we should be able to deliver.

Yes. You also asked about the underlying factors. Primarily, you can say that 90% or 80% of the growth is primarily due to distribution expansion, new distribution points opened in existing geographies. We have not opened any new geography whatsoever. 20 to 25 percentage of the growth is on account of consumer traction increasing, which is where we have gained market share. In most of the organized channels where we are able to measure our market share, where we get quantitative data as to our market share, we have made significant gains in market share in this quarter 1.

And that is something that -- in every category. We have gained market share in curd. We have gained market share in paneer. We have gained market share in butter milk. So this is something that we celebrate as well. So 80% is with distribution or increased availability, 20% is because of increased consumer traction with our brands getting stronger.

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Page 9 of 21 Abhishek Mathur: Just a follow -up. This market share gain that we have talked about, is it from the unorganized sector? Or is it from the other listed dairy peers, organized peers that we are talking about?

Srideep Kesavan: No, of course, all dairy growth, not just for Heritage, for every single branded company in the country, all growth comes from unorganized sector, right? So that's a given. I was mentioning market share gain in the organized channel. In the organized channel, there is only organized brand. So when we are gaining share, we are gaining share from other branded players.

Abhishek Mathur: Understood, sir. Very clear. Just a quick second question. Any pricing action, any hikes that we have taken in the month of July so far? That's it from me.

Srideep Kesavan: Yes, we have taken pricing. So as Mr. Samba Murthy actually elegantly put in the beginning that we are actually going through a phase of prices remaining firm and flush being weak. While we wait for the buffalo flush to come in October, November, at this point in time, we do not see prices easing, which means that we have to pass on the increased raw material prices to our consumer. There is no other way. And we are doing it successfully in each market. Even this week also, we have seen price increases across several of our markets.

Abhishek Mathur: Got it, sir. Thank you and all the best. Thanks.

Moderator: Thank you. We take the next question from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Hi, good afternoon. I think excellent delivery on the VAP side. Sir, my first question on gross margin, right? So, if we compare ourselves to last quarter Q4, the procurement price that we report is almost stable. The VAP share has gone up materially, even we have taken some price hikes between the 2. But gross margin has come down. So is this a mix change that is driving this? I mean, ideally would have expected gross margins to have started improving now.

Srideep Kesavan: Pratik, it's a very, very valid and very right question to ask. So, on a weighted average basis, the num

bers are not really telling the story. Our weighted average milk price is INR46.61 in this quarter compared to INR46.67 last quarter. So, it looks like it is flat. But the reality is cow milk last quarter, which is Q4 of FY26 was INR42.10 and cow milk now is INR43.2. So, if I just look at cow milk, it has gone up by almost INR1. And buffalo milk was INR61.38, which has gone up to INR65.99. So that's a significant increase in buffalo milk.

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Page 10 of 21 But we saw in this quarter a heavy decline in buffalo milk volumes. We actually had over 20 percentage of decline -- degrowth in buffalo milk. It was very difficult to get buffalo milk. And because of the mix change and mix going towards cow milk, the weighted average is looking like that. But see, the gross margins are impacted primarily because many of the regions are purely on cow milk. So those regions like cow milk has actually gone up by INR1, and that is seriously impacted, number one.

Number two, if you look at it, the milk prices have gone up by about 2.1% in this manner, if you look at it. But about 0.5 % or so impact is also because of SMP that we consumed in this quarter, number one, in higher quantities and number two, at a higher price per kg. This also is another impact. So net , we have had about 2.5%.

And the other third impact that we have had is packing material . On account of the war, the packing material also had a significant material impact, almost 30 basis points of bottom line impact. All of these put together have worsened the gross margin. So if you see the gross margin declining by about 2.5% compared to last year, it's only -- it because of, one, mix change; number two, the SMP and the third is the packing material.

Pratik Kothari: Correct. Correct. And sir, I mean, we have called out a couple of areas where we wanted to, kind of, first break even and then make money. So one is the consumer packs and in the 2 new geographies which we have seeded, which is Mumbai and North of India. If you could just touch upon where are we in that journey of at least first breaking even there? And how do we see that? When does that break even? Over what time period? And where are we in that journey?

Srideep Kesavan: Okay. See, in ghee, last year same time, we had about -- we were negative about 12% in EBITDA. And now that EBITDA number is about minus 8.5%. So despite the entire business looking worse off compared to last year, ghee is actually better off by almost 4%, right? But it is still negative. Secondly, the reasons that you called out, again, the losses have reduced.

So while the overall profitability has declined for the company, the losses in the loss-making regions have reduced, which means they are on the right trajectory. So if you calculate the delta, it's quite significant.

If those regions have performed in line with the company's profit decline because those regions also had raw milk price increases, right? If they also declined in line with the raw milk increases, then we would have had additional INR1 crore

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Page 11 of 21 of bottom line hit. So that was avoided. So you're right, Pratik, in asking that question. The negative businesses have improved. It's just that the positive businesses have declined because of our ability to -- or rather delay in passing on the raw milk increase to consumer.

Pratik Kothari: And last one, sir, I mean, this has been a pain point and you have kind of called it out and sorry for asking again. But this liquid milk growth volume -wise, etcetera. I mean, we have been in this band for a while now. I know even you guys are as worried, but just any breakthrough, anything that we are seeing to kind of solve this?

Srideep Kesavan: So I should admit that this is the main problem that we need to solve. If liquid milk volume growth comes back, it supports overhead ab

sorption and the

numbers would look very differently. It's something that we are working on.

J. Samba Murthy: Yes. so regarding this milk actually, we are now focusing on the distribution network expansion almost through adding that fresh distributors and Heritage happiness points and all. So now we have almost in the quarter compared to previous quarters, we got about 1 lakh liters addition, liters per kg, . And we are expanding it and focusing on expanding it basically on the network, distribution network expansion.

And even within that also, then we are also focusing on the throughput distribution point. So that's also there. And then we can see now month -on-month growth is there in the liquid milk like you take that March to April, April to May, May to June, June to even July, there is a growth actually. I think, yes, it is going actually in the right direction.

Srideep Kesavan: Yes. Thanks, Mr. Samba Murthy. So, the numbers that we report here is an average of the quarter. In March and April, we took the prices, which actually came with a little bit of decline in volumes. We usually see that. And the team with distribution expansion was able to claw back. There's always a work in progress, but you're right in calling it out. This is the highest priority for us.

Pratik Kothari: All right. Great. Thank you all the best. And the annual report also was very good. Thank you for that.

Srideep Kesavan: Thank you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to two questions per participant. We take the next Heritage Foods Limited

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Page 12 of 21 question from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Hello, sir. And thank you for the opportunity. Sir, my first question is on the price hike part of it. I heard your earlier commentary and considering how the situation has and not -- the flush season, mini flush season that was expected didn't turn out in this quarter as well. So what kind of price increase are you in plan to be taken for the upcoming quarters? And also can you tell me if you took any price hike in quarter 1? I mean, was it at the start of the quarter or if you can give us a rough time line of that?

Srideep Kesavan: Mr. Vignesh . I didn't get the last question. Could you please repeat?

Vignesh Iyer: I wanted to know if you took any price hike in quarter 1? And if you could tell me if the price hike was taken on the later part of the quarter or the start of the quarter?

Srideep Kesavan: All right. Yes. Mr. Vignesh, so yes, we had taken up prices towards the end of quarter 4 of last year. And through quarter 1, so we got the benefit of that in quarter 1, right? For milk, for example, our prices were 4 percentage higher than same period last year, right? And like I mentioned, 5.1% for value -added products, etcetera.

But it doesn't mean that all pricing was done at one point. There were certain markets in which price increase was done in middle of May. There are certain other markets in beginning of June, etcetera, etcetera. Because all markets did not go up at the same time. It's also a function of competitive scenario.

Vignesh Iyer: Right. Also, any plans to take price hike, I mean, in this financial year? I mean -- or is it more depending on how the price fluctuation will happen from here on?

Srideep Kesavan: No. Like I mentioned as an answer to the previous question, we are taking price hikes as we speak. Even this week, we have increased prices in certain markets.

So we are continuously increasing prices, not just for milk, but also for value -added products.

Vignesh Iyer: Okay. Just one more question from my side. And I'm sorry if you have already answered it. What is our target for the VAP part of business for this year? Do we have any internal target to reach VAP as a percentage of revenue?

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Page 13 of 21 Srideep Kesavan: So - for the last several years, we have been trying to improve value -added product contribution by about 2 to 2.5 % every year, which means in a 4 -year period, we would like to see value -added products grow by 10 percentage. So let's say, our contribution was about 39% in last financial year.

So, we would like to end at around 50% by FY30. Now that's a goal that we have.

Of course, this year, you have seen that we have grown -- the contribution has expanded much beyond the 2.5 percentage, but it's also a function of milk not growing as much.

Vignesh Iyer: Got it. Yes, that's all from my side and all the best. Thank you.

Moderator: Thank you. We take the next question from the line of Kshitij Sowlani from Yes Securities. Please go ahead.

Kshitij Sowlani: Hi, sir. Congratulations on a good set of numbers. I just wanted some color on the margins for your milk and your VAP products individually, if that would be possible?

A. Prabhakara Naidu: Milk EBITDA margin for Q1 was 3.03% and . VAP EBITDA margin is 8.06%.

Kshitij Sowlani: Got it, sir. Got it, sir. And within the VAP products, what would be the highest margin product for you guys?

Srideep Kesavan : It's usually ice creams, which are most profitable.

Kshitij Sowlani: Got it. Got it. And sir, just one more thing on the procurement costs. So can you just give me a best case and a worst case scenario of what you think the procurement prices would be after the October flush?

Srideep Kesavan : We'll wait and explain after it happens. See what -- Kshitij , what we would say is that this is a cyclical business, and it's a very large industry. It's very difficult to predict. So best case, we are hoping that the buffalo flush is good and the availability is great and prices come down. Worst case is it doesn't happen, prices continue to decline.

Kshitij Sowlani: Got it. So that would also mean that post the October flush, when we are in Jan, we will see further increase in the prices, right? So that would mean that for FY27, if I take a base case, the prices will continue to be a bit higher. Is that a fair assumption?

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Page 14 of 21 Brahmani Nara: Yes. What I'd like to say is that things are looking quite unpredictable as we've seen in Q1 itself and as we continue to see in Q2. And if you've been following all newspaper reports and conversations in the agri space, I think across regions also things are very different. Trends are very different. We're seeing the rains in certain areas. We're seeing deficit as of today, especially in the Southern Peninsula.

It's very different across the country, and that might be very different a couple of weeks from now, right? So I think for us at this point, given the fact that weather plays such an important role in really anticipating procurement price, it's quite difficult for us to say how things may look 2 quarters from now.

Having said that, I think we are doing what we can do as an organization to secure our milk procurement at the right price, right? As my colleague, Mr. Murthy had said, one thing that we continue to do is continue to add the number of farmers that are pouring milk to us within the existing procurement regions as well.

We've added close to 5,000 farmers in Q1, and our intention is to add another 5,000 farmers in Q2 itself. We want to increase the volume that for Heritage, primarily because we work very closely with them by supplying cattle feed, which is subsidized, artificial insemination programs, improving their health of their animals, etcetera.

So we will do -- no matter what the external condition is, we continue to do this work. That will continue to help us secure our milk volumes that we require for milk as well as value -added products growth, which are looking very encouraging this year. I hope I've an

swered your question.

Srideep Kesavan: If I could just add one. What we are also doing in the meanwhile is we -- irrespective of the procurement scenario, we are continuing to grow our business in terms of our volumes, in terms of our brands, in terms of our consumer acquisition, in terms of our consumer love and retention.

That is what is most important, which means this procurement price will not remain like this forever. It is a cyclical business. It will come down. And that day, we will have a tremendous consumer franchise with us. Just think about

that. The volumes are much higher. We have strengthened our portfolio actually in the meanwhile. That's the important point to remember.

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Page 15 of 21 Moderator: We take the next question from the line of Parth Sodha from Trinetra Asset Managers. Please go ahead.

Parth Sodha: First of all, thank for the opportunity. So my question is, at what stage do you believe the richer product mix will begin translating into the structurally high EBITDA margin?

Srideep Kesavan: Yes. So, see, it is a constant work in progress. So, I don't think that there is any one point. And because of our ambitions, we'll continue to push -- so we haven't put -- we have several internal milestones, but there's no one day when it will change. It's a constant work in progress.

I'll give you two or three data points that you can reflect on. One is that, let's say, the EBITDA that the CFO spoke earlier, milk is 3% and value -added products is 8%, right? So already, you can see VAP is higher EBITDA compared to milk. Last year, same time, which is Q1 of FY26, milk EBITDA was 5.8%; and VAP EBITDA was 9.7%, which means while milk EBITDA declined by 2.8% because of raw milk price increase, 2.8 percentage decline in EBITDA, VAP declined only by 1.7%, right? So VAP was able to withstand the raw milk increase better than milk.

The second is I draw your attention to the P&L statement that we have put out for the quarter. You can see the operating leverage kicking in already. Like if you see the operating cost, which is what is shown as the other expenses in the P&L as a percentage of revenue, Q1 of FY26, which is last year quarter 1, operating cost was 9.64% of revenue. Now it is 9.01% of revenue. So, we have gained operating leverage of 0.63 percentage because of the higher value -added product revenues contribution volume growth.

Second, employee benefits used to be 7.21% of our revenue. It is down to 6.74 percentage of revenue. That is about 0.47%. Together, these 2 components, which contribute the operating leverage have improved our bottom line by 1.1%. And this is not at all, right? As the value -added products continue to grow and our revenues continue to kick in, this leverage will continue to improve. The only number which has changed is raw material costs have gone up by about 2.54% and of course, depreciation and financing costs because of some of our new facilities coming into play.

Parth Sodha: Okay, got it. Thank you so much.

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Page 16 of 21 Srideep Kesavan: Thank you.

Moderator: Thank you. We take the next question from the line of Hitaindra Pradhan from Maximal Capital.

Hitaindra Pradhan: Yes, hi, sir. Thanks for the opportunity. So sir, just wanted to understand the VAP EBITDA margin was around 8% this quarter. So being summer, I assume the summer product portfolio would have been -- the sales and the mix would have been higher. So, going forward in Q2, Q3, I mean, what is the trajectory here, sir? I mean, just expected this margin to be slightly higher. So, if you can give us some sense and color on to that?

Srideep Kesavan: It's very difficult to give because the mix will change. You're right in saying that some of the summer parts, let's say, butter milk and all will come down in salience. So, there are several par

ts of the value -added products, which will

sustain also. Like, for example, paneer is a nonseasonal part of is a significant contributor to our revenue now.

For example, this quarter, about INR 52 crores of our revenue has come from paneer itself. So that's nonseasonal. Ice cream also because we are continuously growing, even though it is a seasonal business, we are sustaining. You can imagine that sequential numbers may not look so bad.

There are several other parts of the value -added products, even curd, which is because of our strength, has become less and less seasonal. And I also add one more thing, which like we just explained earlier, we are taking pricing up also. So prices are going up. So because of which -- but then there is some EBITDA

expansion, but then some raw material cost is also going up, right? So very difficult to predict or give you an -- we don't -- we wouldn't like to give you an outlook on exactly how Q2 will be, but we are doing everything we can to improve our situation.

Hitendra Pradhan: The second question is like the El Nino thing, what we hear also is that, that can also disrupt the post October and that can bring in unseasonal rain also. And that usually also impacts the yield and the fodder. So is that understanding correct? And so if that is correct, then would it be prudent to take more price hikes in the next quarter on the portfolio side? I mean, if you can give us your thought process there?

J. Samba Murthy : We will take a balanced view as we keep watching every quarter, every month, which way to balance the farmer interest, consumer pricing margin

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Page 17 of 21 improvement. Objective being ensure consistent supply of milk by giving remunerative price to farmer and do not load consumer price in one go. We give some lag, we give in phasing and then partially absorb in the margins for a quarter and then pass it on.

We don't disturb the ecosystem. It's a very balanced way of handling the model, keeping all interest in view. And definitely, if the procurement prices go up, the pricing action will be there. If procurement prices go down, the margin expansion will be seen. And it is cyclical. Every year, we see the ups and downs. One season or one year, if it is low production, the farmers get a higher price. That encourages them to take more interest in dairy in the following season. The milk production improves, additional care was taken towards animals and additional yield comes through productivity improvement. And that following year, the prices will go down a bit because of the good kind of scenario.

So this we have been seeing over a period of time. And Government of India also will not be silent. Just to give you a history, if you see in the last 15 years, there were years where the scarcity of milk was very high in India. Milk prices went up, then government intervened and allowed duty -free import of milk powder from Australia, New Zealand, Europe and then control the consumer prices. There were years where we had the glut scenario, farmer prices crashed to as low as INR20, INR 22 per liter of milk. And government encourage export of commodities by giving incentive to exports. So, there were years where government kept a neutral position, no import, no incentives.

So various situations are handled by government also over a period of time. So, when situation goes out of control in terms of scarcity, high scarcity, we may see import of duty -free commodities also. If glut comes, the government may encourage exports by giving incentives. So, we are not operating in an isolated environment.

It's a public interest, is always seen by government of India. State governments also intervene. So, we have to keep all the factors in view, including farmer, consumer and other stakeholders in the company, a balanced way of reacting to every situation keeps us moving in the right

direction.

Moderator: Thank you. We take the next question from the line of Nishita Shanklesha from Sapphire Capital. Please go ahead.

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Page 18 of 21 Nishita Shanklesha: So, I just wanted to understand, you mentioned and you gave the milk margin and VAP margin separately. And you also mentioned that our VAP growth is going to be 20%, 25% going forward, which is going to be higher than milk. So, like going forward, can we expect our EBITDA to improve because currently, it's at 4.6% level. So, when can we expect it to go back to the 6%, 7% level, if you can give some sort of guidance on that?

Srideep Kesavan: Yes. A bit -- primarily because still three quarters of our revenue is attributable to -- sorry, raw materials attribute three quarters of our revenue. So, it's still quite significant, right? So hence, a large percentage of our EBITDA will still be driven by raw material. We still haven't reached a stage where EBITDA of value - added products can grow in spite of raw milk price volatility, right? We still haven't reached.

We are hoping that we will. We are working towards a situation where our value - added product salience in consumer basket reaches a level where we are able to price it irrespective of raw material prices.

Srideep Kesavan : Yes. So, talking about EBITDA improvement, our objective is not a 6% EBITDA. That's not what we are aiming for. We are looking at high single digits EBITDA. In fact, our average or median EBITDA in the last several years has been 7% or higher, 7.5%, etcetera. So, we should be aiming for -- we are aiming for high single -digit EBITDA. And that -- while value -added products is definitely one aspect which will help us improve. But primarily raw milk coming down will be a significant driver.

Nishita Shanklesha: Okay. Okay. Understood. And my next question is like what kind of capex have we planned for this year, FY27?

Srideep Kesavan : So, at this point in time, we have two projects that is being constructed, that's being executed. One is a paneer project and another one ghee. We have some other investments into raw milk procurement side, also minor capex. All of it should add up to about INR250 crores for the year.

Moderator: Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to one question per participant. We take the next question from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya Khandelwal: Yes, hi, sir. Thanks for the opportunity. Sir, which are the major raw materials in our feed business? And what kind of cost inflation we are seeing in that? And secondly, sir, this rise in procurement prices, is it majorly due to the higher

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Page 19 of 21 summer season which we are witnessing, which is leading to drop in yields or higher feed costs have also played a part?

Brij Mohan: Yes. Thanks very much for the question. . And just to answer your first question that there is a very high increase in all the ingredients which are going to the cattle nutrition. And they are increasing month -on-month. It started somewhere in quarter 3 of last year, and it's moving until today. Quarter 2 as well looks quite heavy on the cost part.

Secondly is , due to the cyclical weather condition and also you are aware of the ethanol industry impact on overall consumption of corn, rice milling also has slowed down. That is not giving enough raw material for the cattle feed. And increment in the cost, especially for the packing materials has put most of our margins in distress.

At the same time, we also have a good competition from other industry like chicken industry and egg industry. So overall, I can say that higher prices will continue for the ingredients, pushing further out on the margins. But at the same time, we have passed on these to the consumers, especial

ly consumer in

the sense to the -- to our dealers as well as our farmers.

Some of that we had absorbed ourselves and improved our productivity, increased our volumes and also enhanced our -- or expanded our geographies. So overall, I can say that quarter 2 looks a little stronger than the quarter 1. But yes, pressure is there on all of us on the margins.

Moderator: We take the next question from the line of Viraj from Enigma Investment.

Viraj Mehta: So sir, just one question. Like if we look back a year before this all price hikes increased, our understanding was that the business has significantly improved from what it was 3 years back and our normalized margins are in the range of 7% to 8% or probably even higher than that. Assuming that this is temporary, and we don't know whether it is or not, would you say that, that statement is still true? And with some price hikes that we take over next 1 year and slightly lower raw milk prices, if at all that they happen, that statement still is true for, let's say, 4 quarters, 6 quarters out?

Srideep Kesavan: Yes. Thank you, Viraj. If you look at -- you're taking a very long -term view, right?

I was just looking very out of curiosity, I was just looking at what was the raw milk price of quarter 1 of FY25. In quarter 1 of FY25, the raw milk price was INR41.38. INR41.38, which means compared to quarter 1 of FY25, 2 years later

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Page 20 of 21 today, the raw milk price is INR5.35 higher. And we procure roughly around 18

lakh liters of milk.

So, you can imagine that, that's about INR9.5 crores per month. That's the kind of money that has moved, right? So that is in just 2 years. And -- but our PBT, our profitability is not impacted so much because we have so many numbers have changed in the meantime, whether it is in terms of VAP contribution or in terms of operating leverage or in terms of prices going up as well.

What we have to also remember is that I'll also call out one more number for you because you raised this question. You go back 1 more year, 1 more year behind, which is quarter 1 of FY24, quarter 1 of FY24, that number was INR44.78. So just -- I'm just reading these numbers. Quarter 1 of FY24 was INR44.78, then quarter 1 of FY25, it came down to INR41.31 and now we are sitting at INR46.61. So, if you look at it like that, in 3 years' time, it has gone up by INR2 or INR3. This is okay.

So -- but another way to look at it is actually, if you look at isolate and look at cow milk and cow milk is what is actually a significant contributor to our business. It was INR40.58 in FY24, came down to INR37.51 in FY25 and which is now INR43 in FY27, which means cow milk has increased by about INR2.50 or INR2.60. That is -- even if I take INR2.60 increase over on 18 lakh liters of milk, we are talking about INR5 crore per month. That's the kind of impact.

Now this is a moving business, which means that if you look at 2 years down the line or 3 years down the line, the same price could be INR48 or INR49 or INR50 also. But in the middle, there could be years where it might go to INR50 and then come back to INR48, etcetera. One should look at the long -term trend.

And that long -term trend is about 3.5% to 4% year -on-year increase. Our intention is to shift value -added products, shift our business more towards value -added products so that our net revenue grows ahead of this 3.5 percentage to 4 percentage milk price inflation in the long term so that we are EBITDA accretive and our EBITDA continues to trend upwards going forward.

So at this point in time, I should say that we are in the trough of it. When the raw milk procurement prices come down, you will see the margins expand very widely. But that is not the normal. Again, I should remind you, because normal is always the trend something that goes in the middle.

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And as long as the business is able to demonstrate that it is able to procure milk even in an inflationary situation as long as it has demonstrated that it can grow when the opportunity emerges and as long as it can demonstrate that every single year, it can expand value -added product portfolio by 3% or 4%, I think that we are -- our business is strong. And it will ride out the cycles.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question. I now hand the conference back to Dr. Rao for his closing comments.

M. Sambasiva Rao: Thank you all for active engagement and interaction with us. Looking forward to catch up with you in the next quarter's call. Thank you. Good evening to all.

Moderator: Thank you, sir. On behalf of Heritage Foods Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

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